

Jana Small Fin. Bank (JSFB)

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JSFB/SEC/2023- 24/20

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Sub: Transcription of Investor / Analyst meet held on 26th February 2024

Ref: Regulation 30 read with Schedule III Part A of SEBI (Listing Obligations and Disclosure Requirements)
Regulations , 2015 ("Listing Regulations")

Dear Sir/Madam,

In continuation to our letter JSFB/SEC/2023- 24/10 dated 26th February 2024, please find enclosed transcription of Investor/ Analyst meet held on 26th February 2024.

The transcript of the same will also be available on the Bank's website at www.janabank.com . You are requested to kindly take the same on your record and oblige.

Thank you

Yours faithfully

For Jana Small Finance Bank Limited

Lakshmi R N

Company Secretary & Compliance Officer

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Analyst Meet "

February 26, 2024

MANAGEMENT : MR. AJAY KANWAL – MANAGING DIRECTOR
AND CHIEF EXECUTIVE OFFICER – JANA SMALL
FINANCE BANK LIMITED

MR. GOPAL TRI PATHI – HEAD – TREASURY AND
C

CAPITAL MARKETS – JANA SMALL FINANCE BANK
LIMITED

MR. SUDHIR M ADHAVAN –HEAD, RETAIL FINANCIAL
SERVICES (ASSETS) – JANA SMALL FINANCE BANK
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MR. TAMAL BAN DYOPADHYAY – SENIOR ADVISOR,
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MR. ABHILASH SANDUR – CHIEF FINANCIAL OFFICER
– JANA SMALL FINANCE BANK LIMITED

MR. RINCOO VACHHA – HEAD – AFFORDABLE
H

HOUSING LOAN AND MICRO HOUSING LOAN – JANA
SM

ALL FINANCE BANK LIMITED

MR. KRISHNAN S RAMAN – EXECUTIVE DIRECTOR
AND CHIEF CREDIT & COLLECTIONS OFFICER – JANA
SM

ALL FINANCE BANK LIMITED
MR. SHRINIVAS M URTY - PRESIDENT & HEAD –
BRANCH BANKING & MARKETING AT JANA SMALL
FINA
NCE BANK LIMITED

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Ajay Kanwal : Good evening, everyone. My name is Ajay Kanwal. I am the MD, CEO of Jana Small Finance Bank. And as most of you folks will know, this is Jana Small Finance Bank's first analyst meeting. So thank you, everyone, for coming here today evening. And before I start, I have been told to advise all the analysts here.

There are two golden rules for all analysts. The first rule is they are always nice to institutions who come for the first time. So all of you have to be very nice to us today. And the second rule is to remember the first rule.

Before I start, I will introduce the team from Jana. I will start from my left -hand side, Gopal Tripathi. Gopal is the Treasurer. Gopal is based in Mumbai.

Sudhir Madhavan. Sudhir leads our microfinance business, which we internally call as Retail Financial Services. Tamal Bandyopadhyay needs no introduction, which is why I decided he doesn't need a blazer today. Tam al is our advisor. And Tam al is very famous for writing on banking and finance for the last over two decades . He's been our advisor for the last few years. Abhilash. Abhilash is our CFO. And you will hear him soon.

Raman. Raman is the most experienced banker amongst the management team, roughly about 35 years in banking. And Raman Heads our Credit. Shrini looks after our branch banking and liability business. And of course, the flavor of the day, given all the conversation around the CD ratios. And Rincoo Vachha. Rincoo looks after our affordable and micro housing business. And he's been with the bank since 2018. So we thought it would be nice if we can hear not just me and the CFO, but also meet and hear some of the key business leaders of the bank. So that's us.

And with that, I would like to take you through a few slides before we ask some of the colleagues to step in. So a few things about Jana. And very important for you all to kind of just soak in a bit of the background. Jana has been a turnaround and a transformation story. So after demonetization, we obviously had NPA's to handle, which I must say that this team has joined post that moment. And one of our first tasks as a management team was to fix that.

So that is when the turnaround happened. And second, the transformation story of how do you convert yourself from a microfinance institution to a well-diversified, secured bank . And some of the numbers here will show you where we are in that journey.

And we have made substantial progress. Very important, folks, is from being a single product company, which was largely MFI, we are now a customer-led organization, which means we are doing much more with each customer beyond one product. And you will hear that from the team very often as we go through.

And the final thing is all about digital and analytics. And you hear that from the team in general and specifically from Raman. Now to the numbers on the screen in our first slide, I really want to show that, see, for a bank like Jana, which is really serving the underserved, growth is not very difficult.

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It is good growth which matters. And why I say that is our reason to turn secured is to really move towards a good growth agenda where we can have more sustainable and resilient balance sheet. And after the bank started in 2018, it's been now five years and nine months.

And where we have reached is roughly about 59% of secured business. What is the flavor of the secured business? I'll show you very soon. On the liability side, I should start with the growth rate first on the liability side because first, if you take year on year, our liability business has grown faster than the asset business. We may be the exception in the industry where the last nine months has seen a faster growth on deposits versus assets. And by no means is the

asset growth

slow, and by no means is the liability growth slow.

So again, it does show that while growth in asset is something that is eminently possible, given that we are serving underserved, we also have a very strong liability franchise where if required, we do outpace our asset growth. Our cost of funds, a question people ask, has it gone up? It has

gone up in the last nine months by 40 basis points.

Having said that, I was looking for the net interest margin here. At the same time, it's gone up by 20 basis points in the last nine months. So our net interest margin is up 20 basis points. Our cost of funds is up 40 basis points. So while the cost of funds have gone up, we absorbed that both in the product mix and because the NPAs have dropped. So obviously, interest in suspense is lower.

Asset quality, again, a trend which is very encouraging for us. We are really back to the pre-COVID levels on net NPAs, and of course, PCR at 68%. But more on PCR when you hear Raman about what is the underlying composition of NPA.

Given that we are turning secured, the NPA number is very different from what it used to be. Somebody has to advance the slide. Okay. While that is going on, listen. Capital, again, this is capital adequacy before the capital raise because these are December numbers. So it crosses 20% comfortably.

But more importantly, there's a lot of room in our Tier 2. The Tier 2 is just about 1% - 1.5% of our total capital composition.

National franchise, 781 outlets all over the country. Works very well. And you will see that amongst all small finance banks, we have the least geographic concentration, something that we worked as a design. And I must say that when you spread yourself across geographies, it's a bit of hard work with all the travel and all the challenges.

But that's all behind us because now we are in 24 states. We have roughly about 180 cities. And we run a national franchise with a great amount of comfort. Now for us, there is less concentration geographically, but also more chance to expand because doing adjunct cities is a very easy concept. On the ratio side, ROA is improving to 1.7%. ROE has crossed the 20% mark. And net interest margin, as I said earlier, has improved to 7.9% from a 7.7% in March.

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You look at the P&L metrics, it's INR348 crores PAT for the first nine months. It's the highest PAT for the bank, both for the first nine months as well as for the quarter of December. The happiness here is that our highest ever PAT comes in the quarter following the IPO.

Because before the IPO seeing our results, people thought that your results look very good. But I must tell everyone that our results after the IPO look better than the results before going into the IPO. So I think that should give a lot of confidence to people who are looking at the numbers pre-IPO saying, hey, they look very nice.

But we've got even nicer numbers post that. And that you can see both in ROAs, ROEs, as well as the PAT. Disbursement we'll talk of as we go along. But right now, fair to say that all metrics turning secure, liability growing very well, NPA being pretty much at the bottom, a good PCR, good ROA, good ROE. We've got all the metrics running in the right direction. Just a bit about the bank beyond the numbers.

National presence I did mention. I want to point out just a bit here on the unbanked rural centers, which are really 36% of the total network. Now, for scheduled commercial banks like Jana, they have to be 25%, like all other scheduled commercial banks.

We, when we became a bank, decided that our urban microfinance needs to move to the rural microfinance. And you'll hear a lot from Sudhir about how we have made the transition. To do that, we made sure that we opened more urban rural centers than required. Now, these break even very quickly.

. That's a positive advantage. The other positive which we ever want to utilize, which we can utilize, is we can open a lot more branches in a Mumbai or a Delhi, because we obviously are roughly about 11% higher than our required ratio of 25%.

So I can open another 200 branches in Bombay or Delhi if I do need to push the liability engine harder. We are not there. We have enough and more room to grow with our current network.

But I'm just raising the possibility if it does come to that. The last piece is about how many branches are ours and by BCs. And I think the important thing for banking correspondent is we have done BCs as a way of a natural partnership and a strategic partnership in our MFI business.

We find the MFI business is very localized, especially when you go rural. It is obviously a lot more valuable to us. And one of the ways to execute that is to have strong partnership with BC partners. What you see on top, the 10%. So if you take the maths, 60% roughly is secured. 40% is MFI unsecured. Out of 40%, ~10% is with BCs. BC, as you know, give us service guarantees, are accountable for collections. So our real exposure to unsecured as we speak as of December, where we are accountable for collections and the health of the book, is really 30%.

So that's the most important piece when you look at, what is a BC's role with us. And of course, Sudhir will talk more of it. 12 million customers. As an institution, we have 16 years of history. And these 12 million customers are customers we have access, if you wish. And we do use it most times on the bureaus.

And these customers know the brand. They know the bank. And certainly our customers, if they do want the next need, they will certainly consider Jana as one of them. Active is 5.21 million, just so that you know the number. This was roughly about 4.6 million as of March 2023. So we are seeing a lot of active take up of the bank's products in the last nine months, from 4.6 million customers to 5.21 million customers. I've already spoken about our geographical presence. Now, this is a bit on the asset products of the bank, which we do have secured, is what we call it. And they are built like this.

You can start with December, right there, INR 4,419 crs. And that's our micro Lap. And there you see, again, is the average ticket size. This is the outstanding ticket size on our books, a little under 8 lakh rupees. This is the growth of 2 and 1/2 years, gross NPA, net NPA, and very important, what is the LTV on the books right now. So this is the LTV on the outstanding asset on the books, which is very comfortable at, or I should say, low at 34.2.

There is value in the low LTV. And you will hear Rincoo explain that when you have low LTVs, how does the bank work with customers. Next is ~INR4,000 crores affordable housing. Again, 11.4 lakhs is our ticket size. 69.5% is our compounded growth rate in the last 2 and 1/2 years. Now, these products have a five-year vintage with the bank. So they have been through COVID and the stress test.

Gross NPA, net NPA, and that's LTV. Same is MSME loans. In our case, MSME loans are largely LAP or overdrafts backed by mortgages. Average ticket size at 34 lakhs. And again, you can see a very comfortable LTVs. Term loan to NBFCs.

This is one of the businesses that we do lend to our key competitors who think are doing brilliant in the market. Something we've used as a balance sheet opportunity whenever we've got surplus cash. If one business has de-grown in the last nine months, it is our NBFC business.

Because as our natural products are picking up, that business has been detuned. Two-Wheeler is on a strong growth path because we only launched it just post-COVID. So it is around January 2021.

It's expanding number of cities. So for example, when we launch, we are in about 180 cities. To

reach 180 cities takes time. We traditionally try and launch 30 cities at a time every six months and then keep growing it. So you will see a lot more growth coming in Two-Wheelers. So percentage is not relevant here because it's a new business.

This is gold loans. And we have seen a de-growth of gold loans post-COVID because a lot of challenges came in COVID. And finally, unsecured loans is our MFI business. We'll talk a lot of detail of MFI because I do think that you all need to see our MFI book in a fair amount of detail and how we are building it. And that average ticket size is 40,000. And again, a gross NPA and net NPA of 3.8% and 0.7%. So that's roughly the last line is our unsecured advances. For the assets classified secured advances, as you can see, our secured means it is property. It is not commercial vehicles. It is not automobiles. It is hardcore property or, of course, cash and gold.

So that's the real composition of our secured business. We do believe that in a down cycle, the

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most resilient class of secured will be the ones backed by property. And that is why we made a strategic choice in 2018 when we launched the bank that our focus will be on property. Not to mention that every property-related relationship on a contractual basis is at least about 10 to 15 years.

So you really get a very long-term relationship with the customer. Enough time to do more with the customer, get more operating leverage, get more advantage in terms of more products within him and his family. That's been our classical thinking when we launched the bank, and which is what you can see here.

Now, last slide for me before I hand over to Raman is de-risking. We have been working on de-risking all through. And one of the things that you should see here is how our secured advances have grown.

At a CAGR, and this is, of course, a bit slower during COVID, but then picking up after COVID in a very significant way. So folks who have questions around what to expect in the future, then I can say that, listen, we have grown secured very strongly in the past, right through COVID.

Without COVID, it should be fair to assume that is minimum what we would do as a bank.

Here is our geographical concentration. I mentioned this earlier. We are the least concentrated small finance bank. We only have 38% in the top three cities. Our top city is roughly about 12 -

odd percent, which is Tamil Nadu. We have a very strong middle order, and that allows us to grow as and when we wish because we truly have a very well geographically spread business. We are not in a hurry to grow geographies, but if you do decide to add 10 cities, it is very easy for us. The person who's been really architecting this de-risking of the bank is Raman, and I would like to invite Raman to take on the next few slides. You can start from there.

Krishnan S. Raman: You hear me? Okay, thanks, Ajay. Few things I just wanted to highlight. Can we move to the next slide, please? See, Ajay's introduced me. Before I joined Jana, which was about six years ago as the founding CRO, I'd spent about 30 years in multinational banks and other institutions in multiple geographies.

So one of the first things we wanted to do was to make sure that on day one, we had all the best practices that we had been exposed to in our previous companies. We wanted to try and make sure that we introduced them in Jana, and that was really our endeavor right from the beginning. So a few key messages on this slide that I wanted to cover.

Ajay already talked about diversification, but as far as this place is concerned, let me just focus on credit risk. Credit risk, we're looking at the underwriting piece, a combination of experienced underwriters, and our team has experience in multinational banks and private sector banks and public sector banks as well

as NB FCs. So experienced underwriters as well as how do I make sure that I combine digitization into the whole experience.

I think that was one of the first key messages that I wanted to highlight. Digitization, infrastructure, investment in a loan origination system, investment in a data warehouse. So that's Jana Small Finance Bank Limited
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the first message. Second message is that in terms of our behavior, we are increasingly more and more behaving like a fintech. And let me explain what do I mean by that. Our smaller ticket sizes, i.e. microfinance loans as well as two-wheeler loans is entirely a digital journey.

As the ticket sizes go up, then we start combining it with experience and judgment. But even there, we are making sure that through APIs, we are getting digital inputs on things like bank statement, bank balances, GSTs, so that the underwriter can take an informed decision on the larger ticket cases. So that's the second message that I wanted to give.

Third message I wanted to give is that over time, we have increasing levels of sophistication. And what do I mean by that? We have a scorecard. Other than a scorecard for the unsecured individual loans, we are one of the few institutions, sorry, we are one of the few institutions who has a scorecard, probably the only institution who has a scorecard for secured lending, for the retail secured lending, both in home loans as well as loan against properties, we've got a scorecard which takes feeds from the credit bureau as well as demo graphics and other information.

And that has been proved to be very discriminatory on our portfolio. In fact, as we speak, we are now ready for the second generation enhancement of the scorecard. I just wanted to highlight that because that's one of the key messages, a key differentiator as far as Jana is concerned. The fourth piece, and that, whatever I've talked about covers the left-hand side. On the right-hand side, I wanted to talk about portfolio analytics.

We have invested in leading-edge portfolio analytics. We've got a team of 40 people. We've got a data warehouse. And some of the analytics metrics that we use, we use leading-edge flows, we use static pool analysis. We've got hurdle rates for delinquency by cohort for each product. So we've invested a lot in that, and that gives us our early indicators, early warning signals.

As we go up in terms of ticket sizes, we start getting the early warning signals take feeds from account management disciplines. So we do a bureau refresh. We do that every quarter. We look at honors performance. We look at current account churn. And all of this, combined with a personal visit by the account relationship manager, gives us all the early warning signal indicators that we are looking at.

So that's broadly what we wanted to, what I wanted to cover in terms of our risk management disciplines. The few other pieces, so risk management becomes pretty much the core of everything that we do. And all the asset management, asset growth is actually based on solid risk management.

So what I'd like to do is introduce you to Sudhir. Sudhir is second from the right. Sudhir Madhavan joined us as the Collection Head for five years ago. And he did a commendable job. He did a stellar job, in fact, in terms of collecting the post-demonetization NPAs. And therefore, the natural sequence for him was actually to go as the Business Head for the Retail Financial Services, which is what manages the microfinance.

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Sudhir has, in Jana, five years experience. Prior to Jana, he has about 20 years of experience managing business and collections. Over to you, Sudhir.

Sudhir Madhavan: Thank you, Raman. Thank you for the kind words. Collections is still in my DNA. Just to give a brief background. Jana has been a microfinance institution primarily serving the urban and metro microfinance for the last 16 years.

We understand the urban space. They've gone through a lot of ups and downs, demonetisation, COVID. Post-demonetisation, we realized that the behavior pattern of the urban microfinance customers was significantly changing.

The attendance in the group meeting started getting reduced. They all wanted customized offerings towards them. That's why we decided we will detune our microfinance portfolio, specifically group loan portfolio.

What you see on the individual loan book of INR5,000 crores, are primarily group loan customers who have got upgraded to individual loans. So when we do an upgradation from the group loans to an individual loans, they have to have a clean repayment track record. We make sure that they pass the credit bureau checks.

We make sure that they pass through our scorecards. Overlaying that, even if he's got a good repayment track record, we make sure that one of the credit person goes and physically meets the customer at the residence and checks his repayment ability. Even if the customer has got a very good repayment track record, we still have a 20 % to 25% rejection rate on that.

So all these customers get upgraded. So that's the first structural strategic shift we did, moving away from urban areas to group to individual. Five years back when we became a bank, we had a regulatory mandate of opening 25% unbanked rural centers.

We saw an opportunity there. So we used this unbanked rural centers to get our rural penetration done and book in a lot of agri loans through a JLG kind of a model. As this model succeeded, instead of having 25%, we went up to 35%.

Currently we are at ~280 points. So to increase our distribution further, what we did was we went to the next level of putting in partners, which is business correspondents, which are highly local in nature. And understand the local geographies.

So they also do this agri-JLG kind of a group loans for us. We started this business partnership pre-COVID and they have survived the COVID collection issues, and it's been a highly profitable and a sustainable business model for us. So net if you look at, we did three things.

Point number one, we de-tuned our microfinance book in the urban areas, upgraded them to individual loans, but with a very strong credit underwriting process. Went deeper into rural areas through our URCs. And third, build a partnership model with business correspondents who are local in nature and building our agri-book there.

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So the other part of the slide. The new microfinance, what we are re-imagining is completely paperless. Our microfinance onboarding is paperless. The customer comes to the branch, doesn't need to have any signatures done. It's all e-Sign. So it's become completely paperless.

The last part of it, of the microfinance book is the collection which is still primarily physical in nature. What we found that individual customers in urban microfinance have graduated starting paying us through digital means. That's what we see around 37 % to 38% are still paying us in digital mode.

And that's what gradually when the digital penetration gets into the microfinance, the third expensive piece of getting the repayments back which was physically in nature through digital means it actually helped me to get my cost income reduced. The next slide. Yes.

Thank you, thank you Ajay. This is the way our book is being divided if you look at it. L1 represents the first time who borrows from Jana. L2 is the second time borrower. L3 is third time and fourth time. The individual book which is primarily 100% existing borrowers contribute almost 53% of the book.

And those are our existing customers who have been with me at least past the two life cycles with us. What you look at the first time borrowers are primarily what we book through URCs

and what we book through business correspondence. So overall portfolio of INR9,500 crores is highly diversified and much more stable than that.

To go ahead, five years back when we became a bank we actually did a bureau run all of our customers. We found out a lot of our customers got loans with other banks like 2Wheeler or MicroLap or housing loans, gold loans with others. So when we became a bank it gave us an

opportunity to offer a full suite of products for the customer.

And the customer was actually wanted to have a one stop solution instead of going to three or four different places. I got a base of four million active customers. Almost eight million close loan based customers who had a past relationship with Jana.

We are progressively migrating these customers from an unsecured base to secured base. Started the journey pre-COVID. Now the last two quarters the collection issues have got stabilized, so now rebuilding the focus back on how do we graduate good customers from me, from unsecured to secure and how do we offer them a full suite of products of housing, 2Wheeler, gold, savings account.

Let me introduce Rincoo, Rincoo is the person who sits at the last. He joined the bank six years back. He's the one who built the affordable housing and the micro housing book.

We both have been working together to build customized solution to how to upgrade these microfinance customers. We both believe and strongly believe that it's just the tip of an iceberg. We still have a long way to go. So over to you now Rincoo.

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Rincoo Vachha: Yes, thank you Sudhir. A very good evening to all of you. It's been five and a half years since we started our affordable housing business. You will be seeing something stated as home 360 on the slide. Now let me just briefly explain what this 360 strategy is all about. I mean over a period of time, we have consciously moved from just selling home loans to a home 360 strategy. If you look at the affordable housing landscape, competition landscape, who are our competitors? It would typically be the housing finance companies and most of these housing finance companies who specialize in lending to the formal, informal and semi-formal segment. Now these companies typically are a single product company.

And we right from the outset knew that we have a distinct advantage over the competition because we have a suite of products, be it on the asset side or liability side or insurance for that matter. I must say when we started, we started on the similar lines as these housing finance companies. But over a period of time, I mean this advantage had to be leveraged upon somehow. So what we did is basically once we got a foothold in the affordable housing lending, we said no, let's not just sell home loans, we will sell HOME 360 to our customers. So this thought process and conviction led us to come up with the HOME 360 strategy. Now under HOME 360 strategy, housing loan acts as an anchor product. Now when I say anchor product, if you see any individual in the country or for that matter globally also, everybody has an aspiration to own a property or a home, right? So all his financial needs through the various life stages always revolve around the housing loans. So we thought why not align with the customer's balance sheet our strategy in sync with the customer. And at the same time, use housing loan as an enabler to sell multiple product offerings to the customer. So that's how HOME 360 came into being. Now how does HOME 360 help the customer? He doesn't have to go to the multiple institutions for whatever financial needs he would have. Here we are explaining to the customer, Jana Bank is a one-stop shop for you, right? And you can actually bring your bank home. And that precisely is what the tagline is for the HOME 360.

Now h

ow does it help our customer? A), like I said, he doesn't have to go to the various institutions. And B), ease of lending. I mean, every time you need some financial product, you don't have to go through the rigor of repeated onboarding exercise. And we know the customer. We take a faster and quicker decision. And I must say that the digital transformation that bank has gone through and the customer scorecard which Raman has built has really made this transition from housing loans to HOME 360 very fast, faster and better, I must say. And if I can say that, you know, HOME 360 is one of the differentiators in housing industry for Jana Bank, the other big differentiator would be our customized scorecard. What this scorecard does is basically, you know, when you talk about semi-formal or informal segment customer assessment, there's a lot of human element involved. Now this customized scorecard has taken that human bias out of the picture. You know, the initial elimination happens through this customized scorecard. So it helps me take faster and better decisions.

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And look, our processes have become so robust that we are capable of delivering a sanction within a day's time. Today morning, I signed an application, which is again digital. It's absolutely paperless. I take an application from the customer. By evening, I could have, you know, sanctioned the case. And I will follow each and every, step for due diligence, whatever is

required to underwrite that customer.

I mean, I log in the file. It goes to the underwriter digitally, whosoever in the proximity of the customer. He will do the personal discussion. He'll follow the complete rigour. And then it will go to my centralized unit wherever the sanction happens. And by evening, the sanction will be given to the customer. So that's how fast and robust our system is. And this customized scorecard, which Raman has created, has really given us a very strong edge over the competition. Now on this slide, you will be seeing two -wheeler loans at 100% LTV. Sounds very aggressive, right? Now if you go to any institution, they may give you, what, 85%? Or even if a standalone customer comes to me, 85% LTV. Or 90% LTV, for that matter, if you are an affluent customer. Now I'm giving 100% LTV to the customer, two -wheeler customer. How am I able to do that? You heard Ajay say at the outset, our LTVs on property back loans, be it housing loan or micro -lends, are in the range of 35% to 45%. So I have that room with me. I'm just giving 15% additional LTV on two -wheeler to the customer, which is very nominal. And at the same time, I'm cross -linking that loan to the parent loan. So I'm covered. And imagine the kind of, you know, wow factor it creates for the customer.

If you pay 0.5% fee, you will get a helmet more expensive than that at, –so for the price which you would have bought a helmet, you can take a two -wheeler home. That's the kind of pitch. And the acceptability has been tremendous as far as this product is concerned. And likewise, you can see several products mentioned here under HO ME 360, be it health insurance, current accounts -- asset-linked current accounts or savings accounts, gold loans. I mean, everything has a relevance. All these products complement each other.

And on the left -hand side, you will see this pre -approved loan . Now, what is this pre -approved loan? Again, that LTV cushion comes into play. I offer pre -approved top -up loans up to INR5 lakh to the customer who have exhibited good repayment behavior with us, good repayment capacity with us, on us and off us. There is a thorough due diligence happening around it, which is, again done by, analytics team led by Raman, which helps us do that. So we are able to decide very quickly whom to give this pre -approved top -up loan and whom to not. And how it helps the customer is ba

sically this pre -approved top -up loan he can use as a business loan or he may want to construct one extra room. He would use that as a home improvement loan. Now, the customer from this segment, if he goes out to another institution to borrow a loan of INR3 lakhs or INR5 lakhs, he would get it for rate of interest not less than 30%. And if you look at local moneylenders who are still very, very prominent in Tier 2 and Tier 3 towns, they would charge you to the tune of 45% to 50% also. And we've seen that.

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Now, I am here offering him pre -approved top -up loan proactively because he has shown good character on my books at, let's say, 18% or 19%. That's a big, big benefit for him. And how does it help me? See, for affordable housing industry, again, there are two prominent risks. One is the fraud risk, which, again, like I said, Raman's efforts have helped us to ring -fence our business against the frauds. And second is the BT Out risk.

The moment customer creates a, you know, vintage of, let's say, one year or 18 months, there will be other lenders coming in to picture and offering him extra top -up. And there's always this, you know, lurking risk of customer moving out of the bank. Now, when I give him the pre -approved top -up loan, the bond becomes even stronger. And the propensity of that customer to stick with the bank goes much higher.

Can we just move to the next slide? Okay. Now, the proof of the pudding is in the eating. You can see the numbers. Now, what does the first chart tell us? 3.5 average relationships with one customer. So every housing loan customer or micro -lender customer who is on board, as we speak, post-HOME 360 initiative has minimum of 3.5 relationships with the bank. And look at CASA penetration, 98%. So that means 98% of customers who take a home loan from me open a current account or a saving account with me. And it's not just a dummy account.

Look at the last chart at the bottom right. Average monthly balances are to the tune of 21,000, which is quite significant. When you, you know, multiply this with the average CASA penetration we have, you can do the math. The kind of CASA objective of the bank, how housing loan customer helps us fulfill that. Health insurance, penetration is as high as 91%.

This health insurance is not something which is bundled with the loan. It's a tailor -made product for our customer segments specifically to shield them from enforcing health -related issues within the family. Let's say, for example, he would have to pay a premium of 6,500 and he would be covered for two years with a cover of 50,000 or 60,000. So there are various, various aspects to it.

Likewise, if you see pre -approved top -up program, which I just spoke about, 13.3% of our customers are already having this pre -approved top-up program, and book is behaving excellent.

Absolute top -notch book. And two -wheeler, like Ajay mentioned, is still in an infancy stage and it is on a growth path, and I'm sure we'll have a similar kind of acceptance as far as two -wheeler is also concerned.

Now, for me, to grow my housing business, there's one man I look up to within the bank who's sitting to my right, Mr. Shrinivas Murty. He gets more funding, cost -effective funding, I grow better. And Shrinivas has been with the bank for the past three years, and he's really given a positive spin to our CASA initiative. Over to you, Shrinivas.

Shrinivas Murty: Thank you, Rincoo. My job is very clear. I have to keep my CFO happy by making sure that I get low-cost funds. I have to make Rincoo happy, so that every customer that he gets for the bank doesn't go back, he gets his money, and I have to keep Sudhir happy that he can continue his business. That's my job.

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Ajay Kanwal: I have to keep him happy.
Shrinivas Mur

ty: I'm very happy to h ear that. And that's exactly what we are trying to do. If you see here, for the last two years, when the entire system was struggling with liquidity, we've been able to grow the book at 28% CAGR, 27.8%. For the current year, Y -o-Y, we have grown the book b y about 36%, which clearly tells us that there is leverage that we have, that we've built with the help of the branches that Ajay talked about, the cross -sell that Rincoo does, and all of this has led to an incremental LDR of 85%. Ajay talked about i t, that for the current year, our deposit book has grown more as compared to the assets. This has also resulted into lowering of the LDR, overall LDR from 108.5 to 104.5 for the current year.

Now I said, I have to keep the man sitting in the middle, our C FO happy, which is exactly what we are trying to do with the help of CASA and retail deposits. Our CASA and retail deposits combined are at 68% thereabouts. We have been also able to keep our cost at bay. For the current quarter, for the quarter between Se ptember to December, our cost of funds is stable at 7.6%. For the two-year period, we have brought down the cost from 8.1% to 7.6%, and that's exactly what I said when I began the discussion, that that's, I think, my core job.

Ajay talked about the vast g eographical network that the bank has. Incidentally, we are the most diversified bank in the SFB space as far as branch network is concerned. Now that gives us leverage to grow further. We started with 39% in top three states; Maharashtra, Karnataka, and Tamil Nadu, and I'm happy to tell you that we brought it down to 30%. That brings our reliance down from these states, and we've been able to grow new markets.

We've been able to grow NCR (National Capital Region) , which is a large deposit market. We've been able to grow UP, which is emerging as a large deposit market. We've also grown West Bengal, and the other states have also started growing. So clearly, we are able to now leverage our network. We are able to make sure that we get deposits, not just from three, four states, but across the country, you know, across our branches.

I would call out -- next slide, Ajay. I would call out four key enablers for our deposits, and one of them is the optimization of our branch network. The other is, of course, the p roductivity initiatives that we've taken. The third is launching of new products and segments for the bank, and fourth, of course, is the digital way of life in Jana. Now, this largely talks about how we are leveraging our branches. If you leave aside the UBRs, which are 280 in number, out of 781 branches, we have 501 here, and they are plotted against their vintage.

As the vintage of the branches grow, we are getting exponential improvement in the CASA balances, exponential improvement in the deposit book for the bank. For example, from three to four years to four years, there's an exponential rise in the deposits. Now, when we shift branches, we have legacy branches which are engaged -- which were engaged in assets, largely. We relocate them to a deposit -centric market, a high -street branch, where we can also leverage the deposit opportunity in that market. Now, that gives us two, three advantages.

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One is that I'm not incurring a large amount of cost vis -à-vis opening an entirely new branch. I'm just movin g the infra from X location to Y, probably the rental costs are going up, probably some of the other elements of costs are going up, but I'm able to move the largely asset -centric branch to a deposit market, and I'm able to leverage the deposit opportunity in that market. Now, we've done that in the last year, and I'm happy to share with you that we are getting excellent results. Similarly, we have opened new branches as well, but large focus is on moving these legacy branches to new deposit -centric markets .

We have a runway of about 215 branches that we've identified, which will be moved over a period of next few years. Now, why I'm saying that is because we also have to keep cost at bay and make sure that we are leveraging the branches. All these branches will move into one -year, under-one-year bucket, and they'll start performing as the vintage is gained. Now, I talked about productivity. Jana has one of the highest business per employee as far as deposits are concerned. We are in excess of INR10 crores, and if you see, our four -year-plus branches are at INR13.64 crores, right?

And as the vintage grows, the per -employee business also grows, signifying that we are able to leverage the catchment opportunities on the deposit business side and make sure that our people posted in those branches are producing more and more as compared to the competition in our catchment. We are doing another thing. We are expanding the segment of business that we cater to. So we are -- apart from TASC, NRI, we are launching a new initiative, which is probably one of the few SFBs which have done this. We are reaching out to mass affluent opportunity in the country.

We are calling it Exclusive and Premier. This is aimed at acquiring new customers from these segments and also making sure that our existing customers who get better services or superior services from their existing bankers, they continue to bank with us. We reinforce them. We also move their family business to us, and therefore, we've hired 121 RMs who will cater to these set of customers, both new and existing. We are seeing amazing results out of this initiative, and I'm sure we will continue to do well in this segment.

We've also added 78 new relationship managers to make sure that we get current account business from current account -dominant markets. There is a huge, large opportunity there that we believe in. So a combination of productivity improvement, optimized branches, and the new product initiatives, I think we are very well poised as far as our deposit journey is concerned. The last element of our deposit effort is digital, which is, in a way, the DNA of Jana. And Ajay talked about it, and we have really invested extremely well in our digital infra.

I am happy to tell you that 99% of our onboarding happens digitally. Okay, so if I walk into a customer today, and if I want to open her account, I'm able to do that in three hours, less than three hours. And the whole journey happens digitally. I don't have to move paper, and that brings cost efficiency, also turnaround time. I'm able to give the customer the account number and the ability to transact with me on the spot in three hours if everything being in place as far as documentation is concerned.

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Now, 98% of our transactions happen online, and that's really amazing. 92% of our loan origination happens digitally. Nearly 90% of our people have mobility solution, which they use to onboard new customers. So that's as far as the digital infra of the bank is concerned. We are seeing amazing results around this.

Our mobile app, I was talking to a few gentlemen here, and thank you for your appreciation of our mobile app. We are either at par with the large banks or better as far as our mobile app is concerned. I'm a user myself, apart from being an employee. I'm extremely happy, and I'm sure if you try, you will realize this. We have app store rating of 4.6 to 4.7, which is probably one of the highest in the banking space. We are growing our digital transactions extremely well. We are registering more mobile customers every day.

We have three enablers as far as the customer's transactions are concerned. Two are physical and one is digital. When a customer is onboarded, we give a cheque book , a debit card. And the digital enabler is mobile app, because today's times, you can't do anything with

out a digital app.

So that is what is resulting into multi -fold improvement in our UPI, NACH.

I would like to call upon another initiative that we've launched and which is really successful.

This is around Merchant QR, and there's a lot of talk around this in the recent times. We all know why. But the Merchant QR is a huge success for us. We have installed excess of 12,000 Merchant QRs. 79% of them are active, and we are witnessing five -fold improvement from the balances of these customers.

Now, how is this possible is once the customer is onboarded, the next morning, customer can download the QR code to make sure that the payments are made through the QR code into our account. And this is revolutionary, because the moment the customer has QR code and the customer can start using the bank account, this really helps us to build CASA balances in the account.

I talked about physical enabler of debit card. We have seen 27% improvement in our debit card penetration. On the stock, we are at 65% penetration on debit card. Incrementally, we are doing 75% of debit card in the current financial year. So on a net basis, I believe, with the help of these four enablers that I just talked about, we have a huge runway of opportunities available on the

deposit side, and I'm very sure that we'll continue to grow at the pace that we really want to be able to meet the requirement of every other gentleman in this dais. Thank you so much. So with that, I would like to introduce the youngest colleague and our CFO, a homegrown talent and a very competent CFO, one of my favorites, Abhilash. Over to you, Abhilash.

Abhilash Sandur: Thank you, Shrini, for the introduction. Key message, so I'd like to reiterate, Ajay mentioned about the ROE, ROA, also mentioned about the GNPA in the initial slide itself. So this is basically what we have put in the efforts to move towards secured business, which gives us the improved yields, also reduction in the NPAs, also has led to the reduction in the interest reversals, which had led to all the improvement in the NIMS and the yield on advances.

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So we've also seen the ROE, ROE, which is highest ever historically, which has crossed 20% for the YTD nine months, and ROA at 1.7%. The cost-income ratio -- we were not fully invested during last year, so Shrini mentioned about various initiatives which has taken, so there is a slight up in the cost-income ratio, but current year is more real is what I can say. And if I look at the revenues and also the operating income, which has grown approximately 90%, which is 90% of our FY'23 numbers, actually. So we have achieved 90% in the first nine months itself. That's the other thing which I wanted to highlight in this slide.

So next slide, moving on, I wanted to cover two key messages. So our PAT has grown 99%, highest ever PAT, quarterly as well as for YTD. This is after doing the listing, so we just concluded the listing two weeks ago, and after doing the listing, we have achieved the highest ever PAT quarterly as well as the YTD PAT. So that's the other message which I wanted to highlight. This is just based on a trend line.

Also, one other important element is, we have reached to the levels, pre-COVID levels in terms of GNPA and NNPA. The PCRs is at 68%, which is very high. Also, NNPA and GNPA of both secured and unsecured products is around 0.7%. So I would like to give it back to Raman, who will talk more about the GNPA and NNPA at our product level.

Krishnan S. Raman: Thanks, Abhilash. Very quickly, Abhilash talked about the steady reduction of NNPA's and a steady increase in PCR. Ajay talked about the split between secured, unsecured, and the BC portfolio. On the portfolio level, he said 60-30-10. Now, as far as secured is concerned, your biggest NNPA of INR88 crores out of the INR156 crores is in secured.

Now, we've got a

an LTV of 40%. Everything -- this is entirely property-backed assets. We've got enough experience over the last few months, years, in terms of realization, regularization, and given our experiences in terms of low LGD, I don't see any incremental -- I don't expect any incremental losses coming from this portfolio.

On the unsecured book, our net NNPA is INR59 crores. There is a PCR of 80%. And recoveries are pretty robust. And on the BC portfolio, we have the service guarantee, which Ajay alluded to earlier. So that's really the story on the GNPA and NNPA, where both have pretty much reverted to pre-COVID levels. The restructured book post-COVID based on the RBI schemes, we had offered a lot of restructure, but right now, only 0.5% of the book is lying in standard restructured assets. So these are really the two -- and these are mostly secure. These are really the two messages that I wanted to highlight on this slide.

The next slide is about the credit cost. The credit cost, I just wanted to highlight a couple of observations. The first is a reported credit cost in the credit cost line, and there is any asset where the asset has been written off, any recovery that I get from that goes into the other income line. So what we've talked about on the first line is credit cost and the second line is what are the recoveries which are reflected in other income.

And therefore, the net credit cost is what we have expressed as a percentage of the AUM. And the key messages here are that, after COVID, in March '22, our net credit cost peaked at 3.4%,

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which came down to 2.5% in FY'23, and for the nine months annualized, December '23, it has further improved to 2.3%. So these are really the few key messages that I wanted to highlight on this slide. After that, I just wanted to hand you back to Ajay to bring up the last few slides.

Ajay Kanwal: Thank you, Raman. And as this is the Board, your left-hand side is the independents, led by Dr. Khuntia. Dr. Khuntia used to be the IRDAI Chairman. And on the right-hand side, you have all the non-independents led by me, and Raman's joined the Board in Jan as the second ED. Ramesh, our Founder, and Rahul was the TPG nominee on the Board. So that's a good, well-rounded board. And with strong independents, you will see that you also have Mr. Vijaya Kumar, which

is the last box in the corner. Mr. Vijaya Kumar has been a lifer with RBI, retired from RBI, and he joined the Board. He retired as an executive director of RBI. So good Board, very professional board, very engaging board.

I'm pacing a bit because I do realize that I do want a lot of time with Q&As, and we are a bit first analyst meet, so we have probably spoken a bit too much. Again, no particular order, but I've done this by age. So Abhilash, the youngest, so that is a 35 to 45 -year-old column. Sudhir leads the second column, which is 45 to 55, and the last column is 55 -plus. Raman and I are not on this page because we don't want to reveal our age, but roughly tells you that we've got a bank with a management team which is more than 24 years of experience.

But also has a very good mix of folks who are coming up the curve as well as folks who've been there and done that. Our bias originally was to have a lot of people who've been there and done that, but incrementally we are now, of course, going for the future talent as we're building up the bank.

On this page, I think we have covered everything that we should have covered, which is 16 years as an institution. And of course, for us, the very important milestone, which is why we are all together as IPO, which was last month. Our strength, I mean, I'm just reiterating what we've been saying all along, but I would really bring out a few things, which is the last one first, which is the proven execution ability. We have done our turnaround and transformation

organically,

and we have done it through one of the most difficult periods.

We started with the ILFS, went into COVID, and yet we are here sitting with a bank which is transformed. And I must tell you, during the journey, enough times to go back to the old ways. Let's do more unsecured at 24%. And we chose to stay where we are because we did know that we were on the right path and we were where we could be core in our strategy of building a customer-level franchise. So I think what you see here is a management team as well as full support from the Board to really execute, digitize customer organization, pan India, you heard Shrini.

I mean, Shrini has done a wonderful job of growing deposits. And he's bang on saying, one way to grow deposits to put another INR20 crores in advertising. But then you folks will not be happy with cost income. So how do you grow deposits in a very measured way, just right for purpose? And I think you need somebody with that level of experience. Shrini has done 29 years in banking, so he has that background. And what can be done, what should not be done. Strategies, Jana Small Finance Bank Limited

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folks, listen, it is going to be more of the same. We are serving middle of India. It's a very large, underserved market.

Our model is working. We just want to stay core to the model. There's huge room for us to grow. So we are not in a hurry to launch commercial vehicles or anything else. We are very core to where we are. And we will continue on the same path with, of course, making sure we do all the right things, whether it is going more rural in microfinance, improving risk profile, more retail deposits, more customer relationship, more digitization. So it's about just executing more because truly the size of the pie that we are addressing is very, very large and clearly underserved.

CSR, listen, one thing I did want to talk about CSR is all our CSRs are employee led. These are schools, institutions, which need help near our branches, where our staff personally executes along with the institutions, the CSR events. I think it gives our staff a lot of happiness because ultimately we are helping the communities, but also give us true bonding with the communities that we are in.

We've been recognized, and I did want to put a few awards that we got, but you see from our data quality, we've got the best FinTech only last week, which Gopal, our treasurer, went to receive. And we've also got the National Best Employer Award. And these are the three awards we got, but see the diversity of awards that the bank has received. It also tells you things that we haven't covered here, but haven't missed out. And these are critical when it comes to data quality in a digital life cycle, or when you have 20,000 people getting the best employer.

With that, I would like to stop here, and I will open the floor for questions, and thank you so much. Please, somebody has got a mic? It's okay. I can repeat your question.

Manish Ostwal: Thank you, sir. This is Manish Ostwal from Nirmal Bang Securities. My question on your HOME 360 strategy, and your comments, you said that while taking the two-wheeler loan, you'll be having the risk through HOME. Could not understand, because if somebody takes a two-wheeler loan from Jana, why would HOME collateral come with that auto loan or two-wheeler loan, basically?

Rincoo Vachha: See, we basically do the cross-collateralization. That housing loan is there with me. And if you look at the industry average, the housing loan runs for the average life of seven and a half to

eight years.

And if all goes well, it can run up to 15 years, 20 years also. And when a customer takes a two-wheeler loan, and I cross-collateralize, I'm saying, if he wants to take his property papers back, at that point in time, he has to foreclose a two-wheeler loan also. It's not like I foreclose my

property loan, take my property papers back, and two-wheeler lies with me at 100% LTV.

So that's where the cross-collateralization comes into it.

Manish Ostwal: Am I correct? You have only those two-wheeler customers who have a home loan with you?

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Rincoo Vachha: Yes.

Ajay Kanwal: Sorry, I just want to add to that. So we do two-wheeler as a business, and also home loan customers or micro-lap customer or MSME customers will also be offered two-wheeler loans.

The difference is if you're a home loan customer, you'll get 100% LTV, and you'll also get a fee off, because you're my existing customer.

Cross-collateralization, anyway, under bankers general lien, all your assets are cross-collateralized. That is a regular law. But in this case, because we are specifically making an offer 100% LTV and giving a price off, we're making sure he understands that, that listen, if you do want to close your home loan, your two-wheeler is outstanding, that is not good enough.

Similarly, very important, when he said 13% of our home loan and affordable housing customers have business or personal loans outstanding, they're also cross-collateralized. And I must tell you from experience, when we call up the customer and say, you've got a pre-approved loan waiting for you, normally they're very delighted, because the informal segment doesn't really get a pre-approved offer. The bank is calling them, here it is.

But look at our side. I'm getting a home loan or a business or a personal loan at a 17 to 19% range, cross-collateral with the home. The customer is able to save 7% to 10%. He's getting a much larger amount, plus his tenors are 36 to 60 months. So from his perspective, it's low cash flow, low interest rate, and pre-approved at home, delivered in one day, which is what digitization has done.

Now that wow factor will make sure that he will never leave us and certainly become our ambassador to other customers, both in his office or his neighbors. That's the basic idea.

Manish Ostwal: The second question on the overall increasing share of secured mix in the business. So it will have some impact on the margins, but obviously, credit cost will be lower for those segments. So on an overall basis, how do you see the ROI impact because of increasing share of the business?

Ajay Kanwal: That's a fair question. So before I let Abhilash give you the numbers, let me tell you the big picture first. From zero, we have reached 60. So the big portion of turning secured is already over, already in my margins.

The second thing in my margin is having a BC book of 10% because obviously, they take more revenue from us. So two things are pre-baked in my 7.9% NIM. Now what is left is from 60 to 80, or 85 or 75 or 90, as it may be.

So now left is a tail, which is not the big piece. And you rightly mentioned, it will reduce cost because secured does end up being a low-cost income business. And second, it also reduces gross NPA and net NPA. Numbers are what CFO will share.

Abhilash Sandur: So the NIMs currently, which is at 7.9%, will be going towards 7.8% or 7.7% for the next two years. There will be ~20-basis point impact. However, the CASA, which is currently at a 20%, 21% sort of a CASA ratio, that will also go up. So that will give the benefit on cost of funds

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side. So overall basis, the NIM will, when we grow the secured side of business, also the CASA will improve, which will offset the cost, basically will offset the impact.

Manish Ostwal: Lastly, on your deposit slide, which is you mentioned the vintage of the branches. Can you go through that slide? So it is not mentioned whether it is numbers in crores or nets.

Shrinivas Murty: I realize that. I'll just explain that. Yes, I'll explain that. So the first picture there, the extreme

left, extreme left number of branches is number of branches. Right, that number totals to 501.

And that is the vintage.

And these are in crores. These are deposit books in crores, CASA in crores, average deposit in crores. In the business per employee, the graph is business per employee. And the numbers given on the top of it is the number of employees engaged in liability.

Manish Ostwal: So this is, you said in your talk, it is INR13.64 crores?

Shrinivas Murty: Yes, so the last one, four years and above, it's INR13.64 crores. So that is in lakhs. That is in lakhs. So INR1,364 lakhs is INR13.64 crores. Overall, it is INR10 crores. Like I said, overall INR10 crores per month.

Ajay Kanwal: Just to add, the key piece here is this one. There are 215 combo branches he has to relocate. So what basically it shows is there's enough dry powder. As he relocates his branches, the liability growth is very obvious to come because I do think one of the questions you all will have is as you grow the asset book, how sustainable is your liability growth? And both the combination of branches, RM, segment launches, marketing, and digital, we are pretty ready. Nine months, of course, you have seen the results of nine-month deposit growth, but we're also sharing with you what you should expect as you go on because we are fairly comfortable in VCR deposit growth. That was the idea.

Manish Ostwal: One question on the philosophical level. You said the growth is not difficult in the current environment, but the good growth is what matters. So let's build a scenario where the deposit mobilization getting difficult for the smaller banks, then will you grow or grow slower or you will still grow the balance sheet through other ways of financing instead of retail, core, granule deposits?

Ajay Kanwal: Right. So two, three things. One is while we would have, we will spend next time when we meet more time, we also have multiple de-risking strategies to fund growth. So for example, we do have a DA book where we are selling down assets, roughly about INR1,400 odd crores we have sold down. So if we do feel that we are growing a bit faster than what we had planned, then we certainly have a plan to sell down our assets. That's number one.

See, but the philosophical, since you said it's philosophy, if I have a choice to do 22% versus 20% and I feel 20% is more comfortable from a risk perspective, I'll do 20%. When I said that, what I did mean is we will not compromise risk quality for the sake of growth. I'd rather grow less, but I want to grow well.

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My bias, again, of turning secure, being a customer at balance sheet is to give sustainability and reliability. To be having a very consistent quarter-on-quarter, year-on-year growth is the right answer. But really not trying to jump up performance.

Even you see CASA, can I push it harder? I can, but I do know cost income will take a blip. We have seen people have higher CASA, it falls down again. We don't want to go that mode. Let's go steady. There's enough and more room in the business and touchwood folks, you know this. Economy is doing very well. So there's enough and more tailwind we have. So let's be as steady as we can.

Manish Ostwal: Sure, sir. Happy team delivered to the happiness to the investors. Thank you.

Ajay Kanwal: Thank you. Pass the mic around.

Kunal: Hi, Ajay and team. Congratulations in the first place for turning around, as you said, building organically the secured book, right? So this is Kunal here from Carnelian. I have this question on seasoning of the book, you know. So there's been a growth in the secured piece, which has come in the last three, four years. You did mention that LTVs are pretty comfortable.

So loss given default chances, which is obviously the case with a lot of housing finance bank is not there, but still the large part of

if the growth has happened in the last three, four years. So

what's your take on seasoning of the book and specifically the MSME book? That's the first question.

The second question is, how do we see the eventually ROE settling down once the cost to income ratio kind of settled down a bit because a lot of branches are yet not seasoned, right? So how should one see that, you know? And third thing also linked to that is we have a long runway to go on the CASA piece, which I think is, so also in relation to that, how do you see the cost to income playing out?

Ajay Kanwal: Okay, so let me take one-by-one. See, the first one is a very good question and we got that from the rating agencies also. So I'll just make a few very high level points and Raman you can add in.

See, first is we have a scorecard, which is implemented more than two years back and we are coming with the next version. Now, what does a scorecard do? This is a very specific scorecard for the product, which means Bureau is yes, more than 680 or 700, you can choose.

The moment you put it to your scorecard, in at least 10% to 20% of cases, no, because the Bureau is very generic, right? One scorecard is good for personal loans, the same scorecard is good for home loans. But once you narrow it down, you get much sharper results, which is what Raman has created and we are now going to version 2.0 now because now we have so much more history, so that's one. Two, we took a vintage off because 2018 is when we began our business. So we said 2018, 2019, 2020, what did we book? How much of that has run off?

Either pre-closed, right? Or they have repaid. 70% of the first two years asset booking, both in MSME and in MHL, which is micro-housing, affordable housing, has actually run off. So it tells you two things. If such a large book has run off, that means you have seen the performance that you should have seen. Typically, if it takes longer to run off, which happens when you have a 15-year loan, then you don't know.

But we have already seen from practical, and we have done that data for our rating agencies saying, what is a run off based on year of booking? The second very important thing which comes out from that is the affordable housing actual behavior is equal to prime mortgages. We are clearly seeing a seven, eight year trend line on an average basis for housing.

So I think comfort level on seasoning of secured book is good. We did see a small blip in MSME post-ECLGS banded came off. And that is already visible in our numbers. If you see our gross NPA of MSME is slightly higher. So that is already taken in. But remember, our MSME is fully secured by collateral, which is property.

So while it may have a slightly higher gross NP A, like Raman said, LGD chart probability is very low. ROE settling down, listen, for us, consistent ROE over a period of few years is more important. So I think a 15% to 20% range is good for us.

Now where will it finally end? I think it's both a function of how we operate and how the environment operates. So I would rather be in the 15 to 20 range. Bias would not be to kind of make it as high as possible because I'd rather come to you and be a very consistent player rather than be a high-end and low-end player. So that's how we typically are thinking. See CASA, this 215 branches which you see, these branches exist, you know?

They're just not in the right spot. So when you move the spot, you will have higher rental. But they will not be new rental. So let's say I'm paying INR80,000 to the rental. It'll go to 120,000, maybe 150,000. But I already have a network. I've already invested in the branch infra. They'll get transferred. So our incremental branch growth is going to be more of a marginal cost and not a new cost. That's one. Two, as the book size grows, we'll be able to absorb. So my bias really is I don't

see a significant need to get worried on cost.

We think cost in the mid-50s is more like it. And as you grow the secured book, that is most natural to see. See, secured book doesn't run off very fast. Two, it doesn't have a collections cost. So if you just take two parameters, you should normally expect, and if you take productivity per employee, that's much higher in secured. So all things put together, I think cost will be on the more improving side in my head. And that's what our plan shows. Sorry, I know you want to say something, but before that, Raman, did I miss something?

Krishnan S. Raman: I mean, the only other point I would add, Ajay, is that we have our static pool analysis. I mean, seasoning is one thing, but I actually get a good sense of early delinquencies at four months after booking, five months after booking. And barring any event shocks, I mean, that will give you a predictability of what that cohort is likely to be. You're right.

Ajay Kanwal: Anything I missed on the ROI or cost income?

Kunal: Pretty helpful. Just one thing more. I mean, some data point as to how is the per same customer ticket size, right, moved basically to see, basically because we are doing a lot of cross-selling, right? As you said, that 360 degree. So some data on that also probably can kind of help as to how, you know, the same customer is moving along with the Jana journey?

Ajay Kanwal: So I don't have the data, but I'll tell you principle. You're 80% LTV or 85% LTV, you will not get an offer from us for a business loan. You are at 60 to 65, you'll get the business loan offer.

So that's rule number one, which is based on your loan-to-value and based on your ability to serve an EMI, I will either make you an offer or not make you an offer. So if you're high LTV, no chance. Over-leveraged on Bureau, no chance.

If I think your cash flow is not enough to serve another loan, I will not give it to you. See, the point is we can pick and choose our customers where we think they are good credit, but they have a need and are available. Customers where I think they're over-leveraged, where we think they're not on solid footing even in their business, I will not make them move.

I will hold back. So rest assured that we are there for customers, but we are also making sure, like I said, there has to be good growth. It is not growth for the sake of growing. I don't have the exact data, but the list of who gets what is released by credit.

Kunal: Got it.

Ajay Kanwal: The people on the ground will say no, saying, yes, sir, your statistical model is good, but every time this customer comes, we have a problem, so we don't want to give the money. So we actually have a pushback. Even in Sudhir's case, in MFI, we release a list of a group loan customer who can graduate to an IL.

We get pushback from the branches, saying, yes, sir, he's good on performance, but he always makes us wait. He always asks us to come the next day before he pays. I think we should not give more money.

So the branch then pushes back on anything that is pre-approved by us, which is a good way I think our model works, because a branch knows whether it is housing or it is microfinance, if you have delinquency, the first person who goes to collect is a salesperson. There is nobody in the bank who doesn't collect. Sorry.

Kunal: Very interesting. Thank you.

Ajay Kanwal: I really want to go here to the gentleman in the, please.

Ankit Pande: Thank you, thank you. Thank you for taking my question. I'm Ankit Pande from Quant Mutual Fund, and thank you to all, and a very good evening. I think a couple of questions. One is if you could throw some numbers around your PSL book, priority sector loans, how much qualifies, Jana Small Finance Bank Limited

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etcetera, etcetera. And second is a more

conceptual question, I suppose, where, I mean, the RBI

DG recently made comments saying that microfinance rates are too high, and things of that sort.

And I suppose that's a very subjective element also, but also fair in many ways, 20%, 50%, borrowing rates for those kinds of people. It's tough to take. So conceptually, how do you counter that risk, or how do you even put counter arguments to them?

And if you say that risk is too high, therefore my interest rates are high, but how does that argument go beyond that? I mean, they can probably say, look, I'll securitize X percentage of it, and you've got to reduce the interest rates by that percentage. So how do you conceptually, as investors also, how should we think about it? Your comments, please.

Ajay Kanwal: Okay.

Abhilash Sandur: Yes, on the PSL book, most of our assets qualify for PSL. It's a round 90% of our book qualifies for PSL. Okay, and we also, in our P&L, you would have seen there is income, which we, based on sale of PSL, we earn revenue out of it. So that's the background.

Ankit Pande: How much is that last year?

Abhilash Sandur: So we have done around INR45 crores to INR48 crores of revenue in PSL, so which we continue to earn every year, because most of our assets qualify. Our requirement is 75%. We are at 90%, 91% of our assets qualify as PSL.

Ajay Kanwal: Right. On the issue on interest rates, listen, there are a couple of facts, you know, which is we moved to a deregulated environment on interest rates, and that has been a conscious decision made by the industry, as well as, of course, with the blessing from the regulator. To the industry, it's very competitive.

Right, and in a competition, price discovery is on market forces, which is happening as we speak.

Number three, very important, is people are looking at through-the-cycle losses, and we're talking of ECL in banking. So it is not difficult for anybody to imagine that all our numbers are public, and certainly no to the regulator, for sure, and so also NBFC, right?

So they will have a look at what are the through-the-cycle losses, so what looks like a reasonable cushion to keep. So our understanding, as we speak, is listen, the decisions have been made. It continues on that path.

Having said that, look, what are we looking for? Rather, I give you a motorcycle loan of 50,000 or 70,000, rather than give you an unsecured loan, because why am I happy with that? I know the end-use is perfect, right?

You take a motorcycle, you will use it to bring your goods home, or you'll take it to sell your goods, you'll drop your kids to school. It becomes a productive asset at home, both for business, as well as personal life. So our bias really is to turn to equally good ranges of yields, but more defined end-use, right?

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If you take a micro LAP, it's giving very good yields. Our micro LAP average yield on the book is about 16.5%, right? So our bias is moving towards there. MFI industry, I think we should just wait, but to our minds, I think we are in a very competitive market. I do know that MFIN industry, MFIN's body itself, has roughly about 90 registered players, and I can tell you that,

Yes, it's a full house there. So market forces will determine, and I think that is where we are right now.

Ankit Pande: So your argument is basically that it's a competitive market. Whatever holds through, holds through. But don't you think it makes us all nervous? And the RBI makes comments like that. This is obviously well -quoted and well -understood, and they're obviously aware of the ground realities. It's not as if it's something new. How at all should we conceptually think about that? I'm still struggling. I mean, this is, RBI will make you nervous even as good a job as they have done, of course. So how do you think about it? This is something very difficult to understand.

Ajay Kanwal: So listen, what we want to do and what we are doing is making sure we are preparing for every reason why costs should come down. And Sudhir did speak about digitization. He said, today, a microfinance customer gets a loan with no document signature because the last piece of e - signature also is introduced. The last, the real cost is the cost of collection, right, where the physical person goes and needs X number of customers is equal to one person, right? That we're trying to bring down. So my bias to you is, listen, we ourselves will work on cost to make sure that costs become more affordable.

If anything happens which is outside our control, then I wouldn't know what to say. But fair to say that we are preparing for a moment where we get as optimized as possible. And as you know, it's not the largest portion of our book. Having said that, of course, it is material if it does happen.

Ankit Pande: Thank you.

Ajay Kanwal: Yes, please. Sorry, okay. Sorry, let him, since he stood up. Please, sorry.

Analyst: Thank you for the opportunity. I have two questions. First is, correct me if I'm wrong, your total number of branches are roughly 500 branches, am I right?

Ajay Kanwal: Total branch, 781.

Analyst: Okay.

Ajay Kanwal: The unbanked rural branches, Shrinivas has left them out of the count for growing liabilities. We do grow liabilities there, but they don't form a significant portion for him. So he's used a non-unbanked rural branch, which is 501, to explain his strategy on liabilities.

Analyst: So out of 500 branches, roughly 215 come to branches, you are planning to relocate, correct? So my question is, that seems very high as a percentage of the, so is it more like a trial and you are just, or is it location -wise we are going wrong by identifying where to put up a branch? Because that number seems very high to me, that's number one. Number two, on the digital side, if you can just tell us in terms of the total manpower, how many employees are looking for the total

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digitalization -related efforts, and in absolute amount, how much you are spending on a yearly basis? Thank you.

Ajay Kanwal: So first, the good question on, are these 215 branches wrongly located in the first place? So I'll add the, you have to just add up two things. We were an urban microfinance institution, and we still have some urban book left. These branches were open for microfinance in urban locations. So for example, near Sion in Bombay. But the location in Sion is not an affluent neighborhood. It was open for microfinance. Relocating that branch from Sion to a more affluent location, say in Matunga, somewhere else in Sion is what? We want to do. So these 215, and because as you know, urban microfinance, we've already compressed, and we don't exist much. So those are the relocation branches. These are microfinance branches in a Bombay, or a Pune, or a Delhi, or a Bangalore, which needs relocation, where there's not much customers left, right?

We have done a few, some more on the way. So that's the 215 answer. Second is on digitization. I've never measured how many people work on digital, but I mean, we have a core team which does digital. But I think more importantly like that, you know, see, anything we plan is first digital. If we fail to do something digital, we will introduce paper.

So it actually works the reverse way. And a bit easier for us, because we have no legacy. Suppose I decide to launch used cars tomorrow. Everything will be like, what is available digitally from our employees' mobile to the credit manager's tab, to self -directed by customer, to registration at the dealership, connection with the, everything will work like that. Wherever a digital connection is not possible, we'll introduce paper. That's the way we work.

So I think if you ask me on digital, everybody works on di

gital. I'll give you one more data point.

When we started the bank, in CPC, which is known as Centralized Processing Center, where we centralize process all the backend for asset and liabilities, we had roughly about 400 plus people. Our balance sheet has grown 6x, 7x since we launched the bank. Both assets plus liabilities combined. We have roughly less than 200 people now. We have 90 robotic processes at CPC, which is Centralized Processing Center. So which is why the, when you say how many people

in digital, I really want to say everybody, because there's nobody who gets to work on paper, really. Whether it is a backend person or a frontend person.

And the whole design is about digital. Nothing else comes to our mind. And listen, we are also blessed. The customer take-up on digital is so good. You know, we are not pushing against any friction. We are pushing against good experience, and the customer is absorbing it very well.

Analyst: Will it be within, say, one kilometer radius? That's what basically you are trying to say?

Ajay Kanwal: Sorry, what did you say?

Analyst: These 215 branches relocation, is it basically within one kilometer radius kind of thing?

Ajay Kanwal: So there is no restriction on where I can locate it. There is no one kilometer restriction.

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Analyst: No, because what I'm trying to say is that your branches are not 20 years old, correct? The demographics of any cluster, whenever you've identified a particular location, correct, doesn't change meaningfully in five to eight, nine years. The entire demographic pattern of any cluster, be it Sion or be it Matunga, correct?

So that ratio still, I'm still not able to figure it out. You know, what makes you to change 40%? And if it is already identified, then why to do it in a phased manner? Why not do it in the next 12 months?

Shrinivas Murty: Right, so first of all, Ajay did clarify this, but let me also clarify again. These are our legacy branches, which were largely dealing with microfinance customers, urban microfinance customers, something that Ajay clarified. So I think that is where the, probably there's a communication gap.

So I clarify again that these are our legacy branches where we largely used to do urban microfinance, right? Now, we want to be in a place where deposits are concentrated, and that's what Ajay also clarified. To be able to do that, we will have to really move them from, let's say, a first floor or a third floor to a ground floor, prominent location.

You would like to visit a bank branch which is prominently visible. You can walk into there very easily, has a parking space, etcetera. So we want to make sure that without incurring much of cost, we tap the liability opportunity in the catchment itself. It could be one kilometer, it could be two kilometers. Like Ajay said, there's no restriction, right? So probably that clarifies the question. So these are not the liabilities, and these are legacy branches.

Analyst: And my one question was...

Ajay Kanwal: Let me finish the other question you asked, which is why don't you look at them altogether? See, we've already grown 38% year on year, right? There is also a cost income you have to manage. There is also a management. Bandwidth, right? So let's do what we think is right to do, and no need to overbid cost or put management under undue stress. So which is why there's a phased plan how we do it.

Analyst: And how much we spend yearly basis on the digital development side?

Ajay Kanwal: See, there is nothing - Which is why I'm trying to like - We don't have a digital development cost, which we monitor specifically because digital goes in everything. So we don't pull out the digital cost per se. But listen, if I get a more specific answer, then maybe next time I'll help you. But for me, digital is like - There's no digital cost is what I mean.

an. If you start with sales, a guy has to have a front-end app. His app has to have an app which doesn't allow him to make sure the data doesn't leak.

It starts from there, goes to the credit guy, goes to everybody else. So we haven't really pulled out digital, but when you have 90% odd using tabs and mobile phones, you can imagine it's everywhere.

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Analyst: Thank you.

Kush Tandon: Congratulations on a successful listing. This is Kush Tandon from Ananta Capital. I have a couple of questions on the MFI business. I'm just seeing slide seven, which was presented. Individual loans have been largely flattish, INR5,100 crores AUM over the last nine months. Whereas the BC book is the one which is growing significantly. So is the strategy shifting towards the BC book? And if that is the case, what is the economics of the BC book? And is there concentration in the BC book also? That's the first question.

Ajay Kanwal: Okay, so Sudhir can add in, but let me first take off, or you want to start, Sudhir? Go ahead.

Sudhir Madhavan: No, the strategy would be the individual loan books will be almost a flattish. But we would have good customers coming in from my Agri booking, which is coming there. And subsequently,

the existing urban microfinance book, which is individual, they can have a repeat loan from there. So book would more or less be flattish. The growth primarily will come from two drivers, the URCs, which is growing, which grew around 10%, and the BC grew around 24%. So that would be a continuous growth pattern much more in this case. So next year, we expect the growth to come from these two channels. That's it, sir.

Kush Tandon: Okay, and so how is the economics of the BC business work? How much do you share in terms of interest income? I have the business, so we...

Ajay Kanwal: I'll give you a range, not very specific. As you know, this is something which is pretty much competitive information. So broad range, it is very good for both the sides. For a BC, it is more about, for him, it's a profitable venture. For me, it's de-risking, as well as being profitable. So I think for us, these are two parts to it. The customer is mine, the credit is mine, the system is mine, the liquidity is mine, the capital is mine. And there is a fair reward for that. For the BC, he is sourcing and he is collecting, and there is a fair reward for him. And being competitive, I'm just a bit shy of telling you what the commercial side is.

Kush Tandon: Does that mean that the overall yield in the MFI business will come off a little bit because of the mix changing towards BC?

Ajay Kanwal: So wonderful question. Listen, it's already in my 7.9% name.

Kush Tandon: So I'm just saying that the growth rate is significantly different.

Sudhir Madhavan: It won't be much.

Ajay Kanwal: It won't be much of a difference because...

Sudhir Madhavan: On the BC model, I don't have a cost. My technology is already invested. My sourcing is all digital. So I don't have an infrastructure and manpower cost to manage a BC. I have staff across all the zones to manage the BC network, but not a full-fledged cost. So the cost-to-income of the BC ratio will be very low.

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Kush Tandon: This INR2,500 crores AUM – odd AUM, is it concentrated across a few BCs or?

Ajay Kanwal: Very good question. We have BCs by state. And within BCs, we give them, within each state, we give them districts. So that A, Jana and the BCs don't compete. And the BCs don't compete.

And also, we would like them to be a certain size. So we are very clear. Also, in Sudhir's unit, there is a particular head of BC, which has a national structure, which really looks after the BC business, including making sure what they are sourcing, doing random checks there.

If there are some collection

s, even though he's responsible, we do go out and make sure that these are genuine issues. So there is a proper structure, which manages BCs. We began BC business before COVID. So we have a good experience during COVID, how the BC business behaves. And our experience has been very positive. And a lot of work also happens in choosing the BCs. So yes, very conscious strategy, something we have seen through COVID, and we are comfortable with that.

Kush Tandon: And so just the last question on the macro in the MFI space. I was just hearing a few noise areas in Punjab, or some pin codes of UP, Rajasthan, getting affected because of election, and because you are being one of the most diversified companies from an asset perspective. What's the on-ground reality you are seeing? Are you seeing some stress in some pin codes in terms of GNPA, PAR-1, PAR-90?

Ajay Kanwal: All difficult questions to Raman.

Krishnan S. Raman: First, the portfolio, let's take Punjab as an example. There's a very small portion of the total portfolio. As you rightly said, we are well diversified. The NPA on that book is actually similar to what we are seeing on the overall microfinance book. Our most recent, we've actually been monitoring bucket zero collections over the last few months.

And up to and including February, we are trending at similar 98, 99 kind of percentages for the previous months as well. So just, but of course, what we've also done is, how do we make sure that we don't get further exposed? And then that's, those are some of the things where we're going a little slow in terms of disbursements.

Kush Tandon: Have you stopped disbursements in some pin codes? Something like that has started to happen?

Sudhir Madhavan: No, we have gone slow in Punjab.

Kush Tandon: Sorry?

Sudhir Madhavan: We have gone slow in Punjab for this month. Now, for the last two, three months, we have been watching the situation. So this month, actually, we have gone slow in Punjab. We're just doing, just to make, give to existing customers and just to make the branch active. But we're not going very full hog on Punjab at all.

Kush Tandon: All the best. Thank you, sir.

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Ajay Kanwal: Yes, and listen, Punjab for us is very similar. Listen, wherever we think there is a reason to be precautionary. So Punjab is, some external agency trying to, make some point. But let's say, even in a case where we think there is too much lending happening, and the data comes from MFIN and Sa-Dhan, where you can see exposures are going up in a particular district or a particular area, we start going slow.

See, like I said, between 2018 to '20, December 2020, this year, or rather 2023, our CAGR is only 3% in unsecured. So we are not in a rush to grow unsecured. So for us to go slow in a particular district or a particular area is no big sweat. Because we are there in 24 states, we can try and do somewhere else. But even if we don't do it, it's fine. It's not our single biggest focus. Sorry, I must take your question. I'm so sorry, yes.

Gautam Jain: This is Gautam Jain from GCJ Financial. First, congratulations for listing of the bank and Q3 numbers post IPO. My first question pertains to, you got the capital even before the IPO and in the IPO, and you have good deposit growth. So what kind of growth you can have in terms of loan book for next three to five years? I'm talking about good growth.

Ajay Kanwal: Gautam, listen, I'm trying to go back to a slide which gives you what to expect. I don't, we are also debating forward guidance or not. We are not there as yet. Maybe it's our first quarter and we are kind of just getting there. Listen, we are in 180 cities doing secured business, which is tried, tested, digitized model.

We are not right now worried about whether we can grow because we know our disbursements today. We know what happens if we do it

the same disbursement next year. Very healthy clip, right? All our bias always is like, what we are growing is the right growth or not. But growth is not the issue. Also I mentioned, see, it's very simple. I'm in 180 cities. Suppose I want to do 20 more cities. I would tell everybody that, listen, any next city 60 minutes away from your city, if the answer is yes, this city becomes up, that becomes spoke. When the spoke becomes big, that becomes up, we go to the next spoke.

So geographical expansion is very easy for us. Our choice is geographical expansion is better than taking any additional risk or opening a new segment we don't understand. So our bias is, listen, take the risk of traveling, but don't take the risk of let me try this segment or maybe this property repair is okay. Those kind of stuff we don't like.

Gautam Jain: Range you want to give or you think 20% to 30% is something which is very much possible?

Ajay Kanwal: You are better than me making number guesses. You can decide. All I can tell you is we are going full on. We are clearly in our heads that we know we will not have a growth problem for sure. But listen, when we do the full year, which is March results, we'll hopefully meet again. We will then prepare more guidance which we can then be happy to share. But I think this is, like I said, if we can do this through COVID.

Gautam Jain: This is fantastic. I mean, you would be the one of the best bank who has grown the secured book very fast. And so on this slide, the question is, the way you are growing the secured book much

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faster than unsecured, any optimal level you want to have in terms of mix between secured and unsecured down the line?

Ajay Kanwal: So listen, I have a more principled thinking, which is you take any normal customer, 70% to 80% of a customer's balance sheet is secured. Home loan, car loan. If not car loan, two-wheeler loan. I don't think your customers should have 70% to 80% unsecured loan and personal loan on the credit card, right? That's how we understand.

So I think as long as we are customer focused, we will ultimately reflect the balance sheet of our customer, which will be either 70%, 80%, maybe 90%, I don't know. We'll figure that one out. But our bias is very simple. Our bank will reflect that of a customer. And to our mind, most average customers will not have anything significant unsecured.

Gautam Jain: It's safe to assume that your secured book percentage will keep growing?

Ajay Kanwal: Sorry?

Gautam Jain: Your secured book percentage will keep improving from here also?

Ajay Kanwal: Of course. See listen, from zero we have reached 60% in six years. We'll finish six years in March. So every year we have made a positive move. Zero to 60 in six years, you can do the maths.

Gautam Jain: So coming to the credit cost, I was coming to the credit cost. So credit cost is generally, I mean last three years on more than 2.5%. Now the secured book is growing and it is significant part of broader book. Generally secured book will have lower credit cost. So it's safe to assume that you will have much lower credit cost going forward in 2025, '26?

Ajay Kanwal: So you should expect lower credit cost? Absolutely yes. For two reasons. A credit cost, see, you go back to March '20. In March '20 before COVID, we had like net NPA was like less than 1%. What really spiked it up was COVID. So a non-COVID period should see very good numbers from us, both in unsecured and secured. But as we're turning more secured, even if something unexpected happens, we'll be very resilient. But also I must add this. Even during COVID, we never had a year where we didn't make profits. We were able to pay for my provision from our own people. We were able to generate profit to pay for our own provision. We never dipped into capital. So if you didn't do that during COVID,

then you can be rest assured that as we have done more secured, we obviously become smarter. We have learned a few things in COVID even in secured. I think we should be fine.

Gautam Jain: Can you give me the breakup of your credit cost between secured and unsecured?

Ajay Kanwal: I don't think so we have it, but why don't we bring it back to you in March, if that is helping somebody. Yes, it is here, though. Maybe I'll try and when we come back in March, we'll break it up secured, unsecured. But you know the answer. It'll be 80-20. 80 will be unsecured. That's my rough guess. But we'll give you the exact numbers when we meet you next time.

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Gautam Jain: Also, just a suggestion. I haven't found your balance sheet in the results. So please.

Ajay Kanwal: So you have it here. Yes, listen, thanks for asking that. Somehow, trying to save number of slides to present, we thought that that is one we don't. But to take away that complication completely, here is the balance sheet. I'm showing it to all of you. I will load it in the website of the BSE NSE today evening. But thanks for letting us know, because in our minds, we were like, what is more we want to show the businesses more. So we kept this away, but we'll bring it back.

Gautam Jain: In banking, this is the most important part.

Ajay Kanwal: You will get this certainly every time next time.

Gautam Jain: What is a written-off book, which is completely written-off? A written-off book. The written-off book?

Ajay Kanwal: You mean from demonetization days?

Gautam Jain: Yes, whatever written-off book you have in hand, which is still to be recovered?

Ajay Kanwal: INR3,000 to INR4,000 crores. That would be a fair range. Maybe around INR3,000 crores. I'm talking of de-mon onwards. I'm talking of everything we have in the last 16 years total. That's about INR3,000 odd crores. Given we have 16 years of existence.

Gautam Jain: Can you guide us about any expected recovery in the next three years or one, two years? From that book?

Sudhir Madhavan: Typically, I cannot give the numbers, but we do still do a lot of recoveries from the old book of de-mon also. We still do a lot of recoveries. We have a specified collection team only focused on recoveries.

Gautam Jain: I'm asking this question because this quarter recovery was a bit lower side compared to first half and even last year.

Ajay Kanwal: Yes, I think that's a fair observation. Because see, listen, the last 18 to 24 months coming out of COVID, recoveries have to be better. Fresh provisions equal to faster recoveries. As the provision gets older, recoveries get slower. So that's a fact. Having said that, because we have an old book, what happens is the day the customer wants a next loan and he gets rejected, he comes to us.

All Sudhir and team try to do is they keep in touch with customer and make sure that we are not getting any arguments with him. Because very soon as the next loan is rejected, we come back. So I'm telling you there are moments even now, and it's not a small number, we're even getting pre-demonetization recoveries.

Because the customer is like finding nowhere else to go, he's coming back to you. So yes, we do get that. We are focused on it. We have dedicated people who work on it with a clear task around Jana Small Finance Bank Limited

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what are the cost, income of a single collector at it. But fair to expect that we will slowly, as you see, we still are in a significant number, if you see, recoveries in the under, if you see this slide itself, December '23 is INR95 crores.

It's not a small number. I know it's lower than last year, but INR95 crores is still a very good number. We will keep at it. Our eyes, we don't take our eye off the recovery machine at all, but we're conscious that it'll now come a bit more slowly

han the past.

Gautam Jain: Any sort of comment on cost to income ratio going forward, which is around 58% right now?

Ajay Kanwal: I think it should get better for sure. Like I said, wait for March, and we'll come back with more definitive numbers. But I don't see why it should get anything but move towards a better future.

Gautam Jain: And the last question is, what is the cashless collection in secured book?

Ajay Kanwal: Last 10%?

Gautam Jain: Secured.

Ajay Kanwal: Did you say cashless?

Gautam Jain: Yes, the collection, digital collection in secured book?

Ajay Kanwal: That I would think is closer to 99%, because the guys who don't pay, they pay through UPI. So even if my collector goes in the end to collect, I get the money through UPI, so I hardly take any cash. But if you're asking how many people my collector has to visit to collect, that is 8% to 10%.

Gautam Jain: Okay. Thank you so much.

Analyst: Yes, I'm just interested in understanding a little bit more about the components that contribute to the other income. And I mean, as we move from a more secured to an unsecured, some of the older dynamics probably change, right, in terms of the lumpiness of other income across quarters. So would you be able to help me understand that a little bit more?

Abhilash Sandur: So primarily, other income components includes processing fee. We have liabilities income, which is coming in now. We have recoveries, which are the three major components, and PSL income. On an annual basis, we sell PSL, we earn commission on it. So insurance, cross sale of insurance, that's the other piece which is added. So liability income, which is on an upward trend now, because we have more and more customers to charge to.

Then we have processing fee. Yes, when we move towards secured, there's a reduction, because unsecured may have slightly higher processing fee than compared to a secured business. But that is being offset now with the income, which is growing in terms of insurance, as well as the liability fee. Then we continue to have the recoveries. There is a decline as compared to last year, as I mentioned about that. And also we have PSL income, which has been around INR40,

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INR45 crores range on an annual basis, which continues to be there. So these are the five major components in other income.

Ajay Kanwal: But see, absolute will not fall, because even though secured is growing faster than unsecured, unsecured is not degrowing. See, now his book is more than last year. Now to manage attrition and small growth, he has to do more disbursement than he did last year. So the fee income of sourcing or processing fee will still remain the same. The difference between the two is processing fee in microfinance roughly about 2%, and in the non-microfinance is about one and a half.

But he's not getting less income. Only that 1.5% is higher now, and 2% will be less as a percentage. But value-wise will still remain slightly better than last year. Because he has to grow more to remain steady, because microfinance is typically a two-year book. The runoffs are pretty high. Just to stay steady, he has to do more than he did last year in terms of disbursement.

Analyst: Yes, but I mean, is there some sort of quantitative indication as to how much was the recovery portion, how much was the PSLC portion? And then I think for PSLC, it typically picks up in the fourth quarter, right? I mean, when banks need to address that. So, I mean, this year's lesser growth of other income, does that get made up in fourth quarter?

Abhilash Sandur: So PSL typically happens in the first quarter, not the fourth quarter, because all other banks who are purchasing will take the benefit of the PSL certificate for the four quarters. So last quarter, there'll be a lot of transaction which will happen, but the earning commission on that

will be

lower. So that is one part of it. Second part you are mentioning was about the, sorry.

Analyst: Quantum of recovery?

Abhilash Sandur: Quantum of recovery, see, the last year's quantum was elevated because we were coming off COVID, and there were a lot of customers who are coming and paying. So this year is a sort of a normalized, and it will tend to be at this level or slightly lower levels going forward because more and more customers are paid, and there'll be less probability from other customers who will come and pay. But this is a sizable amount still. Like as I mentioned, it's INR95 crores in nine months period. So we continue to get to those levels. So that's the kind of recovery we are expecting.

Ashlesh: Hi, team, good evening. Ashlesh here from Kotak Securities. Firstly, a few questions on the individual loan book which is about INR5,000 odd crores for us. Can you shed some light on what is the range of ticket sizes which you offer on this book and the average ticket size of disbursement?

Ajay Kanwal: Sure, Sudhir really do come here. I'll just put the slide on.

Sudhir Madhavan: Next slide, sir. So the average ticket size on this loan book in the portfolio size outstanding is around INR45,000 to INR46,000 crores.

Ashlesh: It's right here. The range?

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Sudhir Madhavan: Yes, INR45,000. That's the portfolio outstanding of that. Onboarding ticket size should be around the range of an average gross of INR60,000 crores. But these are all graduated customers and the initial lending was 35 to 40 and then we went up to 60.

Ajay Kanwal: So just to add to what he said, see the highest loan amount, and correct me if I'm missing the facts, if you are literally a homeowner, which means you're a resident in your property, you need something for home improvement, but you don't have any property papers to show me, we call it a home improvement loan and that is the maximum amount of the loan we go because that is the best loan. The person is staying there, but the property paper belongs to his, maybe his father, grandfather, unable to pledge it, right?

That is when he gets individual loan on the highest amount because his permanent resident there has an asset. And then if you take for consumption, for example, I want to use it for school, education, etcetera, then you get the least amount. So which is why he tailors it based on what is the end use. What you have here is the average outstanding of an individual loan.

Ashlesh: And what was the maximum that you said?

Sudhir Madhavan: Sorry?

Ashlesh: The maximum.

Ajay Kanwal: Maximum is one lakh?

Sudhir Madhavan: One, if it's an existing housing loan, it goes up to INR1.25 lakhs. If he's willing to give him, he's staying in the same property and gives it for a home improvement. Then if he's going to use it for business purpose with Indian certificates, it gets reduced. If he's going to use it for consumption purpose, it goes lower than that.

Ashlesh: Understood. And the INR644 crores which you have on the next slide, slide number nine.

Sudhir Madhavan: Sorry, go on. Next slide.

Ashlesh: The L1 part, that would be completely an open market customer?

Sudhir Madhavan: This says basically we have some business correspondents whom we have allowed them to do business loans. They're primarily diary-based for cattle purchases, cattle maintenance. And the second part is, when it's a good business correspondent, he wants to retain his own existing customers, so he gives the individual loans on that. There's a part of two different portfolios. So they would be new to bank, but not new to the business correspondents. So that's that kind of a portfolio system.

Ashlesh: Understood. And can you shed some light on your total micro-banking customer mix? How many of them are unique to you? How many have one other lender or two other le

nders?

Sudhir Madhavan: Sorry?

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Ashlesh: The proportion of your micro-banking customers who are unique to you, who would have one other lender, two other lenders, and so on, if you have that ready with you?

Sudhir Madhavan: That's a tough one, because mostly now, you have to check the data again. But it's a tough one. I will come back to you on the data for that.

Ashlesh: Just lastly, if you can shed some light on what is your average cost of SAR deposits and TD?

Sudhir Madhavan: Average cost of deposits?

Ashlesh: SAR and TD separately?

Abhilash Sandur: So average CASA percentage is around 5.6%, and overall cost of deposit, you mentioned 7.6%, and cost of deposits hovering around 8%. Cost of term deposit, I mean.

Ashlesh: Perfect, thank you.

Ajay Kanwal: I think you're all following that rule number one of being nice to the institution when they come first time. But please go ahead. Yes, please.

Mangesh Kulkarni: Hello, so this is Mangesh Kulkarni from Almondz Global Securities. My question is regarding your guidance on the PCR fund. It is around 67% currently. So how we are going to take it further?

Ajay Kanwal: So, I think, I first want to go to that page, sir, on NPA. And yes, we have been improving our PCR, as you know. But very important is, what is, while we have PCR of 67.9, a large proportion was used to cover the secured book, which is an LTV of 40%. So we'll improve it further. But at least all of you as analysts should know that there is really not so much to worry on the NPA

front because a large proportion is anyway secured.

You can see this first column where LTV is 40%, which means I have a property mortgage to me and which I can sell. It only will take a bit of time. So PCR will improve, but fair to say that we will not have much reason to have used the provision because a lot of the book is already secured.

Mangesh Kulkarni: Thank you.

Ajay Kanwal: Sir.

Analyst: Yes, sir. You have changed, I think, 29 branches, which has shifted or something like that done, or during the year. So what's the cost of it?

Shrinivas Murty: You're asking me about the cost to income for those branches, is it?

Analyst: Yes, no, you changed or moved the branches?

Shrinivas Murty: Right. Cost of shifting.

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Analyst: Yes.

Shrinivas Murty: That would be a very tough one, but I don't know. So I'll explain you the elements of cost, which will change between the branch which was being shifted and the new branch.

Analyst: Relocate it?

Shrinivas Murty: Yes, so the large element of cost is change in rental, something that Ajay talked about. So if you're moving a first-floor branch to a ground-floor, high-street branch, there'll be an incremental rental cost, and there'll be some incremental cost on account of implements for the branch. But barring that, there'll be nothing much. So most of it is already accounted in the existing branch. I'll not be able to give you quantification of how much is 29 branches, but Yes.

Analyst: If I speak specifically, there was one branch in Ghatkopar area which was moved from one area to a same area within one kilometer. So is it a cost reduction or it's a cost increase, rental?

Ajay Kanwal: Definitely increase, but like I mentioned, existing branch will be, say, 50,000, new will be one lakh. So it'll be a marginal cost increase, not a one lakh increase, because one we have shut down and the other we have opened. It'll certainly be a higher cost, but a marginal cost.

Analyst: But rental cost?

Ajay Kanwal: Rental, I'm talking of rental cost.

Analyst: It will increase?

Ajay Kanwal: Of course, sir. See, we are moving from less affluent areas to more affluent areas. Rental will go up, but all I'm saying is, currently where I exist, I'm already paying rental. So it's a mar

ginal cost

increase, not a new cost by itself.

Analyst: So it will be 215, which we plan to move, it will be within one year or it will be?

Ajay Kanwal: No, it will be over at least two year time frame, because we don't need so many branches so quickly.

Analyst: Thank you.

Ajay Kanwal: Okay, folks, first, thank you so much. And I'm sorry for the delay, but I really appreciate your presence, your questions, and your patience. We'll certainly hope to see you all again in March.

And if you have anything else in your mind, which you think, hey, I couldn't ask this, I didn't understand this, please reach out to Abhilash. We'll certainly do our best to answer all your questions. And again, thank you so much. Bye-bye. And of course, there is high tea served outside, so we will catch you folks there. Thank you.

Call: May 2024

Registered Office:

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JSFB/SEC/2024-25/ 25

08th May 2024

National Stock Exchange of India Ltd.

Exchange Plaza, C -1, Block G,

Bandra Kurla Complex, Bandra (East),

Mumbai 400051 . BSE Limited

Phiroze Jeejeebhoy Towers,

Dalal Street,

Mumbai 400001 .

Sub: Transcript of Investor/Analyst meet.

Ref: Disclosure under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015

Dear Sir/Madam,

In continuation to our intimation JSFB/SEC/2024- 25/23 dated 01st May 2024, please find enclosed transcript of investor/ analyst meet held on Tuesday, 30th April 2024. The same will also be uploaded to the website of the Bank at www.janabank.com .

You are requested to kindly take the same on your record and oblige.

Thank you

Yours faithfully

For Jana Small Finance Bank Limited

Lakshmi R N

Company Secretary & Compliance Officer

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“Jana Small Finance Bank Limited

Annual Analyst Meet ”

April 30, 2024

MANAGEMENT : MR. AJAY KANWAL – MANAGING DIRECTOR, CHIEF
EXECUTIVE OFFICER – JANA SMALL FINANCE BANK
LIMITED

MR. ASHISH SAXENA – CHIEF INFORMATION OFFICER
– JANA SMALL FINANCE BANK LIMITED

MR. SUMIT AGGARWAL – HEAD, MSE, SUPPLY CHAIN
& FINANCIAL INSTITUTION – JANA SMALL FINANCE
BANK LIMITED

MR. GOPAL TRIPATHI – TREASURER – JANA SMALL
FINANCE BANK LIMITED

MR. KRISHNAN RAMAN - CHIEF CREDIT OFFICER –
JANA SMALL FINANCE BANK LIMITED

MR. PRADEEP REBELLO – HEAD, TWO WHEELER
FINANCE – JANA SMALL FINANCE BANK LIMITED

MR. SUDHIR MADHAVAN – LEADS MICROFINANCE
ASSET – JANA SMALL FINANCE BANK LIMITED

MR. ABHILASH SANDUR – CHIEF FINANCIAL OFFICER
– JANA SMALL FINANCE BANK LIMITED

MR. RINCOO VACHHA – HEAD – AFFORDABLE
HOUSING LOAN AND MICRO HOUSING LOAN – JANA
SMALL FINANCE BANK LIMITED

MR. SHRINIVAS MURTY - PRESIDENT & HEAD –
BRANCH BANKING & MARKETING AT JANA SMALL

FINANCE BANK LIMITED

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April 30 , 2024

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Ajay Kanwal : Good evening everyone and a warm welcome to our Annual Analyst Meeting. We propose to have one each year and then conference call at each quarter. And of course I did meet many of you individually during the IPO and of course we did do a special first time December Analyst Meeting where I met many of you.

Okay, so what we have for you is , very similar presentation which we had last time with a few additions because we did receive many questions from you which we thought we can upfront address. Given that , it's an annual meeting and then we haven't met you all many times before, I did think it is better that we bring in a larger team this time. So that while not all of us will present because there is 10 of us, but who don't present you'll get enough time to interact with them during the cocktails and dinner later. You're most welcome to ask them any question during the Q&A session too of course.

Let me start with the introductions. CIO , Ashish Saxena. Ashish has been with us for a couple of years and is responsible for everything digital in the bank and of course anything which you want to ask about cyber security or resilience or etc, Ashish if you can raise your hand.

And then we have Sumit. Sumit has joined us again a couple of years back, runs our MSME supply chain and NBFC lending. Sumit has a very long history with banking, 30 years plus and so any questions you will have for Sumit, you're more than welcome to ask during the Q&A or post that.

You did meet Shrinivas at the last meeting. Shrinivas looks after our branch banking business.

So all the liability deposit business works for him , in addition to that, he also looks after the marketing function for the bank. Shrinivas again has experience in banking for over 29 years.

And of course he's done a stellar job, which you will see in the deposit growth rate of the bank.

Then we have our CFO Abhilash. Abhilash is the CFO of the bank, will be remembered for during his stewardship, the IPO happened and he's taken on the job since last year.

We have Raman. Raman is our Chief Credit Officer. He looks after credit and collections and Raman is part of the team which joined the bank in 2017. So when we were starting the bank, Raman helped set up the entire credit function , as well as the collection function. So what you see as good NPA, gross NPA, PCR numbers is all credit to Raman.

Then we have Sudhir. Sudhir comes from Bajaj when he joined Jana four years back - six years back. (I'm getting really old now) and runs our microfinance business and he joined Jana in collections and obviously given that microfinance is more operational and collection nature, he took over the microfinance business.

Rincoo, Head of Affordable Housing and Micro -housing, you also met him last time. Rincoo comes from ICICI Home Finance, joined us in 2018 and he runs , what I would term as the largest secured business of the bank. Roughly about INR9500 crores is our affordable housing, microhousing AUM.

And then we have Gopal, our Treasurer. Gopal is based in Bombay. Gopal has worked across various treasuries. He's got his training experience from State Bank of India and other banks and Jana Small Finance Bank Limited

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he's done a fabulous job in making sure that our treasury is always safe and profitable, though he doesn't do much of trading.

And finally, in the corner is Pradeep Rebello. Pradeep Rebello is in -charge of our two -wheeler business. He joined us from IDFC Bank, and he runs the two -wheeler business. It's a INR 500 crores AUM, but growing very well and very strongly, and all set up by Pradeep when he joined the bank. So there is all of us here. I will now switch over to the presentation. Thank you.

So let's start with -- we managed to double PAT and PCR and we'll talk about PA

T. We'll talk

about DTA more in detail in the next slide. But we did feel that since the bank was doing very well in terms of profits, we would take our PCR up this year. And we thought there's an opportune time to do it. Let's now look at the various important lines.

Our asset business has grown AUM at 24.9 % and most importantly for us is the secured book has become 60 % of the entire book. So if you remember last time, but let me say that out of 100%, 40% is now unsecured. I'll show you the composition by -product. Out of the 40 % unsecured , is largely microfinance. 10 % of this is sourced by the BCs. The remaining 30 % is

sourced and collected by the bank.

So as of end of March, 60% secured, 10% microfinance sourced with BCs with a service guarantee and then 30% is with the bank. So that's the basic plot. We moved from nearly 4% or 5% secured to 60% in six years. We expect the trend to continue and that's very important to us, more mirroring a customer's balance sheet, which should largely be secured.

Our deposit growth rate is at 38.2%, which is, of course, very different from the industry.

Something that we chose to do, which is to really take up a lot more liquidity very early, as we did think it was a tight year coming up. It did put a bit of stress on cost of funds, which you can see is at 7.8%. But as you see, as you go a bit ahead, which is the second last row, the NIMs are at 8%. So we have absorbed the 80 basis point increase in cost of funds and yet our NIMs are higher by 20 basis points.

The reason it's higher is very simple. Our net NPA has fallen to 0.5%. So lower interest in suspense and as for the microfinance collectors, because of 99% collections has now become pretty much regular. They are finding more time to cross sell. When they find more time to cross sell, we tend to get lower tickets on affordable housing, as well as Micro LAP coming from that batch of our employees. So you will see a small drop in average ticket size, which of course means better yield for us.

So combination of two things and make sure our NIMs are better, interest in suspense and a small drop in the average loan size on both affordable housing and Micro LAP. But you must hear from Shrini on how in a very competitive and I would say one of our toughest years we have seen our deposit growth by 38%.

Asset quality back to, I think, better than pre-COVID levels, 2.0% Gross NPA and 0.5% Net NPA. And like I mentioned, we have taken the PCR up to 74%. I must say that when Raman talks about our net NPA, a large portion now is secured asset. So while we have raised PCR, we

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frankly won't need the provision as much because when you have a secured asset with roughly an LTV of 52%, Raman, right? So again, PCR, please, for future, we have done it at 74% because everybody would like to see a higher PCR. But fundamentally, you know, it won't be used that's the one thing that you must carry away and you will see the break up when he really presents the net NPA by various categories.

On the capital side, our net worth now is at 3,577 crores and capital adequacy at 20.3%. Now, when we talk about DTA in the next slide, and I'm talking a fair amount of detail about it, it will give you a sense because we did tell all the analysts and fund managers and investors that we don't see us raising capital in the next three years, even though we continue a good growth. And I think in our mind, what most people were not able to add back was the DTA impact on the networth.

But now hopefully that we think with the current classification, that will be much easier for everybody to then take a clear view now. We do have most of our capital in Tier 1, so which is 19.0% of the 20.3%. Operationally, we have grown about 50 odd branches. So 754 has become 808. Presence in number of states continues to be same

and of course, we've had a very good growth, roughly 19% growth in active customers.

Now to us that is very important, but it does tell you that, while we do grow our asset business, there is an equal growth in customer acceptance. ROA is a 2.4 and ROE is a 26.9 assuming the DTA impact, if you take out the DTA impact, ROA is more closer to 1.8. Right? And we have that chart for you coming up. NIM is at 8%. That's no challenge there.

And finally, of course, I'll go to PAT in the following page, because I think that is relevant from what's a business PAT versus non-business PAT. But all other places, I think we have made tremendous progress and is pretty much ahead of what we had indicated during the IPO. We had signaled about INR450 crores to INR 500 crores as PAT and we have come much higher. Roughly about INR514 crores is a business PAT and then if you add DTA, it goes up much higher to about INR670 crores.

I'll move on to the next slide. So let me explain and this is a very important page. First is as reported. So our PBT was 514 crores. So that's the money we have made through business. Deferred tax asset, this is what the auditors have signed off. They have signed off first time. We always had deferred tax asset. Auditors do sign out deferred tax asset to be included in a P&L unless they have a view that there is virtual certainty of profits.

And I think with our current numbers of 0.5% net NPA, with our PCR at 74%, with a secured book of 60%, they did feel comfortable signing off of deferred tax asset of 155 crores. We are left with INR801 crores, which you can see in the headline. That is the amount of deferred tax which we have not absorbed in our P&L, which we hope to absorb in the next three years, depending on our profits. Hence, the PAT moves up to INR670 crores. ROA is at 2.4 and ROE

is at 26.9. If you exclude the DT A and say, if there was no DT A, what would the bank have done? We would have done an RO A of 1.8 and 20.7. And then, of course, there is some question also saying, assume you were a taxable entity, so we can do like -for-like, how will it look? We
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also put the numbers so you can have a look at that. So we put all the three numbers. So it's very easy for us all to compare.

But I do think that the 801 crores, when you do your models on, what is the expected net worth, you will be now accounting for it because it is pretty much BAU for us. So how much deferred tax asset have we used up this year? We have used up roughly about INR 125 crores, which is against the profit of 514 crores and 155 crores we've added. So those are the two components we have finished using.

Let me move on then to, our branch slide which you would have seen last time, so number of states hasn't changed. We don't need to change that. We are already in 24 states. Our UBRs are pretty much around 36.8%. As you know, scheduled commercial banks have supposed to have 25%. We are at 36.8%. It allows us to open many branches in any cities we like because the ratio has to be 25%. So we can open about 100 to 200 branches if we do feel the need. For us, the unbanked rural branches or URCs or Unbanked Rural Centres, are profitable locations.

We do group loan agri model in these URCs. In fact, they would be the most profitable branches because they breakeven in a couple of months. Because they are really very low cost in rent, they are very small people in who manage and they do locally group loans. So this is one of the most profitable formats the bank has, which is why it is 36.8%. It kind of helps us move away our microfinance from urban to rural. But more importantly also, it's a very profitable format.

BC, I did mention it in the last presentation also, this is the partners we have. They are themselves MFIs or NBFCs or Professional BCs and they work with many banks.

We have chosen select

geographies where they don't overlap with our business. And they're very strong and good delivery locally, so we chose that we'll partner with some of them. They control about 10% of our book. Again, high level, 60% secured, 10% with BCs and 30% of microfinance with the bank. So if all things are pretty much behaving in the economy, our exposure to microfinance now is 30%. Because we do have a service guarantee on the balance 10%.

Next slide is on the asset book of 60%, like I said, 60% in six years. Our largest asset book is Micro LAP INR 4,738 crores. You can see that right here. So that's our Micro LAP book. Then you have affordable housing, which is the second largest book and then you have MSME. The three books combined together are all property-backed businesses that we have. Then you have NBFC lending, which is classified secured. It's in red because that's the only business which has got a negative growth over last year. Something I did mention in the last meeting that for us, it's a tactical business as our own growth rate picks up, we do tend to decide whether you want to grow or slow down this business. We chose to slow it down. The slowdown happened much before in the first half itself, so nothing to do with any other market movements.

And finally, you have our two-wheeler and gold loan program, which we all classified under others. That's our book, let us start with the individual loan business. We will go in detail. But individual loan customers are graduates of group loan customers. So they have seen a credit cycle with us only in a small cases with the BC and the second time one they are coming to the bank. It's a well performing book and you will see the details. Then you have, what is called Agri. These are basically group loan in the unbanked rural centres of the bank or these are

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sourced by BCs, but these are group loans, so essentially microfinance. And finally, you can see 686 to 803. This is the leftover of our original avatar of an urban microfinance company. So that's the basic balance sheet of how the asset business is constructed.

Here you can see ticket sizes. So Micro LAP is that 6.5 lakhs. Roughly about 11.8 lakhs is affordable housing, 40-odd lakhs is MSME and then two-wheeler at 60,000; gold loans at 50,000 and unsecured advances which is microfinance at 40,000. How did we become 60% in six years? Because the CAGR of secured business is very high. And we continue to focus on that and then there is, of course, gross NPA and LTVs for your consumption. We were unable to put Micro LAP LTV last time, so we did think we'll put it this time and we brought it back, that is a 32.8%. That's gold LTV at 62.2%. So that's a sense of what is secured, what is 60% and the various components of that.

And let me move on to the next one, which is geography. Geography is the main one on this

page. I did show you secured. I think the important thing in secured is, even during COVID, it did have a very healthy growth and we have seen, I wouldn't say a complete cycle, but I think thanks to COVID, a fair amount of stress, which did point out wherever we had some challenges, which we had to tighten in the secured book. But it continues to grow very healthily. We are present in roughly about 180 cities where we do affordable housing and Micro LAP. We think there is enough room in these 180 cities that we can continue our growth path very comfortably. If you do want to expand, it is much easier for us because we just do a hub and spoke model, which is the current city, which we have grown very well within a 60 minute to 90 minute road transport journey, while the next town we will open a spoke, the original city becomes a hub. When the spoke becomes bigger, that becomes a hub and then we look at the next spoke. So for us, geographical ex

pansion is not a challenge. But we do believe now that for our estimated growth in assets, we really have enough and more room to grow.

This presentation is available on the website. So any anybody wishes, you can happily download it or you can have a look at it later. We are the least geographically concentrated small finance bank and that was a design we began very early. Our highest concentration we began the bank was Tamil Nadu. We were roughly about 21 or 22, Raman?

Krishnan Raman: 22.

Ajay Kanwal : We chose after that, that listen, one thing we should make sure is de-risk geography by geography. It's a bit of hard work originally because you really get very thinly spread out, means all of us have to run all over and make sure that, you know, we are watching everything very closely. But those hard days are over because now we have a structure which really does it. And we are now well established in the number of regions and states and how we make sure that we have controls on what we do.

(Raman), You want to stand or speak from your chair, whatever you like?

Krishnan Raman: Hi. Good evening. As Ajay had introduced me, I joined the bank in 2017. I was a founding Chief Risk Officer, had worked in multinational banks in multiple geographies. One of the first things we wanted to do was to ensure that we implemented the best practices that we had seen in other Jana Small Finance Bank Limited
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banks from day one. So a lot of what we had implemented over the last few years were really the experiences, collective experiences, which we had picked up in other banks.

So a few points I just wanted to highlight. First is the underwriting organization and ensuring that you had a quality of people. So we have people who are experienced in multinational banks and private sector banks and public sector banks, as well as in NBFCs, coupled with infrastructure. So with Ashish's help and Ashish's predecessor's help, we introduced a loan origination system, we put in place rule engines. So those were all the building blocks in terms of how we wanted to grow. So first is people and infrastructure.

The second thing I wanted to talk about is that increasing levels of behaviour, like a fintech. And what do I mean by that? So if I look at our smaller ticket loans, it's basically rules, API calls, and then application of rules to decide on the loan, whether it's an accept or a reject, as well as a quantum. And as the ticket sizes go up, that gets supplemented with a lot of judgment and expertise. So that is as far as the behaviour like a fintech is concerned.

The third point I wanted to highlight was increasing levels of sophistication in terms of scorecards. So there are -- if I look at two portfolios that we have, individual loans and two-wheeler loans, we have scorecards which are working on that. Two-wheeler loans, as we speak, and I did talk about this the last time as well, we are introducing a second-generation scorecard and we have a scorecard on secured up-to-ticket sizes of 50 lakhs.

And this is something I wanted to, I did mention this last time, we probably are one of the very few organizations, maybe the only one, which has implemented a scorecard for housing loans. So there is a scorecard, this is custom-built, we are not using the standard CRIF or CIBIL score. It is custom-built for our portfolio. And in fact, there are a lot of instances where the CIBIL or High Mark's says yes and our scorecard says no, and vice versa. So this is something which has been developed exclusively for us. And we fine-tuned it as we get more experience from this portfolio.

The fourth piece I wanted to highlight is analytics. So there's very robust portfolio analytics, and many of these we implemented with the help of the data warehouse. We had implemented a data warehouse practically on day one. We've got a team of 30 to 40 people, ana

lysts, portfolio

analysts, who slice and dice the data and we are able to produce every month a deck which talks about the new originations, the quality of new originations, the portfolio, how the portfolio is segmented, what are the delinquencies for each segment, cohort-wise analysis. So we've put in

place all of these kind of controls, and that forms the basis for any fine-tuning of our portfolios, fine-tuning of the decisions.

And the last thing I wanted to talk about is , we have the portfolio analytics for smaller tickets.

We also have a – as the ticket sizes get larger, we implemented early warning signals where we ping the bureau. We look at the latest bureau information. We look at our performance of that customer on us and combine impact on us, not just in terms of loans but in terms of current account balances, whether there is churn, what has happened to his credit turnover compared to what he had projected. All of these then feed into our early warning actions that we need to do. So these are really the few points that I wanted to highlight in terms of credit and collections.

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Now I just want to hand you over to Sudhir. Now Sudhir is – as Ajay mentioned, Sudhir had joined us as the Head of Collections and one of our philosophies is that the Business Head pretty much takes over the entire responsibility of early bucket collections and Sudhir came with a lot of collection experience. It was a natural choice to take over as the Microfinance Business Head . So let me hand you over to Sudhir.

Sudhir Madhavan: Good evening. Thanks, Raman for the introduction. Collection first is – that's the motto of Jana Bank and that was a natural progression for me from a collection person to managing microfinance, which is hardcore operations and primarily collections. This is a broad – sorry. This is a broad landscape of the unsecured microfinance piece. We have a portfolio of almost INR10,000 crores. We grew by 14.1% last year. We have been true to our strategic focus. Microfinance unsecured book will be at a slower growth rate as compared to the secured book. We will still grow, but it will be at a much more lower pace .

Post-COVID, we made very strategic calls. First, we decided we will detune our urban microfinance portfolio. Jana lakshmi was primarily an urban microfinance company. We said, no, we want to go deeper into rural areas. So we said , we will detune our microfinance portfolio. What we did was the good customers in urban microfinance who has got passed through the cycle of COVID, we actually upgraded them to individual loans. There was a sense of behaviour which has changed in microfinance where the customers are not coming for the meeting centres and they wanted individual products. So we caught that boat fast.

So we actually migrated them to individual loans. So that's why when you see the individual loans, what you see are all mostly existing customers who migrated from the urban microfinance. Second, what we did is we started growing our URCs, going deep into rural and doing agri-group loans there. Third, we did, we did BCs, places where we cannot go geographically. We actually use the BC as a channel, as a partner and we had a partnership with them. They use my systems, follow my credit policies, and we are able to penetrate deeper into them. So that's for the four.

Lately, what we figured out that even the rural customers now want to come out of a group and want individual loans and so even my individual loans grew by 6%. It's the rural book of individual loans which are actually growing by 20% and the new fresh sourcing is happening on my rural areas, which is going to be the future growth driver for us.

Digital payments, we are a 100% digital company. My onboarding is digital. Customer journey is completely digital. The customer comes to sign the storefront.

He does not sign the disbursal

document. It is all through e-sign. And we then credit the money to the customer account. The last piece of the digital was the payment piece, where still you have microfinance, where you have to go and collect money from the customer.

So we have in the last two years have been constant endeavour to change that behaviour pattern.

We have been consistently focusing on giving education to customers, giving education to collectors, saying that how do you make sure the customers start paying us back digitally. So 23% of all the payments what we receive are now digital in nature. It can be either through NACH or through SI or through UPIs. The upgraded customers actually show a much better

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behaviour , which is almost 50%. But I think the trend is improving, and we should see a much better trend of digital adoption going, and people coming back in place.

The ATS has almost remained constant. Because what we have done is, even if it's an individual loan customer, an existing customer of mine, we have a credit person who goes and checks the ability to pay , the customer passes through an individual loan scorecard. We do a bureau check of his leverage. So making all these three people -- three parameters, we're making sure that the

customer does not get overleveraged, and that's why we're able to maintain the ATS at a much more less, so that the portfolio remains balanced, and there's not much of high overleverage of the customers.

We're still holding for the GNP at 4%. We have actually had a PCR of 85%. That's why we have a net NPA of 0.6%. The goal for us to be the anchor bank. Last year was the first year. We still had a collection struggle. In the second year, we realized the collection struggles are over. The customers want one-stop solution, plus my employees would like to sell more to the customers. So the step one was seeing how much of my portfolio is existing customers. 52% of my portfolio of INR10,000 crores are existing to bank customers or already passed through one cycle. 20% of the book is BCs, which are new to bank customers. It's almost 70% of the portfolio time-tested with us. So it gives a very good balance on the portfolio.

Now the point comes in this. The portfolio is tested. Collection problems are away from us. How do I start doing more and more cross-sell? So now the anchor bank comes into play. What we are doing is, we are actually training our ground staff to be a relationship manager like a person for the bottom of the pyramid. They have a skill set to sell unsecured. You have a specialized skill set like Rincoo's team or Pradeep Rebello's team. Convince them, pass on the lead to these guys, and they become sort of a distribution channel. So the customer gets a one-stop solution. You have a relationship manager, and it becomes an anchor bank for everybody.

So with this, I'll introduce Rincoo. Rincoo joined us six years back. Prior to that, he was in ICICI Bank. He was the one who set up the complete secured vertical for us. Hi, Rincoo.

Rincoo Vachha: Thank you, Sudhir. A very good evening to all of you. Just to take the discussion forward, Sudhir spoke about becoming as an anchor bank for the customer. See, as a bank, we started our affordable housing business some five and a half years back and this business has over a period of time, evolved as Home360.

So let me just briefly explain about what Home360 strategy is all about. If you look at affordable housing competition landscape, it is typically dominated by single-product housing finance companies who specialize in underwriting and then lending to semi-formal and informal customers. But these are all single-product companies and although we started on the same lines, but we very well knew that we have a distinct advantage over these HFCs, these Housing Finance Companies, b

ecause we have multiple products to offer to the customer, which are relevant to our customer segment.

Sorry. So over a period of time, we decided that we will sell multiple products to the same customer, and that's how the Home360 strategy evolved. Now under Home360 strategy, housing
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loan would act as an anchor product and a very strong enabler for selling multiple products to the same customer.

Now if you see for an individual, owning a home or a property is an aspiration, and all his life's decisions would typically revolve around his home. And we thought, if home loan is an anchor product for a customer balance sheet, why not align with the customer's balance sheet, the bank's strategy as well? So if you serve a customer for 15 to 20 years, that's typically the length of the loan, although industry average is seven to eight years, the loan extinguishes because people come forward and foreclose. They don't want to keep the obligations.

But home loan, -- life of the home loans could extend up to 20 years. And if you nurture that relationship, you know that relationship can extend to the next generation also. Who knows? How does Home360 help the customer? A, he doesn't have to go to multiple banks or NBFCs for his varied financial product requirements. Here we are explaining to customer how Jana Bank is a one-stop shop for his all life's financial needs, and how he can bring the bank home. That's the tagline of Home360.

Now, ease of lending. I mean, you take multiple products from one bank, your track is established, need for repetitive on-boarding and due-diligence is done away significantly. I would not say completely, but it's done away significantly. And of course, the digital transformation and customized scorecard, which Raman and team have designed, has made this transition from housing loans, affordable housing to Home360 very fast and much, much better. Now, all the products you see here complement each other, giving us a big competitive advantage. For example, a two-wheeler loan with 100% LTV. This is a one-of-a-kind offering across the industry. We saw at the outset when Ajay showed the first slide, our LTVs are in the range of 50%. So we can very well afford to extend this unique offering, which is unheard of in the entire lending industry, 100% LTV. Notwithstanding, we do keep in mind the repayment capacity of the customer. He should be capable enough to repay the EMI when he takes the multiple loans from us.

Then there is this pre-approved business loan, which we offer to the customers who have

exhibited excellent repayment behaviour on us as well as off us. With LTV supporting, we offer a pre-approved business loan of up to rupees five lakhs to the customers, which again is cross-linked to the parent loan. This helps both customers as well as us in many ways.

A, for us, the bond with the customer becomes very strong. And other risks which mar the affordable housing industry is a BT out risk. So when your bond with customers becomes better, the customer has a tendency to stick around with the bank for a longer period.

Now the proof of pudding is in the eating. If you look at average number of relationships a housing loan or Micro LAP customer has with us is 3.6, which means every customer who has taken a home loan or LAP with us has 3.6 products on an average with them. CASA penetration to the tune of 98% and if you look at the bottom right graph, it tells you about the average bank balances maintained by these 98% housing customers.

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You look at the health insurance, which is not a bundled product by the way. There again our penetration is 96%. Then we have gold loan and two-wheeler loans, which my colleague, Pradeep has recently started the business. Although penetrations here you

would see to be on a

lower side relative to CASA or health insurance. But we are confident that these numbers will definitely improve going forward. So this is all about Home360, ladies and gentlemen. So on this note, I would request Shrinivas to take over the mic. The person who I really look forward to bring the better cost of funds for us so that I can grow faster and better. Over to you Shrinivas. Shrinivas Murty: I think if you notice the presentation from three gentlemen, three of my colleagues here, they all talked about one common theme, which is cross sell to the customers that they serve. Sumit here handles micro and small enterprises and when Sumit's team does a loan, it is disbursed through a current account. On the top of it, all other liability opportunities from that customer is explored. Now the good news is that, with the help of my colleagues here and the team that drives liabilities business, we grew about 38% for the current financial year on a CAGR of about 29.1% in the last two years. Now we all agree here in this room, and Ajay talked about it is the tough deposit environment in the last three years, now clearly the bank is defying that trend. There's another trend that we've clearly defied, which is basically the drop in CASA ratios for many of the organizations. We accept humbly that we are at 20%, but if you look at our growth for the current financial year, it is at 35%.

So both deposits, as well as a subset of deposits, CASA have shown remarkable growth at 38% and 35%, there's another trend that we witnessed in the industry, which is in terms of advances growing more than the deposits and for the current financial year, I'm happy to share with you that as a bank, we've grown deposits more as compared to the advances.

Now that has clearly helped the bank to bring down CD ratio by 640 basis points, which is really remarkable. Now, if you look at the retail and bulk ratios, largely they stand where I last presented to you 61% retail and 39% bulk.

But here, one element of bulk I would like to share with you, which is in terms of the composition of bulk, 96.5% of our incremental bulk deposits are non-callable, which clearly means that the customers, once they agree for a contractual term, they have to keep the deposits for that term. On the top of it, 91%, nearly 91% of our bulk deposits on the stock, not just incremental, but on the stock are of the maturities exceeding one year, one year or more. Similarly, on the retail side, we have about 98% of the retail deposits, which are exceeding maturity of one year.

Clearly, this tells us about the quality and the texture of the bulk deposits and the retail deposits. On the cost of funds, we have 20 basis points more, but we are largely stabilized at around about 7.8%. So that's the quality and the growth of the deposit side. Where is this growth coming from? Now, if you see on the right-hand side - on the extreme right-hand side of the slide, you see that the reliance on the top seven states has come down from nearly 69% to now 60%.

The rest of the states have started growing very well, which clearly means that we are able to leverage the branch network across the 24 states that the bank operates in. Within the top states, there is a change in the composition. For example, Maharashtra has dropped from 14% to 10%,

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while Maharashtra continues to grow, which means that Maharashtra is augmented by Punjab, West Bengal, Delhi, Uttar Pradesh. So basically all states which are top states, and even if you look at the deposit market share of these states, they are large states. I mean, Delhi, NCR, Maharashtra, Bengal, UP, there are large deposit markets. So this reflects the market realities, but also at the same time gives a picture of how we are able to diversify our geographical

concentration as far as deposit business is

concerned.

The next thing that one ponders over is as to what are the key enablers for the deposit growth for the bank. Now clearly people and productivity is one element of our enablers. Cross-sell that everyone has talked about, right from Rincoo, Sudhir, Pradeep, Sumit does a lot of cross-sell on the MSE. We have product offerings which are clearly resonating well with the customers that we cater to. We have branch network, and this slide talks about our branch network. We presented this slide last time as well and of course the digital offerings of the bank and the digital adoption.

Now here what we are saying is that if you go, as the branches mature from one year to four years or four years plus, there is a clear attraction in terms of CASA as well as the total deposits. I would like to draw your attention to the last one, which is four years plus, where you see a huge upsurge from INR3 crores to INR19 crores as far as CASA deposits are concerned. These are average CASA deposits per branch for 159 branches.

Now imagine if each of these branches start acquiring that kind of maturity, and imagine the opportunity of CASA growth that we have from these branches. Of course there are islands of excellence for each of these buckets. There are odd branches which are just one year, but growing extremely well. But this is on an average, and this clearly, we witnessed these trends for the last many quarters.

Similarly, on the total deposits, branches which completed four years plus have shown a remarkable change from INR15 crores to INR115 crores, where on an average, these branches do INR115 crores of deposits on the overall basis. The other element, so this is basically the optimization of our network, the leveraging that we have as far as our branches are concerned. We are probably one of the highest deposit per staff banks at INR9 crores. And this number is only growing and when I presented to you last time, it was a little under INR9 crores. And now it is exceeding INR9 crores. And there also, if you see the, with the vintage of the branches, the average productivity goes up.

The numbers in yellow on the top is number of people in those branches. So one can really divide the number of branches with those yellow boxes and know how many people operate in those branches. So four years plus branches have an average productivity of INR15 crores, right? So that's a remarkable number for any bank branch.

So how do we want to leverage our existing branches, bring out new branches? As I talked about the opportunity that we have in terms of 200 new branches that we can open without even worrying about, you know, meeting the statutory requirement of 25% in the urban and the Unbanked Rural Centres.

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We've added, last year we've added about 17 new branches and we have relocated the existing branches, which are probably the second floor branches and not a branch which is very visible on a high street. So we relocated those branches to a high street branch and that is also helping us because that's a new branch as far as the deposit customers are concerned, that's probably a new branch because he's not seen a Jana Small Finance Bank branch in the manner that we would like to present to him. So that is as far as our branch strategy is concerned.

We have a runway of 209 new branches, which we can relocate in addition to 200 that Ajay talked about, which can be an additional branch. I'm not -- here, I'm not saying that we'll move all the 209 or we'll open all 200, but what I'm talking about is the opportunity that we have as a bank without doing much of a change in our, Yes, so we just cost and then we just move the branches.

I also talked about the opportunity of the launch of exclusive and premier programs. I'm happy to inform you that we have launched this program in the month of February. A la

rger number of

people here do bank with some bank or the other. I take this opportunity to invite you to join us in exclusive program.

Okay, do experience these programs. These are really, really good. And wherever you reside or wherever you operate, I'm sure you will find a Jana Small Finance Bank branch or else I'll leave my numbers with you. We can get you on boarded. But this is an amazing program and I'm seeing extremely good results as far as the relationship program is concerned. I mean, a lot of banks offer relationship programs. I'm sure you will find something very unique about us and we are really seeing good traction there and this is one of the other elements of our future plans on the deposit side.

We are also bringing in reward points, something which is not mentioned here. We are bringing in reward points for your debit card spends. And we are changing the composition of our NR

program. We are upgrading the NR program as well. So that is as far as the product strategy and the people and productivity part is concerned.

One thing that I missed out is digital, which is covered in the next slide. Now, here, if you notice, there are two portions. So on the right-hand side I talked about how Team Jana is leveraging digital as a culture. So if you see, 99% of our accounts -- saving accounts are open digital ly, right? If you were to open a saving bank account with Jana Small Finance Bank today, we are in a position to give you a bank account number in just one hour in 25% of -- 25% to 30% of the instances. We will give you our bank account today only in at least 85% to 87% cases , that's a large number. It's a very fine turnaround time.

Each of the people that we have whether on asset side or liability side, they have the ability to on-board a customer digitally and you don't have to fill up paper documents, etc etc. The whole on-boarding process happens digitally with the help of the staff's mobile app. We have 98% of transactions which are happening digitally right now and 92% of the loans are originated digitally. So that is as far as the digital ecosystem on the adoption side is concerned.

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How are customers receiving our digital offering? I mean, if you go on Google Play Store and check for our app and some of you possibly bank with us and I would request you to do that, our rating on the app store is 4.6, which is really commendable and a large number of banks and competitions don't -- to my understanding, don't have that kind of rating. This is a testimony of our ability to resonate well with the customers as far as their transactional banking requirements digitally are concerned.

We have seen a 53% increment in the transaction volumes on the digital channels. We have seen 59% jump in the mobile banking registrations, right? So if you on -board a customer in times today and don't offer a debit card and mobile app, I mean, you are virtually leaving the customer with no choice , but to leave the bank account un -dealt, right? So gone are the days when you can just draw a cheque and transact in the bank account. You definitely need a debit card. You definitely need a mobile app.

We are able to leverage our mobile app and like I said, if there's a 59% growth as far as mobile app registrations are concerned. There's a 23% increment as far as mobile banking transactions are concerned. So it's not just registration, but also incremental transactions which are happening through mobile app. There is a 47% increment in the transaction volume. So those are the numbers which probably talk about how, whether the Team J ana or whether our customers that we serve who are using our channels.

One of the important products for us is QR, which helps us to get current account. We have incrementally done 13,955 QRs in the last financial year. When I do a QR with a customer, what it de

finately does is that, you know, it increases the customer's balances subject to usage. Now I also mentioned about how many QR code s we are able to activate. We have 81% QRs which are active, which also means that 19% QR codes are inactive, but there is a process for activating all QR codes.

On the UPI side, we have seen huge jump. I mean, this is a combination of the overall ecosystem on the digital banking, but also, you know, the push that the bank has as far as UPI transactions are concerned. We have seen a large increment. This is probably a high number because of initial surge, but 507% increment in the N ACH transactions. For us, for the customer to do a mobile banking registration, debit card is a mandatory instrument. And therefore, and additionally, because the customer has to do various e -com transactions, he has cash requirements, etcetera, we've made sure that the debit card as a product is cross -sold to the customer and the cross -sell last financial year is for 74% customers.

So basically what it tells you is that 74% customers opted for a debit card, one of the variants of a debit card and we have seen 79% increase in the last three financial years. As a result of that, we have 66% customers on our base who have one debit card or the other from the bank. Now it also gives us fee income as some of us know, but largely it is a transactional banking enabler, which obviously results into incremental balances in the accounts of the customer.

So to sum up, I talked about how the bank has grown as far as the deposits are concerned, what is the growth in retail and term deposits and the key enablers thereby. I think we will continue

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this journey and I'm sure we'll have in the slides ahead, we are showing some guidance as far as what is our understanding of the deposits growth is concerned.

Now with this, I'll hand over to the youngest man on the dias. He's the man who brings down the average age of this table. Yes, that's correct. And he's the CFO of the bank and home-grown, talented. Abhilash, over to you.

Abhilash Sandur: Thank you. Thank you Shrinivas for that introduction. Okay. So as I covered initially on the ROE and ROA slide itself and also we mentioned about with and without deferred tax asset. So here, if you see the ROE and ROA, both the numbers have been improving for us without considering the DTA as well. We had given a guidance of around INR450 crores to INR500 crores, while during our road show and also in our previous meetings. So that number has been reached and our ROA, ROE also the numbers that is above the estimated numbers what we have given earlier.

The improvement in ROA and ROE both measures is mainly due to the improving NII with the mix changing towards secured. Also reduction in the NNPA, which is leading to lower reversal of the interest income due to the new flow into NPAs. So that's the increasing trend which I wanted to highlight about, which is the ratios.

Second part, which is important as well is on the cost income ratio, our operational efficiencies. So we have seen a slight increase in the cost income ratio. However, this is more real because we have done some trend. The market has been tight, like Shrinivas mentioned in terms of liquidity. We had to spend some dollars on marketing and get the good quality deposits, which we did over the last year. So that's the reason there is a slight increase in cost income ratio.

So what is the results of what we have done? The mix changing, going towards secure, that is clearly visible in terms of the NPAs, which is the Net NPA, GNP A, as well as the PCR. We have 81% is our PCR ratio for our unsecured book. And we have an NPA of similar of 0.5 % and 0.6% for both secured and unsecured and our PAT growth, considering DTA is INR670 crores, but one important element which I wanted to highlight here

is, without the DTA effect also, we have grown 101% year on year. Our PAT was INR256 crores last year. We are at INR514 crores. So essentially PAT has doubled. So that's the other key highlight which I wanted to make in this slide. And our PPOP also continues to grow at a healthy rate of around 20%.

With this, I want to hand over to Raman.

Krishnan Raman: Thanks, Abhilash. We talked about 0.5% as the Net NPA, which is one of the lowest we've seen so far. But there are four stories which I wanted to highlight from this slide. First is the headline itself, which says that my Net NPA is INR130 crores, more than half of that - 55% is in the form of secured loans. And the linked second point I wanted to make there is that, these have an LTV of about 51% -- 52%. So what I'm really saying, there is actually over-provision in a manner of speaking there, that is one part of it.

The second part, I'll take you to the right-hand side. We did a lot of restructuring during COVID. At our peak, we were at about 6% or 7% of our AUM. Today, we are down to 0.4%. And again, the most important aspect here, as in the Net NPA is that it is substantially secured. Out of the Jana Small Finance Bank Limited

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total of 96 crores -- 84 crores is secured, which has an LTV of 51%. So which means that, again, whatever pain has to have come through the books has already come through. There's very little left. That is a key point I wanted to make on this slide.

The next slide is on credit cost. Again, the highlight I just wanted to make here was in terms of the reducing trends of credit cost. Net credit cost, 3.36 % down to 2.1%, down to 1.96% in March 24. And the credit cost here we are talking about, the computations have been given. Whatever is the credit cost as reflected in the balance sheet, in the P&L, I mean, along with accelerated provision that we took and recoveries, some of which is sitting in the other income line because where the account is written off, any recoveries from that sits in the other income line. So netting off all of these, we presented the net credit cost and expressed it as percent age of AUM and that is a reducing trend.

Back to you, Abhilash.

Abhilash Sandur: Thanks, Raman. So just wanted to bring out the balance sheet itself as reported. So key highlight amongst that, we have covered most of the other elements of the balance sheet except the borrowings. I thought along with the balance sheet, we'll also represent the borrowings part, what constitutes our borrowings. Borrowings mainly for us constitutes two important elements. One is the refinance element. Second one is the Tier 2 capital.

So Tier 2 capital, as I mentioned about Tier 1 capital of 19% among included in 20.3% of capital adequacy. So Tier 2 capital for us is only 1.3% of our capital adequacy. So we have room to take more capital, but as of now, it is not required. We are adequately capitalized. Other part is the refinance part. We have around INR4,000 crores of refinance. This is from developmental financial institutions, NABARD, SIDBI, NHB and MUDRA. These are long term refinances as we are growing towards secure businesses where it is longer tenor. So what happens when you

take refinance from these institutions, they give a refinance loans for a longer tenor.

So for me, the ALM mismatch in the buckets reduces and we have asset against the liability in respective buckets. So refinance plays an important role for us and also the rates which these refinance agencies are offering is very competitive and comes without any CRR and SLR. So this is the one thing which I wanted to highlight in this slide, in the balance sheet slide. Other components we have covered in the respective slides. I'll move on.

Ajay Kanwal: So we have prepared our first guidance and I thought while numbers are easy because everybody can multiply, I think more importantly it is

to make sure that we talk about what we are really

going to build over the next few years. So number one really there is a lot of underserved needs both on the deposit side and the loan side.

When I say on the deposit side, obviously there are a lot of depositors who would like more yield. They would like it from a scheduled commercial bank and which is why you see that even in a difficult and a competitive year, the growth of deposits had been at 38%. So there is clearly a large market and one thing that I can tell you from our average deposit size, the average depositor of Jana, the size compares with that of any private sector bank. So we are really seeing affluent depositors work with the bank. So that's the very important piece and that shows that

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underserved doesn't mean that he has to be economically backward. It does mean that there are a lot of banking needs in every segment which is open to us.

On the loan side, we are very clear in our minds. We are serving the middle segment of India that's where we think there is a need for an anchor bank and a customer doesn't have to go to either four banks or four NBFCs to get differential products. He really comes to one place like Rincoo explained. We have the advantage of LTV. We know the customer's cash flows. We have the property with us as collateral. Why would he then go out and have a business loan at 24% or 36% anywhere else?

We should offer him that business loan because we know the customer. We have good experience with him. We've got the property. We've got the cash flow in our books. We've got the savings account. Why don't we give him? We give him at 18%. Instead of giving him two years, three, we can go up to four years because ultimately the business loan is also cross collateralized with the property.

The 100% two-wheeler loan is cross collateralized with the property. So really you have a middle of India looking at a bank which they can come for all their needs, assets and liabilities. So that is the second most important piece. Secured is a natural progression from zero to 60 and at 60 will continue progressing because customer's balance sheets are secured.

They're typically home loans, LAPs, car loans, two-wheeler loans, gold loans. Customers who would like to have large unsecured exposures are not our favourite customers. We are not saying it is bad business. All we say is for us that is not our customer because we prefer customers of more secured nature and probably more conservative in the way they are approaching their own personal finances.

By turning secured and being very sure that we are building a very narrow product set so we are not launching products outside our narrow set. We don't do credit cards. We don't do credit card not because we don't want to do it. Our customer segment doesn't want it as yet. We've done two wheelers and not four wheelers because our customer segment is more tuned to the two wheeler segment right now.

We will certainly as our segment grows, move towards four wheelers. So in our heads, we have very clearly chosen what we will do, what we won't do. It has to meet a segment need and turning secured. We are very focused as our real bottom line interest is to be very sustainable and predictable business model.

I'd rather grow 1% less, but rather have a safe book. Rather than trying to grow a fast year and a slow year, I'd rather have a very even keel growth. And I think banks who build very gradually and sensibly over a period of time tend to have much better returns and much better ROI. So our bias is just to move in that direction.

And so we have given very simple high level numbers. You've heard from Shrini on digital, we have our CIO sitting here. And one investor asked me, how good are you in digital? The reality is there is no benchmark. But all we can tell you is,

you're always investing in digital because

frankly, anything that can be digitized, our aim is to digitize it.

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At the back end, we've got robotic processes, everything that can put on robotic process, we do put on robotic process. We have roughly about 120 robotic processes operating in the bank today. In our minds, we have robotized everything we can possibly robotize, right Ashish?

Ashish Saxena: Yes.

Ajay Kanwal: And we continue to look for more. Finally, I think customer is the business we are in. And I think a lot of times you talk about loans, LAP, housing loan. If you did see Rincoo's slide, we have an anchor bank. And that anchor bank strategy you heard from very simply from Sudhir also, saying, my collections have now become 99 %, I'm very comfortable , I'm now moving towards my microfinance customers at the top end to other products . Not every microfinance customer can take multiple products , but a good 30% , 40% to our mind, gradually two wheelers, gold loans and gradually into affordable housing and Micro LAP .

Every two -wheeler customer who comes through a dealership has a savings account, average balance INR1,500. At the end of 12 months of a two -wheeler loan is offered a business loan again. Every two -wheeler customer is looked at for affordable housing to Micro LAP . Making sure customers treat us as anchor bank is primary in every single business of the bank. That is where we'll get better credit and we'll get operating leverage.

It's a bit of hard work because really the bank has to work as one bank. And as we know, that's not the normal way most banks have trained us to operate. But fortunately, Jana is a fresh start. We have put this in our culture very early. And I can clearly see good signs of progress. On governance I won't spend much time on as all of us are bankers , 27 years is the average experience of the management team. I think this would be one of the most, if not the most experienced management team in our small finance banking world.

And we have done that by choice because we do believe that we want people who've been there, done that. And finally, some simple numbers. 20% on both asset and liabilities. PAT growth we expect to be 30 % to 40%. And you should expect that certainly because the cost of credit will come down even more next year. ROA should be around the 1.8 % to 2%. This is assuming no tax impact. So if you load up the tax, we probably will be around 2.3 to 2.5 range. And then ROA is in the 19 % to 21% range. So that's our expectation that we would like to leave. I have not put in a year. Ideally, I would like to sustain this for some time. So that's our guidance for future.

That's our board composition . Left hand side are the independents led by Dr. K huntia. Dr. Khuntia used to be the IRDA chairman before that, Chief Secretary Karnataka. On the bottom on the same side, you see M r. Vijay Kumar. He retired as an ED from RBI. And then of course, on your right are the non -independents. Raman is one. I am the second. Ramesh is the Founder of the bank. And Rahul Khosla has been in the past or rather is there with us as a TPG nominee. So four non -independents and five independent directors. That's a team for you.

In the Management team, left hand side is the youngest, which is next to me, Abhilash. And on the right hand side, most experienced is Ram. Ram retired from HDFC Bank as a senior in audit. We felt that he had seen 30 years or more of HDFC Bank and he had learned how branches Jana Small Finance Bank Limited

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grow, how controls have to be maintained. He would be a super addition to our team. And then the rest of us here. So average experience, 27 years. I can tell you that we are very well geared up for next few years of growth with the same team as we have done bigger jobs in their past

lives.

Something on history, I think for us, 2006 is when we began. So while we have seen a big change of urban microfinance moving to rural, that is a lot of good work, good experience, challenges in demonetization. We put all the learnings together to come up with what we think is a future model of microfinance emerging. We do feel it will be more digital, it will be more individual in nature. And that's the future. What was possibly a good model in the 80s is seeing a rapid change now.

Also, I must tell you, having seen the industry now for six years, being in Jana, the loss rates of the old days, where microfinance was a 0 .5%, 1% is probably not real anymore. I think 1.5% to 2% of loss rate of microfinance industry seems more likely to me. And depending on which player you are, it could be one or three, but average would be 1.5% to 2%. So there is a clear change in the way industry is operating.

Not mentioned as a milestone, but we have said it to a few press interviews that we will prepare this year for applying for a universal bank, which the RBI has come with a clear guideline on.

The one point in that guideline that we don't meet is net NP A. It has to be less than 1%. In our current results, we are at 0.5 %. So the one year is done. If you do the same 0.5 % for next year,

because it has to be less than 1%, then all conditions from net worth to profits, etc. all have been met. We are very keen to apply for a universal bank.

So we'll use this 11 months, of course, not only to perform, but also any preparation that is required in advance, because there's a lot of work involved in converting to a universal bank.

But that is something we will do. And something I would think that going forward, if I were to add the next milestone, that this would be a key milestone for us to accomplish.

I think we've spoken of our strengths, and I just want to tell that all of us have enough banking background. Our bias really is to bring the best of what we have learned, and not to bring any of the mistakes that we have committed or learned in the past. And we've built a very open, transparent, new bank culture. Our culture is very simplistic. It's a culture where everybody has independence.

There are good guardrails. Simple things like we don't have cabins in the bank. All of us sit in open space, because we do believe that as a bank grows, it's important that we grow in a culture which is open, transparent, approachable, and not in a culture where people have to take appointments and everything is being exchanged over emails, etc. It's a more faster, it's a more collegiate culture. Everything else here we have spoken in great amount. I would only point to the last one, which is proven execution ability.

I think as a management team, we have heard most of us have been around for a few years. We managed to solve the challenges of demonetization. This team has handled COVID. At the same time, we've all helped grow businesses in a very organic way. Rincoo joined us, when we didn't

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have affordable housing, and we started the first loan from scratch. The first gold loan from scratch, the first two-wheeler loan, the first Micro LAP, so on and so forth. So we've really learned to execute, both in difficult times and in good times, and I think we are very ready for the environment, which of course is very conducive for growth.

Strategy, all I can tell you is, there is no change in our approach. We really need to get to the top three players in whatever we do. So we are not attempting to launch any new business in the foreseeable future, because we really want to get really in the top position on the affordable housing, micro housing space, and accompanying that, the real amount of cross sell with the customers. Our happiness would be when there's 3.5 products, it becomes 3.6, 3.7, 3.8, 3.9. That

is much better than trying to launch a credit card or a commercial vehicle, and there's nothing wrong with the businesses, but that's not the strategy that we have following. We really want to be deep with our customers, and we are very sure that will give us the better operating leverage as well as better credit.

Yes, our CSR is very simple. They're executed by all our employees. So rather than cut a cheque to any NGO, we have 808 branches spread in 24 states. We have 21,000 employees, and we encourage them to visit the nearest hospital, school, whatever it requires help, and personally make sure that whether it's a computer or it's a water purifier or anything else, it is installed and used, and then we get the necessary appreciation as well as acceptability by the communities we do business in. To us, it's an important piece of giving back, but also very important how we execute it as an organization.

Finally, yes, I think the latest one was the Best Employer Award from the World HRD Conference. Sorry, the latest is the last one, which is Regional Winner Asia for IBS Intelligence. This was the Digital Banking Awards. That was the latest one. So yes, I do think that we do take pride that a lot of the work we do is getting recognised. I don't know whether this award means we are good or the best or not, but it does mean that we are fairly valued among the better peers in the industry.

With that, a big thank you, open to all questions. I just want to add, yes, we'll go there. So we have our CIO who hasn't spoken, Ashish. So technology questions, Sumit MSME who hasn't spoken, Gopal, Treasury, as well as Pradeep who is from Two-Wheeler. So you can ask the entire gamut of people all the questions you want.

Manoj Alimchandani: Ajay, excellent presentation by you. Very clearly eye on the ball and KRAs which the fund managers and analysts expect. Now for a couple of questions, and it's really delight, you have put all the nine CXOs, CFO, and the team members and committed to the guidance. The way it is, apparently the valuation should be maybe upgraded to three to four, price to book of projected FY '25, '26. But a couple of risk factors to this, main thing is today what is happening, we talked about digital, digital, it all looks rosy on the slide, but today that is a big risk factor. Overnight valuations collapse by 10%, and it is happening with the best banks who have invested a lot of big money.

So how do you, take care of this risk? It's very, very vital. There are customers who interact, who raise red flags, but often they are ignored. The Ombudsman is not aware of, the nodal officer

is not even aware of the ground realities, because access is not there. But you are at the forefront, and you said you have an open culture, and how do you address this is one important question. A second one is, we talked about deposit growth, it is wonderful. The main thing which is coming here from your insights is one is business per employee, and also deposit per branch, which adds to the profitability, and at POP we talked about operating profit growth of 39%. How do you look at this coming out, particularly deposit per branch, and business per employee scaling up, with operating leverage coming in?

And next is, Abhilash, we talked about improving asset quality, and also 40% CAGR and operating profit. These are actually wonderful indicators, a delight for any analyst. Here again, how do you address this concern, digital, you have talked about the office, digital head, how do you ensure that this is integrated together, and then these are sustainable KPI indicators. Next is, I would just add, our bank, Jana Small Finance Bank, has an excellent Chairman. We talked about everybody else, but chairman is excellent, and when he interacted with me much before the IPO, very, very clear vision in one

line, best in class type of a five -star quality

team, and it's all showcased here, but if you can address specific question, answer very, very specifically, it would help our bank, and stakeholder expectations.

Ajay Kanwal: Okay, thank you. Lots of points.

Manoj Alimchandani: Manoj Alimchandani.

Ajay Kanwal: Manoj, thank you so much. First, thank you for the valuation multipliers. I will take that, and I do hope you remember that, when we meet next time, and I must say this, having seen all the newspaper articles, we did want to bring our CIO today to you all, because we did want you all to get the absolute comfort. We are relaxed of letting our CIO speak to you, and we did bring him by design, and so Ashish, first let's start with the digital, and you want to stand up or sit, it's up to you.

Ashish Saxena: Yes, hello, good evening everyone. So, thanks for that question. Actually, I've been, in my mindset, thinking that somebody will ask, and as I represent bank technology, I must share that what makes me feel confident, that everything is going good, and fine, and in control.

As we all have been watching the news on major tech failures with banks of all size, it raises evident question how stable is the tech set up of our Bank.

A Bank like us, who is building, the important, and most efficient process is that, being sure that we are very strict in governance. A change needs to pass multi -level checks before it is set production ready. When we onboard a partner, then when we consume that partner in our organization, and when we really build design, and take it to the production, all that has to pass multiple level of checks, and this could be not limited to only doing VAPT, of the application. It is much more than that. We ensure that any critical change is first launched to Closed User Groups (CUG). These groups may span upto a zone, or some branches across multiple zones or Jana Small Finance Bank Limited

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limited users. The feedback is collected from the CUG, absorbed for improvements and of course, the issues / bugs if any identified are addressed / fixed before formal launch is corrected. It's about that, what quantity and quality of the solution I will take for my bank, and that will help me to negotiate, but solution remains same. But the implementation may differ. If I need to be much more oriented and focus on the design from the day zero, that will help. So that's what we are doing to control any unplanned down time of our IT systems.

So, governance is the key and design is another key. When we implement such solution, we ensure that it fits into the predefined layered architecture, which was not designed to day. It was designed when we were doing the bank, and we, at that time, we onboarded IBM as a consultant who really designed the portrait, that what would be the future looking bank.

Our Bank has a multi layered enterprise architecture, which need to be scalable, flexible, and of course, adaptable. So, when we, you heard my colleagues talking about cross -selling, you heard my colleague, Raman talking about the scorecard, how it is working, and you are seeing the numbers and output, because the underneath technology stack is working fine, and that gives us confidence, that the prudent design, stringent governance, IT resilience plan is effective for us. In our Bank, even a small change is to pass multiple level of review, to move to production, that definitely, you know, undergoes and pass that whole process, and that is the only way. I have 24 years of experience in technology, both pure tech and VFS side. I can tell you it is about the discipline in designing the solution, and then assessing it before you launch it to production.

That is the only key to ensure that you don't end up moving an open vulnerability to production.

Ajay Kanwal: I just, Manoj, I will just add a few things. So,

one is Ashish was a CIO for AU Bank, when AU

Bank was set up. He has done his five, six years there, and I forgot to mention that earlier. So, we have had a RBI C-site audit in '20, '21, All points that they could have found, and there were a lot of them, have been fully covered and addressed. There is no open point. So, that is a number, they will be back to audit us, and they do a fairly very robust audit. That's one. Second is, Ashish shares with me what is known as a resilience plan. And we have been doing that now for two quarters. Because we want everything should be resilient in the bank. And one of the advantages of being for us is, we don't do too many things.

So, I'll give you an example. Our affordable housing was launched 5.5 years back. So, every time we had a problem, we sorted it out, but we cannot get new problem, because actually the product is the same. All our products have at least a vintage of three with no new products coming. So, that's the other piece which is, we have resilience and we keep monitoring resilience, what can go.

The third thing we do is, we've got an incident reporting group in the bank. This is nationwide, with simple parameters. During customer's hour, if within 15 minutes, the system doesn't work, on the 16th minute we'll report. And the report comes to me and, all other incident reporting group, which includes the entire bank. There are more people beyond this table also. So, there is no chance that we have a problem in our country, of any nature. So, after customer hours, it is Jana Small Finance Bank Limited

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30 minutes. Nothing can be hidden. And you know, half the time, the problem is knowing the problem and accepting it. Problems are not complicated.

Once you accept the problem, then solution is not difficult, it's a technology solution, it takes a bit of money and you're done. But I think the bubbling up is very important. And technology, we are more than aware, because one thing we haven't spoken is cyber security. You know, that is one thing that you can never sit and say, my cyber security is solved. You have to be alert, there's some new idea will come for hacking, then you have to make sure we are doing the next level, and the next level, and the next level. We spend a lot of time on these matters.

And I must say that, the technology person is very well challenged. I must also tell you that, since you mentioned the board, we have somebody who spent all his life, in technologies also on the board. I didn't make a mention due to time constraint. So you have Mr. Nayak here, the second last Mr. Shrinivas Nayak. He spent, 35 years of technology in banking. And, actually Ashish does get challenged at the board, from somebody who I think knows, probably more than him for sure. So, that's the answer on technology.

Never say never, but as we speak to you, and the reason we got Ashish, was to make you all feel comfortable, given all the news that is happening around. Now, I'll move on to customer service. Same, you know, a branch has a problem it raises a ticket. Which, customer needs this, or customer complains about that. It is tracked through a CRM system, there is a turnaround time, and it is closed. We don't encourage email requests, we don't encourage WhatsApp requests, no verbal. Because, the challenge in any services, is a turnaround time, and fulfilment. And frankly, in a bank there is not much complication in customer service. Not much.

The challenge is, it gets lost in transit, and there is no accountability for the person who is doing it. Because the person at the branch, is facing the pressure from the customer, not the guy sitting in the back, and trying to solve it. Which is why measurement of turnaround time is a solution.

We have very good service unit, we have a proper CRM system, it works very well. We have a very good, internal banking ombudsman,

who spends four days a week, in the bank. And he

knows as much about complaints, as any bank officer. He is retired from a PSU bank, and I think he is one of the best bankers I have met. Because not only does he address complaints, and take an impartial view, he will also tell us, that what can be done better. RCA as we call it, which is Root Cause Analysis, this is done, by most of the top complaints, and we try and address it. So customer service, is nothing that we take lightly on, and frankly I must admit, it's not a very difficult one to do, just a matter of focus, and getting some systems to do it. So that answers the customer service piece. On deposit per branch, I think Shrinivas did a, very good start, I want to go back to it.

Management: See, we are conscious that, as we grow branches, and RMS, it's a cost. We also know that, we need to grow liability. So there is a balance between, so can we open 200 branches, next year?

Of course we can. Will it bust my cost? Yes. So why will I do it? I don't need it. So we are very measured. Even if you see this line here, can you give me the pointer please? So if you see the line here, 17 new branches and 39 relocations. Relocations are much cheaper.

New branches are more expensive. Right? And I think so it's a conscious effort, saying listen, if we don't need, let's not spend the money, but if we need, we won't stop. So like Shrini was saying, you must try our exclusive, and premier offering. We spend good money on it. We think that's very important.

It will raise CASA very well. And that is where we spend the money. So we are very conscious on, branch versus cost and where we need to spend money, where we don't need to spend money. Our bias is that as we turn secured, and looking at our deposit per employee, we should see a declining cost income, not an increasing cost income.

So, and you have seen that in the past also, our cost income used to be, closer to the 80s and 90s. And it's down to the, late 50s now. And in a peer group sense, I think we are probably among the better ones. And again, all credit to digitization, putting robotics in the back end. And of course, being very conscious that, everything has a price. We have to always do risk reward analysis.

Finally, we spoke of digital risk, and you asked a question to, you ...

Abhilash Sandur: So, your question was on the PPOP side, which is grown at a 40% pace. See, 40% is a CAGR from 2021 to '24, which we have mentioned here in the slide. So 40% growth is not, because there was a lower PPOP in 2021. So currently we have done 20% this year. So expectation, like we mentioned in the guidance also 20%, 30 % to 40% impact. So, PPOP will reflect around 20 % to 25% in that range.

Then we'll have a reduction in credit costs, because we are moving towards more towards secured. So my credit costs will reduce. So that will flow to the back number. So that's the expectation, which you can give on PPOP.

Ajay Kanwal: And I think you did say resilience on digital, and I just remembered something. So in microfinance, we decided a few years back, given all the challenges microfinance faces, that we will not onboard any customer, unless you get a eKYC.

So no chance of fraud risk, because unless no eKYC, no customer onboarded. Now in the resilience conversation we had, we said, listen, if for any reason, for a few days, if UID AI doesn't function, what will happen to our business? Because all our systems are on eKYC. But what if we can't do eKYC? Having thought of that, we've now built an alternate program, that if there is no eKYC, how will the bank work? And that has been tested and been ready.

So in a resilience manner, maybe our volume may dip marginally, but if key things do stop, the bank will not stop. We have a backup to everything we have built, realizing that there are dependents

outside, which may not work. Hopefully it won't happen . But if it does happen, we have to be prepared.

Manoj Alimchandani: Thanks for a wonderful answer by the whole team. And I would suggest if you upload the video recording of this meeting in the Exchanges website, it will surely improve your valuation multiples and governance point of view . Nothing to hide. And you do it by the end of the day, and also on the website, but send it to Exchanges. And this will really communicate the way

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management is focused and thinking. And the world stakeholders would know. There are crores of stakeholders. How many of people are here? And you are communicating with everybody.

Ajay Kanwal: Of course. Thank you very much.

Unknown Analyst: Hello.

Ajay Kanwal: Yes, please go ahead.

Unknown Analyst: Thank you, sir. First of all, from the December quarterly meeting to this meeting, you delivered the numbers and your long-term guidance is very encouraging to us. Going deeper to your long-term guidance. So first of all, what is your macro assumption and the economic growth and the credit growth for the system to build this long-term guidance? And secondly, when I look at your profit growth assumption of 30% to 40% and your trajectory of secured book is moving higher and higher, then your ultimate credit cost should be 125 basis point. Am I reading right way?

Ajay Kanwal: Okay. So let me tell you this. Our forward projection of secured growth, and we have just done an analysis. Let's say 60% goes to 80% in three years, right? And that is a trajectory. If it works, it could be 80%, it could be 85%, 75%. We've used 80% as an example. Our NIMs will compress by 50 basis points, because of moving from unsecured to secured.

In the same time, when CASA in the same timeframe of three years move from 20% to 30%,

the compression will instead of 50 basis points will become 30 basis points, right? So because 0% to 60% compression, we've already absorbed in our NIMs at 8%. They're already in my numbers. 60% to 80% is left. That's about it.

And so if the CASA goes from 20% to 30%, secured goes from 60% to 80%, compression in NIMs is only 30 bps. However, as you turn secured, your cost income will improve, right? So just back up the envelope calculation in our head. Roughly, if you take the AUM today and you take our total cost, it comes around 5.6 to 5.7. We see that going down to 4. So whatever we give up in NIMs compression, we will make up in the cost save.

I won't say the savings on NPA and gross NPA, because that will only happen when things really, economy goes south, right, which we don't see happening but we are preparing for it because as a bank, we have to prepare from a through-the-cycle performance. So I will just count two. If you use those two, our numbers of guidance will sustain.

On the economic side, I think 7% GDP is what people are guiding at. We are pretty much as you can see, we grew our assets 25%, deposits 38%. We are in 180 cities. We are in 24 states. We have fair idea what's happening on the ground. I think economy is very robust.

Unknown Analyst: One more thing here. When you said 20% balance sheet growth, because this year we have grown our loan book 25% approximately and our opex growth is close to that number. So in that way, your PPOP growth by looking to the balance sheet growth should be trajectory of 20% only. So when you say your operating efficiency will come through opex, the current trend does not indicate that trajectory.

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Abhilash Sandur: So just to address that point, see this year, like I mentioned, market was tight and we have spent something on marketing dollars for deposit raise as well as the relocations, which Shrinani was mentioning and the new items which were built in. So those costs were baked

in. So that's why

you see a higher cost during this financial year.

So you don't expect a similar 25% growth in terms of opex the next year as well, because this has already been considered. So there's no every year growth of 25%. So more likely around 8% to 10% opex growth is expected, so not more than that. So this is a one-off year where we have spent a lot, because we had an IPO. We had spent on like the marketing dollars on the deposit side. That's why the cost has grown up.

Unknown Analyst: You're talking about 8% to 10% of opex growth versus your 20% balance sheet growth?

Ajay Kanwal: Yes. That's right. So over a period of time, like I said, 58% cost income, we're more closer to the 52 to 53 range. And we're talking about three-year timeframe. Purely to do with secured, more digitization and of course, Abhilash mentioned that this year was a bit of a slightly more heavier year in terms of cost. Shouldn't be what we should use in our modelling going forward.

Unknown Analyst: And the last question I have is your microfinance business. So first of all, from the quarter three to quarter four, any kind of iteration of collections in any of your geography? That's the first thing. And secondly, can you highlight your overall credit cost behaviour historically from your loan from BC channel versus your own underwriting in the microfinance business? What is the credit cost differential between the two channels of underwriting?

Ajay Kanwal: So first is the favourite question is Punjab, Haryana. We don't have a Punjab, Haryana problem.

Our collection in Punjab, Haryana on record for March for the B0 bucket was 99.5%. The reason why it is not a challenge is very early, so here team figured out that it was not going to look very good in the collection side in those two states. Around November, they basically pulled back the disbursements and put the entire team in collections. So typically we do in Punjab, Haryana about INR20 crores, INR23 crores a month of disbursements. We dropped it to INR5 crores and moved the entire staff into collections from November itself.

So while everybody thought things will get okay, we said, listen, because you know when you're in 24 states, slowing down two states and speeding up two states is very easy. So wherever we think there is no reason for us to kind of feel comfortable, we just detune this growth and move all the resources to collections.

And you see what the customer does, if he has paid one MFI, six EMIs, the other MFI he has paid 12 EMIs, the chance that the one he has paid 12, and he knows he can close the loan for sure, he'll pay first. So as long as you focus hard on collections, customers are always very good. They understand they need to continue to have a good CIBIL score. They certainly will continue paying.

On BCs, we have seen three BCs having slightly elevated NPA cost. And what we do with them is the same what we do internally is wherever. When we see the delinquency rising, we shut down disbursement in the branch and we put all the boys and girls in collection. We make sure that they fix it. Until not fixed, they can't do business. And then once they're ready, they can

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come out. Once they're ready, then we take a strategic call saying, is it only our problem or the entire district is overrated? Or is my geography or pin codes overrated?

If the answer to that is yes, then that goes slow, goes on for a very long time. And we try and figure out if we can grow somewhere else. See, if you take 2018 launch of bank to 2024 March, six years, our CAGR on growth is 3% in the six years in unsecured lending. You only grow 14%, because now we are very comfortable what we can see. But if you take a six-year CAGR, so for us, pulling back, if you're uncomfortable is very real and we absolutely are relaxed about it. And we watched that.

Raman mention

ed there is 30 to 40 people in analytics. That coupled with the MFIN and Sa dhan data is like a monthly exercise. Where is it heated up? Where should we go slow? Where we should go fast? And we keep monitoring that. So nothing extraordinary to report, honestly, from a microfinance perspective. Yes, during COVID, we did find that our BC performance was better than our own performance. And that is rightly so, because they're much closer to the ground. It was not a significant difference, but clearly there was a difference because they are much more localized. And they are, of course, very effective because the answer was running the businesses. Much different answers you get when you've got streams of layers doing it.

Sudhir Madhavan: So BCs, what we do is when we select the geography and give it to BC, he has to be localized in the area. He has to understand that area specifically. So it's not that somebody from South can go and open in North. He has to be local. So at the post COVID, their collection efficiency was better than ours, but now it's normalized. It's both of them in the same panel.

Unknown Analyst: And one small suggestion, presentations should include other income breakdown as well as the PNL details.

Ajay Kanwal: We will do that next time.

Unknown Analyst: On the strong note, the bank has closed the year on a strong note and hopefully perform better in future. All the best.

Ajay Kanwal: Thank you so much. Thank you.

Unknown Analyst: Yes, please. Market is given a salute to your results. Can you bifurcate today's profits and everything in a full format of net NPA recovery, how much it's -- and also LTA and what percentage wise in a year?

Ajay Kanwal: We have the recovery.

Unknown Analyst: Why don't you please help us? There is a PBT of INR514 crores. So out of that, any NPA recovery figures, because just a previous gentleman also told that bifurcation can be given if it will help to understand it.

Ajay Kanwal: Done. So we have given a bit here, but I think what we would also do is in the first line, break up into what was total provision versus total recovery. We will do that from next time.

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Unknown Analyst: NPA recurring and current, because at INR90 EPS, I think we have also not -- did we approach the RBI to give or distribute some dividend or we did not get a permission from the RBI?

Ajay Kanwal: No, we have not approached the Board for a dividend declaration.

Unknown Analyst: So what is your future plan?

Ajay Kanwal: So something that we will always keep evaluating every year as the bank progresses. As you know, we just raised capital at IPO. So it was not in our mind right now to go for dividend, but something that we'll certainly consider each year. It's something that we didn't think was right now, because we just raised some capital from the market, did want to use it for growth, but something we'll certainly consider each passing year.

Unknown Analyst: Also we are planning for a universal bank in current year, most probably.

Ajay Kanwal: So, like I said, we can only apply after next year's audited results. So more likely the May-June timeframe of next year, we'll apply for universal. What we will do in the following full one year now is be prepared for it, because there's a lot of preparation work that will happen. So I think we'll do the entire detailed planning. We'll also have to submit a plan. If you see the guidelines, they've asked when you turn universal, what you will do.

Unknown Analyst: So there will be some extra facilities to the customers or I think at many facilities, we are not currently offering to the customers.

Ajay Kanwal: So here is how I feel, there are some segments as a bank we don't address. Like I said, we don't have a credit card, something that we could certainly think of saying two years, three years out as a profit

moves up, and we have more investment ability available. We could think of other businesses, but right now we are not at all in that mode, which is why I said we will use the next six, eight months to prepare the clear plan. When we are ready after next audit results, we'll approach for universal.

Unknown Analyst: And if it is possible, can you just name the NBFC customers?

Ajay Kanwal: So from a customer privacy angle, I don't think so we can name the NBFC, sir. But certainly, if you visit any NBFC's balance sheet, they will tell you all the banks. And as you know, but all I can tell you these are not large exposures. And that is a design that we follow that we really want to be de-risked. You've heard the word so many times and you may not think that, why do these guys say it again and again? That's how our mind works.

Unknown Analyst: So any reason to reduce it?

Ajay Kanwal: Sorry?

Unknown Analyst: Any reason to reduce, we are planning to reduce it?

Ajay Kanwal: So our average ticket, I'll go there. Our average ticket size is about INR13 crores rupees. It's not a big, large exposure. And if I remember right, these are roughly about 40 customers. So spread

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across evenly, just small, small exposures. With people we think are good players. So none of our players are challenged.

The reason we slowed it down, because we had such good asset growth. And we said, listen, our MSME LAP, if you look at the growth rates, like 56%, 67%, 33%. When we are able to consume our own liquidity and our capital for our own growth, then we would like to then do a NBFC lending on a slower basis.

Unknown Analyst: What will be lending rate?

Ajay Kanwal: Yes, this one is about 11.5% to 12%.

Unknown Analyst: If it is, which are, if all the lending rates are given, it will be very much helpful?

Ajay Kanwal: Right. I think we had that chat internally, and we thought competitively is best to not show it. That's the only reason. But we did think about it.

Unknown Analyst: Thanks. Thanks for.

Ajay Kanwal: No problem, sir. Thank you. Yes, please. Can you give him the mic, please? Here you have the mic.

Ramesh Bhojwani: Ramesh Bhojwani from Meta & Vakil. First and foremost, sir, your all-encompassing presentation and results have exceeded the guidance which you had given, which is full marks to your team, which is working incessantly and continuously. And fortunately, you have brought out this page, which shows that your gold loan is the only one item where there is a negative CAGR, whereas the price of gold is touching 75K.

So this is one area with the kind of graduating a microfinance lender into a microfinance, into a loan taker. If we can focus, obviously, you are a banker. This will do wonders to your balance sheet. And yet again, next year, you will far exceed the guidance which you have given for the next year.

Ajay Kanwal: So first, thank you. And I fully agree with you. You have made my job easier with Sudhir, who's the business head, and I keep telling him that. But first, let me tell you why it is negative. It's a three-year CAGR. And during COVID, second phase. Our book was around INR650 crores. And second phase happened. And post the second phase, a lot of the gold loans are in urban and metro customers.

A lot of medication costs, a lot of deaths had happened. People needed the money, didn't have the cash. And our average ticket size is INR40,000, INR50,000. Yes. Right? So a lot of customers said, listen, we can't pay you back, please sell my gold. That INR650 crores, by September, if I remember right, had dropped to INR200 or INR300 crores.

We sold nearly INR200 crores of gold post -COVID wave two. And it's sometimes very tough to recover back, right? So, I mean, full sadness with our customers because they went through a tough time, but we had no other choice. It took us a bit

of time to come back.

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Ramesh Bhojwani: Very true.

Ajay Kanwal: We have seen, actually, if you ask me, last financial year, the first year of growth. Yes. But I think also, our own team, it's a bit of a heavy heart approach that we're really going back to gold because we've seen a very tough year. But now we've grown last year. We will see a lot of growth. I also think, like I mentioned earlier, when the microfinance boys are collecting and unless 99% is not reached, they have no other interest. Because that is like, grating criteria.

Now they are able to do 99 much earlier, so then they can go and sell gold and cross sell. We can talk to them. They are responding. In the past, they are not listening because they were like, sir, sorry, 99% not reached, we'll talk about gold later. Now that they are, so we should see gold grow and I absolutely agree with you. We have got a huge opportunity there. I must also tell you that we are very strict when it comes to valuation of gold. If our valuation goes wrong, our valuer has to pay. And we have debited our valuer every time we find a valuation problem.

Ramesh Bhojwani: Excellent.

Ajay Kanwal: And that is why our valuers make sure that if it is 18 carat, he will write 17.5, he will not write 18. Because if it turns out bad, he's got to pay the bill. So on the gold side, yes, we are a bit tight. Have been so all along. But now I think we should be able to grow. But thanks so much. And I completely agree with you. Sudhir, unless you want to add that.

Sudhir Madhavan: So last, start of the year, we had a balance sheet of INR230 crores. Last year we closed at 298. The first time we actually grew by INR60 crores. So the trajectory started. So we built up a new, hardcore gold loan vertical. The gold loan structure itself. So there are two kinds of vertical. One is a cross sell which comes through the microfinance team. And there's a gold loan vertical which does open market gold loan so both of this combined together. So this year, I think we will have a much better trajectory on the gold.

Ramesh Bhojwani: You can see a four figure AUM only from gold. Hopefully. Hopefully.

Ajay Kanwal: Yes. So basically about 350 branches do gold.

Ramesh Bhojwani: Yes.

Ajay Kanwal: If you did about INR3 crores to INR5 crores average per branch, INR1000 to INR1500 crores book he has to do. So please remind him every time you meet him, right?

Ramesh Bhojwani: But the other thing is you are doing very well in two-wheeler loans. And there was a passing reference in your presentation to introducing four wheeler loans. Four wheelers have seen a phenomenal growth in the current closed financial year and in the year previous to that. And there is no letting up going forward. So four wheeler loan segment should be the next logical step according to me.

Ajay Kanwal: Okay. So one is I must give credit to Pradeep. Pradeep has built his business and I must say that it's been a tough life for him because he just began when COVID began. So never an easy time when you want to grow and you want to keep the book healthy. Our bias I'll tell you. You heard Jana Small Finance Bank Limited

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Rincoo saying, I have LTV. I'll give him a 100% LTV. I'll give him a two-wheeler. Our next bias is to do a used two-wheeler and a used car.

Because I have the property LTV available for customer convenience. I know his cash flow. I can get better margins and more importantly the customer needs seem to be pointing out towards this. So our bias is used two wheeler used car and then cars in that order, but we are also a bit conservative. See sometime good things also have some pressure points. We are in 180 cities. We never launch 180 cities one shot. We do 30 cities settle it down then we do 30 cities, settle it down. So we are a bit of a slow burn

So example two wheeler now is in how many cities? So when we launched two wheeler, we have done 102 cities. We are actually present in 180. So Pradeep has to take two wheeler business to 80 more cities which means his business will keep booming and growing very fast because as he opens cities his volume will keep growing. Then we'll do the same with used two wheelers, 30 cities, 30 cities, but we don't try and make things go wrong.

Our bigger bias is that. But yes, that's how we are thinking right now from customer survey it is two wheelers, used two wheelers, used cars and then new cars that's our hierarchy from affordable housing, micro housing customers. We don't want to put up a new used car refinance separately and standalone. That is not our interest because that will be very difficult one to sustain.

Unknown Analyst: Sir, one last observation. You said with respect to branches the branches which are not doing well in certain areas or territories you move them to the areas where there is excellent and adequate growth prospects. So you just shift instead of adding branches you shift the branches from a non-performing zone to a very extremely well-performing zone is a very well thought out and a very innovative strategy according to me.

Management: So two things have happened to be also candid. See one that is a very natural thing to do, but for us what happened we were an urban microfinance. What that forces us to do is we are in cities but not in spots where there is money. We started detuning urban microfinance. So what should I do with the branch?

I already have the branch manager, but of course I do have to have different liabilities up. We then start relocating these branches. What happens is you're spending say INR50,000 in the rent. You move to a different you spend 1.5 lakh. So incremental cost is a lakh, but then all the

network, etc . all the hardware gets used up.

So we are doing that consciously and with Shrini's and Sudhir's help what they do is we have got a branch committee. So Shrini's team along with premises will look for a branch. Sudhir will agree or Sudhir will say, listen it is a city branch, I'm not interested. Then Rincoo, who's our Affordable Housing Head will say yes or no I want some space or not. So it works very well. Touchwood we are very conscious. It's basically you can expand fast, but it's a cost. So we are very careful on cost.

Unknown Analyst: Thank you and all the best.

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Management: Thank you so much. Okay, who would like to go next?

Unknown Analyst: Congratulations on a good set of number. My question is just I wanted to know about your balance sheet is likely to grow by 20%. Your operating expenses is likely to go by 7% to 8% if not wrong. So how are you going to manage when we are in a growing stage? We need to invest on opex also, digitalization also. First question. Second question is I just wanted to understand more about your return on assets. How the return on assets profile would be over the next 3 years to 5 years?

Management: Opex question, I think the growth rate we said around 8% to 10%. So that's the number which we had mentioned. So that is the trajectory which we are looking at. So like I said this year was an aberration because we had a higher opex this year, which FY24 year gone by. So next year onwards, it will normalize around 8% to 10% growth. So that's the number which we are looking at.

Unknown Analyst: This is only for next year?

Management: So growth rate is around 8% to 10%.

Unknown Analyst: We are already in a growing stage 20% growth for the next 5 years. It's a very significant growth. The bank would be almost 3x from this level. And for this, we have to invest on digitalization also and already we are more into retail loans. So that also requires significant investments for your marketing promotion and

all. So I just wanted to understand how this is possible when this according to me if 20% balance sheet growth then there should be a 25% or 30% growth in opex. So that will push up your COI, but the same time according to you COI will come down. How is it possible, that's what?

Management: So one interesting observation in this slide, you look at the first that left side of the thing.

Whatever branches we open, we open 246 branches and if you go to the average casa book and average deposit book that is only 1.8 crores and 9 crores for deposit. As you move to 3 to 4 year that grow exponentially. So my liability business will be funded by that, although I don't have to incur any cost on that. So that answer, that is what Abhilash is trying to say.

Similarly, on the liability side as I mentioned that we are moving progressively in pilot basis.

We are not launching the product in 180 cities we operate. In some product, we are at 102 cities, in some product we are at 50 cities. In some product, we are at 160 cities. So that will take care because we have already absorbed the cost. So that is how we are showing a 20% of growth for next 5 years on the balance sheet size. However, on opex side we are not showing that growth.

Ajay Kanwal: See the other piece on the asset I must, so Gopal has explained and I think your cost of the branch remains the same, but as a branch matures your size goes up. So second box casa will go from 1.8 to 3 just on same cost, same number of people. As the customers get more confidence as they experience you, as you collect more customers, the balances grow both on casa and deposit.

That is one.

Second, remember, I must tell you from where we are, roughly we grow secured assets about on a net basis which means total new sales minus runoffs, minus pre-closures between INR400 odd

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crores, let's say on an average, even as we speak. So you do, this is net, not gross. Gross is about INR600 crores to INR650 crores. INR250 crores is about runoff. If you multiply 12 into four, it's INR4,800 crores, which is roughly 20% of our asset book. That we do as we speak with no cost increase. So in a way, if you want to grow beyond 20, we will invest in more asset people. Otherwise, right now, as we speak, we could very well end with a salary increase, we are flat and we are out with 20% growth.

Where we need a bit of money and hopefully less of that is on the liability side marketing. But we will certainly see a slowdown in the cost growth next year, like Abhilash mentioned, because asset doesn't take too much marketing. And where we are in a volume sense, 20% is current run

rate. So we should be fairly okay on cost.

Unknown Analyst: How would we see a return?

Ajay Kanwal: ROAs. So, see, as your credit cost comes down, which it will, right? And if you see a credit cost last year, it's taken away all the, like Raman showed you, restructured unsecured, which used to be 6% or 7% of the book, is down to like INR12 crores. So all the stuff that has to flow through, had to provide is all done. We don't have any big ones coming in because there is nothing left there. So you'll see a change in the credit cost.

You will see cost income ratio get better. And hence you will see an ROA, which we have given you a guidance, which will not be difficult to sustain. We would be very careful to come here and tell you a number we won't do.

Unknown Analyst: Okay. Understood. Thank you. One quick question. I think we registered a very robust growth in deposit. What was the incremental cost of deposits?

Ajay Kanwal: Yes. So it is there in this slide.

Unknown Analyst: Understood. I'm sorry. Incremental deposit cost.

Ajay Kanwal: Yes. So it's not a small increase. If you see this line, 80 basis points. Okay. Now this is very close to where the new money is coming. So because deposits

typically end to be like, your

average maturity is about 1.4 to 1.6 years. So as the jump in deposits began, most of the deposits matured and repriced. So now we are seeing a similar level. We don't see a jump from 7.8. The other piece really mentioned is very important. See, 90 plus % of his bulk and retail are more than one year tenors.

Now that's very important to us because you all need a good night's sleep. In bulk, his entire increase is from non-callable deposit. That also costs money. But that's the money we want to spend. Because what it buys us is de-risk. Nothing can happen on a liquidity side. And nothing can happen on a capital side. On both these, banks have to be comfortable. At least we would like to be over comfortable slightly. We have finished March with a INR2,422 crores of surplus cash. We do that because that kind of amount of surplus we would like to maintain. It is a cost of carry we are aware. But I rather have that, rather than not have it. So there is a bit of conservatism there. It could help me in the P&L if I was less conservative, but we don't want to chance it.

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Unknown Analyst: Thank you so much, sir. And all the best.

Management: Yes, thank you. There are two gentlemen here.

Unknown Analyst: Thanks. Ajay, firstly, thanks to you and the entire management team. And thank you for taking the initiative to invite everybody to join you. My question is very simple. Are there any things that you worry about?

Ajay Kanwal: So I would invite you to my office in Bangalore. I sit at a desk because like I said, it's open office. Everybody's got a simple desk. There are no cabins. But my right-hand side, there is a cabin. And that's the cabin where all my meetings typically happen because I'm sitting just next to it. The name of that cabin is Paranoia. It has been there for two years. And if you are running a bank, you should always be worried. And if you are in 180 cities with 21,000 employees running a retail business of 54 lakh customers, there is no dearth of excitement. But Yes, I mean, we enjoy it. But yes, we are always anxious.

When I say we are conservative in liquidity, there is also a sign of anxiousness there. Otherwise, I don't have to be conservative. I must tell you that in a way we are blessed because if you see the bankers, they're all 27 years of experience.

And the question is, why would they want to come and work for Jana? They're all working in other big banks. I think all of us share a passion that we are building a bank, which we can all look back and saying, we are very proud of what we've built. And the same amount of worry, I guess, in different quantities and different natures are there in the entire management team. Now specifically, we do what is the top five risk. So I think one is always technology. We haven't changed. We haven't had a problem. But it's never been out of my top five risk because that is one thing I can't predict. So we are always worried about cyber security, digital resilience, and operational risk.

We are always, digital has been our single steady one. Used to be NPA and COVID, now it is gone. Before IP used to be capital, now that is also gone. Now we are focused a lot on operational risk and frauds. Well, as you see, if you're in 21,000 employees, to say that all 21,000 are perfectly honest is unlikely. Now we have to figure out who is that one odd person, half % who thinks he can get away. And we have to keep looking for him every day. So we have a full-time fraud control unit. We have full-time vigilance unit who keep looking for the folks in the system who want to take a shortcut or be corrupt, so to say, right? So that's the other piece you're always watching, where is the moving parts in the business, whether it is an outside value or an inside

salesperson, we have to be very conscious

of that.

The final piece is just to make sure that everybody does, we measure everything on a very regular basis. So Raman mentioned that the deck, it's a deck of at least 40, 50 pages per product per month, slicing, dicing, everything, so that we know where are we making mistakes, so we can correct. It's unlikely we won't make mistakes. Making small mistakes is better. And when you make a small mistake, you find that this particular area or district or particular criteria or particular valuation agency, any parameter is bothering you, you just say sorry, you just cut it off and move on. You will take a marginal loss, but that's part of the business. But that we do

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literally just every month. So, yes, we are always looking for problems. And in our business, we always get them. But I guess we're used to it.

Unknown Analyst: Got it. Thank you for a very detailed and candid comments and all the best to you and the entire team. Thank you so much.

Unknown Analyst: Thanks. Excellent result, congratulations. I have once, you mentioned on the liquidity side and see your, I observed your AD ratio, advance to deposit ratio is in excess of 100%. 102%, 103%.

Plus your long, the secured assets, which is more long term, which is now going to go from 60% to 80%, right? What is the guidance on the AD ratio? What because that will be a big challenge for you because that is going to cost you also from a cost point of view as well as from liquidity point of view. This is a very, since what is the guidance on that? That's okay.

Ajay Kanwal: So I will take again a bit slightly longer answer, but I'll try to explain. So I think Avinash has tried to allude to it saying, I'll give you a real example. National Housing Bank has given us refinance. They have given us 10 year loan at a price which is lower than a deposit price of a one year deposit. We tend to borrow from three refinance agencies, which is NABARD, SIDBI and NHB. And roughly that's about INR5,000 crores of my book. And that amount of asset is allocated to them. If you add that into my CD ratio, my CD ratio is 86%. Now, second choice. We say, no, we will not count refinance. We'll raise, bring down the CD ratio, say to 80%. Then I'm forced not to borrow from them because then I have so much surplus cash. Because if I borrow from them, INR5,000 crores plus CD ratio 80%, there's too much money, right? So our bias is let's keep the borrowings live. Let's make sure that we are bringing a CD ratio below 100. But if you bring significantly down, then we only have one choice. You have to return back all the refinance, which actually is very good for the bank because longer tenure is really helping us on the ALM maturity side. So that's the one piece.

The second challenge is can we grow fast? Yes, we have proven that in the most difficult year, we can do 38% growth. So when the years are not so difficult, we can do much higher. So I think deposit growth rate is not a problem. The third very important piece is the actual life of deposits, right? The actual study done by us is showing that our deposits have 90%, right, Raman? Can you just talk about that?

Krishnan Raman: Basically, each of the deposits we measured actually, it can extend by up to one year beyond the original maturity. That's really the way that -

Unknown Analyst: What do you mean core deposit, like 12 months?

Krishnan Raman: Yes, 90. Core deposit, right? Yes, core deposit is about 90% and is rolled over.

Unknown Analyst: Do you have benchmark of advances to core deposit in future? Like how do you want to - Sorry?

Krishnan Raman: Sorry? Advances to core deposit in future.

Ajay Kanwal: We haven't looked at that, but clearly see parts of deposits are clear in our minds, which is if we choose to grow another 38% this year, there is every ability for us to do it. But then

my decision

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point is a 10-year refinance with no SLR CRR at 7.5% versus a one-year deposit at 8.5%, right? So where is the banker's answer here, right? And two, we are also talking of an institution which is a government institution, which we have seen perform absolutely fine during COVID. So that is where the real need for should we really drop CD ratio beyond a point and just pay a price for it? Because it'll also spoil the ALM maturity. It'll also increase the price. And should we go there? Our bias currently is not.

So we wanted to talk about surplus liquidity because it tells you that we are very comfortable and we have a conservative bias. But where we find that 10-year money is available, now about a seven-year money, should be a seven-year money, then walking away from it is not, I think,

the ideal thing for us.

Unknown Analyst: Sure. So one more question on the Q4. I understand you have a significant SR on your books.

Ajay Kanwal: Yes.

Unknown Analyst: Do you have any guidance on collections on the SR side?

Ajay Kanwal: So you want to go ahead? Okay, please.

Krishnan Raman: We've done our analysis by cohort of origination of SRs. We've looked at the SRs and what kind of collections. We track that on a regular basis. The oldest SR, in two years, we've collected about 60%. Collected or normalized. So we believe that that's the kind of collection trends that we are getting. Plus, most of the SRs are secured where my LTV is pretty much in line with the LTV on my NPA book, around 51 %, 52%.

Unknown Analyst: And you have taken an adequate haircut on the SR?

Krishnan Raman: We have taken an adequate haircut.

Unknown Analyst: Thank you.

Management: Any more online questions left in the audience.

Management: Yes.

Management: You want me to read them out? I can read them .

Gautam Jain: Hi, good evening.

Ajay Kanwal: Good evening.

Gautam Jain: I'm Gautam Jain from G C J Financial. Can I get the slippage number, sir? The slippage for each of these four quarters of this year?

Ajay Kanwal: Not ready with the answer, but let's see if we can put it together and put it on the website for all of you, yes.

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Gautam Jain: Okay, and secondly, can we get the breakup of non -interest income again for the last four quarters?

Ajay Kanwal: Okay, that was other request also from the gentleman up front. We didn't bring the other income. So, let's also see if we can put that up, either today or at least we'll try and put it up by tomorrow on the website.

Gautam Jain: Okay, and the third question is, when we gave our guidance in the slide, so we are saying 20% balance sheet growth, deposit and loan. So, this is for the next one year, two years, or it's a long - term guidance we are giving?

Ajay Kanwal: So, okay. Now, I will also try and address something which was probably why you want to...

Gautam Jain: And the related questions are why we are saying 30% to 40% PAT growth and why still after 30% - 40% PAT growth, why the ROE remains at 21, 19 to 21?

Ajay Kanwal: Okay, fair. So, let me start with slippage ratio. We don't have the slippage ratio, etc etc. But all I can tell you is that we, if you look at the NPA of what Raman has shown, where I think 58% of all net NPA secured, you should not expand. And we did talk of our collections, even in the month of March being 99% plus, you should not expect any negative surprise on the credit quality of the bank. So, that's the first thing.

While give you the slippage ratio, but I think with that you will find out what is my credit quality expectation for next year. I'm already giving you the answer. You can, the number will also convince you of that. So, that's number one. Secondly, on other income, there is no significant other income which will drop of

f next year. So, our other income that we have seen this year, we have seen no significant one -off.

So, other income will sustain and get better because a lot of the other income is insurance sales, etc. So, you will see a trend line of other income growing up. There is no surprise in other income saying, oh, this is true this year, won't be true next year. We'll give you the breakup, but I just thought I'll give you that comfort since we are together. Now, the final question was on? On my ROE, which you just asked.

Gautam Jain: Now, what I've said here, I'll just put it up and see where we are off ?

Ajay Kanwal: So, I think this is fairly good growth to expect, 20%, 20%, right? Can ROEs do better than this? Possibly. We just want to put this number up front because that's a base minimum that we would like to do.

Gautam Jain: The Horizon of this growth, I mean, time Horizon. This is the horizon.

Ajay Kanwal: So, our horizon is near term. We are looking at the next three years.

Gautam Jain: Okay. So, impact growth for next three years, 30 % to 40%?

Ajay Kanwal: Which is why I mentioned earlier, I didn't put a guidance here. I left guidance as a word.

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Gautam Jain: Okay.

Ajay Kanwal: But remember, more than the numbers to us is the top piece here. I should grow my secured business proportion each year. To me, that is more important than the 20% growth. If I have to grow 18%, I have to grow secured higher. I will go for secured proportion as to grow up. It is the nature of the book that is more important than the pace of growth. I will still try and do this in my best effort, but I really want us to remember that for us, I'd rather do a 15% consistent ROE than I do a 20 and a 14 and a 15 and a 17 and a 21.

Our bias is to bring consistency and predictability in our business. So, to me, the numbers are numbers, and we will meet the numbers, but I have to meet them in this manner. I could grow, for example, microfinance industry grows at 30%. It's very easy for me to grow 30%, but that is not our bias. That's all I'm just wanting to add to that.

Gautam Jain: Okay. And the final question is, we have said that we'll maintain margin around 8% despite our secured book growth, right?

Ajay Kanwal: So, I said this, three years out when secured becomes 60 to 80, and we're assuming these all as a number that you could test out. 80 could be 85 or it could be 75. We don't know how the customer need pans out, but directionally, we are moving to more secured. We've used 80 as a benchmark.

So, in three years, the NIM drops by 50 basis points if I turn 60 to 80 basis points, 80% secured. But at the same time, if CASA goes from 20 to 30, then the NIM drop is only 30 basis points because the cost of funds will come down. If you add to that, then our cost income improving, then most of the negativity will become a positivity in terms of what it can do to PAT.

Gautam Jain: Thank you and all the best.

Ajay Kanwal: No worries. Thank you so much. I will now read some questions from online audience.

Sudhir Madhavan: Just a statistic, sir. There are about 63 plus participants who have joined us online as well.

Ajay Kanwal: Okay, so the 63 participants have questions, but I guess the people who have come here physically have covered some of them. So, I think we've already given a guidance on growth.

This is from Shailesh from Centrum.

Growth, credit costs, return profile. I wanted to understand tax benefit in detail, which also we have given a slide. And the highlight of that slide really is that you've got another INR800 crores of deferred tax asset which you have to absorb till 2027, which something all of you can now comfortably decide how much you think we can absorb and build that in our network upfront or as time passes as you may choose, but that's very clear -cut now that it is coming out

the way.

ROE guidance, we've already given. Without taking into account the impending DTA benefit of INR800 crores plus, this is from Rajkumar. Rajkumar, so my CFO is challenging all of us. He's saying that the guidance we have given is without the DTA impact, so we have to work harder. Jana Small Finance Bank Limited

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So that is the answer to that question. Anything which happens on DTA is going to be on top of what we have told you, which possibly means that 1.8% or 2% will look like a 2.5%, correct?

Okay, some people are complaining that they can't hear much, so apologies for that, which is Utpal Mehta and Sanjeev Damani. And I think we are more or less, all other questions are covered. Okay, so we are done here. Any last questions or you are most welcome to talk to any of us, 10 of us? There is a question, okay, please. Yes.

Unknown Analyst: Hello. Sir, just wanted to know your MFI book exposure in top five states and percentage in those states?

Ajay Kanwal: Top five states, Sudhir?

Sudhir Madhavan: Top five states are Tamil Nadu, Maharashtra, Karnataka

Unknown Analyst: Percentage of exposure?

Sudhir Madhavan: Not a single state is more than 13%. The maximum is Tamil Nadu, which is around 13%, rest everybody in the range of between 10% to 12%.

Unknown Analyst: Okay, thanks.

Ajay Kanwal: Okay, sorry. I know it's five minutes to seven. All of us are here for both cocktails and dinner.

You can talk to any of us, ask any question that you feel necessary. And thank you so much for coming and do have a good holiday tomorrow and catch you at the next conference. Thank you, bye-bye.

Call: Jul 2024

Registered Office:

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JSFB/SEC/2024- 25/69

29th July 2024

National Stock Exchange of India Ltd.

Exchange Plaza, C -1, Block G,

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Mumbai 400051 . BSE Limited

Phiroze Jeejeebhoy Towers,

Dalal Street,

Mumbai 400001 .

Sub: Transcript of earnings call for the quarter ended 30th June 2024

Ref: Regulation 30 read with Part A of Schedule III of SEBI (Listing Obligation and Disclosure Requirements), Regulations, 2015

Dear Sir/Madam,

Please find attached transcript of earnings call for the quarter ended 30th June 2024. The same will also be uploaded in the website of the Bank at www.janabank.com .

You are requested to kindly take the same on record and oblige.

Thank you

Yours faithfully

For Jana Small Finance Bank Limited

Abhilash Sandur

Chief Financial Officer

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“Jana Small Finance Bank Limited Q1 FY25 Earnings
Conference Call ”

July 22, 2024

MANAGEMENT : M R. AJAY KANWAL – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER

MR. ASHISH SAXENA – CHIEF INFORMATION &
DIGITAL OFFICER

MR. GOPAL TRIPATHI – HEAD - TREASURY AND
CAPITAL MARKETS

MR. KRISHNAN RAMAN – EXECUTIVE DIRECTOR AND
CHIEF CREDIT & COLLECTIONS OFFICER

MR. PRADEEP REBELLO – HEAD TWO-WHEELER
FINANCE

MR. SUDHIR MADHAVAN - HEAD, RETAIL FINANCIAL
SERVICES (ASSETS)

MR. ABHILASH SANDUR – CHIEF FINANCIAL OFFICER

MR. RINCOO VACHHA – HEAD, AFFORDABLE
HOUSING LOAN AND MICRO HOUSING LOAN

MR. SHRINIVAS MURTY - PRESIDENT & HEAD -

BRANCH BANKING & MARKETING
MR. TAMAL BANDYOPADHYAY - SENIOR ADVISOR
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Jana Small Finance Bank Limited
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Moderator: Ladies and gentlemen, good day and welcome to the Q1 FY25 Earnings Conference call of Jana Small Finance Bank Limited.

As a reminder, all participants will be in the listen-only mode. There will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal an operator by pressing "*" and then "0" on your touch-tone phone.

Please note that this conference is being recorded.

I will now hand the conference over to Ms. Savli Manglik from Adfactors PR, Investor Relations Team. Thank you and over to you, ma'am.

Savli Manglik

: A very good evening to everyone and a warm welcome to the Q1 FY25 earnings call of Jana Small Finance Bank Limited.

From the Senior Management we have with us, Mr. Ajay Kanwal – Managing Director and Chief Executive Officer, Mr. Ashish Saxena – Chief Information & Digital Officer, Mr. Gopal Tripathi – Head Treasury & Capital Markets, Mr. Krishnan Raman – Executive Director and Chief Credit & Collections Officer, Mr. Pradeep Rello – Head Two-Wheeler Finance, Mr. Sudhir Madhavan – Head Retail Financial Services (Assets), Mr. Abhilash Sandur – Chief Financial Officer, Mr. Rinko Vachha – Head - Affordable Housing Loan and Micro Housing Loan, Mr. Shrinivas Murthy – President & Head, Branch Banking & Marketing, and Mr. Tamal Bandyopadhyay – Senior Advisor.

Before we begin the conference call, I would like to mention that some of the statements made during the course of today's call may be forward-looking in nature, including those related to the future financials and operating performances, benefits and synergies of the Company's strategies, future opportunities, and the growth of the market of the Company. Further, I would like to mention that some of the statements made in today's conference

call may involve risks and uncertainties.

I now hand over the conference over to Mr. Ajay Kanwal. Thank you, and over to you, sir.

Ajay Kanwal: Thank you so much, and good evening to everyone. I am going to start straight into the executive summary in the presentation.

I am going to refer to the Presentation pages so we can all be linked up. And on pages which have pretty much the same data that it had in the last analyst meeting, I will run through them pretty swiftly. And I will focus harder on where numbers have changed or there is something important for us to report.

So first, let me tell you that it's been a very solid and strong quarter for us. Our deposit growth rate, which has been a lot of discussion in the industry has on a year-on-year basis grown by 41% and a quarter-on-quarter growth of 5%. Time deposit quarter-on-quarter is a 4%. And very importantly, and you can hear from Shrini, the strategy, our CASA quarter-on-quarter growth is

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9%. So CASA has grown faster than our TDs. And as you can naturally expect, the CASA ratio, which was 19.7% in March, is now at 20.4%.

Advances, 25% year-on-year growth, 4% quarter-on-quarter. So deposit of 5% quarter-on-quarter, advances of 4%. Now the most important one. Quarter-on-quarter asset growth is 8% for secured assets. Unsecured is minus 1%. So while we have grown 4% in the first quarter, which is normally a harder quarter to grow things, our secured has grown 8%, unsecured minus 1%. So we continue with our strategy of growing secured assets in the bank. And I must say that the secured asset percentage which was 60% in March is now at 62%. So our secular move towards secured assets at the bank continued robustly in quarter one. Our capital adequacy is at 19.3% with Tier 1 being at 18.2%. I must tell all of you that if I added the interim PAT, which is roughly about Rs. 171 crore, this capital adequacy would be at 20.2%. As we all know, these are limited reviews and these are not full audits, which is why we don't add the profit into capital adequacy, but I am sure you folks will take that into account when you look at capital adequacy.

So while deposit growth rate has been strong, our LCR is at 296%. Our profile of deposits. And we have same details that we had for you even in March, showing what is non-callable, what is more than one year, how much is retail, and that will show very strong, robust liability profile

of the bank. Our ROA is at 2.1% for the quarter and an ROE of 18.8%. Now the ROE does include all the equity that has come in during the IPO, which is the first full quarter of the equity infusion for the quarter. If you take quarter four last year, the equity infusion was during mid-quarter. Q1-FY 25 is like with the full quarter of equity coming in. The one homework that we have from first quarter is a slight increase in our GNPA. It's essentially driven from not having full-scale burst in collections. Certainly, given that we had elections going on which does cause slowness in the way things are done. First quarter is seasonal, and we have seen a small stress in our Business Correspondent (BC) book in Microfinance. Having said that, something that we know will get sorted out, and something that is event-driven and seasonal for us. With that, I would like to then take you through more details of year-on-year, just so that we have a very clear understanding on PAT. Let me tell you our PAT is at Rs. 171 crore after we have created an additional provision of Rs. 54 crore and added a net DTA of 10 crore. So if we had not created the provision, you could have added Rs. 54 crore to our PAT, but the DTA has helped us with 10 crore. So please be very conscious of that, of how we have decided that we will continue to create a good buffer of provision as we go along and the bank grows.

I am moving on to Slide # 3, that gives you the year-on-year growth. Some interesting ones here that you should know is that last year quarter one we didn't have any DTA. So, Rs. 10 crore is additional this year. Hence what you will see on the first line is a PBT of 77% growth, because PAT does have DTA and we didn't want to get that number wrong. And here you can see robust growth also, where I would like to point out asset growth, which is 25.1%, but the secured is now at 62%, same time last year was 58%, that's very important to us. Our liability is at 8% cost of fund, it has gone up from 7.5%, but interestingly if you go to the second last column of ratios, last box is NIM. Cost of funds is up from 7.5% to 8.0%, NIM is up 7.6% to 8.0%. So while we did have an increase of cost of funds, we did improve our asset mix and NPA, which means less

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interest in suspense, has made sure that our NIM remains healthier than what it was last year.

Other things to point out of course is, I already mentioned gross NPA, you can see a provision coverage of 62.7% and the capital remains strong and healthy.

I will now move on to the quarter on quarter, which is Slide # 4. We have done both so that it makes it easy for all of you to do the numbers and have a look. Here again, asset and liability growth, both have seen a very balanced, where of course, depositors have done better. Cost of funds is up from 7.8% to 8.0%, and NIM marginally down to 8%. It's a bit of function of, I think, not a change of mix, but more of slightly elevated NPA. So we should remain healthy at 8%, even as the few quarters pass. The other thing that I would like to point out here is, we have had a few closures of our unbanked rural branches, which is why you will see the number of outlets, 808 to 780. And we have been trying to get these outlets sorted out for some time. We finally managed to do them this quarter. So that's another important piece I thought I will mention. Capital adequacy, which is column #4 at 19.3% doesn't include the profits of Rs. 171 crore. Like I mentioned earlier, if you added that profit back, then you would be at a capital adequacy of 20.2%. Very important because, are we well capitalized? The answer is yes. And as you know, majority of our capital which is nearly 90% of our capital is in Tier 1 capital.

I will move on to Slide # 5 which talks of the franchise. Again, just as an introduction to folks who are coming first time to our analyst meeting. So we are a national franchise. We are in 24 states. We are geographically well distributed. Our unbanked rural center which you can see is on the right-hand side of this distribution of bank branch presence in unbanked rural is the title. Due to some closures of UBRs which were not working for us, you have seen a drop in UBRs. But as you know 25% is the norm for scheduled commercial banks, however, we are at 34.4% enough and more room for us to grow. And next to that is our presence of MFI through BCs. Like I mentioned, some of our BCs have seen some stress. They have focused their entire mind and soul and body in collections, which is why you see BC had a slower growth, or I should say negative growth in the first quarter. And we will see much more detail when we go to the MFI page which Sudhir will lead. I am moving on to Slide # 6. This slide is an important slide because it tells you exactly what is secured in our bank, what is it growing at. So the 62% secured composition is right here. Micro LAP continues to be our biggest secured book at Rs. 4,910 crores. The average ticket size of this book is at Rs. 6.3 lakhs. Our next biggest business is affordable housing. That is at Rs. 4,738 crore. So, we are small moments away from hitting the 10,000 crore mark which Rincoo leads as a business. Our MSME business,

which has grown 5% in this quarter, is a Rs. 3,486 crore business. So top three businesses with the top three growth rates. There are of course faster growth rates like two-wheeler and gold, but they're smaller businesses, hence the percentages

are better. We've also grown NBFC in the first quarter. As we have mentioned in the past, it's a tactical business for us. Normally, when we have too much liquidity, we tend to do a bit more of NBFC. And as the momentum picks up in our Q2, Q3, we tend to do less of NBFCs.

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Last line you will see the unsecured advances, which is a negative growth of 1.2%. And you will see the breakup of what is BC and non-BC. Again, something I wouldn't say that minus 1.2% is going to be the trend. I think we will see stabilization of the BC collections in Q2. And you could then start seeing a nominal growth. I just would like to remind everyone that Jana's unsecured growth between the day we started the bank in March 2018 to March 2024 is roughly about 2% CAGR. And that has been a strategic answer for us. And the whole mindset that we need to turn more into a secured bank with 80% secured assets is a very strong and important one for us.

I am moving to the next page, which is page #7. This basically shows you that even in the toughest times of COVID, we have grown, secured book continues to grow. And on the right-hand side, you will see the distribution of states. We have very good presence in all the key markets and Maharashtra, Tamil Nadu, Karnataka, Gujarat continue to be our top 4 states with maximum concentration being 13%. So our design to remain geographically unconcentrated continues to hold true. And we are working on that every passing quarter and it's working well for us.

Best in class risk management, we'll talk more about it probably as we go through the gross NPA, but no major changes. We continue to be steady. We do have one new version of scorecard coming in. So we are getting better at what we do in terms of both the scorecards and the way we do analytics. But other than that, we are pretty much sorted out on the risk management side.

I will now pass on to Sudhir. Sudhir looks at what we call RFS, which is Retail Financial Services, where the primary book is MFI and Gold Loans. And he'll talk to what the portfolio looks like for us. Sudhir, over to you.

Sudhir Madhavan

: Thanks, Ajay. Good evening to all of you. As the slide shows, we actually did de-grow by 1.2%.

Historically, internally, we have been very conservative in lending. So, last year the growth started for us for the BC portfolio. So, last two quarters, we saw some kind of a stress from the BC book on account of rural distress. So consciously we started making sure that they slow down their businesses and continue the focus on collections. So if you look at this quarter, the primary degrowth has come from the BC book. What we have done is we have actually made sure that they refocus their energy from the collections and start building the book on them. And we expect that this trend will get normalized within a period of one quarter itself. The other factors like digital payments continue to be our focus. We currently are 23% which are digital in nature. Our ATS are very much more in control limit of around Rs. 36,000 till date.

Let me go to the next slide #9 just to give you a portfolio mix, it's a very healthy kind of a portfolio mix. Across the Rs. 9,800 crore book, 56% of the book are existing customers. And almost 33% of the book what we have actually taken more than 3x the loans. So it's a very healthy kind of a portfolio mix. And we know that this portfolio, because of the focus on retaining existing customers and building an existing custom book, which has a very good payment track record, should actually be a very sustainable and a long-term

sustainable strategy

for us. Now over to Rincoo to speak more about the anchor banking projects what we launched.

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Ajay Kanwal : Before Rincoo goes live, I just realized that I was looking at the slide, the page numbers have gone missing at least on mine. So if it is true for what you can see also on the website, we will now just to make sure that we are synced up in what we are saying and what you are hearing. We will also tell you the title, very short title of the slide. So Rincoo now takes over Home 360 as a slide. It says "Bring Your Bank Home." Rincoo, over to you.

Rincoo Vachha : Yes, thanks Ajay, thanks Sudhir. A very good evening to all of you. Myself Rincoo Vachha and I manage the Affordable Housing and Micro LAP business for the bank. As a bank, we started our Affordable Housing business around 5- 1/2 years ago. And this business, over a period of time, has evolved as Home 360, as you can see on the slide.

So let me just briefly explain about Home 360 as a concept. If you look at Affordable Housing competition landscape, the main players would be typically various established housing finance companies who have the expertise in serving the semi-formal or informal segment customers. But these are all single product companies. Although we started off on the same lines, but we

always knew that being a bank, we have a very distinct advantage over single-product housing finance companies, wherein we have a suite of products to offer, be it on liability side, asset side, or insurance side for that matter. Once we got a foothold in affordable housing lending, we decided that, no, let's just not sell home loan, but all the products which suit customers belonging to our segment. Now this thought process and conviction in serving the customers led to the evolution of Home 360 strategy. Under Home 360 strategy, housing loan would act as an anchor product and a very strong enabler for selling multiple products to the same customer. For every individual owning a home or a property is an aspiration and all his life stage decisions are anchored around it. So the customer takes a home loan from you and if you serve him well, nurture the relationship, it could last for as long as 15 to 20 years and that may extend to the next generation also.

Now how does Home 360 help the customer? A) He doesn't have to go to multiple banks or NBFCs for his varied financial product requirements. Here we are explaining to the customer how Jana Bank is a one-stop shop for all his life stage financial needs and how he can bring the bank home. That's what the title of the slide suggests. B) Ease of lending. I mean, you pick multiple products from one bank, your track is established, need for repetitive onboarding and due diligence is done away significantly. The digital transformation and customized scorecard, which Raman will speak about a little more, which is devised post-extensive research, has only made the transition from home loans to Home 360 faster and better. So all the products which you see mentioned here complement each other, giving us a big competitive advantage. For example, a two-wheeler loan with 100% LTV, now this is one of a kind offering across the industry. We saw at the outset that our home loan LTVs are in the range of 50% and micro LAP LTVs are in early 30s. So we can very well afford to extend this unique offering to the customer. Notwithstanding, we do keep in mind the repayment capacity of the customer. He clearly has to be eligible to afford combined EMIs and of course we do the cross collateralization with the anchor product which is our Home Loan or Micro LAP. Then there is pre-approved business loan which we offer to the customers who have exhibited excellent repayment behavior and

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character both on us and off us. With LTVs withstanding, we offer a pre-approved business loan of up to Rs. 5 lakhs and this is an instant loan which can be disbursed within a day's time. Now, if you go to the next slide, which is "Becoming Anchor Bank towards customer", numbers back our strategy. As you can see, per customer, we are selling on an average 3.6 products. And if you look at the next graph, which is CASA penetration, 99% of our housing loan and micro LAP customers have a savings or a current account with us. And look at the average balance, if you look at the bottom right graph, average balances maintained in these accounts are to the tune of Rs. 16,100 for this quarter. Likewise, gold loan as well as two-wheeler, I mean, this franchise is expanding as Ajay mentioned earlier, so over a period of time, we are very bullish on growing this penetration as well. On this note, I would request Shrinivas to talk about liability.

Shrinivas Murty: Thank you, Rincoo. Usually, if you see the commentary on the deposits, Q1 is considered a slow quarter. But I am very happy to share with all of you that for Jana, that's not the case. We have actually done really well this year, this first quarter. We've grown at 41% Y-o-Y and about 5% on the quarterly basis. And within that, the CASA has grown extremely well. We have grown at 47% Y-o-Y and at 9% for the current quarter. Now that also means that for the second quarter, we have grown more than the assets, leading to further reduction of LDR from 109% to 102%. Now, if you look at the composition of deposits, we have 96.6% of bulk deposits y-o-y growth is non-callable. And similarly, out of that, 90.7% are one year and above, which clearly tells us the maturity profile of the bulk deposit. Similarly, on the retail, we have ~98% of the retail deposits, which are one year and above. Now, recently the RBI has reclassified retail and bulk, and the impact of that is about 3.4%. As a result of that, we have a retail deposit proportion of 65% on the total deposits. The cost of funds, as Ajay talked about, it has gone up marginally to 8%. We presented it in the last quarter as well. Our composition of the states contributing to our business remains the same as March. The large states contribute about 60% and rest of the states contribute 40%. This has come down from 32% in the last 2 years to about 40%. So that's the overall composition state-wise distribution of the deposit book.

If you go to the next slide, which talks about how our branch network is leveraging, as the branch vintage grows, the average deposit book of the branch as well as the CASA deposit book of the branch is showing growth. And if you compare with March, obviously there is a movement between 1 year to 2 years, 2 years to 3 years, and so on, but the overall trend continues to remain robust as we mature the vintage, the book continues to grow. In the current quarter, we introduced a product called Legend, which is especially designed for senior citizens, offering them monthly interest rate and this is showing excellent trends. And we believe that part of our

CASA growth has come from Legend. Similarly, we have launched exclusive and premium programs for HN Is, which is also showing excellent traction . In the current quarter, we have acquired nearly 5,000 HN Is, which is basically continuing to our CA SA growth. We have also revamped another program, I talked about it in our last meeting, and that is also adding to our CASA mix. Now clearly our product, people productivity and digital strategies p laying out as far as the deposit growth is concerned. And we believe that we will continue to acquire more and acquire well, which will continue to add our CASA and retail growth.

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The last slide, which is on digi

tal, we have continued to witness the trends that we presented last quarter. Our mobile app is rated 4.6 on the App Store , we have 79% growth in transaction volume. We have 59% growth in MB registrations, which is basically an enabler for CASA. Similarly, we have seen 23% growth in tr ansaction volume on the mobile app. Our overall transaction volume growth is about 47%. On the right -hand side of the slide, if you see the usage of digital infrastructure by our team continues to remain robust. We have 99% of our savings bank accounts which are open digitally. We have 98% of transactions which are conducted digitally , 92% of our loans are digitally processed and 90% of our sales team uses sort of mobile app or tab. So clearly the digital ecosystem is leveraged well. We have additionally incrementally added about 3,500 merchant QR s, which have added to our CASA growth, especially the current account growth. And the heartening news is 82% of those QR are active and in use. We have also seen increase in UPI transactions. UPI has gone up by 40%. The NAC H transactions also gone up by nearly 300%. Now we do believe that when a customer opens an account and starts using debit card, there's a clear additional CASA incremental growth that we witnessed. So this year, current year, we have added 80% of customers in our debit card fold, which has led to 69% improvement in our customer using debit cards. So that is as far as t he deposit growth is concerned.

If I put it in a nutshell, clearly our product and digital productivity, bra nch network, all of them are coming together to give us the kind of growth that we are witnessing in deposits.

Ajay Kanwal

: Thanks, Shrini . So before we move on to financials and talk more on our NPA, I just want to encourage all of you on the call, do look at the last time March versus June comparison. A lot of what Shrini has talked about, you can see that his branches, which is if you see the slide on deposit underserved and on service and price, have moved from the one to three bucket into the three to four bucket. The three to four has moved to more than five . And you can see parallelly how his CASA and the retail deposit growth has taken place in the last quarter. So what he's describing to you factually gets backed up with numbers when you really do the comparison and see how things are moving. And I would encourage you all to also look at the digital because while it was 99% last time and it's 99% this time , most of the other things like QR codes etc., the numbers are very relevant for this quarter an d are looking different. So that would be an easy one to see the progress that S hrini is able to drive through his network. Over to our CF O, Abhilash.

Abhilash Sandur

: W hile Ajay mentioned most of the things on highlights on the financial, one thing which I would like to add to what he said is the cost -to-income ratio itself. So last year , when we began the year in June first quarter, we had a cost -to-income ratio of 58%. This year we are at 55.5%. The entire last year cost -to-income ratio was 5 7.4%. So whe n we started the year at 58 .0%, ended the overall year at 57.4%. We have begun this year at 55%. So we are expecting more and more leverage to come through during this year. So probably we are tending towards reducing the cost-to-income ratio over the year . So that's one key highlight which I wanted to mention on the cost-to-income ratio slide.

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The second one is on the yields and the NIMs. So even though Shrini mentioned there is slight impact on the cost of funds and the cost of deposits , the NIMs have hold on. So the current NIM as compared to last quarter, 8.1 % has become 8%.

And if I go to the next slide, which is Slide # 18 on GNPA and NNPA. So Ajay and Sudhir mentioned about the GNP A and NNP A slightly increased during the qua

ter. However, the

overall PCR is above 60% still. And we are continuing to maintain a high PCR ratio even though we have a good amount of secured book in the GNPA as well. So that's the other key highlight which I wanted to make.

Moving on to the next slide, I will hand over to Raman.

Krishnan S. Raman: Thank you, Abhilash. This is Raman here. We are on slide 19 which talks about net NPA has 61% secured loans. So 61% of all my net NPA after my provisioning is in the form of secured loans. The BC book, that's quite clear here that the gross NPA of this book is sitting at 7.8% , contributing to the overall 2.5%. But the key aspect here to look at is also the fact that my LTV on the secured book which is the biggest component is 57%. On the right hand side, the restructured portfolio continues to come down and today it is at 0.3% of the AUM with an LTV of secured 46%.

Ajay Kanwal: I'd just like to add to a few things that Raman said and this is a very important slide that we should focus on. First, this will be our toughest NPA quarter or this was our toughest NPA quarter. Things will only get better from here. What happened in the first quarter was a combination, and I cannot exactly tell you which caused what challenge, but a combination of heat waves , the event, which was elections, which doesn't allow us to go full blast on what we normally do, and the third is that first quarter always tends to be a slower quarter, and we haven't really figured out ourselves the reason why after March everybody takes it easy, but that's how it is. I also want to talk to you a bit about what has changed and that's very important because it will give you a sense of comfort when I tell you this is probably the worst moment that you will see in this year.

So let me start by saying the BC book which is at Rs. 170 crore. In March , it was at Rs. 114 crore. So Rs. 56 crore have gone up in the BC book. As you know in BC , we certainly are covered from the BC in terms of collections and service guarantees backed by deposits, which we will be able to use to cover the NPA challenges. So one thing when we think about was the BC strategy a good idea? I think when we look at our book today and what has happened in the last 2 quarters, it absolutely was the right thing to do because in moments like this, we as a management team and as a bank continue to focus on our secured growth. And the stress that we see in the BC book, our BC partners are very able, very capable. They'll address it and we will see them solving it in next quarter.

Second is unsecured at Rs. 295 crore. This number in March was Rs. 291 crore, just a Rs. 4 crore increase on our own unsecured book telling you that because we never grew the book fast within the bank, we really don't have a challenge. Now the number which really changed a bit more

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was a secured book at Rs. 181 crore . This was at Rs. 90 crore in March. And here is where, you know, when you actually do a SARFAESI order execution, you do a repossession, you need the local police, you need the Tahasildars, you need all the machinery to work. And that machinery wasn't working full blast because everybody was very busy with the elections and of course, there is only so much that you would like to do given the environment around. I do think that with an LTV of 57%, this secured book, which was largely to do with slowness in actions, will come back to a much better level as we go ahead into the year. So I did want to take a few minutes extra and talk about this because I really wanted to give you all the comfort that there is nothing that we see here which is not solvable. And we would be able to put good resolution on it in the coming quarter itself. And when we went for a BC option in the past, we did give up revenue from the bank, but it did buy us in moments

like this, where there is some stress in a few states, that answer is managed by the BCs and the bank continues to focus on its strategic agenda of secure growth. So I just thought I will add that to Raman's comments. And Raman, back to you.

Krishnan S. Raman: Thank you, Ajay. The next slide which is slide 20 is on overall credit cost. So credit cost as a percentage of AUM is at 1.9%, that's the net credit cost, after taking into account removing accelerated provisioning and recovery. So that you are comparing apples to apples, you are at 1.89% for the quarter annualized which compares favorably with 1.96% in March quarter and 2.78% exactly a year ago. So I think those are really the key aspects that I just wanted to address as far as credit cost is concerned. And let me hand you over back to Abhilash.

Abhilash Sandur : Thank you. So on the balance sheet side, I just wanted to highlight a couple of things. So one, borrowing which we have repaid from last quarter. So SLTRO borrowing last quarter was Rs. 800 crore . We have paid Rs. 400 crore out of it. Other items, I think most of the items we have covered in the earlier slides.

I move on to the P&L slide, which is Slide # 22. I wanted to highlight one aspect. I think there were some queries about other income in the previous presentation that we did. So we have given the data for other income. So other income from the processing fee, insurance commission and

liability related fees is what we have seen in increase year -on-year. Whereas other income from recoveries and PSL C have seen slight bit of shrinkage during the quarter as compared to the previous year. So for example, processing fee has been flat, insurance commission has increased from Rs. 29 crore to Rs. 39 crore. Recoveries have reduced from Rs. 40 crore to Rs. 20 crore.

The core non -interest income is moving up, whereas the non -core non -interest income is moving down. So that's the one trend which I wanted to highlight.

Ajay Kanwal: Thanks , Abhilash. So if you look at the other income line, which a lot of folks had questions on, as you can expect, post COVID, the recoveries would start, facing back a bit and we are very successfully replacing that with our insurance and other fee business. I will now move on to the guidance. There is no change in our guidance. We will hold true to our 30%-40% PAT. We will hold true to our AUM growth of 20%. We will hold true to our deposit growth of 20%. ROA , ROEs are already in the range that we have mentioned here. We will hold true to that. And I can also add to this while it is not here, is that we do see a decline in credit costs that you have seen

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in quarter one versus last year. I think that trend will continue as we go into Q2 and Q3. There is no change in the board, but you can see all the names and the personalities there, as well as in the management. This is something of our history for people attending this conference for the first time, which is our history is way ba ck into 2008 when we began as NBFC. We have been a bank since March 2018, and we have also publicly said that when we are eligible, there is one criteria of Universal B ank, w hich is net NPA has to be less than 1% . When that hurdle is met, which should be met this year because we already meet the one-year hurdle last year of 0.5 net NPA. If we continue to be below one this year, we meet all the conditio ns which allow us to apply for Universal B ank next year , we would certainly do that.

Moving on to what d o we think is our strength and a good list for you here which kind of I think we have brought to fore in our presentation in the last 40 odd minutes. So digitalize and we try and be as digitalized as possible. We have a pan India presence. We have no concentration. We have a strong brand and we do know that we continue to invest

and we can do more there. Our

risk is analytic based, it's scorecard based, and a very strong governance framework around everything we do. Our average experience management, its average age is about 24 years in financial services and banking and a very professional board. Anchor Bank is core to us. I mean, we are very, very focused that while it is difficult to execute because most banks tend to get very

siloe d. Our bias always since we are very early as a bank is to make sure that our anchor -based customer centering approach becomes a cultural way of how we work. We are committed to moving towards an 80% secured asset book. The deposit base, as you can see very well, is showing that we have a strong ability to grow and fund ourselves. And while you can hear from Abhilash, and if you see that page, we have a very good mix of our long -term borrowings. Long -term borrowings are typically from only three institutions, NABARD, SIDBI and NHB and these are long -term, very economically wise borrowings. They do help us lend them a tenure of our ALM , and certainly that we do more of. And finally, all of us on this table and the 21,000 people supporting us are all very focused on execution.

Strategy has been very steady for us and something that you have been hearing from all of us as we went through the slides, so I will not repeat that. And with that, I would like to thank all of you. We have tried to make sure that we are a bit faster so we can take all your questions and address them in the best possible manner. And with that, I would request Adf actors if you can open the floor up for questions so that the te am can answer.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Manish Ostwal from Nirmal Ban g Securit ies Private Limited. Please go ahead.

Manish Ostwal: First of all, many congratulations to deliver another strong quarter given the toughest challenges around the NPA. So many congratulations to the team of Jana Finance Bank. So my question on the creati on of floating provision in our P& L. So how should we think of crea tion of floating provision, whether the p ossibility is slightly higher than the normal, then create the floating provision. What is the formula or the philosophy around that? Can you explain that?

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Ajay Kanwal: So Manish , Ajay here. So thank you for your compliment and we'll do our best. That is my promise to you. So on the provision side, what we tend to do is we have a certain review within ourselves in the bank of what will be a harder recovery opportunity which typically ends up being the unsecured book. Very rarely do we want to raise surplus provision for a secured book,

unless we are aware of some complication in the property where we think the likelihood of recovery is low. So it tends to be on the unsecured side and something that we obviously would like to make sure that we keep that as a buffer based on our understanding. Manish since you mentioned it, we will see if in the next analyst meet, if we can bring up what our policy is and how we kind of put a framework around it for you to see. We will certainly see if that is possible. Abhilash would like to add.

Abhilash Sandur : Sure. So we will not create something called a floating provision because floating provisions are a different than additional provisioning. So what we do is additional provisioning for the accounts where there is a stress and we don't reverse from those accounts. So it will continue to have a provision for those accounts Manish, just to address that because floating provision has a different meaning from RBI point of view and also accounting point of view. So just wanted to clarify on what Ajay said.

Manish Ostwal: The second thing, it's accounting question basically. So in terms

of tax credit of Rs. 10 crore in

this quarter, in the last quarter it was Rs. 155 crore. So how we should build for the full year of utilization of the DTA?

Abhilash Sandur : So for the first time ever we created Rs. 155 crore in last March. So every quarter we have to assess future profits, which is based on virtual certainty as per the regulations. So what we have to do is, what we created, we have to reverse and reassess again. So based on the reassessment, we have got a Rs. 10 crore net impact on the P&L. So every quarter we go ahead and reassess the DTA impact. So that's how we do. And that's as per the accounting standards as well.

Ajay Kanwal : So Manish, let me see if I can, I mean, Abhilash is a chartered accountant, I am not, so I will tell you in a non-chartered accountant language. So we had Rs. 155 crore last year. We finished the first quarter, which means that the assessment made last year that what will be our profit this year, at least in the first quarter, we kind of more or less have met it. So Rs. 160 crore is the tax.

If you kind of gross it up, it roughly talks about Rs. 600 crore of expected profit for the year.

Now when the auditors this year saw what the first quarter performance was, they made an estimate of what will be the first quarter next year. And they obviously see an increase. It is not a perfect answer because you really would like to make sure that whatever you put as DTA is kind of lower than what you anticipate should be the profit as it has been virtual certainty So here you are. We are carrying now Rs. 155 crore from last year, we added Rs. 10 crore now, so we're carrying Rs. 165 crore. Next quarter we'll do the same thing. We will see what is next quarter's performance. Did our past expectation of profit from that quarter worked out, which is going to be Q2. We will then assess what will be Q2 of next year. And if we do think that next year Q2 would be higher than what we'd anticipated in the past, then we'll add more DTA to it. So let's take a fast forward to March. Rs. 155 crore is existing DTA from March 24. We've already added Rs. 10 crore. We could add probably whatever more is there. The full carry forward DTA as of

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March 25 could be maybe Rs. 180 crore, could be Rs. 200 crore, could be Rs. 210 crore. And then we assess it again for the following year. We pay no tax till 2027. Everything that means PBT is equal to PAT till then

Manish Ostwal : And really appreciate your comments around the asset quality given the quarter. Thank you.

Moderator : Thank you. The next question is from the line of Prabal, Ambit Capital. Please go ahead.

Prabal : My first question was, some of the lenders have highlighted that there is built up of over-leveraging in the system. And as a consequence, they have tightened their risk matrices. Have you also tightened your filtering process, anything from that side, sir?

Ajay Kanwal : Yes. So you know it is exactly this microfinance over leverage. And to answer that question, we always give our average loan amount outstanding in our presentation, which is at Rs. 36,000.

And even if you look at the installment loan, which as you know tends to be a higher loan amount in the industry, our average loan amount is Rs. 48,000. So high leverage is not our positivity.

And we never believe that high leverage should be the way we want to grow our business. The other important factor is, how many lenders, because we may not be high leverage, but that person may have high leverage somewhere else. I can assure you that if that person has got more than three lenders, has an unsecured exposure of more than Rs. 1.5 lakhs, we will not do business with that borrower. So we are very tight. We have more tighter in what the MFIN conditions

require the banks and MFIs to be. We are also very careful and very

clear in our minds that we will not lend to delinquent customers of other institutions. So for us it's not a market share game and that is the luxury we have that we don't want to grow this business so fast so we don't have to do extraordinary things at all. Raman, you want to add something to that.

Krishnan S. Raman: I had an additional comment on the market leverage, which you talked about. We do have a bureau and the bureau, we pull on both the borrower as well as the co-borrower and make sure

that all the household delinquencies, all the household leverage is fully captured in our credit decision.

Ajay Kanwal: And again, just to add to it, because unsecured is not a main segment, I can still grow negative 1% unsecured in the first quarter and yet tell you that I will hold true to my guidance because from the very start unsecured was not the way we would have kind of delivered on our numbers. And I can tell you with great amount of comfort that if we see more challenge in this business, we will continue to grow negative. If we need to do that, we will certainly do it. For us, maintaining quality of book is very, very important to us.

Prabal: But anything in the last 3 to 6 months that you have observed on the ground and maybe tighten your sourcing policies or something like that. Because multiple lenders, multiple quality lenders have indicated that in the last three months they had to tighten their sourcing policies. So you would have also seen some amount of pressure building on the grounds on the other side.

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Ajay Kanwal: Yes, so our policies were very tight. So we really haven't. I mean, just to give you a sense. We were doing household debt since 2018. So for us, some of it is already in vogue. When we give an individual loan today, we actually send an underwriter home. So what you see is this Rs. 48,000 loan. For that, somebody's actually done a PD, which is a personal discussion, visited our client in the office, or home, as it may be. In this case, it's normally a small shop or an establishment. The rejection rate by the underwriter who visits for an individual loan is between 15% to 20%. That means very good customer on the bureau, perfect repayment with us, wants a loan, you visit and think that he doesn't have the cash ability and we reject the loan. So we have been normally tight. I think what we can see is the stress in a few geographies are more elevated. For example, we can see some parts of UP, some parts of M P. We've tried to detune our growth there, which is where I must give credit to our BCs, even though that is the main line of business. They've slowed down and they've focused themselves on collection. So it is more about our policies are already tight. We've never been in a moment of grow unsecured. So that allowed us to be tight where we find that there is too many MFIs operating, over leverage going on, we kind of detune ourselves and reduce growth there. Let me give a live example where we were successful, Punjab and Haryana. We've never had lower than 99% collections except for the month of April, starting from last September, October, because the moment we saw that stress was building up, we just stopped disbursements and put all our people onto collections. So rest assured, we are watching this space very tightly, and we have no reason why we should have anything of a bigger surprise come up ever.

Prabal: Sir second question was on the credit cost. So just on the core credit cost of Rs. 190 crore or the run rate of the last few quarters, it seems that 2.5% of credit cost on a book, where 60% of the book is secured, is slightly on the higher side. And this has been the trend from last few quarters.

This quarter could have been an aberration. But last two quarters, you see, 2.5% to 3% run rate of core credit cost on our 60% secured book.

ook. So how do you think about that?

Krishnan S Raman: The bulk of the credit costs continues to come from the unsecured book including the BC book. I think that is the key aspect that we need to keep in mind. And this is really, as Ajay said, the BC book has this collection related service guarantee which will eventually come back and reduce the credit cost. That's a key aspect that I wanted to highlight. As far as the secured book is concerned, as soon as the account turns NPA, I am taking a provision of 15 plus percent. But my LT V on that book is about 55% to 60%. So much of that is going to come back in terms of recovery. So these are really the two aspects that I wanted to highlight here.

Ajay Kanwal: The other piece is the 1.89% as a calculation has two components. One is some of our recovery is going to the other income line because they are fully written off accounts. And typically when you look at what is the provision number and use that as a credit cost, you tend to miss it and that's a big number. So which is why to resolve that issue of what the real credit cost is, we have prepared a full scale slide. Second, as Manish had asked the question earlier on what do we provision extra, that's again something that we do as a precautionary measure which fundamentally is taking away future provisions into the present. So my 1.89% credit cost that I've explained on Slide # 20, I would think would go down lower. And like I said, this would be probably our highest credit cost quarter. That 1.89% should trend downwards every passing quarter.

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quarter. And possibly as you see some stabilization, then I think it will be a good time for us to see what, at a 60% secured book, what is the right answer.

Prabal: Can I squeeze in one more question if possible? So my question was on the liability side. So you mentioned that we are able to get some HNI customers, some senior citizen customers. So what other products can we cross-sell to these customers? Because I understand that HNI customers would already be banking with some of the other lenders. And therefore, it's very difficult to sort of get them to change just because we have an 8% or 9% deposit rate with us?

Shrinivas Murty: Yes, so Prabal, we started HNI program last quarter and on the asset side, we have two-wheeler, micro and small enterprise, we have micro home loan and affordable home loan. On the transaction banking side, we have debit card, we have digital products that we offer to these customers. On the investment side, we have insurance, we have three in one account which we offer through Axis securities, right, and we have the ability to offer them mutual fund and other investment products. So clearly whether it is on the asset or on the liability side or on the investment side, we have nearly a large bouquet of products. So we'll be in a position to offer to these customers over a period of time. And currently these customers are assigned a relationship manager who are regularly in touch with these customers and based on their products and services needs, we are able to cater to those needs.

Ajay Kanwal: Thanks, Shrini. Let me add in, and I don't know if this was your question, can I give a prime mortgage loan at 8.5% to 9%? The answer is no. Will I do a car loan? Possibly no. Do I have a credit card? The answer is no. So fair to say, as Shrini explained, our affluent customers who are coming on the liability side will largely be a liability relationship, transaction relationship, insurance relationship, a wealth relationship. He will not have an asset relationship. And you're right when you say that these affluent customers must be banking somewhere else. We aren't focusing on that. We don't have the product range and that's not where we would like to start either. What we would like to start is to create

a top-notch liability serving mechanism where he gets the best price and our highest deposit rate now as we speak is 8.25%. We have a slew of savings and current account which are really fully endowed. So this is a Legend for senior citizen. You see the exclusive launch that Shrini has done. We think they are best in the industry and we are really attracting good AUM from affluent clients for that. So that will be an important one. There could be a side question saying, listen, then your branches are really doing deposits, insurance, and wealth. How does that work for breakevens? So the answer really is when we do open an affluent branch, let's say in a Khar that is coming up next in Bombay, then the focus is to really make them into a very large, say our Rs. 2,000 crore -Rs. 3,000 crore liability branch, very transactional CASA in nature and to make sure the branch size is not large. See traditionally, branch sizes are very large. Then the breakeven points need a lot more assets to come in to make that happen. We have made sure that our branch sizes are very reasonable. Our marketing is largely digital. And we are making sure that our AUMs are large enough, which is what, if you see on the slide 14, have a look at that. I would think we would have among the higher AUMs per employee. So we are going to work on the liability side with a clear understanding that will make it very efficient for us in terms of raising liabilities, conscious that we will not give a prime

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mortgage or a car loan, and also very conscious that we will offer an 8.25%, which is a premium of what a typical customer would get in a high-end private sector bank or a PSU bank.

Moderator: Thank you. The next question is from the line of Shailesh Kanani, Centrum Broking. Please go ahead.

Shailesh Kanani: Congratulations, Jana team. It was an excellent performance considering the macro environment. Sorry to harp again on the asset quality. But can you throw some light about how the book is performing in terms of your group lending and individual lending book. Are there any differences in terms of asset quality? And even the BC, what we do, does it have any individual lending component in that?

Ajay Kanwal: So Shailesh, first, thank you for the compliments and don't be sorry to ask any question because I think you are absolutely perfect in asking questions when the GNPA and NNPA goes up to say why it happened. We are very conscious of that, so no harm done there. Let me answer the ones which are easy and then the more difficult ones Raman will answer. First is, if you see slide 9, I will read out individual loans, the gross NPA is 4.4%, net NPA is 0.7%. If you compare that with Agri, it is 3.2%. The only thing that I would like to tell you is that in individual loan, the pricing is 2% higher than the group loans, which is in this case Agri loans. So it more than compensates the gross NPA difference. So is individual loan a good business? Yes. Does it have very differential performance over the group loans? The answer is no. Do you price individual loans slightly higher to compensate for that? You should, and that is what we do. So we are very comfortable with individual loans. The BC book does not have individual loans. These are largely small and marginal farmers. These are all done in the rural areas. And these are all group loans. And these are typically 10 batches of groups because they are real rural. I think what you can see in terms of NPA

here, the jump and because they did jump, I must say, it largely to do with certain geographies, a bit around discipline, they could have been smarter. And discipline comes not just from collection discipline, but also to grow a little bit more slowly. I think everybody in the industry did try to grow fast. Some of our BCs probably did and now they

are

just walking backwards and fixing that. Beyond that, I can tell you even if you look at our average ticket size on the BC, which is on slide 9, it is just Rs. 27,664. So it is not the leverage which is the issue. And if you take the BC book average ticket size of Rs. 27,664, it is lower than my own agri of Rs. 30,226. So it is not the leverage. And I said this, I can't put my finger on what it could have been. Whether it's a heat wave or people busy with elections or first quarter being a more tepid way or a combination of three, a bit of faster growth in some BCs. But Yes, I can't say anything else. All I can tell you when I read out the numbers, my total gross NPA for unsecured was Rs. 290 crore March 24, June is Rs. 295 crore. I've just seen a Rs. 5 crore increase on the microfinance book which Jana employees directly manage in the quarter, which again tells us that if you do things in a much more stable, calmer, regular way, you should not get really challenged in this business.

Shailesh Kanani: Yes, excellent. That's very helpful. So one question on the liability side, for garnering liabilities, do we have a tie-up with Fintech and what kind of fees do we pay, if you can share that?

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Ajay Kanwal: So we have tie-up with just one Fintech. I can tell you it doesn't work much. So it will be fair to say that 99.99 % is all sourced by us. And we haven't had any success on Fintechs in the liability side. We have no Fintechs on the asset side at all. And I do think that is how we will continue.

Shailesh Kanani: Fair enough. Sir, just a last question from my side. So any impact of ECL coming in, have we done any assessment or are we kind of safe there? If you can throw some light on that?

Ajay Kanwal: Thank you so much, Shailesh. I did want to kind of give you guys a heads up and your question just triggered that. So what we are doing in the individual loan side, wherever customers are small businesses and are registering for Udyam, we are registering them under CGT MSE scheme with SIDBI. The cost of the guarantee is 0.3 % to 0.5% range. But what you will see from September is some part of our individual loan customers who are really small businesses joining the guarantee program. So this is not the question to the ECL answer, but a guaranteed book obviously will have low or no ECL, number one. So some part of our unsecured book will be under the guarantee program, and it will not be an insignificant number to our mind in the next 12 to 24 months. And secondly, as you know, we are building specific buffers for unsecured, which typically will be in line with what the ECL expectation would be. So while we are not very clear in our minds of when the ECL guidelines will come in, we are preparing as a team irrespective of that in a two-pronged manner, wherever there are unsecured loans, we would like to put them under CGT MSE Guarantee Program. And these are obviously small businesses which are Udyam registered. And secondly, we will create buffers so that we are in a way preparing when the time comes for ECL.

Krishnan S. Raman: Can I just please amplify this a little bit? Taking on what Ajay had talked about, unsecured. Currently my provision cover is 80%. And sometime back, and this was slightly dated information, we've done some loss given default calculations based on cumulative recovery. And that number is a lot lower than the 80%. So that's the comfort I wanted to give that definitely on

unsecured, I don't anticipate any incremental ECL provision. And on the secured on the other hand, given where we are in terms of provision cover as well as loss given default, again, I don't really see any incremental impact.

Ajay Kanwal: That's very helpful, Raman. So Raman has given a straight answer, Shailesh, which is irrespective of what we are doing, even as you speak

, we are well covered for an ECL guideline to come in.

Shailesh Kanani: That's quite helpful, sir. Sir, just one small data point. On the BC book, that is around Rs. 2,189 crore. What is the kind of service guarantee we have on the deposits against that we have, if you can share that?

Ajay Kanwal: See, contractually between 4% to 5%, some are 4 %, some are 5 %. Some have been used up and some are not, depending on what the delinquency is or other NPA is. I must say that only during COVID was the times where the BC, I think 2 BCs or 3 BCs, I am not sure exact number, but a few BCs had to go beyond the provided service guarantee. We don't think so we are in the environment today where that number would be crossed. That is what, because I must tell you

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this, we have a specific team in the bank which looks at BCs. And we work with them, we make joint visits to the delinquent customers. We do a QA sampling on all disbursements and we are fairly well engaged with them. We do think that there will not be a moment where they will have to go beyond what they have already given us as deposits.

Moderator: The next question is from the line of Nidhesh from Investec. Please go ahead, sir.

Nidhesh: A couple of data-keeping questions. What is the gross slippage number for the quarter and write-offs in the quarter?

Ajay Kanwal: We just finalized it today. I am not sure we're ready, Nidhesh. Why don't we come back to you on that?

Nidhesh: The second question is on the asset quality on the BC side. What explains the sharp difference between your own book performance versus BC book? It's operating in the same segment of group loans. Your GNP A is around 3%, BC book to GNP A is 8%?

Ajay Kanwal: I think more slow growth, that's my simple answer because I think we were very choosy in what we were doing. I think BCs have a single business for them, this business is their sole income generation answer. So I will give you a number. Our March 18 unsecured book was Rs. 8,000 crore more or less. Our March 24 unsecured book was Rs. 10,000 crore. Our BC book in March 24 was Rs. 2,500 crore. So fundamentally, we actually had a negative growth in our microfinance book between March 18 to March 24. Now what that does is we become a bit more choosy, whom we don't give, and you really don't have an urge to grow branches or people or very fast, because that's the real. I think BCs have done that, some of them for sure. I think in some of the geographies, they may have faced the pressure of other lenders. And I also think first quarter was a bit odd. I do think they will all have a much better Q2. We have already seen that as we speak. And you will see a lot more recovery. But listen, the lesson here for us has been and will be that listen, trying to grow unsecured too fast is not a good answer. Doesn't matter how good you are. And remaining within secured ambit is the right answer. There is one answer with Abhilash is ready, which is the gross write-off taken up by us, which means the technical write-off is ~ Rs. 50 crore for the first quarter. All I can tell you, Nidhesh, is we are not anxious on the BC book. It only tells us that strategically the right thing to do for us. And given our engagement with them, we don't see any reason for them to go beyond the 4%-5% loss rate. That is very, very unlikely to happen.

Nidhesh: Follow up on BC again, what is the skin in the game or motivation for them once the GNPA crosses 6%-7% and let's say there is no hope of recovery on that. So what is the motivation for them to continue in the business?

Ajay Kanwal: Listen, I will give you our own example even as of first quarter of 2024, we are collecting our provision made in 2016, which is pre demonetization. So first is I don't think so. Any of us believe that a provisioning in microfinance

means it's a write-off. And I can assure you that our

BCs are sharper than us in this business. And they will make sure that they will recover most of

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it back. It will be a timing matter. So ourselves collecting Rs. 35 crore on a 7.5% existing book. So I don't think so, BCs are walking away from collections or recoveries. I don't think so they're happy giving up the 4%-5% fixed deposit to us and then saying, okay, battle lost, let me walk away. I think they could recover at least 2%-3% back, maybe not in the next 3 to 6 months, but certainly in the 6 to 12 month range. Remember, this is a core business. So BCs have been with us during COVID, they lost money, but they have continued because that's their only business. And nothing that they did was their challenge. COVID did cause a special challenge for them. They continued after that and we continued with them because they did everything in their part to get it right. The environment didn't help. We do not believe as we speak here that we are negative about a BC business. They've been through a tough quarter. They will fix it. They'll move on. The only thing is for us as a bank, we chose to infringe that part of the book with a 4%-5% deposit, and that has been the right answer for us. And certainly, they have to solve their challenge, and they will. So I don't see a real issue around that.

Moderator: Thank you. The next question is from the line of Renish from ICICI. Please go ahead.

Renish: Just two questions. One is on the MFI book. If we look at, I mean, I am referring to page #9, and when we look at the gross NPA under JLG model is actually amongst the lowest, whether it is compared to Agri or individual. So how do you guys think internally? Does it call for you to reassess your strategy from moving to individual loan to JLG again?

Ajay Kanwal: Our JLG that you see here is really the group loans in the urban centers. And just to take you back into a bit of Jana history, you know, before we began as a bank, we were an urban microfinance institution, that was our only business. What you can see in the group loans here is a nominal portion of that lift. So two things, do we want to grow group model in the urban

microfinance space? The answer is no. What we have here is our good customers from the past who have created a batch and we continue supporting them, that's about it. Also to be very clear, I will give you a Bombay example. This is not Bombay City because it is typically a group in a Bombay City slums. This is more the branch in Palghar or this is the branch in Hadapsar, which is outskirts of the city, still classified as urban, but really on the outskirts. So one is do we want to grow microfinance? No. It will be a very small single -digit sensible growth. Urban microfinance group model is a no. Individual loans, like I mentioned, is good performance for us and we will continue doing that. But the overarching strategy, which has been true till 2018, has been that's not a group business. And I do know we are spending a lot of time on this call on microfinance, but it is one of our smaller books.

Renish: And last question on this, the forward flow. I think book level, of course, I mean, July, though we have 10 days to go. But is it fair to assume that July is better in terms of net forward flow as compared to April and June?

Ajay Kanwal: Could be is my answer. We are seeing certainly a better month. So the way we saw it is April, May was the tougher ones. June got better. July got even better.

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Renish: Yes, that's what I just wanted to reconfirm that given April and May, the narrative is that the election, heat wave, etc. has impacted the collection. And if one has to go by that logic, then June and July

has to be better. So I just wanted to hear it from you guys that the on-ground experience is in that line, right?

Ajay Kanwal: That is correct.

Moderator: Thank you. The next question is from the line of Rajiv Pathak from GeeCee Holdings. Please go ahead, sir.

Rajiv Pathak: First, a very good deposit growth, I think, in this kind of an environment, which was, I think, one of the most satisfying part in this result apart from everything else. Just a couple of questions, I think most of them has been answered. One is on your mix. So will the experience of Q1 in any way change your glide path towards changing the mix of secured and unsecured? That's number one. And number two is on your gross and net NPA, the headline numbers. So while you alluded to all the seasonal and the one-off factors, would it be fair to assume that by the exit of March 25, we will definitely be keeping the net NPA to less than 1%, which is also one of the requirements. But will it be, say, even lower than March 24? Will that be the target that you will be giving to the bank?

Ajay Kanwal: Yes, so the first one, no change in strategy. It's just quarter that we got to address better. So nothing changes for us in terms of moving towards more secured as an organization or within secured the mix. I think on being less than 1%, we are very certain we'll be below 1%. Will we try and be below last year at 0.5 %? I mean, there is no target as such. It's more around what we'll see what happens in the book. But certainly below 1% is what will continue to be. So we are still below one, we'll remain below one and no change in strategy really.

Rajiv Pathak: And gross NPA moving closer to those kind of numbers, the earlier numbers?

Ajay Kanwal: Gross NPA should obviously start scaling back a bit. That is what we would expect. Yes, so I think we should take it with that simplicity.

Moderator: The next question is from the line of Rahul Bhangadia, Lucky Investment Managers. Please go ahead.

Rahul Bhangadia: Sir just a question on the secured side of the business, as I see the NPA table, which is on, I think, slide 19. That itself has seen from March quarter to this quarter, a reasonable jump in the NPA side. I don't know if this has been touched before, but if you could help us understand that a lot of time has been spent on the unsecured and the BC side. On the secured side itself, if you could help, the absolute number has gone from 90 to 180 and the gross NPA number has moved from 0.6 % to, let's say, 1.1 %. Is this a seasonal thing or something else that you would want to kind of explain?

Krishnan S. Raman: This is Raman here. Ajay had talked about this earlier in the discussion about the fact that because of elections, heat wave etc., as far as the secured piece is concerned, the reposition, the

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SARFAESI proceedings, the court, all of that were going slow. And that's really one of the contributors to the fact that my GNPA did not come down as rapidly as we would have expected.

Ajay Kanwal: So just to add to what Raman said, listen, the LTV there is 57%. So we have a property which is mortgaged to us, which we can certainly sell if we don't get the money. But we do believe that we'll be less required to do that because we'll see a lot more normalization in this quarter.

Moderator: The next question is from the line of Kunal Shah from Carnelian Capital . Please go ahead, sir.

Kunal Shah: Congratulations on the deposit side, or rather the liability side, and the advances growth. Few questions from my side. First thing is, what kind of recoveries we expect in the current year to come back? And what is the technical written off pool if you could help with that number as well?

Ajay Kanwal: So our first quarter run rate recovery is about Rs. 35 crore, right? We would expect that run rate

to hold up for this year. Because why I say that is first quarter like you just talked about for the last few questions, wasn't our best quarter in terms of what we did in the gross NPA , net NPA side. So things will only get better from here. So I think it will be safe to say if we did ~ Rs. 35 crore in first quarter, we'll do ~ Rs. 35 crore or better in the remaining three quarters.

Kunal Shah: Got it, and what about the total pool we have?

Ajay Kanwal: Huge, Yes. We have a pool, like I said, we are also collecting from 2016 onwards. So if I remember right, the total pool would be like closer to between Rs. 3,500 to Rs. 4,000 crore.

Kunal Shah: The second question that I had while a lot has been discussed on the NPA, but this slide that shows existing customers is a percentage of overall. Agri loans has got only 17.1% of basically overall customers as portfolio having of existing customers. How should one basically read that as well? And just one more question to add to it is what is the worst -case scenario you see basically in this overall unsecured piece to go from here ?

Ajay Kanwal: Okay, second one is easier, because I think we are already in the worst -case scenario to our head, and I am fairly comfortable to say that to you. Because as you can see between the two things, it's a BC book which is really challenging, not the bank book, and the BC guys are very sharp folks, they will address it. So that is one that I should not expect to get worse from here. It only gets better. When you become a bank, you have to open 25% unbanked rural branches. And we were in urban microfinance, and we converted to a bank. So we had to open 25% unbanked rural branches. We used that to grow the rural book. And when we grew these unbanked rural branches, we only get permission to grow them when there is no other bank in that vicinity. We tended to get new to bank customers, which is why you can see in the rural book a lot more new to bank customers, first time customers. And for us, that's a very good thing because fundamentally we believe that low leverage new to bank customers perform a lot better than people who are doing L2, L3, which is cycle two, cycle three, and have more than one lender.

Sudhir, you can add it up.

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Sudhir Madhavan : The second phase is the Agri loans, the second term borrower is still agri in the group, it is marked as 70%, they can go into individual loans. If you go back to the first slide, you see Agri individual loans, which are coming from the Agri group to the Agri individual loans.

Ajay Kanwal: So Sudhir is explaining that if somebody doesn't want to stay in the group, wants a slightly more larger loan amount, then he raises his hand and goes into individual loan process. As I told you, an individual loan involves a credit process, only then you get an individual loan. Customers who are up for it pass the process, get the individual loan. So I would read first -time borrowers coming into the agri -loan business as a positive. I'd rather have those than customers who are second time, third time. And second time, third time is not so bad. It's more like second time, third time with more than one or two lenders is the problem.

Kunal Shah: Also in the annual report, we have mentioned the total concentration, right? So when I see the concentration of deposits, right? I mean, percentage of deposits of 20 largest depositors to the total deposits of the bank standing at 20.70%, which looks like a little on the higher side. If you could help, I will elaborate a little bit as to how should one read that, what is the nature, would be really helpful ?

Ajay Kanwal: Yes, so only thing I can tell you, I don't have the ready answer for that. But there's one slide I do want you to look at, because if you go to slide 13 with me, it says your 96.6% of bulk

deposit

are non -callable and 90.7% of bulk deposit are one year and above. So if you just take this maths , the largest depositors of the bank would typically have been one year of deposit as a contractual with us, and they would be non-callable in nature. We really don't run a risk of the carpet being pulled off under our feet.

Kunal Shah: That's helpful. Just one more question, if you could help a little bit on this royalty that we are paying to the promoters, right? So, I mean, what is the nature of the same the amount basically that we are paying in the maximum limit?

Ajay Kanwal: If you see the AGM last month . We have renegotiated the branding. See, the Jana brand belongs to the NGO called Jana Urban Foundation, which was really the founder who started the Urban Foundation as well as the various Jana entities. And I must say, over the years, Jana as a bank

has been spending on branding, has been really doing a lot of work around enhancing the brand. So we had when we did the first negotiation on the Jana brand, we did say at some point we'll renegotiate because obviously the bank would be a different entity then. So it's been renegotiated. The new contract begins as of first of November 2024. I will give you a very ballpark high level number. So roughly the cost last year of about Rs. 12.2 crore for the brand? Starting 1st November that falls to Rs. 3.81 crore plus GST. So let's say roughly about Rs. 4.5 crore incl GST. That will be a static cost as long as we use the brand. We are not forced to use the brand, so we may decide that we want to change our brand if we find Rs. 4 odd crore too much or if the brand needs a change. And that is something that we already signed up. So yes, we have a Rs. 4 crore which we think is a reasonable asked by the brand to be used. We are not tied in to use the brand. If we ever decide to cut the contract, it certainly would be max payment of till about Rs. 10 odd crore. Now if you think about this practically, there is unlikelihood of Jana Small Finance Bank Limited
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any brand change in Jana till we turn Universal. When we turn Universal, we'll anyway have to rebrand. If you do have a mind of to relook at the brand in any way, shape or form, it will be more likely next year. But meanwhile, we've got a good negotiation already signed off and approved by shareholders in place.

Kunal Shah: So basically you're saying that Rs. 12 crore what we have paid in the last year will be restricted and best to about Rs. 10 crore per annum.

Ajay Kanwal: No, sorry. So this year because this contract is till 1st November, so there'll be a say about a Rs. 6- Rs. 7 crore payout. But annual new contract is Rs. 3.81 crores plus GST annually starting Rs. 4.11 crore. But this year what will happen is, you will have 7 months of the old contract and 5 months of new contract. So, altogether this year will be around Rs. 10 odd crore. But starting next year will be 3.81 plus GST. I just want to finish that 3.81 plus GST is forever too now. It will not go for any escalation. That's part of the contract.

Moderator: Thank you. The next question is from the line of Ms. Vibha from FairConnect. Please go ahead.

Vibha: Just a suggestion, the initial analyst asked 5- 6 questions, if you could please restrict right in the beginning so that all questions are taken. My questions are again related to asset quality. Your gross NPA percentage last quarter was 7.1 % and this quarter it's 1.2 %. Is there a large write-off? And similarly, your active customers have gone down from 5.4 to 4.4 million. So again, is it related? That is the first part of my question. And second part is when we see the BC book, you of course have the FLDG 5%, but if you were to see the profile of BCs, can they actually withstand the stress? Have you done profiling of the BCs? Do you do some credit scoring? Is there

an external rating available? And across how many BCs is this to Rs. 189 crore spread across? And what is the outlook on eventual losses on this book?

Ajay Kanwal: Very quickly and let me if I miss something you folks can answer. So first thank you for asking the customer question. We put a little note down there, a dormant account which has been closed. And I also written there from next presentation I will do a like for like which is I closed dormant both years and show you. But I didn't want to do that when we began there. So it's actually given there as a note. And even if I did a dormant closure both years, I typically will see a 20 odd percent customer growth. So I think one customer growth is given. This is not a dormant versus non-dormant. So, and on write-off, Abhilash did mention we have taken ~ Rs. 50 crore technical write-off in this quarter, there's nothing else there. Third thing is BCs have given me a cash deposit. They don't have to pay me when something goes wrong. I upfront collected when we start doing the business. Fourth, we are in this microfinance business since 2008 and at least this team is actively doing this business since 2018. We know most of the folks whom we have given the BC, they are good in their business, which is why they are our partners. We do have great amount of trust in them. There is stress. We think they are best positioned to address it. And like I've said in the earlier questions, we are not very worried about it. I mean, it is normal that when there is stress, there will be a rise in NPA. And I think we should accept it. We should address it. And there is enough in the P&L to take care of it. So something that we are not anxious about, but something we're watching and working very closely with. And also I must tell you that our Jana Small Finance Bank Limited
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original strategy of having a BC book of 8%-9% of our total book was to make sure the bank is de-risked for any small stress on the way. And this is another small stress on the way and absolutely right thing for us to do. And remember to get this small stress out of the way, we didn't have to pay a premium all these years because we were shelling out the percentage of our

revenue to these B Cs higher than what we would have made as a bank. And that has all come through today because in the time of stress, like I said, the team is still focused on what they need to do in secured etc. and our minds are not getting wavered somewhere else.

Vibha: Okay, so just to put things in perspective, your group loan NPAs have gone down from 7.1% to 1.2% because of the ~Rs. 50 crore write-off, not because of recovery. And on BC book, the comfort is qualitative. They're not externally rated. Your BC partners are not externally rated. Qualitatively, you have comfort in them in managing their business.

Ajay Kanwal: Your second one is absolutely right. The first one is a mix of the two. I wouldn't say that everything is write-off. You would pick up from our presentation what we recover from our group loan customers, not as a specific segment, but I do remember that last year we would have recovered close to about Rs. 200 odd crore. So you should assume that part of the drop is recovery, part of the drop would be a technical write-off.

Moderator: Thank you. Ladies and gentlemen, that was the last question. I now hand over the conference to Mr. Ajay Kanwal for the closing remark.

Ajay Kanwal: Thank you so much. I just want to reiterate a few things which are very, very important. First, to us, it has been a solid quarter, solid in delivering on strategy. Secured asset growth has been 8%. CASA growth has been 9%, unsecured growth has been a negative 1%, which means that we are on track to deliver what we originally began with. There has been an increase in gross NPA, largely driven through the BC book where

we have deposits to pay off if they don't get the collections right, where our risk is I would not say zero, but I would think it is a very nominal risk. On the secured side, the first quarter has seen a bit of external event-driven moment where our collections could not be as good as we would have liked. And we do think where we are in this quarter, that will get fixed. While we have a 57% LTV, that is just a safety lever we have for the very end, but we do think customers do love their properties. These are customers who are not doing investment properties. These are affordable housing customers with an Rs. 11-lakh average and a LAP with a Rs. 6.5-lakh average. We are very certain given our past experience, including first quarter last year, where we saw elevated first quarter gross NPA, net NPA, that we will get all this right in the ensuing quarters. With that, I would like to thank all of you. And I assure you that you will continue to get the results that we have put forth in our guidance in future. Thank you so much.

Moderator: Thank you. On behalf of Jana Small Finance Bank Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

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Call: Oct 2024

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Sub: Transcript of earnings call for the quarter ended 30th September 2024

Ref: Regulation 30 read with Part A of Schedule III of SEBI (Listing Obligation and Disclosure Requirements), Regulations, 2015

Dear Sir/Madam,

Please find attached transcript of earnings call for the quarter ended 30th September, 2024. The same will also be uploaded in the website of the Bank at www.janabank.com.

You are requested to kindly take the same on your record and oblige.

Thank you

Yours faithfully

For Jana Small Finance Bank Limited

Lakshmi R N

Company Secretary & Compliance Officer

Encl:

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Q2 & H1 FY25 Earnings Conference Call "
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MANAGEMENT : MR. AJAY KANWAL – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER

MR. SUMIT AGGARWAL – HEAD, MSE, SUPPLY CHAIN
& FINANCIAL INSTITUTIONS

MR. GOPAL TRIPATHI – HEAD, TREASURY AND
CAPITAL MARKETS

MR. SUDHIR MADHAVAN – HEAD, RETAIL FINANCIAL
SERVICES (ASSETS)

MR. RINCOO VACHHA – HEAD, AFFORDABLE
HOUSING LOAN AND MICRO HOUSING LOAN

MR. SHRINIVAS MURTY –HEAD, BRANCH BANKING &
MARKETING

MR. KRISHNAN RAMAN – EXECUTIVE DIRECTOR AND
CHIEF CREDIT & COLLECTIONS OFFICER

MR. ABHILASH SANDUR – CHIEF FINANCIAL OFFICER

MR. TAMAL BANDYOPADHYAY – SENIOR ADVISOR

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Moderator: Good day and welcome to Jana Small Finance Bank Q2 & H1 FY25 Earnings Conference Call hosted by ICICI Securities. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone telephone.

Please note that this conference is being recorded. I now hand the conference over to Mr. Chintan Shah from ICICI Securities. Thank you and over to you, sir.

Chintan Shah: Thank you, Tanmaya. Good evening everyone and welcome to the Q2 FY25 Results Conference Call for Jana Small Finance Bank. I would like to thank Jana Small Finance Bank management for giving us the opportunity to host their quarterly earnings call.

We have with us from the management Mr. Ajay Kanwal, Managing Director and Chief Executive Officer along with other members from the senior management. So without further delay, I would now like to hand over the floor to the management. Thank you and over to you, sir.

Ajay Kanwal: Thank you, Chintan and good evening everyone. I would quickly introduce the management who is along with me on this call. So we have Rincoo Vachha who Heads our Affordable Housing Business, Shrinivas who looks after Branch Banking and Marketing, Sudhir Madhavan who looks after our MFI and Gold Business. We have Abhilash who is our CFO and Raman who is our Credit and Collections Head, Sumit Agarwal who is our MSME and Supply Chain Head. We have Gopal Tripathi, our Treasury Head and Mr. Tamal Banerjee who is our Senior Advisor. So, that's everybody along with me on the call from Jana and we will be happy to answer your questions later.

So let me start. I am sure many of you, if not all, would have looked at the numbers, which have been uploaded on the websites, both BSE and NSE, as well as with our presentation.

I will talk through the presentation and swiftly move to slide 2. So first and foremost, I must tell you that as we began the Bank in 2018, it was our commitment to turn the bank into a secured bank with 80% of our assets being secured. That journey continues. We also wanted to build a very healthy liability franchise. That strategy and that delivery and execution continues. We also wanted to be an anchor bank for our customers, which means that you should see us as a broad financial services provider. That journey continues.

We obviously are challenged in the MFI business, but that has not changed how we are executing on our core plan. Firstly, let me start with deposits. We have grown 31% year on year and 10% in the first half. Now out of the 10% that we have grown in the first half of 2024, the time deposit growth has been 9% and the CASA growth is 12%. So a very healthy clip, 10% first half, TD at 9% and CASA at 12%.

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Our advances year on year has grown 17%. First half is 7%, with secured now becoming 65%. Obviously 7% growth rate is slightly lower than what we would have thought, which is mainly driven by unsecured growth at negative 7%.

Our secured business grows a very strong 16% in the first half. So again, secured business moves very strongly to 16% first half growth. Unsecured business, given the environment and our reason to be conservative and cautious, has grown a negative 7%.

Our capital adequacy continues to be strong at 18.8% with Tier 1 at 17.8%. And very important, quality of deposits leads to an LCR of 261% for the bank. This is as of September. ROA at 1.6% and ROE at 14.5%, slightly muted over first quarter purely because of the provisioning we have done in the second quarter. Gross NPA is at 2.86%. Net NPA at 0.95%. And very importantly, PCR is at

67.2%. So our PCR in the second quarter is higher than the first quarter. And given advice from many of the folks on this call, we've also elevated our secured PCR to a 29%, which was approximately 18% in March. So that is one of the things that we were asked, that would you look at a higher PCR in secured, which we've also done.

Gross NPA is up, which is largely MFI-led. It is still at 2.86%. Net NPA at 0.95% and PCR at 67.2%.

Our profit for the first half, post-tax is INR 267 crore. After giving an additional provision of INR 115 crore to make sure, our net NPA remains below 1%, and we've added a meagre INR 19 crore in our DTA. Finally, if you add the PAT of INR 267 crore to our capital adequacy, it will even strengthen further to 20.3%. So to sum it all, it's been a tough half, but we continue to execute very consistently and strongly on our strategy. And we'll talk more about the MFI business as we come to that particular section.

I am moving to slide 3, the highlight to my mind is really our PAT, along with an NPA of 0.95%

and PCR of 67.2 %. And like I mentioned earlier, this is after taking INR 115 crore additional provision to make sure that our NPAs are below 1%. You can see from this page, which is on slide 3, that all parameters are functioning well and the bank is on track.

If you move to slide number 4, here again, you will see that our secured book is at 65%. Our NIM is at 7.7%, in spite a drop of 7% in the MFI book. As you know, the MFI book is a high-yielding book. And of course, the delinquency has caused some drag due to interest reversals, but I'm glad to report that NIM continues to be 7.7% with a stable cost of funds at around 8.1% , for the quarter and for H1 FY25 it's about 8%. So we're very steady on our cost of funds. Our secured business is doing very well. As for our MFI business, we do think the individual loan side on the bank, performs very well and we'll talk more about that as we go along. So to sum up the first half, PAT at INR 267 crore , Net NP A at 0.95 %, PCR at 67. 2%, Secured has now become 65% of our tot al book, which was at 60% in March. So a healthy growth of 5%. It's grown a bit faster than we imagined to 65% secured because the MFI book has de -grown by 7%. So obviously , that ratio is looking much better.

We'll move to slide 5, which exhibits the national franchise that we have, well spread across 24 states. We have 4.5 million customers, roughly about 24,000 employees. On the right -hand side

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on page five, you will see the BC contribution, which used to be at 9.9% , it is down t o 7.4%. One of the de -growths that we have seen in MFI business for the bank, as well as the increase in gross NPA, is because of our BC network and we will show you the numbers as we go along. Page six, we have reformatted this page from what it was from last time because we felt that there are too many ratios. So best to give through this format.

So first and very important news is our affordable housing and Micro LAP business, which is led by Rincoo Vachha, has crossed the INR 10,000 crore mark. And af fordable housing, which was just trailing the Micro LAP business, has become our largest business on the bank. If you see the LTVs, growth rate, gross NPAs, net NPAs of both the businesses, that's where our primary focus has been and will continue to be. And we are glad to report that it works very, very healthy for us. Our MSME loans have grown 16.5% year -on-year and has grown for the first half at 12.9%. And again, we are happy with the parameters. In the following page, we did talk to you last time that we will show you what is our supply chain versus LAP business. And we will show you the differentiation on the next page. And I must add that this business, given how the economy is growing, how the small manufacturing is doing, we can see a

lot of tailwi nd

here. Our NBFC business, which has been always something that we have kept a reasonable proportion of, has grown for the quarter at 3.1% and year -on-year growth at 3%. It shows a slightly elevated growth in the first half because we tend to grow it in t he first quarter and then we tend to not grow in the balance three quarters. Our two -wheeler business, and I mentioned it in the last call too, as we expand number of cities in the two -wheeler business, our two -wheeler business will see a naturally high gr owth rate. So when I spoke to you last time, I did mention that we were in 90 cities going to 120. I must tell everyone that our total number of cities that we are present is roughly about 180. So we have enough and more cities to keep growing and expandin g our two -wheeler business. So when you see the growth of the two -wheeler business, it is about us taking the same product to multiple cities. It is not about changing the credit parameters or any other activity, which would result in such a big growth. Of course, not to mention that INR 651 cr ore which is a two -wheeler business, is not a large number. So percentage is obviously much more pleasing, so to say.

Gold loan has seen a very strong growth. Again, our primary sales channel is our MFI team and while we did see stress at MFI, most of our book, the collection continues to be at the 9 8% to 99% range. So our collectors are spending time on really encouraging customers to take more gold loans. So you've seen a very healthy growth in gold loans, which is roughly about 80% for the year and 67% for the first half itself. And then loans against FD. We have now given the exact product breakup rather than lumping anything so that we're very clear. Our INR 17,000 crore of the bank asset book is secured in nature.

Our unsecured is essentially microfinance. All graduates of group loans who have got individual loans, whether they have for business or agri purposes. And because there has been obviously stress in the microf inance business, this business has de -grown to 6.5% for the first half. Gross NPA at 4.97 % for microfinance, and we'll talk more about it as we go to that page. So that's our book. I think the high point is Affordable Housing & Micro LAP crossing INR 10,00 0 crore. And the other important piece is the development of supply chain for MSME business, which is doing very well, which I will just share with you on the next page i.e. page seven.

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Here if you notice, MSE is broken up into term loans, supply chain and loans covered by guarantee. Loans covered by guarantee also have property backing it up, but this is additionally where we have taken guarantee from CGTMSE. Supply chain has gone from a INR 378 crore to INR 597 crore business. And again, the reason why this business does well is not just because of demand. It is also because as we get new customers and add new geographies, we have barely started the business early last year. And given that, there is enough and more room for us to grow.

We continue to be very diversified geographically, which has been an advantage for us, especially when we want to grow. Also, when there is concentration of portfolio, you know it can cause stress in the environment, and we continue to be taking advantage of our geographical spread. It's been a hard work to get to so many cities and so many geographies, but I must say that the hard work is behind us, and now we are well-established and have a reasonable presence in all the cities. Of course, a lot more room to grow, I must say.

I'm moving to the next slide, which is slide 8. And here, I would like to bring in Sudhir Madhavan. Sudhir Madhavan looks after this business for the last five years, and prior to that, he used to be with Bajaj Finance, and he joined Jana as Head of collections. He did a fantastic

job

in collections and was promoted to the business head. So, Sudhir, over to you. Sudhir really would like to give his view on what is happening in the MFI business from a Jana lens, and then we'll go into our portfolio. But over to you, Sudhir.

Sudhir Madhavan: Thank you, Ajay. So the last two quarters, we have adopted a very cautious and a wait-and-watch attitude. So, look at the first slide. The big three issues, what we are going to face, is customer leverage, our BC performance and employee attrition.

The next line is to look at breakdown of what you hear in industry. There's a breakdown in batch discipline. This is not very relevant to Jana because from 2017-18, we started migrating our book more towards individual loans. So 50%-60% of my book is now individual loans.

KYC issues, it doesn't bother us much because we are 100% e-KYC, so there is no concept of any fraud coming into that place, so it's not Jana relevant. A lot of actions we have taken in the last two quarters specifically focused on customer leverage. We tightened our norms, which was already very tight.

One thing what we've implemented now is the exposure off us for any customer, whether it's existing to Jana or new to Jana, it cannot be more than INR 50,000. Total exposure for a new-to-bank customer cannot exceed INR 1.25 lakhs, it was initially INR 1.5 lakhs, and for existing, it was INR 2 lakhs, both have gone down to INR 1.25 lakhs.

Total exposure of Jana, I think we should be one of the very few organizations where we look at all the bureaus, including unsecured plus MFI. Yes, we have a certain stress on the BC performance. We have 17 BCs across INR 1,900 crore of book. Two of them are slightly challenged, but well within the limits. 14 of them are doing absolutely fine, fantastic. One of them is challenged in a certain way.

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We have a service guarantee with all of them, and this is on disbursements and not on the portfolio. What in last two quarters we have done is we have actually shifted a lot of good collections senior resources to support the BCs. So some of them sit in the BC head offices, some of them actually shifted to their branches to help them to understand collections and their way.

As we moved our senior persons to the BC drive, we can adopt the good practices with them. Plus, we're putting additional guardrails across for BCs so that we restrict their growth, which was very high last year, so we're making sure their growth is controlled.

I'm going to Slide 9 now, employee attrition. We have elevated our employee engagement programs. We do a lot of family connect, calling the families. We do a lot of festival celebrations. Strategically, what we have done, we have actually reduced the account to collector ratio, which was somewhere around 350 to 360 in the month of March. We have actually got it down to 290 to 295.

We have completely improved our compensation program to make sure that it's aligned with the increased difficulty in collections. Plus, now being a bank, we are able to offer a good career path to our people who have three to four years experience in microfinance. They actually moved to two-wheeler. They actually moved to gold loans.

Some of the open items, which is beyond our control, is like even if I have a very high degree of control on the unsecured exposure, post what we give, some other lender comes and gives them a loan, which we can't control much. I know MFIN has introduced new guardrails, but let's

see how that works out yet.

Our future strategy is very clear. We will use RFS distribution team to grow more two-wheeler and Gold. Micro LAP would be our business, which we will accelerate more and more. Increase CGTMSE guarantee for micro enterprises as we gradually move towards more and more individual loans. We currently have a book of INR 120 cr

ore. By March end, we should be

looking at INR 800 crore to INR 1,000 crore of books, which will be completely under guarantee program. Focusing on existing customer, even closed loan base. BC business would continue, but with a much more stringent guardrails.

Krishnan Raman: This is Raman here, handling credit and collections. I just wanted to recap a few items from what Sudhir had said. I think the first piece is that there is some element of stress in microfinance, but particularly it is coming through BC. In the BC, as Sudhir had said, there are 17 BCs, 14 are behaving absolutely fine. If at all, there is only some slight challenge in three. Out of that, one is a little more challenged. But the key aspect is that my service guarantee is on the disbursed amount, whereas the current portfolio is a lot lower than the disbursed amount.

We're doing a lot of streamlining. We've tightened a lot of credit. Sudhir talked about a few aspects of credit that we had tightened. When I'm going to either a new -to-bank or an existing -to-bank, my off-us exposure should not exceed INR 50,000. My total unsecured customer exposure, we brought it down to INR 1.25 lakhs, irrespective of whether it is existing -to-bank or new -to-bank. So these are really a few key aspects.

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And Sudhir has also outlined what we really need to do going forward in terms of the business focusing on CGTMS E. So I just wanted to highlight these are the critical aspects. Thanks, everyone. Back to you, Sudhir.

Sudhir Madhavan: Okay. Let me go to the Slide 10. This gives a snapshot of our microfinance book. As what Ajay said, we actually de-grew by 7%. And year-on-year, if you look at first half to second half, we are actually flat. Strategically, what we have done is the BC book has actually degrown by 11%. Our book has almost remained flat, but because of the high degree of stress in the BC book, we have made sure that they're focused on collections, and then we grow our book. Our GNP A is at 4.97% and NNPA is at 0.49%. We still focus a lot on digital payments, which is at 25%. Our average ticket size across the book is only 36,000, which I think should be one of the lowest in the industry.

Let me go to Slide 11. This gives a snapshot of the Rs. 9,300 crore book. 60% of the book, as compared to last year, which was 50%, are existing customers who have already had a good track record with us. And this gives us confidence saying that our books will remain stable and have good collections coming in the future. Thanks.

Let me pass it on to Rincoo. Rincoo heads our Micro LAP and Affordable Housing. Rincoo, over to you.

Rincoo Vachha: Thank you, Sudhir. A very good evening to all of you. We are at Slide 12. As we saw at the outset, our Affordable Housing Loan business continues to grow at a robust pace, and so does our Micro LAP business. In the quarter gone by, we have increased our frontline field force by around 16% in anticipation of a sizable scale-up further on for H2, which traditionally is a growth-oriented period for industry as a whole.

Moreover, as Ajay mentioned, our LTV ratios continue to be amongst the best in the industry, with Affordable Housing Loan LTVs at 50% and Micro LAP at 36%. Now, this healthy buffer on LTV continues to augment our Home 360 offerings, wherein we offer multiple products to our customers, with Housing Loan and Micro LAP at the core as an anchor product for the bank. With upcoming festive season, if we move to Slide 13, we foresee a very good uptick on pre-approved business loans, which we offer to our existing Housing Loan and Micro LAP customers, who have exhibited excellent repayment behavior and discipline, both on us and off us. Now, this will help to support them with their working capital requirement to grow their business for the upcoming festive season.

This

quarter, under our Home 360 strategy, if you see our product offering per customer is at 3.7 products. That is, we sell 3.7 products on an average to a Housing Loan or a Micro LAP customer. This includes sustained health insurance penetration, which is not a bundled insurance product, above 90%, and CASA penetration is close to 100%, at 99% to be precise. Incrementally, we have seen average monthly balance per customer grow to INR 26,700 per customer from around INR 20,000 in previous quarters.

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On this note, may I invite my colleague, Mr. Shrinivas Murty, who heads our liability business to speak about our achievements on liability front?

Shrinivas Murty: Yes, hi. On the deposit side, we are clearly witnessing excellent growth. We are growing faster than the competition, whereas the industry is growing at 12% on the total deposit. We have grown 31% y-o-y. Similarly, on CASA, industry growth has been at 14% y-o-y. We have grown at 28%, which is double the growth.

For the half year ending September '24, CASA has grown by nearly 12%. Total deposit for us grew by about nearly 10%. So, deposits are clearly growing extremely well. On the CASA ratio, we are seeing stability from 19.7% in the month of March. We are around 20.1% now. Whereas the deposits are growing faster than the assets, the CD ratio has come down from 110% to nearly 100% now, as we speak.

So, deposit growth is higher than the assets for us. Incremental CD ratio is less than 100%. Clearly, deposits are growing well. Cost of deposit is at 8%. In the month of July, we brought down our fixed deposit rates. And similarly, in the month of October, we brought down our saving bank rates, which will help us to bring down the cost of deposits further. 59% of our bulk TDs are non-callable. They offer stability. Similarly, 88% of our bulk TD is one year or above. And the 93% of our RTD is one year and above. All of this is leading to a very high LCR of 261%.

On Slide 14, on the right-hand side, if you see, this tells us the concentration of states. The top three states, which are Karnataka, Maharashtra, and Punjab, from 35%, they are now down to 30%. Similarly, the next four states, UP, Delhi, West Bengal, Tamil Nadu, their share has come down to 30% from 33%. The rest of India is now up from 32% to 41%. What it tells us is that we are able to reduce dependence on few states and increase the new geographies and grow them well. This is clearly aligned with our branch expansion plan. And we are really expanding across and the business is showing a pan-India spread.

The key markets, which are growing, are Bangalore, Delhi, Mumbai, Kolkata, they are growing extremely well. Large centers like Gurgaon, Lucknow, Chandigarh, Indore, they are growing extremely well too.

So, what are the key drivers which are resulting into this growth? So we have continued focus on optimizing our branch network, like I mentioned. We added 22 new branches in the last one year.

We added four new branches in the current financial year with 16 in pipeline. The product innovation and launch of new key segments are also helping us to grow deposits. We launched something called Legend, which is a senior citizen product, which gives us monthly interest for senior citizens.

We launched NRI product. We launched Exclusive Premium. We launched something called Liquid Plus FD. This is a short-term fixed deposit. I'll talk more about it later. We're also improving our productivity through branch sales process. Our per employee deposit is stable at Jana Small Finance Bank Limited
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INR 9.13 crore for the last three quarters. We are also augmenting our digital ecosystem and it is playing very well for us.

Like I mentioned on the Slide 15, this is the spread of branches as per their vintage. We have added 22 branches

, which is the first bar that you see. As the vintage of the branches grow, we see an increase in the average deposit, both on CASA as well as on the overall deposits. If you witness, nearly 100 branches have moved from one year to three year bucket to three to four year bucket. Those set of branches will play well for us going forward.

The new product that we've come up with is Liquid Plus FD, which is a short-term innovative FD product, which offers liquidity and a short return. This product we are witnessing extremely good traction. Similarly, Senior Citizen product that we launched that I talked about, Legend, is also showing excellent results. We've acquired nearly 3,000 customers under it with an average ticket size of nearly nine lakhs.

The staff productivity, which is another key driver for us, is also playing very well. We remain one of the highest per-employee business as far as the deposits business is concerned. On the digital front, our mobile app has witnessed 10 lakh downloads with nearly 5 lakh active customers. And on the reviews, which is a large number of reviews, reviews have rated us 4.6. This is primarily because of the easy registration process and easy interface. Therefore, it is leading to higher active users.

We have added new functionalities to our mobile banking app. We've added GST payments,

we've added loan EMI payments, we've added tax payments, and we've also introduced what is called reward programs. One can sign on to our mobile app and redeem the rewards. In the current financial year, we've added nearly 3,000 merchants on QR, about 600 on the sound box. Most of these are active. Our emphasis on debit card is showing well. We have 84% acquired customers who are carded, which is leading to 71% of the base being carded. So, these are the key drivers, and they continue to help us stay on course on our deposit journey and play a catalytic role in our deposit growth.

With this, I hand over to Abhilash, who is our CFO and homegrown. Over to you, Abhilash.

Thank you.

Abhilash Sandur : Moving on to the Slide 18, that's what I'm talking about. So, the unsecured business strategy we have adopted of negative growth has led to dip in fees, dip in revenue, and also we have taken additional credit costs as a buffer, additional provisioning. This has led to lower revenue for us and also slightly higher cost-income ratio.

We believe that the peak is behind us. So, extrapolating this, I think it will all normalize over the next two quarters, which is next half. I think the cost-income ratio and the revenues would normalize. So, this is what I can call about.

If I go to the Slide 19, this is clearly visible in terms of disbursement. So last year in unsecured, we did INR 4,000 crore for disbursement. This year, it has gone down to INR 2,975 crore and that had a positive impact which is the growth in secured business, but it had an overall impact

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on the revenues. In terms of GNP A and NNPA and the asset quality, 67.2% is the PCR for us, and we are holding onto the NNPA below 1%.

And I hand over to Raman with GNP A and NNPA. Thanks.

Krishnan Raman: I'm moving on to slide 20. So, I just wanted to make two -three points here on the slide. First is if I look at my secured NNPA. Actually, the first thing is NNPA, 82% of that is secured. Out of INR 247 crore of NNPA, INR 204 crore (which is 82%) is secured. Second point is my LTV on the secured is at 45%.

The third point I wanted to make is that my PCRs have grown pretty heavily. I just pointed out that last quarter, we were at 18% PCR on secured and we wanted to grow it. We've grown it to 29.7%. Unsecured also has shown an increase in PCR. The third piece is on the BC book. While we are covered 93.4% in terms of PCR, there is also a service guarantee which we haven't really considered in all of this.

So, at the moment, we believe that we are perfectly and in fact more than adequately provided. On the right-hand side, we're talking about the restructured book which has fallen a further 10% compared to the previous quarter. And bulk of it, INR 73 crore out of INR 79 crore is secured, which has an LTV of 38%. So, these are the key messages I wanted to pass on slide 20.

On slide 21, again, Ajay talked about an accelerated provisioning of INR 115 crore in his introductory slide. If I adjust that and the recoveries, my recoveries which is reflected in the other income line, my net credit cost is INR 247 crore for the half year, which is at about 1.9%.

That is pretty much stable with what we presented in the earlier quarter as well. So, these are really some key messages that I wanted to place on record as far as the GNP A, NNPA, and credit cost is concerned.

And then I'll hand you back to Abhilash.

Abhilash Sandur: Thanks. So, while we have spoken about deposits and advances, one point which is also relevant is the borrowing. So, in the current quarter and in the previous quarter, we have repaid SLTRO borrowings of INR 800 crore at a lower cost. That was at 4%. Even after repaying the low-cost SLTRO borrowings, we have held on to our cost of funds, which is at 8% for the half year.

So that's one key takeaway which I wanted to mention. And we are expecting new sanctions and borrowing limits during this quarter. Probably it will come in end of October or early November from refinance institutions. So that is expected during this month or the early next month, which is at a competitive rate to deposits. Also, it is long-term, which is helping out my ALM because I'm doing a lot of affordable housing and micro-housing, which is at a longer duration assets. So that's one key takeaway which I wanted to mention in slide 22.

I'm moving on to Slide 23, which is on the P&L statement. So key takeaway in this statement in terms of recoveries. So, we have mentioned out, I think there was one request on providing the details of other incomes, which we have provided in this slide. Comparatively, I'm covering the other income part first. The major drop, against last year is from the recoveries, which has come

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down from INR 80 crore to INR 44 crore. However, the PSL income has grown from INR 42 crore to INR 55 crore.

Processing fee, there's a drop, which is from INR 118 crore to INR 104 crore. This is mainly because of the drop in disbursement in unsecured from INR 4,000 crore to INR 3,000 crore approximately. The insurance commission, we are doing well in terms of insurance.

So, and other part is the other fee, which is basically the liability fees. Other than that, if you look at the provisions and contingencies, seems elevated, against last year first half, which is from INR 343 crore to INR 406 crore. This includes INR 115 crore of additional provisioning for the first half. And in Q2, we have done additional provisioning of INR 61 crore. So, moving on, I'll hand over to Ajay.

Ajay Kanwal : Slide 24. On the guidance piece, I have reiterated the guidance we have given earlier. We will work on this in quarter three and come back. Very importantly for us is to also go through quickly a few things which are more relevant from the bank's perspective, which is on slide 28. Here again, our strengths of being a digitized bank, of having a governance framework, all is bearing out in good stead. Our strategy remains very steady. There are a few things that I would like to add before I close, and it's very important for all of us to take note.

See, first, Abhilash, mentioned about why is unsecured growth in the first half being negative. What kind of challenges it has caused? So, first, of course, as unsecured has come down, there is a drop in fee, there is a drop in revenue, there

is elevated collections cost, and there is, of course, an increased provisioning on the unsecured book.

However, I wouldn't extrapolate that for the next two quarters because we don't anticipate a 7% drop in portfolio. So, obviously, fee will get better, revenue will get better, and at the same time, cost income will get better. So, those are three things I must add because we run the risk of taking the quarter and extrapolating ahead.

So, I'm absolutely providing that clarity. I would also like to reiterate what Raman said, which is our credit cost in the unsecured side has seen the peak. So, that is very important for us to take into account as we go ahead. The third thing that you hear from Abhilash, is our recoveries in the first half are down versus year-on-year. This has nothing to do with our recoveries except that all our collection people are more busy trying to make B0, 98%, and 99%. So, obviously, that deserves a lot more manpower to be shifted towards the early buckets, which we have.

Having said that, now that we've had a good quarter of 98%, 99% from MFI, we will be seeing more recoveries come in the second half. So, again, a good reason why we should not assume the first half and second half will be identical. I do think that as a management team, we responded to a stress moment. And our bias has been that we should make sure that our future is very secure. So, our bias in the first half has not been to grow the unsecured group, to make revenue, or to keep cost income low, or any other measure.

Our first half attempt, seeing the strength in the system, is to de-grow, get clear what the environment is really showing to all of us, and then decide to grow, which is why the policy has been conservative, and our strategy has been conservative to that extent.

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But I do believe that with this strategy, our credit cost in the second half, our cost income coming back towards late 50s that it used to be, should be things that one can expect, and we will be working towards that. So, that's a few things that I wanted to add based on what some of my colleagues have mentioned. In closing, I just would like to say one simple thing, which is, from a strategy perspective, we have been absolutely on track to deliver a secured bank.

We are continuing to deliver on that strategy. For us, what has happened of stress in the microfinance business, is a small aberration, which we will certainly be able to conquer, and you can see very well that Jana's Loan book reflects a much healthier portfolio. Yes, I do compliment all our BCs, they have done a fabulous job. A few of them did go off track. We are bringing them back, happens to be three out of 70. We do believe in the BC business for sure.

Our liability business is growing very well, and we certainly will make sure that our second half, some of the gaps that has arrived from the stress, gets fully covered. Our secure business, as I mentioned earlier, has grown a 16% clip in the first half alone, and that will continue to see the same solid growth that we've seen in the first half.

With that, I would like to stop here, and I would like to request I-sec to open the floor for questions.

Moderator: Thank you so much, sir. We will now begin the question and answer session. The first question is from the line of Manish Ostwal from Nirmal Bang Securities. Please go ahead.

Manish Ostwal: Yes, thank you for the opportunity. My question on your comment around the second half will be better but if the operating environment remains challenging the MFI space, what gives you

confidence to do better compared to the H1 performance, especially in the credit cost, collection of money from the MFI customers, the collection cost and overall income growth because you said the fee and revenue also goes down because of this pressure in the MFI

book. So, can you

explain the factors which make you confident to deliver that kind of performance in the second half?

Management: Thank you, Manish. So, you know, first half, it has been a reaction to a stress. I think very little chance all of us got to plan. Second, given that the stress was still evolving, it's very difficult to say that is our final response. So, the first bias has been it's an evolving situation. Let's watch it. Let's be very conservative, and we will take our measured step on how to respond to it as we go forward, once we see the full picture.

So, I think which is why if you see a lot of the things and we've done this special two slides, Manish from Sudhir, to tell you how we will respond to the microfinance situation of where we are tightening, how we are tightening. So, a few things I'll tell you why second half will be better. And I think it will be significantly better. First, we will not have a drop in unsecured by 7%.

This means revenues will be better, and fee income will be better.

Second, we will not see an elevated provision like we saw in the first half because what is the biggest flow-through possibility they've all flown through. I did mention that you've seen a 98 %, 99% collection in the quarter two. So that is the second reason, which is credit costs will be lower, disbursement will be higher, fee will be higher, interest will be higher. And the reason why it

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will be different is also because, for us to kind of believe that everything will be okay very quickly is not real. So, we have taken time to respond to how we want to rebuild and where we want to tighten, and which is what we are seeing right now, which Abhilash has clearly explained. So that's the second thing.

The third thing, very importantly, like I mentioned, is a lot of our staff did get diverted towards holding early buckets strong because there is no point getting early buckets weak while we collect at the deeper buckets. We obviously see more of our teams now getting focused on the deeper buckets. So deeper buckets will give us a better result, which is going to result into lower credit costs for the second half.

So the second half, credit costs will be certainly a lot lower purely because you won't have so much to provision. Your credit cost is much better. And you can see from the secured book, everything is good. Remember out of my book, 65% is secured. So that's completely a book that is very well managed and we are very confident of it. The important thing, Manish, since you brought it up, and I would like you and everybody else to make sure that please make sure when you do credit cost calculations, kindly use this page, which Raman has referred to, which is Page 21. Because we run the risk of using the wrong credit cost in a calculation, because a lot of the recoveries do come in the P&L line for fully written off accounts. So, we will not see that in the credit cost, but obviously they come through the P&L. So, when we do a credit cost extrapolation, it is best that we use the page number 21. And while you use the recoveries in the credit cost to be minus, you please reduce it from the other income. So that you reduce other income by so much and you reduce the credit cost by so much, it will give you a good chance to extrapolate. So Manish, I'm very confident that our second half will be a lot more different. And our first half has been absolutely what we think as a team here, something that we have to considerably respond because we do want to make sure that not only do we respond for this year, but we're also well prepared for next year.

Manish Ostwal: So, the second question on the balance sheet side, we saw a borrowing and investment down by INR1,000 crore on quarter-to-quarter basis. So can you explain what has caused that kind of drop on both li

ne items?

Management: Yes, so very simple. I think Abhilash did mention it. There was an SLTRO, which was given by RBI during COVID period. That was a four-year tenure. The expiry of that happened in July, which is why the drop in borrowings has happened. We have not repaid anything. Nobody has done anything else for that. It's the repayment of RBI, which had to happen. I must also say that given there have been very strong liquidity in the bank, so as we finish our September quarter we have INR 1,400 crore as cash. So we have enough cash on as we have.

So, we haven't tended to borrow also in the last few months. We will be borrowing now because I think the rates are a bit better on the refinance side than they were six months to one year ago. So there is nothing here except that we repaid RBI.

Second, our borrowings will come this quarter. We are expecting from two refinance institutions and our borrowings will be back up. Nothing there, which is something for us to worry about.

All I can tell you is that the borrowing costs from next quarter will be lower than what it is this half, purely because we expect better pricing.

Manish Ostwal: Two small data points. What is the collection efficiency for MFI book during the quarter two versus quarter one and the total slippage for H1 number and quarter two numbers?

Management: So, we are ranging between 98.5 % to 98.7 %.

Manish Ostwal: Was this quarter one, sir?

Management: Quarter one was around 98.6 % to 98.7%. So, it's always between the range of 0.2 basis point here and there. It's always ranged between 98.2 % to 98.7 %.

Manish Ostwal : And total slippages for H1 and quarter two? H1 FY25, current year .

Management: The total slippages in quarter two for MFI was roughly about 10%, Manish.

Manish Ostwal : That includes the BC book?

Management: And so primary, Manish, the slippage is from the BC book. And if you go back to the slide, I would encourage you to go to that slide because that is a very important slide to get this sorted out from us. So, this is slide number 10, where if you look at everything on our book, which is Jana's book, it is 4.2% gross NPA, net NPA of 0.5 %, and 3.5 % for Agri Group . It's a BC book. Whereas we have explained, it is with a service guarantee. And the service guarantee is in form of deposits, which the bank holds, and encashes as it goes into NPA. But if you talk of slippage at Jana's end, it will be less than 50% of the BC book. So the percentage that Raman mentioned is largely led by the BC book.

Manish Ostwal : Thank you so much, sir.

Moderator: The next question, the next question is from the line of Shailesh Kanani from Centrum Broking. Please go ahead, sir.

Shailesh Kanani: Thanks for the opportunity. So just wanted to understand the accounting in case of tie-up with the BC. So suppose the BC book size is around INR 100 and the GNP A is INR 10. So how does this FLDG of 4 to 5 work and how much is getting reflected in the books and how the PCR is calculated? Can you just give some idea of the accounting of this?

Management: Yes, so Shailesh, first, let me explain this. There are 17 BCs. 14 of them are nowhere close to the FLDGs or the service guarantees that they have given to the bank. Two are on borderline and one is where it will cross the amount of money given to the bank. Now let me explain how do we take this service guarantee . It is based on disbursements and not portfolio, which is why if you see page number 10, where while the gross NPA is 9.7%, it doesn't mean we are out of pocket because our service guarantee is on disbursement amount and not on outstanding. So we have a lot more money than the current average outstanding of all BCs.

But like I said, we do not see us being out of pocket with any BC except one. Second, very importantly , is all BCs are committed to getting

recovery behind them. So full steam ahead, they

are all focused on recoveries, which is why if you see their book has now shown a negative growth of 12.7%. And like Sudhir mentioned, wherever they have seen a bit of turnover and because we had obviously a larger workforce who have seen COVID and demonetisation in the past, we have lent them some of our senior collection resources to support them.

So just to answer your question, does the bank anticipate any big challenge out of, if the service guarantee is surpassed, then I'm clarifying that to you that there is only one case where it will be surpassed. We are sure that's not a number which will change our view on the next half. And second is we also know that everyone who is close to the service guarantee provided by them or the one who surpassed it, they're all very committed to making sure that they bring it all within their line because it is a very important P&L item for their businesses also.

Management: Gross NPA remains, whatever is coming through the books, the moment an account becomes 90 DPD is Gross NPA . And then thereafter, you have either the provision or the service guarantee invocation. Together, both of them get deducted to come up with a net NPA number. And the net NPA number for BC book is roughly at about 0.7% and the PCR is at 93.4%.

Management: So Shailesh, you must look at page 10 because the 0.7% net NPA of the BC book with a PCR of 93.4 % is stated there. And that will give you a good sense of the service guarantee the bank had. But again, I would also like to add Shailesh, we should not extrapolate first half into second half. I'm not saying everything is perfect. Obviously, we've seen the peak and you can see that in the numbers here.

Shailesh Kanani: Fair enough. I just wanted to understand this includes the cover what we have. So I got an answer

for that. That is fine. So again, on this BC book, as you rightly mentioned in your remarks as well at the beginning of the call, where our ATS is one of the lowest in the industry. So just wondering why we have such a high GNP A in this book. Have we done some analysis because quarter on quarter also the quality has kind of gone down. So any thoughts on that in spite of having so low ATS and from your earlier commentary that they are the old partners for the bank. So any color you can draw on that?

Management: So a good question, Shailesh. I think I should have probably covered it, but let me just check.

So I really want you to go back Shailesh to this slide which Sudhir presented. Now here in the BC book, one of the BCs under challenge is really the BC who had used CSP points to support them. And there has been obviously a breakdown of communication. There has been a breakdown of operating rhythm between the CSP points and the BC. So our learning really is that BCs using CSP points for collections may not be the best answer.

Now, fortunately this BC does not have his entire book with CSPs, but some geographies where he uses CSPs, he got a bit challenged. We have decided that we will stop CSP points for any BCs to use. They have to use their own stuff. So this is a primary reason he is the most challenged.

So that question from you, Shailesh, is absolutely fair, which is why does an institution where their own book is pretty much reasonable, ATS is low, why is the BC book more challenged?

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So one of the reasons of the most challenged BC is the use of CSP points as one of their channels which hasn't worked well. The second is, let's talk of the people who are on borderline.

So very good institutions. We would do more business with them. I did think that going into new geographies led to new people who did not know the processes and certainly if they would have had a lower growth, they

would have been less challenged, which is why Sudhir mentioned that we will put guardrails on growth, even if you were a BC.

Now the challenge, obviously if you're a BC and you're small, percentage will look high. So we will obviously modulate to some sensible number, but our takeaway is two. The most challenged one had CSP relationship issues. The two on the borderline had faster growth rate than the rest. And as you can see out of the 17, if you leave these three out, rest are pretty much in the 1.5% to 3.5% ranges of gross NPA, which is well-maintained book.

And that kind of reflects everything on Jana's book also.

Shailesh Kanani: But unfortunately for us, he seems to be little on the bigger side in terms of contribution to the book, right? These three BCs which you're referring to?

Management: Yes, yes. He's one of the larger ones and he's one of the oldest ones. I must say that, all this Shailesh is that you understand. The CSP model, this BC has been practicing even before he became our BC for many years. So it's not a new model he tried with us. But unfortunately in this crisis, again, due to a mix of a few issues, it has not turned out well. So it's not a new model he tried with us. It's a model he's been doing for years. He's been our BC for over four years. We never had a challenge we got worried about. But somewhere I think in this stress moment, this kind of snapped. So Yes, that's just to give you some background of both this BC as well as what happened.

Shailesh Kanani: So just last question from my side. So any targets for PCR per se, how that we should build up in our models and also on a book keeping side, can you share the gross slippages, recovery write-offs for the quarter?

Management: So Shailesh, one is for your model. I would always expect Jana to have net NPA below 1%. That will be our going in position for every other quarter after this. And whatever is required to be provisioned, we would provide for that. Like I mentioned, Shailesh, you got feedback when we were doing the calls last time around that some of the analysts would like to see our secured PCR go up.

So while we could have declared a higher net profit and cross 100 for our psychological mark, etcetera, we decided that listen, we would not do that. We would actually raise our PCR even on secured to a 29.7% this time. So that's the second piece you should know. We would like to retain that at that levels.

Thirdly, I would not assume the same flow rates as quarter two. I would assume a very low rate because if you look at the BC book, there is only so much more that can flow down. The worst

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is already behind us. So that's the third piece I would do. On the slippages, again, I would like

Raman to quickly work out a slippage which is with BC, non -BC.

And share that with you, but I could do that later because I don't think so that number is ready with him right now. And we will come back to you, Shailesh.

Moderator: The next question is from the line of Kamal Mulchandani from Investec Capital Services.

Kamal Mulchandani: Sir, can you please guide what has been the par zero trends in the MFI loan book for the company?

Management: You're talking of par zero trend in terms of collection ratio ? What do you mean by par zero trend? One plus, you mean ? One plus bucket, right, Kamal?

Kamal Mulchandani: Yes, sir.

Management: Give us a few seconds. If you have a follow-up question, ask while he gets the data out.

Kamal Mulchandani: So secondly, I wanted to ask that quarter-on-quarter we are seeing increase in GNPA for affordable housing in Micro LAP . So can you please elaborate what has been the reasons for this?

Management: Right. Increase in GNPA for affordable housing is actually in line with what we would expect.

So if I look at the, and if I look at secured as a whole,

my overall net slippages is somewhere in

the region of 2.5% per annum annualized. And that's broadly in line with what we expect for all these secure portfolios put together.

So that's one part. The second part is if I look at my LTV ratio for the GNPA, that's at about 45%. And therefore, the loss that I would expect from this portfolio is going to be very minuscule. So I think these are really the two points I just wanted to highlight.

Management: I just want to add to Raman's one point. You have probably a 20 bps to 30 bps extra gross NP A at this point of time, purely because of slowness of getting the section 13(2), 13(4) and SARFAESI activities organized in the first quarter. We do have a backlog. And I'd mentioned in the last call that we should clear about 60% of that backlog in quarter two, and the balance 40% for the last quarter.

Like we have a lot of cases where we are waiting for repossession orders. Most of the territories have cleared it. We have one or two states where it is still a backlog. Once that is done, you will see a gross NP A, which is slightly lower than where it is today. But other than that, like Raman mentioned, given our slippages where we are, it's hardly a LGD book at all at our end.

We are not seeing any microfinance rub off on our book. So I'm saying this very simply because there is no connectivity we can see, and we are not feeling any challenge coming from a MFI behavior into any of our secured books. Our commonality of customer isn't large. It is something as a strategy we'll do more of now, but that has not been our biggest push in the past.

Kamal Mulchandani: Like that's what I wanted to ask. If the one plus numbers are ready, that would be great.

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Management: Okay. Kamal, we will come back to it, which we'll send it across to you .

Moderator: The next question is from the line of Rajiv Pathak from GeeCee Holdings .

Rajiv Pathak: So just to reconfirm, are you saying that in Q2, the stress levels and the credit cost in the unsecured book would have peaked, and Q3 onwards, you will actually see a decline in the stress levels and the credit cost? And second part is, on the secured book, I think it is very heartening to see that we have increased the PCR on the secured book.

But if you were to look at the three main components of this book, the housing, the Micro LAP , and the MSME, there is a quarter-on-quarter increase in the GNPA s. So can you just share some thoughts on what has led to this increase and whether you will see some kind of a trend going into the second half also?

Management: Okay, so thanks, Rajiv. So Rajiv, yes, I think two things will happen in second half. We will not have as much flow into gross NPA as we had in the first half. And if you really look at our slide on microfinance, which is Slide 10, you will see that our BC book is already sitting at a gross NPA level of 9.7%. So there is not much room. And I'll just tell you the peak number roughly was INR 2,500 crore of BC book in March. It is down to INR 1,950 crore.

So a lot of the tougher customers which were on the borderline have already slipped. So that is one simple reason. Our book, if you take what is on Jana sourced and collect book, we pretty much are more or less steady with where we were in the first quarter. So we really don't have any slippage of a serious nature there. So which is why you should expect lesser flow through. And like I mentioned earlier, a lot of our collectors were basically moved to the early buckets to stem the flow.

Now that the flow, like Sudhir mentioned, 98.6 % to whatever, closer to 99 %. We have more time with our collectors to really work on the recoveries of the deeper buckets. So we should see better credit recoveries. We should see lower credit flows, which means lower demand for provisioning and better recover

y. So net numbers will be much more positive . So that's given.

And thirdly, remember, we have not grown unsecured in the first half. We've actually run negative. So I have not added new customers which will give me new NPAs. So while it is not flattering on the first half numbers, because I've obviously lost fee, I've lost revenue, but I do think that that negative growth of first half, 7% of unsecured, will add a positive to the credit cost of second half.

And we certainly are very sure of now what growth we want to build, because now we are certain that this growth will be something that will be good credit even as we go forward. Because Rajiv, as you know, if we try and grow the way out of the problem, we can probably solve today's problem, but we'll create tomorrow's bigger problem.

Now on the secured book, I said, see, listen, PCR, we happily put it there because we wanted to make sure that nobody should have any doubt that we are very committed to make sure that we are well provided. If provided slightly extra is the way we look at it. So right now I'm referring to Slide 20.

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The PCR is increased to roughly 30% of secured . 88.8% on Jana's book. And 93.4% of BC books. So we've got very good PCR coverage and I think very well balanced now. So PCR in the same way we should anticipate. I really don't have a different answer to give you on gross - NPA for secured, except that like Raman mentioned, if you actually model it and you look at gross NPA, net NPA LTVs, your LGD will come to less than 0.1%.

And you just have a look, just multiply it and you see it. We have not even use a provision here. Many of the analysts said last time that other housing companies have given higher PCR. Why don't you also look at it? We've actually put PCR here. Our increase of PCR is not any reflection of what we anticipate as a loss.

I just want to make sure that I clarify that. The one thing I did mention and I said this in the last time also, first quarter of the Section 13 (2), 13(4) SARFAESI it was all delayed. Maybe because of elections, there is not the machinery which is supposed to give orders or work with us, whether it is the tehsildars or the law enforcement. Everybody is busy with elections. I did mention last time also, I think it will probably solve 60% of that backlog in Q2 and the balance 40 in Q3 and which is what we will do. So you will see gross NPA getting better.

There is no specific worry on secured , Rajeev . We have a good scorecard. We have a new version of that scorecard and we are seeing good growth, as you can see in our business. So all very steady, Rajiv.

Rajiv Pathak: That point is well taken. In fact, your housing say, gross NPA is 1.2%, Micro LAP is 2.2% and MSME is 2.4%. It is kind of well below what we have seen in the other guys in the industry. So my point was that since we are already better off within these three sub segments in terms of the gross NPA, this should still be maintained. You will still be clocking better than industry averages in this sub segment, right?

Management: Absolutely. I would say that you should expect us to remain here or get better in second half.

Rajiv Pathak: Okay.

Management: That's what I was trying to say, Rajiv, because we have some backlog to clear. We are fully focused on it and at least our sense is that from here it should remain steady at best get 20 bps better on gross NPA. That's what I can expect. And like I want to repeat for unsecured because that is the most important thing which should be like a cause for concern. Don't extrapolate unsecured, either revenue or cost income.

But also realize that as a management team, we have to make sure that we have to convert to a universal bank next year. We have to have net NPA below 1%. We have to have gross NPA below 3 and we would not chance one quarter numbers to

make them look nice, but then put the whole next year at risk. So we rather felt that not growing, watching, getting clarity in our minds of what's happening is more important. And then once we are sure in our minds what has happened, then we'll respond. That is how we have seen it which is why we're very happy telling you that second half will be different.

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Rajiv Pathak: Just one data keeping question. How much would have been the interest reversals in this quarter because of the slippages?

Management: Rajiv, interest in suspense our RBI norms. Therefore whatever goes into NPA, the entire money is reversed. I don't have the number offhand with me , you asking for a rupee value, right?

Rajiv Pathak: Yes a rupee value, absolutely.

Management: I don't have it .

Rajiv Pathak: No problem, I'll take it on later.

Management: Okay, Rajiv, thanks.

Rajiv Pathak: Wish you all the best.

Management: I'm noting down these questions so that next time we are more prepared for this .

Rajiv Pathak: Thanks a lot and wish you all the best.

Management: Thanks , Rajiv.

Moderator: Thank you so much. The next question is from the line of Ashlesh Sonje from Kotak Securities.

Please go ahead, sir.

Ashlesh Sonje: Hi team, good evening. Couple of questions. Firstly, on the MFI book, you have said the slippages are roughly 10%. And if I go by Slide number 10, where the overall book is roughly INR 9,300 crore, does that mean a roughly slippage of about INR 230 crore assuming the 10% number was annualized. Is that fair ?

Management: INR 230 crore is approximately right.

Management: Okay. Ashlesh, the thing that I've asked Raman to do is to break this into BC, Non -BC that will kind of solve the problem. That will be a good feature to how to measure the two.

Ashlesh Sonje: And secondly you mentioned that the gold loan business, one of the sales channels for that business is your MFI customer base. Can you share a rough number as to what is the proportion of your gold loan customers who would be either an existing or an erstwhile MFI customer a rough number?

Management: So if we were to hazard a guess, we can tell you existing customers so that will probably be about 15% at best. But what is our old MFI customer, very difficult to say. But if you ask me an active customer base right now, we'll be an MFI customer of 15% .

Ashlesh Sonje: Understood. Perfect. And just to confirm what you said, you're saying that while there are challenges on the unsecured piece, there is no rub off on the secured segment at least for now, right?

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Management: Absolutely. And we heard Rajiv before you. There is no challenge on the secured piece which is why if you see we have grown at half on half growth is just 16.9 % in affordable housing, 8% Micro LAP. So no real challenge there. And we have not seen any rub off because we don't have a large proportion of MFI customers which are based, our average ticket size is Rs. 6.5 lakhs for Micro LAP. So there is not a high proportion of micro finance segment customers. There is a small proportion, but nothing challenging.

We had also done some study earlier where we found that existing customers of MFI actually behave very well when they borrow in Micro LAP. Even though it is a small percentage that we had, we always felt comfortable with that. And that's mainly because once we're able to collect from them an unsecured loan of Rs. 40,000 to Rs. 50,000, then doing a secured loan Rs. 1.5 lakhs to Rs. 2 lakhs is not such a big issue.

So I would like you to be very sure from what we have said, we don't see any challenges on secured one and unsecured we will not see more flow throughs because larger flow throughs were in the BC book where the real elephant has passed.

Moderator:

The next question is from the line of Yash Mehta from Art Ventures.

Yash Mehta: Sir, I wanted to ask that on this industry level, for how long do you expect the stress in the micro finance sector to continue or when do you expect the revival in the micro finance sector?

Management: Here is the answer that I think it will be dependent on player -to-player. Average ticket size will be a big determinant of how much you have leveraged to your customer. The geographies you have presented will be another determinant because if there are too many players and your customer is leveraged quite highly, then the problem will be worse. I think people who will try to grow out of this problem by disbursing early may find that this may come to bite them later. So that would be the third piece I would think would be a differentiator.

So those are my three big reasons of saying it is very difficult to say everybody will look similar and I think people will look extreme and I think you will find different players at different points giving their challenges because their responses will be different. Like we do know that there will be institutions who would have grown in the first quarter and the second quarter while you have degrown so our answers will be different.

So that is what I'm saying. I don't have a straight answer depending on the institution and the strategy they take to resolve the issue. I think the question which is important to all of us and certainly it is to us is in what business model is the MFI business looking at . And I think that is a bigger question because frankly, as you have seen in the past using leverage to grow and growing your institution is not the answer.

There is no hard guard rail that if you lend a small amount, somebody else will lend on top, what

will you do? There is no good answer also there. So I think becoming more conservative in the MFI business both in its growth and what you wish to do is important. And that will mean that all of us should, at least, at Jana we think our MFI business contribution will be more guarded in the future also.

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While we always had a plan to get to 80% secured, our mind is to get there faster now. Because I do think there will be a bit of a question of the model which is okay even if this stress is over, what next? And we can't go back to the same model because this model causes stress, so then what is the next model? How do all of us as responsible lenders behave and will we get the behavior from all the rest of us. May not be an easy answer right now, it's not so obvious to us. So our bias is listen we were anticipating to become a 67% to 68% secured by the end of the year. We'll probably aim between a 68% and a 70% now.

Yash Mehta: Okay. And sir, one more question. Sir, will you be able to grow the advances by 20% in the second half or what kind of growth rate do you expect in the second half for advances?

Management: So if you look at our first half, our first half is very clear. We were 16% secured growth, 7% negative, unsecured.

So composite was 7%, but unsecured grew minus 7%, secured grew plus 16. Now if we make sure our unsecured is at 0% growth. I'm just being conservative, I'm not saying it will be zero and secured growth by 16%. I think we will be closer to the number you would anticipate. By chance if secured growth 5% in the second half and unsecured continues to grow at the first half, then you can look at the number. I can only add that first quarter in all our banks is not the strongest quarter for disbursements. It is normally Q4, which is the peak quarter.

And Q3 is always a very good quarter. So I would think that our growth rate in second half on asset side will kind of cover the gap of the 20% growth in asset business that we would like to do.

Management: Thank you sir. And 16% growth

with on a 70% of the book is about 11%, 12%. Add that to the 7% you're already reached 20%

Yash Mehta: Thank you very much, sir.

Moderator: The next question is from the line of Gautam Jain from GCJ Financial. Please go ahead, sir.

Gautam Jain: Yes. Thanks for giving opportunity. Good evening, everyone. A couple of questions. First is, can I get the yield of secured business and unsecured business, average yield?

Management: NIM right?

Gautam Jain: Average portfolio yield.

Management: One sec, Gautam. First is, Gautam, thank you for asking the question and coming to this call. I will ask the CFO to give you the range of yields for both secured and unsecured. Do you have another question which I can answer in the meantime?

Gautam Jain: Yes. Also, can I get the stage 2 numbers for Q1 and Q2 of this year?

Management: Gautam, third question?

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Gautam Jain: Third question would be, do you think there is a risk to guidance we have given? Because if I take first half and numbers are quite low compared to what we have guided for in terms of PBT?

So, do you think we can, fill that gap in second half and meet our guidance we have given 30% to 40% in the PBT level growth?

Management: So, among the guidance things, AUM growth of 20%, I think is not a risk. It is something that I do think we will hit in second half. The positive growth of 20%, given that the first half is more closer to 10%, I think is something that we will certainly do. I think the PAT growth is what we will watch, which we will get a good sense of in this quarter, which is largely to do with the credit cost that we have in our mind, as well as unsecured, a portion of the growth coming back, which we will certainly see how the response is. I must tell you that in the first 21 days in October, it looks encouraging. So, we'll certainly have a look at that. I think it's fair to say the 40% may not be a possibility now. More closer, we will be fighting the 30% answer, is how I look at it.

Gautam Jain: And the last question is, if I look at your PPOP sequential from, INR 355 crore to INR 298 crore, so roughly we have a decline of around INR 57 crore to INR 58 crore sequentially from Q1 to Q2. And that's mostly because of dropping net interest income. And again, because of high proportion of secured book. So, just a question which is coming to my mind, that if we continue to increase our secured book, do you think same rate of decline in yield will come, and that will

lead to, again very, very marginal growth in operating profit y-o-y sequential?

Management: So, Gautam, just to clarify, so the PPOP drop, you'll have to consider the sale of PSL, which we did. We earned INR 40 crore in quarter one. And this quarter, we have earned only INR 10 crore out of that. So that is the impacting factor for the PPOP.

Management: So, Gautam, here it is. The real big change in the first half is negative 7% in the unsecured book. My rough estimate of revenue loss it has caused, if I add that with some interest and sustenance high-level estimation, it should be between INR 100 crore to INR 120 crore. That is the primary reason of change. Now, even if the second half gets back 3 % or 4% of the 7% negative, we will be back to normal. I don't think so our secured book is causing any change in the mixed causing problem. It is more the negative growth in unsecured.

And you can do a quick number, INR 10,000 crore minus INR 9,300 crore with a yield of 19.9%, if I remember well. That will give you the number. Slowness disbursement will give you the second number. Because lower disbursement means, of course, less revenue and less fees. So, I want us to be very clear that once we don't grow secured aggressively, just grow enough, we will be recovering a lot of the gap in revenues, which will obviously make cost-income look better

er, revenues will look better, people will look better.

But, Gautam, we didn't want to do that in the first half, because we didn't want to go in a very environment which is unclear of what is the depth of the issue that is surrounding us. And we wanted to make sure that before we take and decide where we are going, we get clarity on that.

So, yes, that is the only reason I would be worried about.

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So, when I'm calculating second half, I will build back some unsecured growth. And you will find a much better number across the board, whether it's cost-income, it is etc etc. The other piece I must tell you that on credit cost, you all must use our Slide, because if you use any other number, then we will always have a reconciliation issue amongst us.

Because the recoveries we do, which goes to the fee line for the fully provisioned book, we've missed that. And then we have an elevated cost, which we should, cost of credit we should avoid.

So, that's my only other request, Gautam.

Gautam Jain: So, we're expecting stage two numbers, Q1 and Q2 and the yield...

Management: Let me give you a yield first.

Management: Sorry. Gautam ji, one minute. Let's do the next question if any.

Gautam Jain: No, the cost of fund in this quarter is 8.1. Don't you think this is much higher than even compared to our peers? Do you think still has room to go upwards? This is the peak cost of funding which depends on here?

Management: Yes, so good point. Yes, I think it is higher than our peers. And the reason it is high is because our LCR is at 261 %. And that is also higher than our peers. Industry average is 130 %. Our peer group is in the 100 % to 150 % range of LCR. We are at 261 %, Gautam, and that causes obviously a higher cost because we would like that we have a large portion of our deposits non-callable.

And certainly given last year environment where, and some of this year, where the talk of the town is the growth of deposits in banking, we wanted to make sure that we do have a very solid liability book under any circumstance. So conscious strategy. Would we like to reduce our LCR and hence our costs? Slowly over the next 6 months as the situation eases, we will do it. But you must see that Slide and I would, Gautam, you must have a look at it. It is Slide number 14.

And the LCR of all the peer groups that you're comparing also in the public domain, you must have a look at it. So conscious strategy of paying the extra 20 to 30 basis points to buy certainty in an environment where deposit growth rate in the industry is challenged. We aren't challenged. We are doing very well, but we want to make sure that we have a bit more strength in our book, certainly on the deposit. So, I would say that our LCR at 260 % is roughly two times the peer group that we talk of.

Gautam Jain: So you think, Ajay that Q3 will be peak quarter in terms of gross NPA and then it will fall down from that level?

Management: I think, Gautam, like I said, we are on 21 days of October. I mentioned to Rajiv earlier, secured, nothing that disturbs our thinking. Unsecured, you take the biggest flow through is BCs. The INR 2,500 crore book is down to INR 1,900 crore. So the worst is kind of flowing through already. I can see all the BCs very focused on collections. So all credit to them. And I must say that they are very well coordinated.

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So fair to say that yes, Q3 will be lower credit cost for sure from Q2. But I think it's less about the rupee value, Gautam. It's because the flows are lower. It is also giving us confidence then to start disbursement. Because for a business which is having a lot of slippages, then to focus on disbursements may not be the healthiest answer. But which is why we feel that this quarter the book will grow.

W.

Credit cost will be lower. Which means revenue will be higher. Interest in sustenance will be lower. Recoveries will be higher for sure in Q3. So we should see a much better performance. Which is why I said with a deposit of 20% growth rate, yes. Asset growth rate of 20%, yes. PAT, I would still fight for the lower rate of 30%. Because we had indicated 30% to 40%. We will certainly be focused on getting that right.

Moderator: Thank you.

Management: I do want to respond to Gautam. Gautam, if you take my MSME, Home Loan and Micro LAP book, the yield is 13.41% between the three. And I mentioned earlier the yield on the unsecured book which is largely microfinance minus the payout to BCs because they have a portion of the revenue is roughly about 19.99%. I am not adding, you know the vehicle loan, I am not giving you, I think your question was more around our top three businesses of Home Loan, LAP and MSME. What is the yield that the bank gets? That's 13.4%.

Moderator: Thank you, sir. Ladies and gentlemen, due to time constraints, that was the last question. I would now like to hand the conference over to the MD & CEO, Mr. Ajay Kanwal for closing comments.

Ajay Kanwal: Thank you so much. So, listen, in closing, I just would like to say a few very simple things. This small bump in the road doesn't change our strategy. Our strategy always has been going a secured business and if anything, this 6 months has again proven that we have been on the right track as a strategy for the last 6.5 years. Fortunately, we have the product, we have the geographies, we have the people going secured. So, I must say that we are fine here.

I must add that in our unsecured, the peak is over. We will get better in Q3, which will include us growing the book, which will include lower credit costs and will include more recoveries. All three will happen because that is the nature of the beast. And we will remain always focused on making sure that our book is ready for application of a universal bank next year after we finish our audit.

I am sure that this half was more unexpected than we thought. But we have decided that we will use this moment to really do the right thing and not really focus on how to make this quarter's profit look better.

With that, thank you so much and thanks for coming for this call. And hope to catch you on the next call when we declare our December numbers. Thank you so much.

Moderator: Thank you so much, sir. On behalf of ICICI Securities, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Jana Small Finance Bank Limited

October 21, 2024

Call: Jan 2025

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JSFB/SEC/2023- 24/138

27th January , 2025

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Sub: Transcript of earnings call for the quarter ended 31st December 2024

Ref: Disclosure under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015

Dear Sir/Madam,

Please find attached transcript of earnings call for the quarter ended 31st December , 2024. The same will also be uploaded in the website of the Bank at www.janabank.com.

You are requested to kindly take the same on your record and oblige.

Thank you

Yours faithfully

For Jana Small Finance Bank Limited

Lakshmi R N

Company Secretary & Compliance Officer

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“Jana Small Finance Bank Limited Q3 & 9 M FY25
Earnings Conference Call ”

January 21, 2025

MANAGEMENT : M R. AJAY KANWAL - MANAGING DIRECTOR & CHIEF
EXECUTIVE OFFICER , JANA SMALL FINANCE BANK
LIMITED

MR. ABHILASH SANDUR - CHIEF FINANCIAL OFFICER ,
JANA SMALL FINANCE BANK LIMITED

MODERATOR : M R. NIDHESH JAIN - INVESTEC CAPITAL SERVICES
INDIA PRIVATE LIMITED

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Moderator : Ladies and gentlemen, good day and welcome to Jana Small Finance Bank Q3 & 9 months F Y25 Earnings Conference Call hosted by Investec Capital Services India Private Limited.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing the "*" and then "0" on your touch- tone phone.

I now hand the conference over to Mr. Nidhesh Jain from Investec. Thank you and over to you, sir.

Nidhesh Jain: Thank you, Steve. Good afternoon, everyone. Welcome to Q3 FY25 Earnings Conference Call of Jana Small Finance Bank.

To discuss the Financial Performance of Jana Small Finance Bank and to address your queries, we have with us top management team from Jana Small Finance Bank. The Management Team is represented by Mr. Ajay Kanwal – Managing Director & Chief Executive Officer.

I would now like to hand over the call to Mr. Ajay Kanwal for his " Opening Comment ." Over to you, sir.

Ajay Kanwal: Nidhesh , thank you very much and welcome everyone. Like last time, I would focus on the investor presentation we have uploaded. And I will be referring to the pages of the Investor Presentation when I speak. So, let me start by using Slide # 3.

So, we had a very strong Quarter 3 where both gross NPA and net NPA have declined. And I would really like us to go through these specific numbers with me, which is in the box. So, first, regulatory provision in Q3 has come down to Rs. 81 crores versus Rs. 149 crores of Q2. And if investors, analysts who are on this call remember what I said last time. I did say that Q2 has seen the peak of our challenges. And this drop in regulatory provision 149 to 81 is from that purpose.

Second, we are providing extra provision so that our net NP A remains below one. And that is primarily due to our need to apply for a universal bank in May this year. As we all know, to apply for a universal bank, you have to meet conditions of gross NPA below three, net NPA below one for two consecutive years. We met it last year, and to make sure that we meet it this year, we keep providing the accelerated provision. So, in quarter three, we have done that for Rs. 93 crores. However, if you see the net NPA has fallen to 0.91% versus 0.95% of Q2 .

Our PBT post the regulatory and accelerated provision is Rs. 105 crores, which of course is higher than Q2 of 88. If you add back our deferred tax asset, which is lower in Q3 from Q2, our PAT is at Rs. 111 crores versus Rs. 97 crores of Q2. For people who would like to calculate what would have happened to PAT or RO A or ROE, if there was no accelerated provision done by the bank, I have also given those numbers. Our adjusted PAT, just adding back accelerated provision would have been Rs. 204 crores. Our RO A would be 2.4% and ROE would be 20.7 %.

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So, very important that we understand accelerated provision, the need for us to do it. And of course, both gross NP A and net NP A is dropping. I will show you credit cost in detail on the next page. But on the very high level, it's been a fabulous quarter with a drop in regulatory provision, with an increase in PBT. And if you go down to the balance sheet, we have seen a solid growth in secured loans, 36% year -on-year, and now our secured book stands at 68% from 60% in the March ending, 2024 financial year ending.

Our unsecured book has declined 7% year -on-year, given stress in the M FI business. And from last quarter, we have initiated CGTMSE for the micro enterprises who are in business and for the rest of the MFI book, CG FMU. And I will share with you how much we already put into the guarantee program. Our deposits continue to grow well and

our LCR is at 279%.

Our book value has improved to Rs. 380 per share which I thought I will share, so that we are very specific about it. So, very important to remember from the first page, it's been declining gross NPA and net NPA, and if one were to remove the accelerated provision taken by the bank, PAT would be at Rs. 204 crores.

Page #4 of the Presentation Deck is on our credit quality :

So, our credit cost, Q1 - 196, Q2 - 210, Q3 has down to 174. In 174, accelerated provision itself is 93. So, in reality, credit cost has dropped. If I take away accelerated provisioning and recoveries, then the net credit cost is just Rs. 44 crores. So, again, I would like to repeat for folks who are attending our analyst calls regularly, you have seen a drop in our credit cost in Q3 and the peak challenges are behind us. And then I have also given, because many of us want to know what happened to the gross NPA during the period and so what to anticipate. So, here we are on the opening GNPA balance at 755 crores. We added about 437 crores. And we had recoveries and write offs of 434 crores . We are closing on flattish gross NPA .

Now what is the portion of gross NPA and net NPA which is secured and unsecured? We certainly will cover before I go into Q&A. So, the main thing to remember from here is a drop in credit cost in absolute terms. And if you take away the accelerated provisioning, it's even much lower. Our PCR continues to be very healthy at 66.94 %. And when I say very healthy because 66.94% is considering or rather given a secured book of 68%.

The other points I want to cover are other Q3 developments, which is now Slide # 5, we have initiated CGTMSE and CGFMU which covers about 13.3% of our Unsecured portfolio. And by March '25, we hope to reach about 25 % to 30% of our Unsecured portfolio under both the guarantee programs. I want to emphasize that us taking guarantee programs is just to make sure that anything unforeseen in the future does not shake us from a credit cost perspective. We are conservative in how we lend, much more stringent than the MFIN criteria . We do believe our book is performing much better than the industry, but I did want to make sure that we were extra careful given the environment.

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The second thing that I have pointed out here is the cost to income ratio. And for all the folks , I have actually done OPEX to Total Business, which is total of my asset book and deposit book.

I have divided OPEX by Total Business. And there you can see it is 0.9%, 0.92%, 0.91% per quarter. So, really our costs are not going up. It is in line with the AUM growth. The challenge being the NIM is dropping because unsecured book is dropping. And that is stressing the cost - income ratio. So, the moment we stabilize our unsecured MFI book, which we expect to do in quarter four, which is it doesn't drop any further, just remains where it is or goes positive, our cost-to-income will start getting better. So, we should expect cost -income to start getting better.

There is nothing extraordinary that is happening. It is just a change of mix between secured and unsecured. and we have seen an unexpected steep decline in unsecured given the environment.

So, I just want to give comfort to everyone that we have our eyes focused on cost and this is just a mathematical thing which will get aligned as the MFI book stops de -growing and of course will get even better as it starts growing.

Finally, I want to show CASA. Now we took a step on 3rd of October of reducing our CASA pricing because we did feel that there was a lot of expensive CASA coming in, which to our mind was not the best CASA to retain. Having done that, I have shared with you what was our cost of CASA as of September end. It was 4.8%. It has now fallen to 4.44% in a quarter alone, purely because we have taken away the upper end of CAS

A. The result is that our CASA ratio

is down to 18.43%. Since we dropped on 3rd of October, a lot of the expensive CASA which migrated to other banks, we could recover some of lost CASA from other bank but not all of it. We will certainly make CASA positive as we go into Quarter 4 . Our LCR continues to be very healthy. We are very liquid, so there are no challenges around that. So, big takeaway from here is we are at 68% secured. We are on trajectory to become 80% secured. Balance 20% unsecured, we, as a bank , would like to put that under guarantee programs so that there is no event risk that we will run once we do that.

Secondly, cost-income is showing an increase, not because of some extraordinary cost , primarily, a drop in the MFI. And third is we have aligned our CASA rates. We do think that it may be a short -term hit, but certainly the healthiest thing to do for CASA growth.

I will now move on to Slide # 9. Very important to see our asset book and see how the asset book is really growing in the areas that we want them to grow. So, affordable housing for nine months with an average ticket size of 11.9 lakhs has grown at 25%. Our micro -LAP , which has the average ticket size of 6.4 lakhs has grown by 14.3%. Our MSME loans has grown 17.4%. Our Two-Wheeler by 73.9%. Our gold loans at 104.9%. So, all the core businesses are secured and are growing at a very healthy rate. We continue to expect to see a strong growth in secured book in quarter four too. Unsecured as you can see, as in the nine months, has de -grown by 11%. And I do expect that quarter four, we should at least at the minimum hold back any further decline and that is not for any other reason. We do believe that our focus on our business, the criteria we have applied gives us comfort in making sure that we hold the book at this point and start growing it because the new book obviously is doing very well .

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I want to now move on very swiftly to Slide # 14, which will show you our anchor bank strategy .

I just want to make a very important point. We have always said that the future of us is making sure that the aspirational customer, the middle of India, gets a home bank, and we want to be the anchor bank. For people following our anchor bank slide, which is there in every quarter, you will see that gold loan penetration in home loan and LAP customers have increased from 1.8 %

last quarter to 2%. Our TD penetration, which was at 19% has gone to 20% . Our pre -approved business loan, which was at 15% has gone to 16.5% . Doing this is super important for us because this is where we get operating leverage. This is where we get a competitive mode. And this is where our customers really treat us as a Bank.

Once we get more and more of these customers, we will get better and better credit quality. And that is the reason we put up this slide and we keep focus on it. And I am glad to present to you that there is real positive change here.

I will now move on to the next slide, which is on the deposit side. I want to cover 2- 3 points here:

First, our CD ratio is 102.5% for two reasons. One really is, we had a ODFD growth in the last week, which was unexpected, which has been paid down, which is why if you see the last page on secured asset, there's a big jump in ODFD growth, which is for this quarter. Otherwise, it could have been at a 98 % or 99%. Second, we always keep it in the 90s because we do know, all of us know that we have refinanced line from NHB, SIDBI and NABARD. We have taken additional Rs. 730 crores of NHB and SIDBI money. This is 10-year and 5 -year money at very good pricing. But we do it because it does help ALM getting long -term rates. So, on the liquidity side, a few things to remember. LCR at 279, we are very liquid. We don't have a challenge on liquidity. We are maintaining CD ratio at a slightly elevated level only

because we do not want

too much cash on the balance sheet, which tends to be a drag. And the reason why this happened is purely because we do get refinanced lines from NHB, SIDBI, NABARD , which we do think is very healthy from a tenure mismatch angle.

Next , I would like to move down to Slide # 19. And I really want to reaffirm that if you take away accelerated provisioning, you take away DTA, we end up at 2.3% ROA, which is the true value of the bank. And we would certainly be in the 2 plus range once we kind of finish the net NPA under 1% and gross NP A under 3%. Once that is sorted out, we will be there.

Slide #20 gives you a net NPA breakup between secured, unsecured and total, where you will see that nearly 79% of net NPA is with secured loans. With the secured loans having property backing with an LTV of 46%. So, there is not much one should expect in terms of credit cost going forward. I really want to repeat on the credit cost. We had said that in Q2, it will come down in Q3, you have seen the worst. And we certainly have put this behind us. I don't want to give an illusion that it is not hard work. It's still a lot of hard work. And we are very focused on making sure that we continue and persist with that and keep this credit cost at the lowest point as we go along.

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I have a P &L slide, which is Slide # 21. Our PBT of Rs. 354 crores in this tough environment has been the highest we have ever done. So, Rs. 354 crores PBT is after Rs. 208 crores of accelerated provisioning. And very important for all of us to know this because there was certain trajectory you may be expecting from us. And rightly so in terms of profits. I just want to share that we are maintaining that trajectory. It's just that we have to make sure that net NP As are below one, which is where we are doing accelerated provisioning. The Management and the Board remain consistent and everybody is on board as they used to be.

And with that, I just want to give 1 or 2 highlights before I close and open it for Q&A. Number one, credit costs have dropped. If I take away accelerated provisioning, which is required to maintain net NP A below 1%, we are really at the extreme low end of provisioning anticipated. The worst is behind us in Q2 itself, which is what we had signaled, and now you can see the numbers. Our secured group is growing very strongly, and so we should be in the 35% range when the full year finishes on secured growth. We would like to grow our unsecured book in Q4, at the minimum keep it stable. We are very focused on cost, though we think mathematically better answers will appear any which way in Q4 and LCR remains strong, our deposit growth remains strong, and we are very liquid.

With that, thank you so much, and happy to take on questions.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Manish from Nirmal Bang . Please go ahead.

Manish: My question on the microfinance business, so in your opinion, where is the stage of the pain in the industry ? Number one. And secondly, when you say quarter four, we will see some growth or stable and secure book, so I mean, are you seeing collection trends in the current book is improving? And can you talk about from October, November, December, how is the trend of collection? That is the question number one, sir.

Ajay Kanwal: So, Manish, thank you. Let me tell you what I think. First, having an industry answer may not be possible anymore. I think whether it's S FBs or it's MFI, now you will see divergent performances and two things will decide that. Number one is , who has what composition of book and that becomes very important. So, you know, secured book can also be of various natures.

Our secured book is largely property backed, so we should have a different answer. Again, MFI, we have never done a lot of growth. So, if you take our 2018 book to our December 2024 book, our CAGR would have been around 1%. So, really you should not see much of a challenge because the book has grown slowly. It's not that there is no challenge, but the amount of challenge would be less. So, I really don't have a good answer for you saying what is to be accepted by industry. I think you will have to go by the books. Now where are we on MFI industry? I must tell you that reaching 99% by the 20th, 22nd of the month is still very hard. We kind of stay at 98.5, 98.6. That's a collection percentage of B0 I am talking of. I am not adding anything else except what is demand in B0 and what is collected in B0. And we still keep fighting till the month end to reach the 98.5, 98.6. I don't think so that is changing in a hurry. But having

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said that, we are consistently 98.5, 98.6. We can see the new book that we have disbursed through the year is performing well. Whatever we could have seen as challenging, we think most of it has already passed. So, I do think that we have comfort too now. At least keep the book flat, if not grow it. And that is a step we are going to take in Q4. I hope this helps. But see, very importantly, I did say in Q2 that you have seen the peak. But we may be probably among X number of players who will probably say that in Q2. Different players will have different, depending on what kind of books they have.

Manish: And the second question to Abhilash, I remember on the end of the quarter for earnings analyst meet, you said the operating expense of growth will be 8% to 10% for the year. But if I look at the nine-month number, it's growth of 19.5%. So, given the pressure on the credit cost, how do you see the growth in OPEX growth versus your guidance raise of 8% to 10%?

Abhilash Sandur: So, the OPEX growth, I think it's in line with the AUM growth. So, what has happened is, if you see, Ajay covered it also in the slide earlier. So, the OPEX is growing in line with the AUM. So, we had given earlier guidance of 8% to 10% basis the scenario not considering any additional collection costs and additional marketing spend which would have been required during the year. So, that is the reason there has been a slight blip during the current year. So, Ajay, you want to add?

Ajay Kanwal: Manish, math is very simple if you take page #5. We have people in microfinance, about 8,000 of them. But the book is negative for the year for about roughly 11%. Now, this book would have been positive 5% or 6%, which is what, if there was no stress, that would have been a normal year then our cost of income would have probably been around 55%. And we would have justified this cost increase. Now, the challenge is we have the people who are doing collections now and not doing any incremental business, which is why you have elevated cost, and rightly so, because you obviously have more collectors than what we anticipated. And the collectors are not doing new business, so cost-income is getting a bit challenged. I don't think so we are increasing collection capacity anymore. I think we are already having enough and more than we need. So, you should not see a cost increase. And like I mentioned that if you stabilize the unsecured book in Q4, which means at the same level that is today or get even slightly positive, you will see a pushback again and cost-income will go down. The reason I put a very specific box is that I just want you to know that we are very conscious of it. We are still always very proud of our cost-income. And we would like to bring it back to the 55 levels because our longer term aim is to get to the 52%-53%. But right now, the collection progress is more important to us, which is where we added the bodies.

Second, as you know, there has been a bit of attrition across the industry, which does cost a bit

of a jump in the people cost and probably a harder push towards collections talent being higher than it normally is in every year. If you add the two up, that will explain why our cost is higher. But then I would have anticipated this question and it does bother us, which is why we put up that box and we certainly would like to see a better cost to income as we get into Q4.

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Manish: And last question on the slightly longer term perspective. So, you mentioned in the analyst meet that we aim to achieve the secured book of 80%. Our margins keep on declining because of the rise in the secured book and the decline in the MFI book. So, if I ask you, what one should model your sustainable ROA given the cost metrics and the pricing of the credit cost and the NIM profile on a sustainable basis?

Ajay Kanwal: So, Manish, first is again because this year is a bit of an unexpected year. Slide # 5 gives you earnings at 7.6%. And it tells you that if the MFI book had stayed, forget growth, even if it had stayed at the March levels, my NIM would be 8%. Which means my secured book NIM is

actually holding up where it needs to hold up. 8% was my NIM in March, 8% would have been my NIM in December, forget growth. If I just held the microfinance book flat to March. So, that is what I want to give you comfort that even though we are turning Secured, we have micro LAP, we have gold loans, we have two wheelers, we have affordable housing, our NIMS are very healthy. So, that's rule number one or rather point number one. Manish, three years, our model was that our NIMs would drop 50 basis points as we turn 80% secured. I want to tell you the point to point. So, we assumed 60% in March '24 we will get to 80. So, 20% change in secured, 50 basis point drop in NIM. CASA will improve from 20 to 30. So, 20 basis point help from CASA. Net NIM negative would have been 30 basis points over three years. So, you are not seeing that 30 basis points today. What you are really seeing today is the microfinance book going down from 9,800 to 8,800. The secured impact is not in. That's what the secured book has done very well. And in fact, it's holding NIM exactly as it was in March. There is no decline in secured NIMs. It's just a decline in unsecured.

Moderator: Thank you. The next question is from the line of Saumil Shah from Paras Investments. Please go ahead.

Saumil Shah: Sir, we have guidance for a 30% PAT growth for this year, which means we have to almost do around Rs. 500 crores of profit for next quarter. So, how far is it achievable? Of course, we will be taking some DTA benefits in next quarter, but still it's a very tall task. So, would you like to revise our guidance?

Ajay Kanwal: Yes, so listen, I didn't put any more guidance because I think for quarter four, one can calculate. But let me just step back a bit. See, if you take Slide # 3, adjusted PAT, that is at 586. Forget DTA completely. You just think that if I didn't have to put accelerated provision, I was in the number that we had guided towards, or probably slightly better. And the reason I put it up is exactly for that, say, our business model, had there been no need to be net NPA below 1%, you certainly would have been at a 500 plus number. It would not be exactly what it is because we may not want Net NPA to go much higher. But certainly, I would have been better than it, which is what I am showing saying, if you step back and think about the franchise ability to produce that, it's much higher. And I do think that now that the worst is behind us, we had a very strong quarter. We have seen a credit cost decline. I think our acceleration in PBT in quarter four will certainly be higher than what it has been in Q3.

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Saumil Shah: And sir, as per t

he last quarter, we had Rs. 740 crores of DTA. So, can we know how are we going to use this? I mean, is there any calculation for next two years?

Ajay Kanwal: So, as per our original calculation, we would have used most of our DTA except the last 100 crores when we end FY 27. This year obviously we will leave a bit of DTA on the table. We do want to sit down now and we are going to do that as we start it in next year that how we use most of our DTA because we have two more years to use it up. We have some ideas in our mind and we will certainly be working on it. We will share it with you all when we come for next year. So, when we open up next year, when we do full year March 25, we will do two things for you all. And of course for us, one is to make sure that we give you guidance for next year, which is very straightforward. Our guidance on asset 20% - we will meet, our guidance on deposit growth of 20% - we will meet. If you give us the benefit of adding back accelerated provision, then we are meeting the ROAs, ROEs, etc. But we will come back with guidance for next year when we do March 25. We will also share with you how do we plan to use the DTA because we do have a small gap which has come up from this year.

Saumil Shah: One book keeping question for the current year, I mean, I just wanted to calculate on the PSL certificate. So, see when we become a universal bank, our PSL requirement will be at 40% from 75%. So, how much additional benefit can we get on the sale of PSL certificate?

Ajay Kanwal: See excess PSL certificate won't give us much benefit. I will tell you why. The larger PSL book when you turn from a 75% to 40% will be the surplus MSME micro enterprise. It doesn't get you too much value when you sell it, maybe 10 basis point, 20 basis point. So, you can use about 30 crores -40 crore at best, not anything more significant. Because the real money in PSL C is when you sell the SMF, which is small and marginal farmers, which anyways we are surplus, and we make use of that PSLC sale even today as an SFB. So, one is there is not going to be a big jump in profit from 75% PSL to 40% PSL. I do think that you should, and at least in our heads, we are budgeting a 25 basis points minimum drop in cost of deposit when we turn into a universal bank. And we do expect the velocity of growth of both CASA and deposit to be much better when we drop the word 'Small Finance'. Those are the two things in our mind that we are contemplating. There are other changes like your capital adequacy may drop, 50% of book has to be below 25 lakhs, will change, but those we don't think is impactful. I don't think so we are going to cut down on capital adequacy or we are going to do a lot of big loans. I think everything else will be the same, but I think for us, the main change will give us certainly a big advantage

on with velocity and cost of deposits.

Moderator: Thank you. The next question is from the line of Rahul Bhangadia from Luck Investment Managers. Please go ahead.

Rahul Bhangadia: First question is on your Slide # 4 which you have kind of covered before. If you could just give us a sense, the additions during this period have broadly been in the same range as previous quarter but the regulatory requirement of provisioning has come down. Just give us a sense of what is the recovery is all about, 430 odd crores, because your recovery under other income is
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also not a very big number. So, just to give us a sense of what, and where do we expect this 400-crore odd number gross NPA addition to kind of go in the future?

Abhilash Sandur: Right, so two things. One is it also has technical write-off and recoveries both in the 434 line. So, that's the first important piece. In terms of write offs out of 434, that would be about 109, rest is all recoveries. And the recoveries comes in two lines

, one is in the credit cost and second

is in the other income. So, we do anticipate that both will continue as we go into Q4. We would be able to take technical write-offs as we do full provisions. And we will continue to get good recoveries, which we have seen an acceleration of in Q3. We do think Q4 will sustain that. We are hoping and we are working towards the addition, which is 437. We should bring down that a bit more in Q4. And we should end up with a closing GNP A number, which is flatish to lower than where it is right now.

Rahul Bhangadia: So, given the way in which the book is kind of evolving towards an 80% secured book, what is your expectation of what the credit cost would look like? Because from what we see in one of the slides where you have given the gross NPA numbers even for your affordable home and the micro LAP book, they have gone up quarter-on-quarter from Q2 to Q3. What is your expectation generally on that book?

Ajay Kanwal: Let me take one by one. First is we did say that our credit cost this year will be 1.6% to 1.7%. And given where we are in Q3, we will end up with a 1.6%-1.7% cost. And very important is to also look at Slide # 20, which gives you a sense of where the challenges, if at all, can appear. There you can see 79% of net NPAs is in the secured piece, which tends to be, it is more a timing issue than whether you will get your money back and LTVs are very low. In our three year model, which I explained earlier that we have assumed a secured of 80%, we have modeled a 1.5% credit cost.

Rahul Bhangadia: And so the last question before I go back to the queue, any extraordinary in the current quarter in terms of interest write back or anything like that?

Ajay Kanwal: I am looking at Abhilash. No, nothing that should change. I think the only extraordinary, I must say that what we had not anticipated, we tried but couldn't succeed. We were hoping to stabilize the microfinance book in Q3. But somehow the focus on collections continue to be high. We had a good October, but again November, December, hard work. So, our disbursement didn't keep up to what we thought we could do. Other than that, in our working also we didn't find anything else which looked odd.

Moderator: Thank you. The next question is from the line of Kamal from Investec Capital Services. Please go ahead.

Kamal: Firstly, like following up on the question of the previous participant, like, could you highlight the reasons why there was an increase in the GNP A in the secure segments of micro LAP and affordable housing?

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Ajay Kanwal: So, it's just, for us, very specifically two states are showing a bit of extra challenge. And I don't know whether this is industry-wide or Jana specific. One is in the state of Odisha. Secondly, we have seen slight pickup in West Bengal. We have taken actions to address those. And we do believe that we should see this gross NPA certainly getting more better than where it is right now. But nothing that, if the question is around, are you seeing a spillover from microfinance into micro-LAP? The answer is no. We don't have too much overlap. And we don't see the micro LAP responding also like that, neither affordable housing. But we do think there are two geographies where we need to tighten up our shop and our act, and which is what we are focused on doing. Nothing other than that is giving us any discomfort, which is why if we really see quarter-on-quarter advances growth, which is on page 9, we continue growing affordable housing and micro LAP at a very healthy pace of quarterly growth of 7% and 5%, or rather 6%. So, nothing that worries us, but a little bit of hard work in two geographies.

Kamal: And was my understanding correct that the write offs during Q3 is Rs. 109 crore?

Ajay Kanwal: That is correct. Abhilash mentioned that. And list

n, see first I want to tell everyone that this

whole feeling anxious about what microfinance can do, what does the numbers look like is all behind us. Given a choice, we would certainly like to make sure NPAs does remain below one because we want to become a Universal . So, we are doing our best to get to the right point. And Q3 has been to our mind extremely good because the numbers we kept talking about in Q2 saying this is our peak, we have actually shown the numbers. If you take our credit cost, it's actually shown including accelerated provision also which is very large number. If you take our Slide # 4, our credit cost is at 174 versus 210 of last quarter. And that 174 is 93 of accelerated provisioning. So, yes, you are right. The technical write off was 109 and rest were recoveries.

Kamal: What was the number during last quarter?

Ajay Kanwal : Abhilash is saying there was no technical write off. Only this quarter we had technical write -off.

Kamal: Also sir, if you could just help us out like what is the blended credit cost and ROAs for your secured book and unsecured book?

Ajay Kanwal : Blended credit cost. Okay, why don't we take a next question while Abhilash quickly calculate that.

Moderator: Thank you. The next question is from the line of Darshi Jhaveri from Crown Capital. Please go ahead.

Darshil Jhaveri: I just wanted to know with regards to like, our PAT growth like on a reported basis will not be able to do a 30% growth. So, what kind of PAT can we expect next quarter like it will be similar on what we have reported like Rs. 110 crores -Rs. 111 crores ?

Ajay Kanwal : Certainly , it should be better. For simple reason, whatever asset we have added this quarter, it will give us extra income next quarter. We certainly would like to grow and at least stabilize our Jana Small Finance Bank Limited

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unsecured book. So, that will also add to the profits. We are not expecting any higher credit cost for sure. So, I think that should also go positive. You also know that quarter four is anyway good for all banks. It's the best quarter in every year which means a lot of disbursement goes up and certainly leads to a lot of fee income. So, I mean, if I just use those three parameters of bigger balance sheet going into Q4, unsecured hopefully stabilizing, and higher disbursement in Q4, I do expect my cost of deposit to go down in Q4. And that I can see happening because we have repriced our CASA. We had also repriced our deposits. So, I would anticipate much higher PBT and PAT . And I would certainly like to keep net NPA below one and gross NPA below 3 as I finish the quarter. I can say that with great comfort because we are on the 21st of January and we are really having clear view of what we are expecting.

Darshil Jhaveri: So, sir, the accelerated provisions, those will maybe end in FY26, right? Like, or we will, how long will we continue these accelerated provisions? Because they're dampening a book quite a lot. So, just wanted to, like after we apply for the universal banking license, will it continue in

Q1 also or how would it go through, sir?

Ajay Kanwal : Right. I think the unwinding will happen over the next 3 or 4 quarters. It won't happen in an abrupt matchup. But what will happen is the addition to the actual provision will diminish as we go into next year. So, certainly, because right now the total corpus of accelerated provision Rs. 208 crores. Let's say we take another 60, 70, 80 crores in quarter four. So, we will be closer to like Rs. 275 crores to Rs. 300 crores of accelerated provision we are carrying into next year. So, obviously we will use up those provisions. But certainly I don't see why we should add more to them. And remember, as your unsecured book stabilizes the need for provisioning anyway comes down. Secure doesn't take too much provision. And like I said, the small blips in secured wi

ll

get sorted out. So, I do see that the carry of accelerated provision, which means my PAT has reduced this year, it won't happen next year. And to make sure that what that number is, I put that clearly in Slide # one so that there is clarity in everybody's mind that what to expect with our franchise.

Darshil Jhaveri: Any kind of guidance that you would like to give for FY26 right now?

Ajay Kanwal : So, listen, asset growth 20%, liability growth 20% I mean that we said for this year, we will achieve it. We will certainly put up a similar guidance for next year. I don't think that will worry us. I think what we want to give around PAT and ROA, ROE is we just want to take time to finish this year and see the impact of how the release of accelerated provision happens, etc. just need to be very clear about it. And then we will certainly come back to you when we declare the March results. All I can confirm to you right now is asset and liability growth will continue. Secured book growth will continue. We will certainly like to grow our unsecured book also. We

will not like to see a decline in it. So, all three are going to happen. We will try and grow CASA even harder. And like you have seen, we have brought the CASA cost down. That strategy won't change. So, I think those are some of the givens you should assume that Jana has a strategy and that won't change.

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Moderator: Thank you. The next question is from the line of Shailesh L. Kanani from Centrum B roking. Please go ahead.

Shailesh L. Kanani: Sir, can you point out any strategy which we have deployed in 3rd Quarter apart from the routine collection efforts? Because our performance seems to be very well in terms of vis -à-vis (voice not clear)..

Ajay Kanwal : You are asking why our performance is better? Did we apply any special strategy in Q3 , right?

Shailesh L. Kanani: And any states you would like to call out where our performance has kind of sequentially improved dramatically? Anything you would like to call out? Any states which are performing well?

Ajay Kanwal : I just want to take you and everybody else on this call to a slide, which is Slide # 11. So, first, out of Rs. 8,899 crores total unsecured book, Rs. 5,124 crores is individual loans. I do not think we will get too many other MFIs or SFBs which have high proportion of individual loans. We have been doing individual loans because we were in urban microfinance. We moved to our individual loans way back in 2018. So, one thing about individual loans is they are a lot more urban in nature and you can see we have given a break up where our agri and non -agri is. But you know, we give individual loans to people who have finished one cycle of group loan and number two, our underwriter visits them and this is a visit by an underwriter of credit to figure out what the cash flows are before you give them loan because typically the individual loans are higher. So, I think one of the reasons our book is better is , one, it's individual loans, we had done underwriting. Two, individual loans collection behavior is far better now than group. Because in individual loans, there is no ganging up of people saying, okay, let's get together and not pay or let's put up a barricade outside the village saying no MFIs are allowed. That all doesn't happen in individual loans. There is no ringleader here. There is a customer and there is a bank. And secondly, customer is being through a credit cycle, knows what credit is. And third, my underwriter has visited him and we were giving the market this clear indication even in Q2. But we didn't have the numbers to back it up because Q2 did see an increase. And we kept saying that listen at our end we have seen the worst of it. And the start point of evaluating us versus what will happen in the industry is to start from this page. What is the book made up of

? 5,124

is individual loans. 1,643 is BC where we have service guarantees, which means if I don't get my money collected by them and it turns NPA, they are responsible in a financial sense. So, if you add these two, you can see why my credit cost should be lower, both because we had service guarantees from BCs , which roughly is 20% of my book. Individual loans is 5, 124 of 8, 000 crores which is roughly 55% . 70% of book is very different from a regular MFI or an SFB I would think and which is why you would expect differential performance. And we are very convinced , we will continue this strategy. Yes, we had a few hiccups with 3 BCs. We know what to do differently now. But remember out of the 17 BCs, 14 were very good. So, the three they have taught us the lesson , we will fix it and then we will move on.

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Shailesh L. Kanani: Just to add up, sorry to harp on this, but I was looking for sequential performance. See, individual share was high for us even in second quarter, right? Maybe a few bips here and there, but even in second quarter, we had more than 50% share in individual lending. So, I just wanted to know if we have done better because individual book per se has seen a mass improvement Q -on-Q. So, I was just wondering if something has happened over there ?

Ajay Kanwal : So, some of it would be technical write -off because you heard Abhilash that we have not done technical write -off in Q2, we have done in Q3. Some of the GNPA drop is got to do with the taking technical write -off. So, you are right, it looks better than Q2 and I think one of the reasons would certainly be the tech write-off. But if you step back and think, listen, even if you take Q2 numbers, they are around 4% odd for individual loans. And I think individual loans will show , across MFIs and SFBs and banks , better performance than group loans . And I think, again, unless somebody has done it in a very odd way, if you have done a credit decisioning, these are customers who are credit experienced. I do think you will get a better experience in IL, than you will get in group loans. And I do think the more of the industry will turn towards IL as an answer, because batteries are broken, there is no ringleaders around this, and you will find that customer behavior with the bank or a financial institution, when it's one -on-one, will end up being better.

Shailesh L. Kanani: Any shout out for any state in terms of performance?

Ajay Kanwal : So, where are we working very hard ? I am looking at Raman now. We are working very hard in Bihar. We have certainly a challenge in pockets of UP, but not all over. So, I wouldn't call out the state in general, but a few districts there. We certainly are seeing stress in Odisha, and that we can see both in MFI and even our ho using book. So, there is a general level of challenge in Odisha. I think other than three, small pockets of West Bengal, nothing significant, but we have never had a big part of our

exposure there. I mean, that is what I would call out.

Shailesh L. Kanani: My second question was with respect to BC book. So, BC book has again seen a noticeable decline sequentially, and GNP A is also increasing?

Abhilash Sandur: Big reason again is, see, BC book first is improving. So, that is the rule number one. But some of it may be any tech write offs taken here could be the reason. But yes, you should take away that, and when you look at the credit cost, the one assumption you should certainly make sure is there that the unsecured has seen the worst, including the BC book.

Shailesh L. Kanani: Just last question from my side. So, in our individual lending in JLG customers, what other products you would have in terms of overlap apart from the unsecured loan? Do we have an overlap with affordable housing or any other product for our customers?

Abhilash Sandur: So, here

is what you must know. We have 3,000 feet on street to do affordable housing micro LAP. These 3,000 people are reporting to a business manager who runs affordable housing micro LAP business. And most of them or rather I would say all of them are from either banks or NBFCs who do housing or LAP. There is no overlap of salesforce between microfinance and Jana Small Finance Bank Limited
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affordable housing or micro LAPs. So, that's rule number one. The credit underwriting of affordable housing and micro LAP is done by a separate set of underwriters which has a scorecard and physical visits, valuation, legal that you would follow. I also want to clarify that our micro LAP is not moral obligation by customers. It is SARFAES-able property. So, even though it is 6.5 lakhs, we don't have a product which is, please deposit a power of attorney-based property transaction and we will give you a loan. Ours is a property which a legal lawyer has signed, yes, and we can do SARFAES action on it. So, I just want to clarify this because if there is like how much is the impact of microfinance on this, in our book should not be high. Are there any microfinance customers in affordable housing and micro LAP? Yes, because there are certainly a lot of microfinance who are good. This would be about 5% or 6% at best of the affordable housing micro LAP book. We have tested their performance and the good news is that our microfinance, micro LAP customers who are from, affordable housing micro LAP, customers who are from the microfinance background, their performance is very good, but they are not a large chunk. Shailesh L. Kanani: And predominantly, there will be only one unsecured product for this customer, right, be it individual or JLG?

Ajay Kanwal: So, we only have one in the bank only. We have no other unsecured business only. Our entire bank only does microfinance, where you can get a JLG. If you are a JLG graduate, you will get individual loan. There is no other unsecured product only in the bank.

Moderator: Thank you. The next question is from the line of Sarvesh Gupta from Maximal Capital Private Limited. Please go ahead.

Sarvesh Gupta: Most of the questions have been answered. Just one thing if you can give some more clarity. This 2.3% adjusted ROA that we have earned for 9M, now once the tax benefits go away, this can also come down by around 25%. And then you explain that there can be a 30 basis point impact due to us reaching 80% sort of a secured book. So, net-net, where do we see maybe in 2-3 years, where do we see the ROA and ROE stabilizing post tax benefits are also over?

Ajay Kanwal: So, that's a good question. So, 3 years later, and you rightly pointed out NIM will be a compression of 30 bps. It will be 80% Secured. What we have not put in our 3 years numbers from now is that we will also have a credit guarantee on unsecured. We are going to model that now. But in the past model that we had done, where we had turned 80% secured with a drop of NIM, our ROA would be 1.8% to 2% range, and ROE between 16% to 17%. That is a steady-state model that we had imagined would happen. And also I must add that CASA had become 30%. So, there were three variables, 80% secured, CASA at 30%, drop in NIM of 30 bps and then ROA would be 1.8 to 2, cost-income would be about 53%, and ROE would be 16 to 17. The one variable that I would like to now add is now I have a credit guarantee program. It does have a cost, but it also has an upside to us if something does go wrong. So, we will just put that model in. And when we see you again after March results, we will bring that forward to all of you. I do think that it's important for us also to do it, but I must admit that we have been too busy
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around trying to bring around this stability and turn around in the cr

edit cost. Now that we have

a bit more breathing space, we will certainly complete that and share with you folks when we bring the March results.

Sarvesh Gupta: And on the CASA cost, this time you had reduced it in October. And I believe we pay a decent sort of a savings rate beyond 5 lakh and 10 lakh. So, as we grow, do we sort of expect to be a

top tier sort of a savings bank interest rate player or do we have intention to sort of reduce it and given that now this time you have reduced so your CASA has also dropped. So, how do we look at this entire scenario, if you can throw some color on that?

Ajay Kanwal : What we felt was at the top end, when you are offering a 7.8 or some other extreme CASA rate, you tend to get very large tickets. And fundamentally, we looked at it and said, listen, this does help us grow our CASA. But is it the kind of CASA that we want to build ourselves for? Because once you start going that route, then you get more and more of that. Because it is very easy to get that. You are really paying money and getting good CASA. So, if you look at the upper end, let's kind of cap it to a point. It is not that we are going to reduce our price and become uncompetitive, but that extreme end, we don't want. There are banks which, I mean, we know where our CASA went and which bank actually got it away and what price. But we think that is too extreme a price. And our bias is, listen, there is no hard work. We will open branches, RMs, if you see our presentation, there is a lot of segmental offers we have started. We are seeing very good traction for it. So, at some point we think that there is a, our CASA pricing has to be very competitive, but there is some competition that we did not want to play, which is why we cut it off. I put this slide again showing cost decline because there is a CASA decline in the industry. So, people may think that Jana's CASA is down like the rest of the industry or in part, etc. I just want to make sure that listen, our CASA decline is purely on a price drop. We have recovered some of the money gone out. Recovered means the wholesale money or wholesale CASA gone and retail CASA has come in. But we have not really reached the point of matching it off. We are going to work hard and get past that.

Ajay Kanwal : Nidhesh, Abhilash has an update for one of the previous questions. Kamal had asked a question.

Abhilash Sandur: The credit cost between segments for Q3. Secured, if I remove the accelerated provision, the regulatory provision of 23 crores, unsecured 56 crores. That is our credit cost for Q3. So, that one answer was spending, so that I have given here.

Moderator: Thank you. The next question is from the line of Chintan Shah from ICICI Securities. Please go ahead.

Chintan Shah: Just firstly on the PCR, in this quarter, we have increased our secured PCR to 48 % from 29% in the previous quarter. So, probably what could be the reason for this? Is there any change in the PD assumptions or L PD assumptions or how is it?

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Ajay Kanwal : Chintan, it's very simple. See, listen, I have no other place. Whatever I provision in unsecured, I am taking a technical write-off, right? Then I have left with a secured book. Now if I have to keep net NPA below 1, I have no other way but to increase PCR there.

Chintan Shah: Just to keep net NPA below 1 this has been done.

Ajay Kanwal : But you see, when we started the year, we had 18%. And some of us suggested that why don't we make it like 20 to 30 because that is what the industry is. So, we made it 28 last time. But now we have no other room. We have to make it 48. I worry that when we put the next money in this quarter to keep net NPA below 1, this may become 58 or 68 also. But yes, that's the way it's going to go now.

Chintan Shah: And I don't know if I missed this but have you mentioned the

microfinance slippages for the

quarter which was like around Rs. 230 crores in the last quarter?

Ajay Kanwal : Abhilash is giving the number. Just give me a minute.

Chintan Shah: And also one more number. So, I think, did we mention the collection efficiency month wise for the last three months. Also, any numbers there work? Could you please provide? And also on the January, how has been the collection trend so far for the unsecured portfolio specifically?

And even on the secured front, are we seeing any spikes or any steep decline in the collection efficiency?

Ajay Kanwal : One is on the secured side, I mentioned a few geographies where we can see an uptick, which I think is more to do with us than an industry in general, where we have to tighten up both our collection effort and some of the credit parameters. So, I think that is one. Nothing stops us from growing. So, we continue our growth path. Nothing is alarming us, but just some work to be done and we fix it. On the unsecured side, I do think January, February, and March, till the 30th of the month or 31st of the month, we will be running hard to reach the 99%. I don't think so

anything has got streamlined that will reach 99 % or 98.5% which we have been doing by the 20th or 22nd. I don't think so that stability is there either certainly in the way customers are responding and how the industry is looking at things. So, I think that hard work will continue.

Only thing now I can see is people are more confident of it than they were in the previous quarter which is why I feel the disbursal will pick up even more and the book will flatten out. But we do think that we are very, very attentive on microfinance still. But only good news for us is given the shape of our book, we have not had the damage that one would have anticipated, and which is what I can, you all can see in this Q3 results. But yes, nothing on secured which should, I am being very clear here. There's nothing there that is or above and some impact. It's I think just

two geographies actually, which is challenging this.

Chintan Shah: We have already made Rs. 208 crores of accelerated provision so far and probably another 60-70 as mentioned would be done in Q4. So, roughly Rs. 300 crores of baggage. So, what will
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make us reverse this accelerated provisions in Q4? So, what could be that trigger for the reversal of this provisions?

Ajay Kanwal : So, it will be happening over the next year , rather than 1st Quarter of next year. And very simply put, there is a need to keep net NPA below 1. And to keep the net NPA below 1 when you have slippages, there is only one way to keep provisioning for it. So, I do think as the slippages are getting more and more normalized, we will need less and less provisioning. And when some of these customers after some point will need 100% provisioning, we will not need to put any more provision because we already provisioned for it. And certainly on the unsecured side, whatever this Rs. 208 crores goes to unsecured, that will be fully used. Either we will collect the money or we will use it for 100% provisioning. So, obviously our need for provisioning will still be lower. But all depends on, so the Q3 provisioning will probably unwind around Q2, Q3 next year. What we provisioned about, I think around Rs. 60 crores in Q1, that is probably what will be available in Q1 next year. So, it is, that kind of phasing will happen.

But importantly, you know, Chintan is we did give a set of numbers that one should expect from the bank. I do think that if you add the accelerated provision, a lot of it is visible. So, when you do forward numbers, you should say that the bank doesn't have to put an accelerated provision. It already has Rs. 300 crores surplus. What will the numbers look like? And so it makes life very easy for you. And hence, and to be very

upfront about it, I put it in Slide # 3, assuming we don't do any accelerated provision, what would the bank look like? It'll give you a better sense of what next year will look like.

Chintan Shah: Probably it could be better if there is a reversal as well on the credit cost.

Ajay Kanwal : Of course, no listen, just give me till March, if I made a statement here which I wasn't very clear about, when I sit with you with March results, I will give you a clear sense of when the reversal will happen. We cannot continue with beyond the point, but you know the speed of reversal and which quarters will it come , let's just give me an opportunity to do it right. One thing you should know for sure is when you finish this year, we have right now PAT around Rs. 360 odd crores. We have one more quarter to go. You can take any reasonable addition to that, which is better than Q3. So, you know what PAT will finish with. Plus, we will carry about Rs. 300 crores of accelerated provision. So, you can do a fair estimate for next year now, which means that we will not have accelerated provision. And plus some of this provision will get released, if not all of it. So, you can take a fair guess of where the number will end up. From our side , that proper guidance , we will give you when we meet with March results.

Chintan Shah: And, sir, just lastly on the credit guarantee scheme, so when is the recovery? Any timelines on the recovery? When can we expect that? And what could be the quantum? Any thoughts there?

Ajay Kanwal : No, so I am hoping, Chintan that there is no recovery because we just started guaranteeing now. If they turn NPA, we will have to request the institution to give us the money. The fresh disbursement has been guaranteed. So, until this NPA is done, I can't request for money. I am
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hoping I never go back to them for money. It'll probably happen next year if some of these do turn NPA. I think what you will see, Chintan, is next few quarters we will keep adding to our CGTMS E and CG FMU guarantee programs so that any event risk on unsecured will not disturb us too much. It will of course disturb us a bit, but it will be very marginal. What we have seen this year, I don't want to see it any other year.

Chintan Shah: So, it is more of a kind of an insurance taken against the portfolio, right?

Ajay Kanwal : 100%, And given that we have seen no external event, yet we saw stress in the book, right? That means there is possibility of future stress without an event. And you know, our takeaway for all our investors has been a persistent, consistent book where we are predictable. We got disturbed now. We have taken our medicine and we want to make sure that we don't get disturbed in future. There's enough and more business to do. Books are performing well. We are in 180 cities. We have got 24,000 people. Our products have all seen COVID in their existence. We are very comfortable with growth and what we are doing. So, I want to take away one amount of Credit risk. I thought BC was one opportunity. And to be fair, BC has worked well, two -three have not . But I do want to also add up to the CGT MSE, CGF MU. I also must tell you that even my BC book, I am also guaranteeing that while I am doing my own book also. So, we are doing the entire unsecured book, both BC and non-BC, so that there is, even for my BC, there is much more safety in the future if s

something odd happens which none of us can see.

Chintan Shah: And just lastly on the MFI slippage s number, if you have last year handy?

Ajay Kanwal : 230.

Chintan Shah: So, that is flat on Q-o-Q basis, right?

Abhilash Sandur: Yes

Moderator: Thank you. Next question is from the line of Ashle sh Sonje from Kot ak Securities. Please go ahead.

Ashlesh Sonje: A few data keeping questions. Firstly, how do you account for the FLDG on the BC book in MFI

?

Ajay Kanwal : So, simple, it goes to NPA. There is a deposit which is available under the service guarantee program. And we take the deposit and we apply it. So, what happens is my net NPA, my credit cost goes down. So, two things, gross NPA goes up that I can't change. Net NPA, because I take the money and apply it, the net NPA remains stable, which means it remains lower. And my credit cost also doesn't take that into account. Roughly we would have taken about Rs. 110 odd crores out of the various deposits available with us during the year.

Ashlesh Sonje: That comes under provision reversal, right ?

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Ajay Kanwal : No provision made at all. So, no reversal required. So, the moment it goes into NPA, I apply the deposit .

Ashlesh Sonje: And secondly, can you share the SMA book in MFI as on December and September?

Ajay Kanwal : We have not done the SMA breakup. but we did want to give you a sense of what's flowing in, which is what we have done in Slide # 4, where our closing gross NPA is about 753, right? And if you take Slide # 20, it will tell you that, out of the Rs. 758 crores, 382 is secured, 225 is unsecured, and 151 is BC. Mostly the unsecured and the BC book has got a PCR of 86 and 98, so no trouble coming from here. The secured book has like, Chintan asked earlier , 48% PCR. So, really, that is a high PCR, mainly to keep net NPA below 1. But LTV is 46, so this should not worry us. So, the real worry is what happens to, t hen what is the need for provisioning in Q4? It's the only fresh slippages which come in from unsecured. Because I think secured we can do enough and more feedback on the action we have taken in Q3. So, that should be the only number that you should put in your model.

Ashlesh Sonje: And lastly, can you share the microfinance disbursements in this quarter and the previous one?

Ajay Kanwal : Yes, I can. I have it. Abhilash, has it ready. I will give you in a second.

Ashlesh Sonje: And Y -o-Y also i f possible .

Ajay Kanwal : I can tell you, Y -o-Y is negative, about 19 % odd. But I will just give you the exact numbers there.

Ajay Kanwal : While we are doing CGTMS E and CG FMU, one of the risk mitigation was also revisiting the BC approach, which is why I said the Rs. 110 odd crores that we have reduced from our credit costs, it is a result of us giving higher income to the BCs for all these years. And in a stress moment, we did think that they would not have a challenge, but if they had a challenge, they would have to account for it themselves, which they have done . 180 9 is our disbursement in MFI for this quarter against 1338 i n Q2.

Ashlesh Sonje : But what was it in Q3 of last year?

Abhilash Sandur: 1970.

Ashlesh Sonje: In the write -off, which you had this quarter of Rs . 109 crores , that would be completely from MFI?

Ajay Kanwal : Correct, which is why you should kind of use that to figure out why we did not grow even though we did 1809 crores of disbursement .

Moderator: Thank you. The next question is from the line of Sagar Shah from Spark PWM. Please go ahead.

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Sagar Shah: Actually I had a couple of questions. My first one was related to the data keeping question. What were the interest reversals in this quarter, especially in the MFI segment?

Abhilash Sandur: A round Rs. 50 crore s of interest reversals which has happened year -to-date actual ly, For the quarter , it's around Rs. 18 crores, for the quarter.

Sagar Shah: Rs. 18 crores for the quarter in case of MFI segment, right?

Abhilash Sandur: Yes.

Sagar Shah: Now, second was related to the slippage ratio. You already highlighted the number before that in this quarter, actually our slippage ratio still is relatively little high at around 6%. So, was it Rs. 230 crores you highlighted was predominantly based on f

or MFI business. So, for another,

the second half was totally related to the secured segment. So, can you highlight that which of the secured segments are actually the secure slippage ratio was relatively higher?

Ajay Kanwal : So, if you look at our gross NP A, net NP, this is the slide on page 9 . We get the micro LAP , like I mentioned 2-3 geographies which are giving us a bit of a challenge , we have seen a gross NP A increase in micro LAP and slightly in affordable housing. So, there are just two points. MSME loans are very stable. And in fact, two -wheeler has dropped back. Gold loans a nyway is technical. So, a bit of micro -LAP which has seen slippage specifically in the three geographies and not the book in general across the country.

Sagar Shah: So, micro -LAP and that is completely secured business, right , the micro LAP business?

Ajay Kanwal : Yes, I specify that it is entirely SARFAESI applicable property business with a 33% LTV. With an LTV which we have given, as you can see on page 9 last column, is 32.8%, which is 33%.

So, it's a timing issue. But, we are not seeing anything where it is kind of we know a few geographies we could do a bit better, which we are now just tightening, that's about it.

Sagar Shah: So, there's no major reason to worry, at least on that, or there's no major overlap with MFI. It's not related to o much to MFI business .

Ajay Kanwal : So, I want to be very clear on that, listen, which is why we see quarter -on-quarter growth of 5.8%. I would have retracted back or slowed down the growth if I find that, listen, I am entering an area that I am uncomfortable with. We don't have the discomfort. And I want to be like extremely easy with this/that, if we see sign of trouble, we would be running away from it and I would have already announced it to you folks , that listen, t here is where I can see a problem coming. I don't see a problem coming. It's 1 or 2 geographies, we will fix it.

Sagar Shah: And lastly on the PCR, the PCR for the secured segments, what is the PCR for the secured segments as on this Q3 F Y25?

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Ajay Kanwal : Slide # 20, 48.3% on secured . It gives you two things, it gives you 750 gross NPA breakup. It tells you 79% of net NPA is all secured . So, really not much damage, just only worry about unsecured slippage in Q4. That's all that could be hitting our credit cost. If you minus your recovery, then I think we are in good shape anyway. And we have a large amount of PCR. But like I mentioned earlier to Chintan, that most of this PCR unwinding will happen next year.

Sagar Shah: And just on this, if I can squeeze on the last that, y ou ma de a statement that we have seen the bottom as far as the microfinance business is concerned. So, by Q4, can we expect sequential uptick in disbursements in this particular MFI segment?

Ajay Kanwal : 100%. Because anyway, Q4 is always strong. Q4, you know that, right? That is not what worries us. Can I grow enough that my book will turn, no negative growth or become positive? That is my big ask to myself. And Sudhir who runs our business sitting right in front of me, our work is there, but listen, here is the classical piece. If you source group loans, your rejection rate is 70 to 80% now, batches. So, we don't want to grow and end up with problems also. So, we are very hard on what we are growing. So, for example, my existing customer, if he's not in a metr o city, and has more than Rs. 50,000 outstanding balance with any MFI, I am not giving him money. By saying this, I am only telling you that listen, I can grow much faster, but I don't want to grow when I am not certain that this is going to turn out right credit. So, I am saying this again, non-metro city, more than Rs. 50,000 offers exposure, good customer of Jana, he will not get a repeat loan because we are not ready now till the industry is pretty much so

rted out, which I don't think

so we are sorted o ut right now. So, we have put stringent conditions, we will continue with those.

If we are slightly more challenged on growth, I would rather live with that, but I don't want to add up till we are very clear of what we are seeing in the front. And this is in spite of having a credit guarantee because my idea of credit guarantee is to be used in an event risk, not in taking more risk and saying, okay, whatever comes on top will be covered. That is not our bias.

Moderator: Thank you. The next question is from the line of Anant Mundra from Mytemple Capital. Please go ahead.

Anant Mundra: Sir, we are at a slightly higher LCR. So, I just wanted to understand why are we carrying higher liquidity, and when do we expect this to normalize? And I am guessing this will have some impact on our NIM s as well. There could be some upt ick in NIM s. So, is that understanding correct?

Ajay Kanwal : So, you are 100% correct. Our LCR is very, very high. We did try to bring it down. We made some progress in Q2 but back in Q3. See what we tend to do is when we do bulk deposit now, we tend to ask all the bulk depositors to take like 5-10 basis point extra, but make it no n-callable.

Somehow our sales force is very comfortable with that. And it gives us strength in whatever bulk we take. We have launched a few products which would increase our retail deposit and reduce bulk in general. Once that happens, the LCR will also come down. So, the way we think is bulk has a reason why it is called bulk. So, the best thing is when you take bulk, make it non-callable. Once you make it non-callable, then you can sleep easy. And we have also given the breakup of

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how much is one year plus, we roughly have about 70% of all bulk deposits in more than one year also. But we are conscious of that. We do know that we will save some money if we get it right. And we will attempt to do that in Quarter 4 .

Anant Mundra: We have done fairly well as compared to our peers when it comes to managing this MFI cycle. But what really is the next challenge that you are seeing in terms of meeting your long -term guidance of having a steady state RO A of 1.8% to 2%. Is it the mobilization of CASA where you have to get to 30% or there's been some increase in the NPA on the secured side. So, is that also bothering you? So, what is really bothering you now given that this cycle is behind and you are past the peak?

Ajay Kanwal : Affordable housing , micro LAP , MSME, I think we are doing fine. In MSME , we are incrementally seeing sales invoice and purchase invoice discounting. So, our focus is building credit structure early warning around that. So, I think that's rule number one. I think on micro LAP and affordable housing, we just are in 180 cities, just need the operations to run well . I just mentioned we are 3, 000 people. So, always it is like you have to keep your hand on the machine all the time. You can't assume everything is fine. So, I think just making sure we are executing well is all that is required. It doesn't bother me. And, we are among the players who have a microfinance business, we have a micro LAP , we have access to credit bureau. You know what the overlaps are, who's doing what, not just with us. I know my microfinance customer have taken micro LAP from somebody else. How they're behaving if taken from me, how they're behaving , that is not our real worry. What I would really like to do is first get the cost -income back because that's been our strength. And we have got a bit of a hiccup now. So, I want to get cost to income right. And that will come from unsecured going back to its 10,000 levels. And if that is slower, then I think we have to work harder on the secured side so that the cost -income becomes better. So, I think that is one of my focus areas. Doing prod

uct diversification in MSME

is our second area. I don't think we will take the eye of f the ball on collections, whether M FI or non-MFI, because I think that is core in this environment. I think that won't change. On CASA, we have segmental offers, and we have even shown the segmental offers in one of the slides. It is making sure that we really focus on retail growth here. I think there is a bit of hard work, but we will continue doing that, and we expect that to continue. So, those would be our real top areas - CASA growth, MSME into sales invoice, purchase invoice , making sure that we keep our hand on execution in secured. MFI collection doesn't get easy ever . And finally i t's making sure that we get the cost -income back on track because that is something which we think cost is a certainty, revenue is a hope, so cost has to come right .

Anant Mundra: Just one final question. Could you briefly just explain the economics of CGTMS E and CGFMU?

Ajay Kanwal : So, CGFMU cost is 1% of the disbursed amount for one year. Next year, we will pay on whatever is the balance outstanding. Then the first 3% of the gross NPA. Let's say Rs. 100 you guarantee , Rs. 5 goes into NPA. 3% of Rs.5 , which will be about 15 paise is your cost. After that, 75% of the balance amount will be paid by the CGM FU. They could change your cost of guarantee if your delinquency is whatever it is. So, that is the economics. I think beyond a certain point , very

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early, about 1% -1.5% you are fine. You start getting some money back. On CGTMS E, it is 0.3% of the cost. It is only for micro enterprise. So, you need to give Udyam registration. It has to be a small business. And you get money back once it goes NPA. Only thing is, I think the current condition they've applied is you get money back equal to 2x of the premium you pay for that year. So, unless you don't have a real bad year , then most of your money of NP A on the CGT MSE book will come back and that would be our bias.

Anant Mundra: And this is not on a pool. This is on each specific loan that you give out ?

Ajay Kanwal : So, there is a proper format where you get in all the details. You put the Aadhaar number. You put the Udyam number. You write all the details. Everything has to match. And once that is done, you upload it into the system. The system accepts it. Then you pay the guarantee fee. And then it becomes guaranteed. So, it's a very formalized and very automated process. And there is enough checks and balances to make sure that these are done rightly. And I think it's very well organized by the National Guarantee Corporation.

Moderator: Thank you. Due to interest of ti me, this will be our last question. It's from the line of Vikram Subramania n from Marshall Wace . Please go ahead.

Vikram Subramanian: Just a couple of questions , is more a follow -up on a couple of other participants before. Can you give a sense of how the SMA has moved between September and December and how the collection efficiencies have moved in the past four months? This is majorly to get a gauge of

how the on-ground realities are, because even though you are calling out peak stress behind, slippages still seem to be flat Q-o-Q and you also call out that the overall environment still remains challenging. So, just to get a sense of more like forward flows, so if we can get an idea of the SM As or the collection efficiency, that will give a better picture for us.

Ajay Kanwal : So, one is collection efficiency, unsecured at 98.6, 98.5, consistent across October, November, December. Our push to get to 99 was not very successful and some reason or other always get pushed back, which is why I keep saying that it's still going to be focused enough from our side on microfinance because we'd like to see it at 99 plus. So, that's rule number one. Also I said that in microfinance, no

really we will reach a 99 around 22nd, 20th. Now we are fighting to the 30, 31st. I don't see that changing much. So, I suspect will be a bit more relaxed in Q1 next year rather than Q4 this year. So, hard yards will continue. We are geared up for that. We have put the collectors in place. We should be there. Our SMA has reduced in Q3 over Q2. So, I don't see a challenge. Also, recoveries are much better than in Q3 versus Q2 and Q1. So, which means we are getting better traction than we got earlier. It also means that the collection force is much more settled now. Because once you start hiring people by the time they understand the system and they start reaching out to customers, finding out where they live, we of course have lat - long for everybody. So, we know exactly how to find our customers. Well, it takes some time to be able to settle in. I think that settling period is over. So, why I said the worst is behind us and I said that in the last quarterly meeting, see it was the shape of our book and like if you take secured book also if my book was not property backed I had a different version I would have

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said. Let's say my book was vehicle finance, it would have another future how it would look. Similarly, in MFI, if I had more group loans, I would have probably taken another quarter, I feel. So, I think that group loan is not so settled, I feel, from whatever I gathered from our MFI business. That's what I think, fortunately Q3 turned out right. Like I said, the only thing that I was hoping but I couldn't achieve in Q3 was to really stabilize my unsecured book to where it was at the end of September. I thought we will make it happen, but somehow our field force, hadn't got the confidence to do more disbursements. So, we continue working on that and once we get that right, I think most of the issues are well settled. I know it's a bit of a longish thing, but I do expect it gives you a good sense of what to expect in Q4 and next year.

Vikram Subramanian: Just to follow up on that, just so I am clear. So, our book mix and our recovery efforts and potential give us confidence to give out this comment that credit quality peak is behind us. It's more to do with how we have been dealing with and how our book has progressed. Am I right in assuming that?

Ajay Kanwal : Yes, absolutely. And so that peak is not a hope, but a reality if you take actual credit cost, which is what we have given in Slide # 4, it is lower in Q3. So, if you take the Slide # 4, even assuming a higher accelerated provision, my total credit cost is Rs. 174 crores. It is lower than Rs. 210 crores of last quarter. And it's a perfect 196, goes up to 210, comes down to 174. 174 is 93 of accelerated provision, which is higher than the 61 of last quarter. You should see in the Slide # 4. So, I just want to give, not just how I feel, but these are actual numbers which tell you that, listen, it is behind us. Now, if our net NPA is 0.91, suppose I had made it 0.95, if that was our chosen path, then yes, PBT would be higher or PAT would have been higher by Rs. 15 - Rs. 20 crores. So, if it is a little less, Rs. 15- Rs. 20 crores, we can always, as things are more exuberant we can show them. Right now let's be more conservative.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today's conference call. I now hand the conference over to the management for their closing comments.

Ajay Kanwal : Thank you. Listen, in closing, I just want all of us to know that our bias and focus towards Secured has really helped us a lot. And it only increases our conviction that we should get to 80% secured. Secondly, our focus on making sure that MFI is not just operational risk business, but has credit risk and should be treated as such, which is where the whole genesis of individual loans really began. I think we are also in our mind very clear it was the right answer and we will sustain on that path. So, I think that will not change. I think, thirdly, we are very committed on making sure that we deliver a strong cost-income, and we are working very hard for that. Because we do believe that, that certainty which was our strength, remains our strength. Finally, I must say that we took a hard yard on pricing on CASA because I did feel that as we continued growing, at some point we would have to make this call so better earlier than later. I know that our branch team led by Shrini is committed to making sure that CASA does reach its growth path, and we are investing behind it. And we are very confident that Q4 will see a much better CASA number than what we saw in Q3. I think other than that, we would certainly like to apply for a Universal Bank in May. I think the advantage it will give us with our employees, with our customers, with

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our deposit rates, with our deposit velocity will be tremendous. So, we certainly would like to keep the net NPA below 1%, gross NPA below 3%, and put up a good case to the regulators to find it suitable to get the license. More for you folks when we come to the March results. And thank you for your support and belief in this tough environment.

Moderator: On behalf of Investec Capital Services India Private Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: May 2025

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JSFB/SEC/2025- 26/21

06th May 2025

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Sub: Transcript of Investor/ Analyst call .

Ref: Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Dear Sir/Madam,

Please find attached, transcript of investor/ analyst conference call held on 29th April 2025. The same will also be uploaded in the website of the Bank at www.janabank.com .

You are requested to kindly take the same on your record and oblige.

Thank you

Yours faithfully

For Jana Small Finance Bank Limited

Lakshmi R N

Company Secretary & Compliance Officer

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"Jana Small Finance Bank Limited Q 4 & FY25
Earnings Conference Call"

April 29, 2025

MANAGEMENT : MR. AJAY KANWAL – MANAGING DIRECTOR AND CHIEF
EXECUTIVE OFFICER ,

MR. ABHILASH SANDUR – CHIEF FINANCIAL OFFICER ,

&

OTHER SENIOR MANAGEMENT TEAM MEMBERS

MODERATOR : MS. SANJANA FAUJDAR – NUVAMA WEALTH AND
INVESTMENT LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the Jana Small Finance Bank Limited Q4 & FY25 Earnings Conference Call, hosted by Nuvama Wealth and Investment Limited.

As a reminder, all participant lines will be in listen-only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*", then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Sanjana Faujdar from Nuvama Wealth and Investment Limited. Thank you, and over to you, ma'am.

Sanjana Faujdar: Thank you, Rutuja. Good evening, everyone. And welcome to the Q4 & FY25 Earnings Conference Call of Jana Small Finance Bank. We at Nuvama Wealth like to extend our sincere thanks to the Management Team of Jana Small Finance Bank for providing us the opportunity to host this call today. Joining us on the call are Mr. Ajay Kanwal – Managing Director and CEO, along with our esteemed members of the Senior Management Team.

Without further delay, I would now like to hand over the proceedings to the Management. Thank you, and over to you, sir.

Ajay Kanwal: Thank you so much, team. And good evening to everybody.

■ So let me start off by a very important milestone for the Bank, which is that, with our Audited Results now in the public domain, Jana Bank meets the Universal Bank norm set out by the Reserve Bank, which is meeting gross NPA and net NPA below 3% and 1% threshold for two consecutive years. With that, we would like to file in our application for the universal Bank within the next 30 days.

■ Secondly, it has been a very tough year, but I must say a very rewarding year. It has been one of those years where we had obviously stress in microfinance, and when the year began last year, we had 40% microfinance business. But as we have finished the year, our MFI book is down to 30% and yet we have grown a solid 19% growth in assets. So fundamentally, our strategy of developing multiple lines of business has come through that even if MFI does not grow, which in our case has not grown, in fact, its negative growth of 11%, our overall asset book has grown 19%. The growth of secured assets in our business is 40%. So that's the first most important piece in terms of performance.

I would now start referring to some of the slides because I think it's easier to then relate to numbers, so I will be on Slide # 3 which talks of PAT:

So here is the very interesting simple headline that we have delivered Rs. 501 crores of PAT after doing accelerated provision of Rs. 305 crores. The Rs. 305 crores obviously is to make sure that net NPA remains below 1%, and Rs. 305 crores obviously have come from increased MFI stress leading to obviously most slippages and then our need to provision. Now if you back out, more deferred tax asset year-on-year deferrals and the accelerated provision, our adjusted PAT should have been Rs. 779 crores.

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By saying this, I am just trying to give you the ability of the franchise to deliver good PAT, and we will talk about that in more detail as we go through. But I just want to tell you that delivering this PAT in a tough year in our minds has been one of our strongest performances till date.

I would now move on to the next slide which talks about asset, and I did give you a glimpse of that a bit earlier.

So yes, while MFI was stressed and we did spend a lot of time focusing on collections and getting things right, we were never doubtful in our minds that our future was always secured in nature. So we used that time to increase our secured throughput. As you can see that the advances growth is 19%, of course, banking industry

try is 11%, but our secured is 40% solid. And this is not the first year. You will see later in the slide that the growth between the years 2022 to 2025, the CAGR has been 40% on secured. It is just that even though the base keeps growing, we still continue to deliver 40%. The unsecured degrowth has been 11%. The only silver lining here is, in Quarter 4 unsecured has eked out a small gain of 0.2%. It is fair to say our unsecured growth rate will remain stable or slightly positive as we go into this year. And the big challenge around the book not growing is behind us.

I must also add that the MFI book, 28% of which is now under the guarantee program. As we all know that this guarantee program takes in new disbursements, so we will complete the balance 70%-odd through this year. So by September, we will mostly be 90%-odd under the guarantee program. And you will see later details with what goes under CGFMU and what goes under CGTMSE, we are doing a mix of both. I must also tell you that the way we operate is we kind of start investing in products so that it is good for our customers, they are getting multi products from us, but at some points we think the products by themselves have become profitable as they matured into a good business. I am so glad to tell you that you will see the numbers later, gold and two wheelers have become that businesses. Business we were investing for some time, but now you can see the growth rates, you have seen the size, we do think that in our minds they are no more the babies, they have become good strong teenagers and they will run very fast.

Having reached those two with gold and two wheelers, we have now started focusing to put our

measured investment money into used car growth and supply chain financing , so that a year or two years from now, I will be in front of all of you by saying that our used car business and supply chain businesses have become reasonably strong healthy growth businesses. So overall, I will share with you number by number of secured asset growth, but we are very proud of the advances of 19% that we have made in spite of our unsecured growth of minus 11%.

I draw your attention to Slide # 5 on deposits. 29% has been the deposit growth this year against the industry growth of 11%. Our deposits now stand at Rs. 29,120 crores and you will see our CD ratio is now down to 93.3%. If you add in the refinance, it is only 82.9%. So we are very, very liquid. And as you know, we had the strongest LCR , it continues to remain the strongest . But like I had told all our investors and analysts that we will keep bringing down the LCR as liquidity improves , our LCR has dropped from last year 391% to 253% and we will continue dropping it further.

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CASA , it grew at 18%. But I would like you to see a page or two later that our 18% growth includes the price of dropping SA by 9 bps. Because as well all know, many folks can grow CASA, but there is a cost to it. I think very few people can grow CASA with improving the price on it. And that you will see the actual physical numbers as we go along. We have also added Andhra Pradesh as our 25th state and we are very delighted that we are able to now do business in that state because we do feel there is going to be a very good and strong economic development in Andhra Pradesh.

So now, before I move on, asset at 19%, secured assets 40%, unsecured minus 11%, CASA at 18%, deposit at 29%, CD ratio at 93.3%. There is nothing here which tells me that we should not be feeling very bullish and very strong about what is going to come in the following years.

The one question we should be very clear about what to expect on any more credit costs, so I would like to then quickly , and importantly go to this credit cost page. If you see the regulatory provision, it is down from last year. The incremental accelera

ted provision is Rs. 305 crores versus with Rs. 73

crores last year. Yes, Rs. 305 crores will stand us in a very good stead this year , a lot of it will become recoveries. Having said that, our net credit costs, if you really back out accelerated provision , it is about Rs. 325 crores , which we think is a very healthy number. But having said that, the reality is, yes, we would like to keep ourselves very alert and very focused. If you see the additions of gross NPA in the next table, you have seen a slight addition from Karnataka in the Quarter 4 . Our Karnataka book is only Rs. 560 crores , which exists on the Bank 's books.

So I want to bring back to a very important point which we have always spoken of in the past that Jana has always taken a position where it does not want to have any concentration of any asset in a particular geography. Karnataka happens to be the head office of our Bank . Karnataka should have been a large book, but by design we have not kept a large book. To anticipate the next questions and how big is your MFI book in Tamil Nadu? It's Rs. 1,000 crores . It is not a significant number. It's not something that can shake our numbers too much. Not that we expect anything to go wrong in Tamil Nadu, but we are just being more careful.

So really, I want to come back to GNPA saying, yes, the peak is behind us. We will remain very watchful. I think the real celebration to our mind will begin from maybe Q2, going into Q3. So we continue working hard. Our PCRs are strong. They have accelerated our provision to Rs. 305 crores . And we are in very good credit shape , as I would put it, because when the book is dropped of MFI from Rs. 10,000 crores to now Rs. 8,900 -odd crores , it has taken most of the poison away. So that goes for credit cost. Very clearly , worst behind. Things are improving. Karnataka, small problem. We do not have a big book , already baked into our Q4 numbers. And we move into this financial year with lot of strength on the way we manage our collections, our credit, and of course, with a large amount of provision available with us.

I want to talk about two things which are very dear to us. We always were proud of our cost -to-income, which last year we finished at 57.4%. I have mentioned to all of us that our bias was to take 57% down in the three year period to a 54% number. We have unfortunately this year have gone the wrong way; we have become 61.3%. The single biggest reason is , drop in revenue from unsecured . And that has really caused the income to compress from an unsecured perspective , so we really cannot address costs

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so quickly in the short -term. But let me assure you, we will come back to first-digit being 5 this financial year, because we know that cost is a certainty and managing cost remains most crucial to us, largely led by digital and productivity.

I mentioned CASA earlier, saying CASA has grown, but not by increasing money and you can see our CASA cost is down to 4.36% while we have grown to Rs. 5,235 crores , which is a healthy growth rate

of 18% in CASA . So I thought before I go into deeper numbers, I will give out the highlights and probably answer some of the important questions and give you the messages from the Bank 's side. Now I would like to move onto Slide #8 . Now here is an important one , our capital adequacy has moved upto 20.7%. It was 20.3% last year and we have not raised capital. It only tells you that we do not need to raise any more capital. The reason, the capital has improved from 20.3% to 20.7%, and as you all know it largely Tier-1, we have hardly any Tier-2 capital is for three reasons . First, profit of Rs. 501 crores PAT; second, 28% have gone to CGTMSE and CGFMU; and third, we have a Rs. 1,000 crores roughly about Gold loan book. All these three things will be real this year also. So , what you should

expect is, our capital adequacy to further strengthen without raising a single rupee of Tier-1 or Tier-2 as we get into this year. And we continue to drive numbers.

Now, again, if you see the highlights of this year , give me a second . Okay. Other highlights on this page that I could have picked up was , gross NPA at 2.5% which has improved from 2.7% and everything else which you look at return ratios or you look at the ROEs , they have improved in Quarter 4 . On a full year basis, which is on Slide # 9, I think this is a very important slide for us because it pretty much puts in Rs. 30,000 crores of asset and liabilities. This becomes a significant number from our perspective, and we are very proud of the 70% secured advances.

I will move on to Slide # 11, and I really want you all to spend time on Slide # 11. I really wish I can show you a similar slide every year, but let me take some time in being a little bit less modest by reading some of the advanced growth which I have highlighted in pink. Affordable housing this year has grown by 37.8%. Our micro -LAP has grown 21.6%. Our MSME loans have grown by 29.1%. Our NBFC, which has been one of our best books has grown by 50% in the Quarter 4 . They have slowed down because every other business really grew very hard in Quarter 4 . Two -wheeler loan at 105%. Gold loans at 237.6%.

Kindly ignore the gross NPA of 2.7% on gold loans because that is technical in nature. And loans against FD is really not something that we think will grow further, as you know, it's very low profitability oriented. Overall growth in secured assets is 40%. And where we sit, we would like to continue the same growth rate and there is no reason why we should not continue the same growth rate of secured asset growth.

On unsecured, too much negativity on MFI, I do not think so it's warranted. We know businesses has its challenges. One has to grow the business in a more measured way. And here I must say that for us growing the unsecured book by 0.2% in Quarter 4 , I see that as positive . Because the way the unsecured business works is , if my collectors are unsure of collections they will not give the next loan. It does not

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matter how much hard we try to push, ultimately the ground team , which is a few thousand people, they should feel confident that things are back on track.

So when I see a growth rate on my books and unsecured advances, I see a confident frontline who is very comfortable in saying that, listen, we have been through the worst, I think we can collect, and I do not have to tell you that we are far more conservative than any MFN guardrail. For no other reason, that we do feel that every player has a different approach . And unless we are not clear of how the industry emerges, we would like to remain very, very conservative. And I would give you the conservatism number. If any of my existing customers have more than Rs. 50,000, with any other institution, I will not give him a next loan. We are so hard-nosed; we are not moving at Rs. 2 lakhs being the outer limit, we are operating at Rs. 50,000 as our level , that I will not give the next loan if he's got more than Rs. 50,000 exposure.

So here is the very important piece where secured is strong, healthy, and will continue to show very good growth. I do not have to read the GNPA numbers for you. You folks must have already glanced it. They are very healthy and gives you a lot of promise.

I want to move on to Slide # 13 then. And this is where I said 28% guarantee program, 0.2% is the growth in the 4th Quarter and it has been very positive. Our BC book is down to 5%, but I must tell you that we see lot of progress made by the BCs. All the BC s, the three of them that had challenge in the book , they are standing strong, they are standing steadfast, they are fighting back, they are collecting . And I s

omewhow have a very strong feeling that the BC book will show good profitability this year.

Next, I would like to move to Page number 15. This is our favorite page because this is how the Bank is. We are an anchor Bank , we do not like product selling. We would like to give multiple products to customers. So Bring Your Bank Home is very crucial to us. And for the first time, we are showing you last year versus this year. If you go to any of our past slides, it is where we began HOME 360 versus now. I think we have moved on from that phase , because I think all of you folks who have been following Jana would know that it rather now we start tracking ourselves year -on-year. And here is the best part , this is where customer are showing strong buy -in to the whole idea of having a one single

Bank which meets all their needs . Our average relationship has moved in single year from 3.6 years to 3.8 years .

I have given a small line below, which is , if you assume property and life insurance, it actually become 6.1. But we take this two out, because they are nearly required for every single housing or micro -LAP loan. So we do not add them . And there are some very beautiful spots, I must point out that we are delighted with our gold loan penetration at 2.2%, which has moved up from 1.6%. So imagine, first, housing loan , micro -LAP customers are growing. In that growth business, which is roughly about 30 %-odd growth, we are also seeing a growth in penetration. So it is like a double growth because your penetration improves in on an enlarged growing base from 1.6% to 2.2%, our business loan growth to 18.5%, two -wheel er has honestly work to do. And the best part is Avg CASA balance is now at Rs. 28,000 from Rs. 18,000.

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So again, what is that competitive moat? What is the differentiation? How do we become the anchor Bank for rising India? This is the page to read. Where will the future operating leverage come from? This is the page to read. Where will we get better credit quality because customers have multiple Bank arrangements with us? This is the page to read. So this is one of the most important pages in our investment deck , because this is fundamentally how the Bank is being built.

I want to move to Page 16 now and that's where we will be very happy to see CD ratio at 93.3% and 82.9% including refinance, a very strong growth. Yes, we did have a growth in our cost of deposit, but I must tell you that from a 7.7% to an 8%. But here we are sitting in April and we have already had one cut in the deposit rates, we have had one cut in our savings rate. And I do feel that our LCR is strong , we have room to cut that. So I would argue that you should expect aid back to a lower number during this year.

We continue being very focused and very diversified geographically in deposits also , so nothing changes there. So all in all, there is a lot of work for us to do to improve CASA. But this year's CASA of 18% growth, while we have reduced the cost of SA, it's showing that the new segment offer we did last year, whether it's Exclusive , whether it's Premium , whether it is Legend , are all showing immense traction. So we are very happy as we go into this year. And now we have got a few stronger offerings which we can see has got strong customer reception to grow this year.

I will move to slide which is digital. And in digital's page, if you see every number, I struggle how to put up a number as headline . Because if you are doing 98% account opening with digital, then there is 99% and 100% cannot be so important, right? So one thing I must tell you that we are fully focused on digital. I would like to share with you the progress of our AI projects, which I will do in the next quarter. All I can tell you is that three very specific projects related to productivity, customer service and being co-pilo

t to our front end, we have already started work on. I am not building any of that into my next year numbers. But all I can tell you is when I do talk of digital next year, or rather this financial year, I would certainly be talking a bit about our solid progress on AI.

I would then like all of you to move to Page number 22 with me , this is our PCR page. First important point , out of our net NPA of Rs. 250 crores , the biggest chunk of net NPA left is secured with a n LTV of 43.3%. So good news is , we are in a very strong position when it comes to credit cost going into next year. And our PCR, including tech write -off, and this is the tech write -off in the same year, it is not cumulative tech write -off that stands at 80% . So, yes, I mean, and as you can see on the right -hand side, it's never been a big book . But our restructured book has always been low and restructured book unsecured is down to Rs. 3 crores , which is negligible. All the secured ones have property backing , so nothing here which should bother any of us.

I will then move to Page number 23, which talks of numbers. And again, very important is to notice Quarter 4 . Rs. 105 crores PAT has become Rs. 120 crores . Operating margin up from Rs. 279 crores to Rs. 293 crores , so Quarter 4 is a positive direction. And that should give us , and certainly you , a sense of direction the Bank will take.

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I will then move on to the balance sheet slide, which is Slide # 24. Important is , our liquidity as of 31st March has been the highest in the past. It is at Rs. 2,816 crores . And importantly, our refinance which we availed this year has increased our tenor of refinance to 5.6 years, roughly about 4.7 years last year. So very important to understand why do we take refinance? Because this is long tenure borrowing , these are essentially from NABARD, NHB and SIDBI , and we are thankful to all the refinance institutions for really giving us this long -term money. And I wanted to put 5.6 years because it gives you a true sense of what is it doing to our ALM.

It's really helping us tremendously and I have mentioned in the past, cost is not the challenge. So we remain liquid. We are very well covered on credit. We have a strong secured asset growth. In a tough year, we have grown 29% on deposits. So I would like to finish with Slide # 25 which is guidance for this year where we would continue to grow AUM by 20%, deposit 's certainly in the 20%, PAT at 30%, ROA between the 1.6% to 2% and ROE at between 15% to 18%.

I am very conscious that you will have more questions than I would have answered, so I will stop here and I will now open the house for questions which me and my team here will take. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Manish Oswal from Nirmal Bang Securities. Please go ahead.

Manish Oswal: Yes, sir. Thank you for the opportunity and quite a resilient performance given the industry challenging scenario. My first question is on our performance on the net interest margin side during the year. So, we all know there is asset quality pressure, higher slippages so there will be some interest reversal. And another factor which is playing out is the increasing cost of funds because deposits cost has also increased during the period. Now going into the FY26 when both the sectors turn positive from a macro standpoint, how do you see our margin performance? Plus we will see some growth in our unsecured book which also helps us to improve our margin, so where do you see our margins to be compared to FY25?

Ajay Kanwal: So, Manish, first, thank you so much. And yes, you are 100% correct. I must tell you this, when we had modeled our three-year numbers, like, what will we look three years from now when we become 80% secured,

our NIM, when we had turned 80% secured, should have been 7.7%, we are finishing around 7.6%. So we are really off our own projections of NIM because we should have been 7.7% when we were 80% secured as per us. But let me give a few things, and you have mentioned a few of them already, which is interest expense is the issue. Unsecured has, actually de-grow and that impact is quite heavy, as you know. But yes, both of them should be positive, which is less gross NPA and net NPA, unsecured will grow. That is certainly another positive.

The third piece, but I think the most important piece I must tell you, I did a calculation and a study of what is my NIMs for my secured products, March '24 to March '25, in spite of cost of fund increase. And the good news is, my NIMs of secured are identical between March '24 and March '25 in spite of cost of deposit going up. So my confidence in saying, yes, NIMs will get better this year, has not only got interest in suspense, growth in unsecured, drop in cost of deposit. But my biggest strength today is Jana Small Finance Bank Limited

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my secured business is 70% of my book, and that is holding very well. So yes, Manish, we should expect NIMs to improve as we go into this financial year, and I mentioned all the right reasons for that. Manish Oswal: Yes. And the second question, from your remarks you said that currently the 28% book is at under guarantee program, and by September, 90% of our MFI book will be under guarantee program. So let's see once here the hypothetical scenario when this kind of credit event happens, where we make the lot of saving in terms of credit cost from P&L standpoint in that 90% scenario? Can you explain that thing for us?

Ajay Kanwal: Yes. So I will give you the CGFMU example because that is an easier example to share. Let's say there is an event tomorrow and there is a 10% gross NPA need, the cost to the Bank, and Abhilash, help me, if there is a 10% gross NPA or provisioning need, our impact to the Bank will be what?

Abhilash Sandur: 2.7%.

Ajay Kanwal: 2.7% And that includes a 1% cost on top.

Abhilash Sandur: On top of it, yes.

Ajay Kanwal: So 3.7%. So on a 10% gross NPA, under CGFMU, my impact should be 3.7%. So, Manish, what I am really trying to do, and rightly so, not just me, I am sure other players are also going this way, taking the event risk away. I mean, I can handle a small drought, I can handle a small unemployment issue or a particular state has some other disturbance. What I cannot handle is a large-scale disturbance. And I do not want, when I am turned 70% secured, that 30% to disturb the Bank, right? And that is the only problem that I do not want to be sitting in future with.

So our bias is, please provision for the cost. When I said I will grow PAT by 30%, Manish, the cost of guaranteeing the balance 70%-odd, I have already included in my numbers. But the good thing is, once I do it this year, then every other year after that on a year-on-year will not be impacted. My 30% growth in PAT already assumes that the Rs. 50 crores odd I would need to do my provisioning, to do my guarantee program, it is already baked in my numbers.

Manish Oswal: Lastly sir, you talked about your cost to income ratio because this year we had a lower income and that's why the cost to income ratio increased against our guidance of 54%. And you said the first digit will be 5 in cost to income ratio. So going into slightly deeper perspective like if I see the 20% growth of our balance sheet, where do you see our expenses to track down the balance sheet growth, lower than that? How one should think of it, given the mix of the business?

Ajay Kanwal: So first, I will tell you very basic approach here. See one is, I have the same number of people in

unsecured when I was doing Rs. 10,000 crores as I am doing today. So I am at

Rs. 9,000 crores with

the same number of people when I had Rs. 10,000 crores. So I can see that my unsecured does not need more headcount. And between you and me, it's very simple here, the biggest cost growth really is headcount. What we have done this year is really invested in growth of our secured business. Because we have two choices when things go wrong which is like, we all get scared and we start hoping for

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things to solve themselves and we start then growing, or we say, listen, this is our chance. God is telling us that listen, you need to take the pivot to secured even faster, even harder.

I will give you one number. When we began March '24, the number of people who were in business, that is in sales, in affordable housing and micro -LAP was 1,800 people. I am finishing March '25 with 3,300 people in affordable housing and micro -LAP. I think I already made the investment; it is already baked into my numbers. We should see a strong growth already. So first, you will not see as much cost growth this year as you saw last year. That is the first point I am making. And by giving you the two big headcount guzzlers of our banks, which is both microfinance as well as housing, I am explaining why cost will not grow up.

The other answer you already know, which is, revenue will go up as we do more unsecured and as the balance sheet grows. The third piece I mentioned was digitalization and some of the AI project kicking in, but I am not building for that, that will only be something on top of it. So yes, we will have a five-digit in front of our cost to income as we finish this year.

Manish Oswal: Sure, sir. Thank you for answering all my questions. And we expect predictable earnings to sustain in the coming quarters and years. All the very best for your FY27 guidance.

Ajay Kanwal: Thank you, Manish.

Moderator: Thank you. The next question is from the line of Chintan Shah from ICICI Securities. Please go ahead.

Chintan Shah: Yes. Thank you for the opportunity. And sir, congratulations on a good quarter. So sir, firstly, on the gold loan. So, if I see on the gold loan GNPA percentage, so it has increased up from 1.1% in the previous quarter to 2.7% currently. So could you just help the reasons why is it so? And also the coverage ratio has also been maintained around 60% there, so are the LTVs really high or is it something tactical? Yes, firstly on that.

Ajay Kanwal: So I would put it as, you will not see it at this number when we meet next quarter. I think we could have done a slightly better job. I think in the overall way things are, at a particular geography we kind of did not pay a bit of attention which is why it's slightly gone up. There is no issue around do we have, our average LTV is about 60%-odd, there is not a rupee loss in gold, it's very technical in nature. It's just something that we could have probably done, "better handling" is how I would put it. We will fix it before we meet you next quarter.

So good thing about gold is, we are very comfortable with growth. We will continue growing very strongly. And you will see that when the quarter results two months away, we already finished the first month, right? We are very comfortable with the gold. 2.7% is a very technical issue, it's got nothing to do with fraud or gold valuation or anything like that. It's just the way one of our geographies had managed the interest collection. So that is a fixable issue. Already most of it is fixed, nothing to worry about.

Chintan Shah: Sure. And so, sir, on the RBI gold loan circular, so is there any impact to us due to this circular?

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Ajay Kanwal: So, I think the impact is very positive because it says that all regulated entities, which includes NBFCs and banks, should have 75% loan

to value, including the interest. And as you know, that was the difference between banks and NBFCs where NBFCs were able to do 75% without the interest, so I think there is a level playing field. I think there is clear guidance on what should happen during renewals, what should happen during top up. So that ambiguity has gone away from everybody's mind. I think they have been very clear. So I do think that, from our perspective, the gold loan gives us what I would think is commonality and one platform for all the players which is great, so it's a level playing field.

And two, there was some discussion in the system that could you do it this way or that way? I think it has been very, very clear right now. So it's very helpful to us. We are very, very enthused with this. And I must tell you that as we speak, wherever we had part time valuers we are turning to full time valuers, we are thinking of getting a few machines on karatometers so that we can expand that business. So yes, I mean, I said gold has given us confidence. You have seen our stupendous growth last year and you

should see an equally strong one, if not a stronger one this year. It will be a core business to us and it's important to our customers.

Chintan Shah: Yes. That is helpful. And sir, secondly now on the growth, now I think for the next quarter we are guiding for a similar growth on the loan as well as the deposit front given that the CD ratio is now well under control. So that should also be aiding margin, right, is that a fair assessment?

Ajay Kanwal: Yes. So, Chintan, first, I must tell you, see, CD ratio never held us back. For us managing CD ratio, including refinance, has always been our basic going in position. The reason we have made sure that we did this deposit growth is to take away any of the question that people may have. It's a bit of a cost to us as you can see. We have now Rs. 2,800 crores as surplus cash. We typically had Rs. 1,500 crores. So it's a bit of cash. But I think we have taken up with that question mark then people used to tell if you can grow the deposit base, the market is so stuck, what will happen, etc. So I think that question is now no more a question, is what I would assume, we already had that comfort, but I am now transporting the comfort to all my current or future investors.

Yes, so here is the good part. My secured is growing very strong. It will grow very strong. The margins are very stable. Very important, our secured business is not a product business, it's a multi-product business. I must tell you, in my gold loan growth, my branch banking which are doing liabilities, has a very important role to play. My two wheeler sales people are also selling gold loans. And it is very important because this is a culture of the organization. You are building an organization where every single banker is conscious that his role is to give as many needs as possible of a customer met through our Bank. And I am giving those examples because to us that is the most important thing. We will certainly do a strong asset growth, be rest assured. Margins will improve. We just mentioned to Manish earlier the reasons. Yes, I mean, there's nothing else that I can add further.

Chintan Shah: Sure. So sir, just a follow-up on this. So you tell, what would your product per customer right now and how was it like one year or two years back?

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Ajay Kanwal: So, Chintan, if you look at this slide number, that 16 number slide, but this is our housing and micro-LAP book. So I just want to step back and tell everyone what is our original view. Our original view is, the base product for Bank will be housing, so it is micro-LAP or affordable housing, MSME LAP. So we want house to be the base. We think home, whether it is where you stay or where you work. It is a linchpin of a consumer. Wherever

he has his home loan, where his home relationship is, LAP is, that will be the primary Bank to a customer. That has not changed. We have done some work internally where we feel as you go out into the future, between 50% to 60% of the Bank's book will be property backed.

Property is the most resilient asset through any cycle. Now, obviously when you do property, you can do prime mortgages which does not give you enough ROA/ROE for us, or you can do affordable housing which is hard work, does give you higher GNPA, but is obviously a high ROA/ROE business, so which is where we are. And as you can see, very importantly, customers do not like to go to multiple institutions. I take a gold loan from X, I take a two wheeler from Y, I keep my Bank account as Z, personal loan from A. It does not work, it's just too complicated for customers from the KYC angle, multiple repayments. It's a hazard, right?

And you can see from Page number 16 that it works very well with customers. Customers like it. I mean, A, it is of course the most common sense thing to say. But the issue has always been execution. Two, banks execute on a customer vision, and it's a tough one because all banks have silos, right, affordable housing team is different from the gold team. But will the gold team sell affordable housing and affordable housing sell gold? That's cultural and the way you build incentive, the way you train, the way you make people think about organization, the way your processes are, the way your systems are organized. And for us the good news is, we have that working for us and we just want to accelerate that further. At some point, I will try and give other products cross holding also so that you can see how the Bank is really building itself into customer strategy.

Chintan Shah: Sure. And sir, if I just may on the last question. So on the accelerated provision, so now we have Rs. 305 crores. So there are any further plans of making further accelerated provision in FY26? And how do you plan to utilize this or what could trigger the utilization of these provisions?

Ajay Kanwal: So actually this is a bit of a very simple one, which is these provisions are against specific accounts. If the account needs further provisioning, we will use Rs. 305 crores. If these accounts do not need any provisioning, this will not be used. If the account improves, which is they repay us back or they become out of NPA, then we will release the provision. So that's the three ways it can be used.

Chintan Shah: So those accounts are currently standard on the --

Ajay Kanwal: No, they are all NPA accounts. The accelerated provision is only on NPA accounts. The Rs. 305 crores is stacked against NPA accounts. So it will defray my provisioning into the future.

Chintan Shah: So these provisions are more than what is the regulatory requirement, so that is why it is known as accelerated, right?

Ajay Kanwal: Thank you so much. Maybe I should have mentioned it, I took it for granted. Yes, so which is why if you see the page, which is Page 1 itself, it talks about regulatory provision, what is required as per the norms and there's an accelerated provision on specific NPA accounts. When those accounts mature, when I say rather they are resolved and they become standard, I release the provision. If they do not get resolved, they will need more provisioning. I already have accelerated provision and I would not provision further. The borderline, Chintan, most important to us is that we will need to maintain a net NPA below 1%, gross NPA below 3% as we continue through the Universal Bank application journey. So yes, I will tell you that we will have some accelerated provision this year also. But again, why the acceleration on Rs. 300 crores and not Rs. 200 crores? Because of MFI stress. If there is no

stress,

acceleration would have been lower here. So I expect it to be much lower this year but would not be zero because we would like to keep net NPA below 1% and gross NPA below 3%.

Chintan Shah: Sure. This is quite helpful. Yes, thank you for the opportunity and all the best.

Ajay Kanwal: Thank you, Chintan.

Moderator: Thank you. The next question is from the line of Nidhesh Jain from Investec. Please go ahead.

Nidhesh Jain: Thanks for the opportunity. A couple of data-keeping questions. Can you break the slippage number in secured and unsecured? I want to see how the secured asset quality is playing out. And similarly if you can share the write-off number for Q4 as well as for FY25, and again break it down in between secured and unsecured?

Ajay Kanwal: Okay. That's an easy one. The CFO is again pulling it out, do you have a follow-up question while he pulls it out?

Nidhesh Jain: No, no, that's it.

Ajay Kanwal: Okay. So why don't we take the next question while he pulls up the data.

Nidhesh Jain: Sure. Thank you.

Ajay Kanwal: Thanks, Nidhesh.

Moderator: Shall we move to the next question?

Ajay Kanwal: Yes, please move to next and then just come back.

Moderator: Sure. Thank you. The next question is from the line of Shailesh Kanani from Centrum Broking. Please go ahead.

Shailesh Kanani: Good evening, everyone. And thanks for the opportunity. Sir, can you give the breakup of these regulatory provisions of Rs. 448 crores in terms of MFI and secured book?

Ajay Kanwal: Rs. 448 crores, just one second, please. Abhilash is already working on this and we will bring it out.

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Ajay Kanwal: Yes, all the Excel spreadsheets are working on the sides because we are not breaking them. We have products by products, we do not have secured/unsecured as a break. So if you told to give me MFI like individual loan, group loan, etc., they have the numbers, they are just adding it up. One more second.

Shailesh Kanani: Okay. Sure. Perfect.

Ajay Kanwal: Out of the Rs. 448 crores, roughly about Rs. 280 crores is for unsecured and the balance is for secured, so 280 is for 30% of the book and the balance is secured portion. So, Rs. 280 crores is MFI, which is 30% of our asset book and the rest is for secured. So that answers that. I still owe earlier a question to Investec on flow rates.

Shailesh Kanani: So just for understanding purposes, that seems to be an excellent performance considering the last year what across the players the industry has seen in terms of credit cost. So my thought process, I want to understand from you is that, in my understanding and my calculations, CGFMU cross cycle normally the cost somewhere falls in the range of 2.7% to 3%-odd. And as for this number, we are around 2.8% in terms of credit costs, right? So in worst of the cycles, if we are having a credit cost which is less than 3%, which is a phenomenal job, why should we be spending on CGFMU cover? Because generally the cycle phases out, say, once in three years. So can you explain me this?

Ajay Kanwal: Sure. So here is my thought there. First, I will talk a bit about the book. See, we had a BC book where we had FLDG from the BCs. So roughly about Rs. 120 odd crores odd of provisioning came from the BC book, which is why it is not my credit cost. So that's one. And while the BC book's GNPA is high, we have always mentioned this through the year, the BC strategy is around preparing also for a year where it becomes a bit rough for us. So BC has been a positive in terms of credit cost, which may not be true for every player.

Second, nearly about 55% to 60% of our book is actually individual loans and a larger portion of that is actually urban in nature. And this time, as you know, it is more a group loan problem, it is more rural in nature. So the second reason why we should

be differential in terms of performance from the rest.

The third piece, I will just give you the single number. If you take a CAGR of unsecured growth for Jana Bank from 2018 to 2025, which is only seven years, it will be the 1.5% number, plus or minus a bit. So we have never grown aggressively. And the only problem in unsecured is, when you grow aggressively you do things which are not normal growth cycle growth. So three reasons why our unsecured should have always been better than any regular competitor. And we have been saying this for some time, but that's a different matter.

Now why would I do CGFMU, CGTMSE? See, I cannot predict every down cycle here. I do not want to be sitting here with you tomorrow and there is something more severe happens and I feel that I try to save some money here. And remember, this money only this year will be an impact, from next year will be on year-on-year basis impact. And as you have seen that MFI continues, whether it's demonetization, followed by COVID distress, there is some small possibilities that we have seen a Karnataka small decline. Maybe it could have been worse.

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I just feel that it's probably good for the Bank, than maybe I give a bit of ROE, bit of ROA, but we get that event risk out of our minds here. I certainly do not see us exiting the MFI business, it has a lot of value. But I do not see ourselves taking that chance that something unmanageable happens and then we are all wondering why did we save the 1% here. I know its 1% per year, but I do think it is worth that we actually just solve it here. And I do not know if this is the worst stress year, maybe next year will be even worse. I do not know. I do not want to be in a position where I do not know. Does that help?

Shailesh Kanani: Okay. So just a follow-up on the similar line. We have seen a very good jump in non-interest income, other income, right, on a Q-on-Q basis as well. Anything to look out there, any one-offs? And also, are we charging our customers for those CGFMU what we are buying, what we are doing for their loans?

Ajay Kanwal: No. So we have not changed the customer IRRs at all. We have kept the IRRs the same. Because frankly a guarantee or non-guarantee, we wouldn't like our customers to kind of use that and say, okay, anyway you got a guarantee, I would not pay you. So we have kept that very much within ourselves. That's one.

Shailesh Kanani: So there's no charge for CGFMU for the customer, right?

Ajay Kanwal: Yes. The customer IRR is intact. So sorry, do you want to finish that question -- and if there isn't anything else, we can go back to the last question on flow rates.

Shailesh Kanani: No, no, please continue, continue.

Ajay Kanwal: I will just repeat the question which Nidhesh said earlier. Nidhesh, the unsecured flow rate was gross loan, not net, it's Rs. 309 crores, up from Rs. 277 crores in Quarter 3. And that was primarily to do with the Karnataka thing. And on secured, it remained very flat between Q3 and Q4 at around Rs. 150 crores. Nidhesh, does it answer your question?

Shailesh Kanani: I think he's not online. It is still Shailesh here, sir, from my side. Sir, just to continue on my non-interest income part, can you share any one-offs over there in the non-interest income?

Abhilash Sandur: The PSL income is almost Rs. 18 crores for the quarter. They are up in the quarter. And net is about Rs. 6 crores, but Other income, he is referring directly from the financials, there we have booked Rs. 18 crores and we have also booked a cost of Rs. 13 crores under the OPEX. So that's why the OPEX is also slightly elevated and other income is also elevated. Net, we have gained around Rs. 5 crores between expense and income.

Ajay Kanwal: That is the only one-off. Rs. 18 crores is added to the other income line. And

we have lost Rs. 13 crores

on the OPEX line. That is both PSLC transactions.

Shailesh Kanani: Got it, sir. Sir, just last bookkeeping question, can you give a breakup of CA and SA numbers? That would be all from my side, sir.

Ajay Kanwal: Okay. SA is there as Rs. 5,000 crores something. The rest is CA.

Shailesh Kanani: Thanks a lot, sir. And best of luck.

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Ajay Kanwal: Thank you.

Moderator: Thank you. The next question is from the line of Saumil Shah from Paras Investments. Please go ahead.

Saumil Shah: Sir, for FY25 if you remove accelerated provisions, then our PAT is about Rs. 780 crores. So if you were to calculate 20% growth for FY26 plus some reversals which we may have from these accelerated provisions. So can we assume we can cross four-figure mark in terms of PAT for FY26?

Ajay Kanwal: See, not all accelerated will be unused. See, accelerated provision is for NPA customers, right? Some NPA customers will not return the money, so some NPA customers will become going to full provision, right? So not all of Rs. 305 crores will not be required in this year, so that's one. Number two, we will do some accelerated provisions this year also. But yes, I would argue and think about maybe if all things go well, the following year we can talk of somewhere around that number.

Saumil Shah: We also have a DTA benefit, right?

Ajay Kanwal: Because see, I will give you a simple back of the envelope here . If we had unsecured growth of Rs. 1,000 crores this year , so Rs. 9,000 crores becomes Rs. 10,000 crores . This was our March '24 number.

So March '24 was Rs. 10,000 crores unsecured becomes Rs. 9,000 crores this year , rough and ready.

Next year goes back to Rs. 10,000 crores which is FY '26. That will add straight to bottom -line

minimum Rs. 100 crores . And of course, less provisioning, some recovery from the past, it all looks nice and we know that. Now the question is, we do not want to grow so fast. We want to make sure that the environment is cleaner, we want to grow , like I said very, very conservatively on unsecured till we know that everything looks sorted . Today, unsecured MFI does not look as totally sorted , it is still a mixed bag. It is mixed by geography, it has got some trouble in a particular state unexpectedly. So I would have loved to reach the four -figure mark , and I must tell you that this has been not just mine but our entire management team's dream, that we should get there as fast as we can. But I do not want to chance it. So, yes, I would give myself one more year for that.

Saumil Shah: So what are the guidance for FY26 in terms of PAT?

Ajay Kanwal: What I have put it in the guidance note which has 30% approximately and we will probably get more firmer on that guidance as the year progresses.

Saumil Shah: I think that's a conservative guidance.

Ajay Kanwal: We are a 70% secured Bank , my friend .

Saumil Shah: Okay. And sir, any credit cost guidance for FY26?

Ajay Kanwal: So certainly lower than this year. How much lower? Give us a quarter to go by. Like I said, let some of the unknowns , at least how much does Karnataka finally fall through, does Tamil Nadu become a small issue? I do not know all these things. So just give me a bit of time. But all I can tell you it will be, obviously, the elephant is out the room, the big provision has been done. Last year is over , so it'll get better than this year . More firmer numbers , we will give when we probably meet you after 1st Quarter .

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Saumil Shah: Sir, my final question. Sir, on the deferred tax effect, what is the amount left with us for FY27?

Ajay Kanwal: See the way you think about it is like this, first, you have enough DTA left. Right now the DTA between last year and this year is Rs. 155 crores plus. This

year is how much?

Abhilash Sandur: Its totally Rs. 185 crores now.

Ajay Kanwal: Rs. 185 crores . So see, the final year of DTA is FY27.

Abhilash Sandur : Correct.

Ajay Kanwal: That year, right now, DTA is Rs. 177 crores . Let's say DTA becomes Rs. 200 crores by FY26. At 25%, that means I should minimum make a PAT of, or rather PBT of Rs. 800 crores in the year FY27. So that's how you should think about DTA. So, DTA has probably another, if you ask me, between Rs. 20 crores to another Rs. 40 crores addition at best, depending on how this year pans out. And yes, we will continue to be non-taxable FY27. We are short of where we had promised PAT this year. So we were hoping to get a PAT of between Rs. 650 crores to Rs. 700 crores in last financial year, which we have not done , we have got Rs. 501 crores . So you can expect probably about Rs. 50 crores to Rs. 60 crores of DTA to be lost based on last year's performance.

Saumil Shah: So, basically FY25 end, how much we are left with, around Rs. 660 crores ?

Ajay Kanwal: Yes. Rs. 500 crores odd.

Abhilash Sandur: Rs. 550 crores .

Ajay Kanwal: Rs. 550 crores , yes.

Saumil Shah: We are left with Rs. 550 crores . Okay, that's it from my side. Thank you and all the best.

Ajay Kanwal: Thank you. Thank you so much.

Moderator: The next question is from the line of Niharika Karnani from CapGrow Capital. Please go ahead.

Niharika Karnani: Good evening. Congratulations on good set of numbers. So , a couple of questions from my end. In the adjusted ROA of 2.31%, so just wanted to have an idea like how much ROA is generated purely through BC book? Question one. And question two is, have we done any kind of asset sale to ARCs this year?

Ajay Kanwal: So the first one is, see, ROA on a BC book on a year basis would be tough to say. Because a bad year means ROA is negative , on a good year the ROA will be very positive. We have looked at through the cycle performance of a BC or an MFI book combined , ROA comes around 2%. And I am talking of fully loaded through the cycle credit cost. You can normally assume between 4% to 6%. So that's why we do BC and why we do MFI because like this year cannot be a great number for any ROA for any MFI book or for a BC book. But if you go to the previous year, it is like a brilliant number. So we kind of average it out. Yes, we have done ARC sale this year, both on secured and unsecured. And mainly unsecured. As you know, the provisioning for an unsecured book with ARC or within the Bank has to

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be identical. So what I am trying to say is, there is no difference of provisioning for the Bank, whether the asset sits in ARC or whether the asset sits in the Bank. It is an identical provisioning methodology. Niharika Karnani: Understood. Sir, just one follow-up question here. Has the ARC sales gone up in FY25 compared to FY24? And what would be the Bank's practice in the future years regarding this?

Ajay Kanwal: So, listen, we think ARC is a good tool for the Bank. It gives time for collections. It obviously brings in some cases, some expertise from the ARC companies. So we certainly would like to play a judicious mix. It is also a cost, so which is, as I said, all depends on three things, which is, what is the flow rates into gross NPA, net NPAs, that is the first determinant. Based on the flow size, we decide whether we would like to continue with our provisioning, hold it with us, or would we like to get some time to solve it and hold it with the ARC.

What we are very mindful of is, provisioning is identical between the Bank and the ARC. And two, for the ARC is also, in some cases, to get any expertise from them, certainly in the secured side. They do have a lot of help that they can provide and a lot of experience that they bring in. So those are the parameters. So, yes, ARC is a good thin

g to do. It is certainly a tool available for banks to manage their NPAs better. And something we would certainly keep as a tool in our handbag as we go into next year. Whether we do it or not do it, all depends on how the NPA flows through.

Niharika Karnani: Got it. And sir, just last question, any difference in asset quality results in difference in provisioning when ARC sales is done? So I wanted to ask here what's the practice of banks to sell what quality of assets to ARCs and keep it in its own books?

Ajay Kanwal: Firstly, it is a regulation, there cannot be any difference. You only decide what takes longer to resolve and where you need expertise, and that is the one that you choose. And you decide the quantum based on what you think you want to continue on your books as provisioning or what you take on the ARC book. Because as you sell to an ARC, your gross NPA comes down. So it really helps you to figure out on a gross NPA, you want to reduce gross NPA by taking technical provisions, you want to reduce gross NPAs using an ARC. And that depends on the flow of the year. So again, first, just to be very clear, it is a RBI regulation, you cannot have a differential structure between ARC, non-ARC, in terms of provisioning, it's an identical asset. You provision an ARC book as it is on your books, that is an ARC customer.

Niharika Karnani: Got it.

Moderator: Thank you. The next question is from the line of Sagar Shah from Spark PWM. Please go ahead.

Sagar Shah: Good evening sir. Thank you for the opportunity. I had around three questions actually. Now my first question was on the liability side, our retail deposits as compared to our old deposits is decreasing almost quarter-on-quarter, it stands at almost 58% as of now. So, can you highlight that do we have some strategy on board to at least increase the retail penetration now in our liability portfolio? Any guidance on even branch addition? So that is my first question, sir.

Ajay Kanwal: So I will let Shrini vas, who's our Head of Branch Banking, he runs the liability business, answer that.

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Shrinivas Murty: So, hi. First of all, on the branch addition, it's there in the investor deck, we continue to add branches every quarter. So the branch addition will continue in the next financial year as well. On your question on drop in retail deposits and what is our strategy to continue to build that? Clearly the product, process and people strategy that Ajay talked about will continue to be our main stay to bring in retail deposits. Ajay talked about three, four products which we recently come up with which are tracking well. So we will continue to build our scale on the retail side with the help of those products. And we think that going forward, this should continue to improve in the quarters ahead.

Ajay Kanwal: So just to supplement what Shrini vas said, see, first, let's look at the three numbers, CASA growth rate is 18%, while the CASA cost has gone down. Retail deposit growth rate at 19% and then bulk growing around 48%. So really, retail deposit is growing. But obviously, the bulk is growing faster than retail. And as you can see very well that our ability to do TASC accounts, our ability to work with various government accounts, our ability to work with various FIGs, that's a very strong propensity we have developed. And in spite of having a good growth in bulk, we probably have the best LCR in the industry. So there is a good virtue we have, which we do not want to give up. But yes, should retail grow harder than bulk? Ideally, yes. And maybe this is the year we would say that because liquidity has become much better. Our segments, which we launched last year, are showing good results. CASA is showing it, retail is showing it. But because we did get a good opportunity on bulk growth, it does look like the retail n

umber has gone down. But retail by itself has grown 19%.

Sagar Shah: Okay. So at least in FY26, can we see that number inching up to 60% to 65%, sir?

Ajay Kanwal: Absolutely, that will be our serious and sincere attempt because we also would like to see that higher for no other reason. So if you look at the slide #18 we have opened roughly about 52 branches last year.

28 of the 52 have come in Quarter 4 . So we are expanding branch networks. I also mentioned we opened the first branch in Andhra, which is in Guntur. And then if you see in the same Page 18, we have this Legend , NRI, Exclusive , Premier programs, all launched last year. So yes, you have every reason to expect and ask us for more retail deposits. And given our liquidity position now, our need to grow bulk is very diminished. So you would see naturally a retail and CASA combined , grow into the 60s this year. Absolutely fair to ask.

Sagar Shah: And that would also, basically, at least lower your cost of funds, if I am not wrong, right?

Ajay Kanwal: Yes. Cost of fund, I think anyway should come down, honestly, because even bulk will become cheaper this year. So expecting everything to be cheaper this year is fair to expect also.

Sagar Shah: Okay. Fine, sir. My second question was regarding to the asset quality. Asset quality, you already highlighted in the last quarter that we have seen the worst. And in this quarter, again, we saw some sort of higher slippages, especially from the unsecured book. And now, you guided earlier on the call that FY26 seems to be at least positive for unsecured space. But looking at your BC book and Agri book, the asset quality has deteriorated even further, actually. The GNPA has touched almost 12.7% for BC book and 7.5% for Agri and still the net NPA is far above 2% for both of these. So going ahead , what is the picture for FY26 on both these cases? And secondly, have we actually seen the worst or because

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you have guided for even further accelerated provisioning on the unsecured front ? Can you give color on these two segments, sir?

Ajay Kanwal: Yes, sure. So first is , you are reading Page #13, am I correct?

Sagar Shah: Yes, that's correct.

Ajay Kanwal: So in that page, next to the GNPA is quarter -on-quarter growth, year -on-year growth. And you will see that both the BC book is in a decline and agri book is in a decline. So a lot of the gross NPA percentages you are referring to is because the denominator is also going down. Is that fair?

Sagar Shah: Yes.

Ajay Kanwal: Now, I do not see the denominator going down in any significant way this year. So you will get that denominator positivity. And as you can expect in any book, whether it's a BC book or an agri book, there are customers who are over -leveraged, there are customers who have used opportunities not to pay, and they will kind of flow through and become part of your NPA. So the most aggressive, most leveraged, most -naughty customers are already in Net NPA. So the lump left behind is not much. Unfortunately, what happens in the agri book is, if you look at the Karnataka problem of the 1st Quarter , it's largely is in the rural area , it's not in the urban areas. So while we did not anticipate a Karnataka blip, it did happen in the 1st Quarter . Now, if there is no Tamil Nadu blip, then we will be in a good position.

And it is exactly for this reason we do two things. One is , we try to grow slowly and we want to take away event risk through guarantee programs. But am I nervous growing Agri? No. I am not sitting here saying, listen, it makes me nervous so I would not grow microfinance. I am telling you that, yes, within our criteria, we will grow microfinance. Will it grow at 10%? Unlikely. But certainly in the 3% to 5% range, we see it growing because we are very conservative. So again, if there is nothing which surprises us,

you will obviously see a peaking out. The peaking curve out got slightly muddled with Karnataka, but nothing serious. And we should then see again a gradual decline.

But you and I should know that I do not think the MFI is sorted out as yet. It is still something to be on high alert for. And that is what we will be. I am not guiding you to get worried on credit cost. But I am telling you if you read this page, where we are very transparent about our challenges, whether it's BC book or Agri book . And we do that from a transparency angle because those are challenges we have and we want investors to know that. But will I grow my BC book this year? Yes. I did mention earlier in the call that BC may be the positive surprise that nobody's expecting, but it may end up being that. And that 's how we think about it right now. And this is in spite of seeing a 12.7% GNPA in front of me because that is a denominator problem.

Sagar Shah: Okay. So you highlighted, I missed out, so Karnataka book is mostly in rural areas than urban areas, you said.

Ajay Kanwal: Okay. Impact of Karnataka challenge is mostly in the rural area. I have a book which is urban and rural divided, but my impact which has seen the slippage is in the rural areas.

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Sagar Shah: Okay. So now my last question, sir, is on LCR. LCR, you have done a fine job on that. Now our LCR stands very comfortable at around 253%. So going ahead, do you want to at least guide on FY26 basis that will our LCR further come down? Because the cash that is lying on the balance sheet is still used,

the cash especially that's lying with the RBI, it's far higher, the growth is almost 3x actually. So do you want to guide something in FY26 that our LCR will even go below 200%? So that will automatically benefit our NIMs actually.

Ajay Kanwal: Okay. So you are 100% correct, what does LCR do? It tells you stable money. And in a tight environment of liquidity last year, we wanted to have a lot of stable money. And when you have bulk deposit, even more important, a bulk which is stable, and which is what we achieved. Now the market is, clearly the liquidity has become much better. So for us to ease out a bit on LCR is very normal. So you should expect LCR to get lower. I must also tell you, we will model the upcoming LCR regulation which goes live on April '26 into our thinking and our work before we decide to bring it on. But yes, I will confirm two things. One, LCR will come down. It will still remain very healthy after taking into account the recent guidelines which are coming into effect from April '26.

Sagar Shah: Okay. Fine, sir. Thank you. Thank you for answering my questions and all the best.

Ajay Kanwal: Welcome, dear.

Moderator: Thank you. The next question is from the line of Sarvesh Gupta from Maximal Capital. Please go ahead.

Sarvesh Gupta: Good evening, sir, and congratulations on a good set of numbers. Sir, most of the questions have been answered, just one clarification. So on the microfinance book of Rs. 9,000 crores odd, so our gross NPA is Rs. 350 crores and the net NPA is around Rs. 70-80 crores. And this is after the additional provisions of Rs. 305 crores that you have taken this year. Is that correct, sir?

Ajay Kanwal: That's right. That's from Slide # 13?

Sarvesh Gupta: Yes.

Ajay Kanwal: Are you reading Slide # 13? Yes, so that's the number, yes.

Sarvesh Gupta: Okay. And what is the SMA book, sir, before the gross NPA, which is still there?

Ajay Kanwal: So that will be roughly about Rs. 400 crores odd

Sarvesh Gupta: And what kind of provisions are we carrying against that?

Ajay Kanwal: Against SMA, we are not carrying any provisions. Did you mean SMA -0,1 and 2?

Sarvesh Gupta: Yes, for microfinance.

Ajay Kanwal: The entire provision is carried against NPA book only. There is no provision against SMA book.

Sarvesh

h Gupta: Okay. That's all from my side. Thank you.

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Ajay Kanwal: Thank you.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to the management for closing comments.

Ajay Kanwal: Thank you so much. I first thank Nuvama and all of you for patiently listening and being on this call. I just want to close the call by saying, only in tough years do you get to see quality make a difference.

And I thought, us turning secured all this while, what does it mean in a real sense? It is visible to us so, so obviously, and I am sure to you all also.

I think second is the way the team handled the crisis. And I think it comes from handling two past crisis, which is both demonetization and COVID. I think the response has been very mature. And I must tell you that we feel very comfortable sitting here as we go into this financial year of exactly what to do.

I am also in a way really hoping and looking forward to the Universal Bank application, because to us, that will be a game changer. Our whole liability, propensity and cost will change significantly. And so also our ability to do some of the products, which you think will have better customer attraction once we turn Universal.

And finally, I do think that us building an anchor Bank for rising India, is a competitive moat and different and I am sure that will keep us in good stead. With that, thank you so much, good night. And hope to see you again next quarter.

Moderator: Thank you. On behalf of Nuvama Wealth and Investment Limited, that concludes this conference.

Thank you for joining us, and you may now disconnect your lines.

This is a transcript and may contain transcription errors. The Company or the sender takes no responsibility for such errors, although an effort has been made to ensure high level of accuracy

Call: Jul 2025

(no extractable text — likely a scanned image PDF)

Call: Oct 2025

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23rd October 2025

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Dalal Street,

Mumbai 400001,

Maharashtra National Stock Exchange of India Ltd.

Exchange Plaza, C -1, Block G,

Bandra Kurla Complex,

Bandra (East), Mumbai 400051,

Maharashtra.

Dear Sir/ Madam,

Subject: Transcript of earnings conference call for the quarter and half year ended 30th September 2025

Ref: Regulations 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

In continuation to our intimation dated 13th October 2025 regarding the earnings conference call with the investors/ analysts meet for the quarter and half year ended 30th September 2025 .

Please find enclosed the transcript for the Q2 FY26 earnings conference call conducted after the meeting of Board of Directors held on 17th October 2025.

Thanking you

Yours faithfully,

For Jana Small Finance Bank Limited

Lakshmi R. N

Company Secretary and Compliance Officer

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"Jana Small Finance Bank Limited
Q2 FY26 Earnings Conference Call "
October 17, 2025

MANAGEMENT : MR. AJAY KANWAL – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER

MR. KS RAMAN – EXECUTIVE DIRECTOR AND HEAD –
RETAIL FINANCIAL SERVICES

MR. ABHILASH SANDUR – CHIEF FINANCIAL OFFICER

MR. GAUTAM GUPTA – HEAD – INVESTOR RELATIONS

MODERATOR : MS. SANJANA FAUJDAR -- NUVAMA WEALTH & INVESTMENT LIMITED

Jana Small Finance Bank Limited
October 17 , 2025

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Moderator: Ladies and gentlemen, good day, and welcome to the Jana Small Finance Bank Limited Q2 FY '26 Earnings Conference Call hosted by Nuvama Wealth & Investment Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Sanjana Faujdar from Nuvama Wealth & Investment Limited. Thank you, and over to you, ma'am.

Sanjana Faujdar: Thank you, Zico. Good evening, everyone, and a very warm welcome to the Q2 FY '26 Results Conference Call of Jana Small Finance Bank. On behalf of Nuvama Wealth, I would like to thank the management of Jana Small Finance Bank for giving us the opportunity to host this call and for taking out time to share with us the key highlights and performance updates for the quarter gone by.

From the management, we have Mr. Ajay Kanwal, Managing Director and CEO; Mr. Abhilash Sandur, Chief Financial Officer; along with the other members of the senior leadership team. Without further delay, I would now like to hand over the call to Mr. Ajay Kanwal for his opening comments. Thank you, and over to you, Mr. Kanwal.

Ajay Kanwal: Thank you, and a very good evening to all of you. I am going to speak from the presentation that we have uploaded. I am going to refer to specific page numbers so that I can then leave enough time for questions.

Let me start from Slide number 3, and it shows the progress the bank has made in the second quarter. Let me start with the deposit and the CASA business. So the CASA year-to-date has grown 14%. A large portion of the growth has come in Q2 FY26. Our Q1 FY26 growth in CASA was muted, and now we expect our CASA to continue this strong trend as we go into the next 2 quarters.

Our year-to-date growth in terms of term deposit is 11%. And we're very happy to report that we have crossed the INR 30,000 crore milestone in a strong manner, closing at INR 32,532 crore. In addition to our growth, we've also dropped the cost of deposits. It is now at 7.88% for Q2 FY26.

For entire first half, it is at 7.92%. We can clearly see the cost of deposits have reduced by 10 bps in Q2 itself. We do expect the cost reduction trend to continue as newer deposits come up for maturity, and we saw increased CASA as well as new term deposits, where our rates are far lower than they were last year. So overall, I must say on both deposit and CASA, it's been a very strong quarter.

On the secured side, we have seen strong growth rates, and I'll show you the details, in Affordable Housing, MSME, Gold Loans and Two-Wheelers. Our expectation to grow secured

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asset 35% to 40% with steady margins by the end of this year remains as we had earlier committed. Now we come to the most challenging part of our business, which is the unsecured assets.

Good news is the portfolio is stabilizing. We've seen a small growth in Q2, 0.3%. So amongst the various issues was cost of people, and we haven't seen any increase in the headcount in the MFI business. We, in fact, have seen a marginal drop.

So cost of the MFI business of people is not going up anymore. The portfolio was declining. We have now seen the portfolio arrested at Q2. And we also now expect fresh flow in Q3 to be much lower. So by Q3, all the lines will start showing positivity, though we would expect even more positivity in the same business in Q4. So the turn is now very evident.

We've also taken a INR 250 crore Tier 2 capital, which completed on 16th of October, which has improved our CAR by 1.25%. Like I

mentioned earlier, we have no intention of raising equity capital. We have a lot of room in Tier 2. We have got a good opportunity to raise Tier 2, and we have made use of the opportunity.

I will now move to Page number 4. Page number 4 signifies what surprised us, and where we

didn't do well in the first half. On the deposit and CASA side, I must say that our Q1 was slower than we had anticipated, though we did a very good cover in Q2. We expect the Q2 trend to continue.

On secured assets, this is a bit of a positive, but certainly not a positive from a cost angle. Our disbursements were higher by 33% in this first half, which led to a higher acquisition cost of roughly about INR 45 crore. It was offset by additional income, largely processing fees, by INR 30 crore. So we did have a negative carry of INR 15 crore due to increased enhanced growth in secured than we had originally anticipated.

So it's good that the growth rate is strong. But since we essentially take the acquisition cost upfront, we did have a INR 15 crore negative P&L carry on this. On the unsecured, we are 12% below what we had anticipated would be a first half number for which revenues were lower by INR 60 crores. This is because of our tight control on quality of what's coming in at disbursements.

The flow rates were higher than anticipated. We have an increased provision of INR 27 crore. While the margin is at 6.6% for Q2 and 6.7% for the full half, just the unsecured assets is giving us a NIM compression of 30 bps.

So it's fair for us to imagine that as the unsecured business settles down, we will get our NIM back up closer to 7%. And that's the key areas that I highlighted in the Page 4 is where our primary focus will be largely around giving more traction on CASA, continuing to focus very hard on getting unsecured at the right spot. And of course, hoping that our secured assets continue at the same pace in second half, though it will give us a higher cost of acquisition, it will be very beneficial for us and the balance sheet.

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I want to share with you on Page 5, a very important way of how the bank will look as we go ahead. It's very important that given that we have seen the stress in the last 5 quarters, for us to step back and rethink of how we have been wanting to organize ourselves. We've always maintained that we want 80% secured assets and 20% unsecured asset.

Given that there are external events that can really impact the MFI business, we have chosen from November of last year to engage with the CGFMU and CGTMSE programs. So I first want to read out so that there is clarity on this that our 30th September gross loan portfolio was INR 31,655 crore. 72.5% of this book is now a secured book. 13.5% of the book is unsecured but under the guarantee programs and 14% of the book is unsecured and outside the guarantee program.

As we know, the guarantee program only is for fresh disbursements. So with each passing quarter, we continue putting more and more of our disbursements or rather all our disbursement under the guarantee program. Hence, the proportion of the unsecured book under guarantee program at each quarter continues to increase.

If you take the total unsecured book, 49% of the unsecured book is now under guarantee program as of 30th of September. From an overall standpoint, 14% of the total book of INR 31,655 crores is unsecured but not guaranteed.

At the pace we are continuing, we've made some approximations so that we have a very clear understanding of what to expect by March 2026. We expect to be somewhere around INR 35,500 crore as we close the year in terms of our gross loan book. We expect 74% to 75% of this business to be secured business. We expect 16% to 17% to be unsecured but under the guarantee programs and between 8% to 10% will be unsecured, not under guarantee programs

So in many ways, by the time we finish this year, we would have taken most of the event risk possibilities away from our MFI business as a huge portion of it will be under the guarantee programs.

Now it doesn't change our basic, which is we want to have 80% secured. That does not change. What really changes is the unsecured book will now be under guarantee programs. It also does not change that we will continue to be maintaining tight credit when we source MFI. It certainly is tighter than the MFI norms.

Just because we have a guarantee, we will not be easing the norms. We do expect that this change in strategy, which is significant, will have a very differential credit cost as we go in the years ahead, certainly if we can expect any turbulence, which is external to us and will impact the MFI business.

So while we did want to make 80%-20% into a solid balance sheet, our bias is that with the guarantee program, it becomes even more solid, and we should not see what we have seen in last year and this year where we've been surprised by the stress, which has caused us a challenge

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in our P&L. I want to move to Slide 6 so that the guarantee program also, what it means to us on a P&L basis this year and next year at least, we give you a broad contour.

So this year, our total unsecured book as of 30th September is INR 8,715 crores after all the runoffs because the guarantee program is for the disbursement. The portfolio does run off. So while we have guaranteed a bigger sum, but the book has run off, so it is down to INR 4,280 crore, which is 49% of the book. Out of this, NPA right now is about INR 60 crore.

Now the guarantee program allows you to claim at a certain pace, mostly in the following year. So what is claimable under this is about roughly around INR 5 crore, which we will be doing in the next 2 quarters. The premium that we have paid till date this financial is about INR 39 crore. We expect to pay another INR 12 crore by the time we finish the year. So INR 51 crore, we would have paid into the guarantee program in this financial year, and we have paid up between INR 10 crore to INR 15 crore in the last financial year.

Now the way the guarantee program works because it is in the following financial year, you don't get any opportunity to claim for any slippages in this year. But important is to see next year, which is FY26-27, we expect that we'll be paying a premium of INR 80 crore to INR 90 crore. And all the current flows, which are under the guarantee program should give us anything between INR 120 crore to INR 144 crore to be received from the guarantee trust.

So next year, it will be more evenly balanced, I would say, in terms of what our cost to guarantee is and what we expect as a return from the guarantee program for the credit cost. By March 27, given that all fresh disbursements continue to be put under guarantee even next year, 96% of the unsecured portfolio will be under the guarantee program.

So if you take a broad shape, by next year, maybe about 77% - 78% will be secured, 22% will be unsecured. Out of 22% unsecured, roughly about 20% or 21% will be under guarantee program, 1% or 2% will remain unguaranteed. So clearly, for us, this is the best way forward, and it takes a big challenge away in terms of what happens if there's an external movement. Our NIMs will remain unaffected because the guarantee commission will certainly come into the cost line. The credit cost will obviously see a positivity next year. So in a way, it will maintain the same NIMs. Next year, we'll have a positive flow because of the guarantee program. And the ROAs will improve 50 to 70 bps. We think this is a much finer model than we had originally envisaged without the guarantee program. This is a key change, so I spent 2 slides explaining this in detail.

I'll now move on to Slide

number 8. So for the Q2 FY26, we have taken an accelerated provision of INR 72 crores. Our regulatory provision is INR 132 crore, leaving a PBT of INR 75 crore.

With no DTA, we are at INR 75 crore of PAT for second quarter.

Our full first half PAT goes up to INR 177 crore. If you take away the extra provisioning we had to do for assets guaranteed under CGFMU/ CGTMSE in order to maintain our gross NPA below 3% and net NPA below 1%, we have taken additional provision of INR 40 crore because ideally, Jana Small Finance Bank Limited

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until such time as we receive the money from the guarantee program, which is next year, we still have to maintain the NPA ratios below 3% and 1%, which has caused us to provision INR 40 crore extra, which is strictly covered under the guarantee program.

I must say that we must read the number, which is accelerated provision for first half. We have INR 222 crore as additional provision over the regulatory provision. That is what we have on our books as we speak. I want to move next to Slide number 10. It's a very regular slide that we share with all of you.

Like I mentioned, the total book is now INR 31,500 -odd crore. Our affordable book, which is the largest asset book has now reached INR 7,000 crore. It has shown a 34.4% year-on-year growth and quarter-on-quarter has grown 7.1%. Our second largest book, Micro LAP, is growing a bit slowly at INR 6,027 crore. This has been a book which has been slightly lower than affordable housing, though we expect some more pickup relative to the first half in the second half because the first quarter has normally been slow.

MSME, we have picked up very well in Q2. It has shown a 27% growth in year-on-year and 12.8% quarter-on-quarter. Our Two-Wheeler is 12.8% quarter-on-quarter. Our Gold Loans is 17.5% quarter-on-quarter. So very strong growth in all the asset businesses on secured side. And unsecured, we have actually grown 0.3% in the second quarter. So we are starting to see green shoots as they say. If you look at overall growth quarter-on-quarter, it is about 8% on the secured side and year-on-year is 34.4%. Reiterating what I said earlier, we do see a 35% to 40% growth in our secured businesses.

I'll move on to Slide number 13. This is a slide which is an important slide for us because we would like to create an anchor bank for Rising India, which means the customers should have an advantage of both pricing, service, single KYC, multiple products, both asset and liabilities from a single roof. This page is all about our Affordable Housing, Micro LAP book and how customers are behaving with us.

I'm glad to share that from an average relation of 3.7, we have now taken it to 3.9. And there is all-round growth with CASA remaining at 99% because there is little room to grow there, but TD and recurring deposit (RD) penetration up to 21%. Health insurance have moved up marginally from 91% to 92%.

Our gold penetration in the housing loan customers is up to 2.5% now. There's a lot more room here, I must admit. Our preapproved business loan program to housing loan Micro LAP customers up to 20%. Our Two -Wheelers has moved up marginally to 1.1%. This is also because we are not operating in all cities in Two -Wheelers, where we do Affordable Housing and Micro LAP. It's a smaller segment of Affordable Housing Micro LAP customers, which get our Two -Wheelers penetration.

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The one thing which has moved negative for us in this whole business is the CASA average balances of these customers which have moved down from INR 27,600 to INR 24,500. We have a little bit of work to do to get the balances up for Affordable Housing and Micro LAP customers. I must add that 3.9 average relationship does not count the life insurance and property insurance products. We continue to focus on

on this. I must say this is only an example because this is our best example.

The same strategy continues for Two -Wheelers, where Two -Wheeler customers are offered savings account, where Two -Wheelers customers are offered personal or business loans, and we certainly work with them on health insurance. The same is true for MSME customers also. And we, of course, have our MFI business where we do a lot of cross -sell of Gold Loans and certainly offer them other products, too.

So strategy -wise, this is a strategy page on how we are executing on creating a one financial services opportunity for Rising India. I'll now move on to Slide number 14. Slide number 14 gives you the MFI breakup. Here, you can see that across the board, quarter -on-quarter, there has been a degrowth, which is you can see where we highlighted with 0.3%.

We have seen good growth in group loans. These are largely urban area loans where we have been able to do a growth, and we are more comfortable here. We can also see there is a growth in non -agri and individual loans at 0.4%.

All other businesses have seen a negative growth, but we do expect this to get much more normalized in Q3 and furthermore in Q4. There is a negative advantage of a declining denominator because you can see things like BC Book at 28.7% and Agri at 40.7% negative growth over the year. Obviously, elevated gross NPAs have a large portion of their high numbers contributed to a lower denominator. I would also like to add, since BC was a big conversation in the last 2 or 3 investor calls, we continue to believe in the BC business.

The 3 BCs where we had challenges, we have been working with them. We are solving problems. We do see them sustaining and coming out of this in the next year. We haven't had an opportunity where any BC has decided that this is not worth his while, and if he wants to do something else or with someone else. So BC continues to be a focus area.

A few areas that we thought that we could have done better in terms of giving them slower growth targets or making sure that the growth is slower, ensuring they have adequate manpower to support their growth. Those things we have brought into our system and we do see our BC Book now growing as we go into Q3 and Q4 with better collections from the past book also. So that gives you a sense of the MFI page, I did want to show this page because it's an important one for all of us to see.

I'll now move on to Slide number 16, which tells you the deposit story. Year -on-year growth in CASA is 19.8%, quarter -on-quarter is about 14%. Our TD growth year -on-year is 34%, and like

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I mentioned earlier, the cost of funds has come down in spite of our growth. Quarter -on-quarter growth in term deposit is about 9.8%.

We continue to be very strong on LCR at 170%. Our 91.7% of retail deposits are contracted at 1 year and above. So that strategy hasn't changed. In fact, given the cost of funds appearing now,

we rather would like to elongate our term deposits. Our non-callable still form 51% of our bulk deposit and 87.9% of our bulk deposits are contracted at 1 year and above. So there is very little short-term deposits, both in retail and in bulk.

I want to next move on to Slide number 21 straight. Slide number 21 gives you a few important ROAs, ROEs, but I would like to point out on this page, the NIM. The NIM in Q1 was 6.7%, which you can see on the right-hand side. The NIM on Q2 is 6.6%. We expect this to remain at 6.6 or get slightly better as we move into Q3 and even better into Q4.

The 2 main reasons are we will see a small drop in cost of funds, like I mentioned, and we will see a small growth in our unsecured book. Our secured book largely is maintaining the NIMs that we had expected. There has been no drop or change in that. So that will not cause any change in the NIM per se. But certainly, we

would expect NIMs to get closer to 7% by the time we close the year.

I'll now move on to Slide number 23. Slide 23 gives you our gross NPA, net NPA and our PCR ratios. So first is our PCR is at 43.2% without tech write-off. On the secured book, it has been elevated as we would like to keep our gross NPA and net NPA below 3% and 1%, respectively. Our unsecured at 66.9% on the bank's book is because a part of the unsecured book in NPA now is under the guarantee programs. There is no reason for us to provide extra there. The BC Book is at 88.2%. And like I mentioned, the BC book is certainly performing much better. And the 3 BCs which were challenged are really fighting it hard to make sure that they get as much recovery as possible from all the flows they've had in the last 5 quarters.

I will now move on to Slide number 25. Slide number 25 gives you the balance sheet. It essentially shows that we have a very good liquidity position. I want to remind everyone when we say we have cash, it is not cash sitting in the bank. It is cash that we deploy in T-bill securities. So one should not assume me that the cash is lying around without any benefit to the bank. So we are very healthy on LCR. We have good cash balances with us. We also have received an approval from National Housing Bank for a very favorable priced 7-year and 10-year disbursal. It's for INR 850 crore. We will start using that facility of NHB into Q3 and Q4.

So in addition to the INR 250 crore we've received on Tier 1, which we have received yesterday, we have another INR 850 crore of NHB, which is lying with us. So from a funding position, the bank is more than adequately funded. We will use this opportunity given our strong liquidity position to keep driving CASA even harder, which is how we are thinking.

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I want to take you to Slide 26. There is no change in the gross loan portfolio growth of 20% or deposit growth rate of 20%, however, we moderated our PAT growth rate to 0% - 2% and ROAs and ROEs, respectively, as the elevated challenge of MFI, both on the flow rates as well as slower asset growth rate is going to eat up into the PAT opportunity that we did think at the start of the year.

I want to move on to Slide 27. I just want to point out that we have a new Non-Executive Director, Mr. Rakesh Joshi. He is a Non-Executive Independent Director. He is an ex State Bank of India professional with long years in State Bank of India, and he was certainly on the Board of IRDAI.

I want to take you next to Page 28, where there are 3 changes. So in the second bucket, you will find a gentleman there, last name, Sudhir Madhavan. Sudhir had, a few months ago, decided to pursue another career. He's come back and rejoined us. Sudhir Madhavan now specifically focus on our strategic alliances and our new product, credit line on UPI, which we will be launching next month.

I must add that we've already launched Used Car, which was one of the products we had to launch last month. So of the key product launches this year, we have had Solitaire, which was the deposit and CASA program for women. We have had Used Car plan, which has gone live last month. And we have credit line on UPI plan, which will go live next month.

Sudhir's return gives us a very strong hand, very experienced hand who's seen Jana for many years, come back and rejoin us. I also want to point out Rajesh Kumar Sharma, Chief Operating Officer, who is a very experienced ex HDFC Bank operations person who joined us, and Asheesh Maroo, right below Rajesh, who is the Chief Credit Officer, who joined us with about 30 years in banking, 15 in business and 15 in credit.

So we have got a very strong team. For people who have very sharp eyes, you will notice that the number of years of the management team's total experience, which was 27 years, after the re-addition of Sudh

ir and induction of Rajesh and Asheesh has now gone up to 29 years.

With that, I am very conscious that I have finished my 30 minutes, and I would like to spend the

next 30 minutes answering questions from all of you. Thank you, and over to you.

Moderator: Our first question comes from the line of Manish Ostwal with Nirmal Bang Securities Private Limited.

Manish Ostwal: I have a couple of questions on the Q2 performance of the bank. So first question on the Slide number 22 of the slippages during the quarter. So it is INR 591 crore compared to INR 515 crore in the last quarter and in Q 4 is INR 469 crore. So my question is, are we late in terms of recognition of NPA compared to the industry, that's the impression we are getting?

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Second is, can you share the slippage coming from the secured books for the first half FY 25 and FY 24 to see how much pain we are seeing in the secured business also along with the unsecured, which the industry understands?

Abhilash Sandur: Sure. From the secured book, the slippage is about INR 200 crore for the quarter as against around INR 190 - 195 crore for the last quarter. That's the number. Unsecured is the balancing number. That's where we are at. You're saying are we late in recognition, we are not.

Ajay Kanwal: So I don't know a good answer, Manish, if we're late or not. It's possible that our April performance, we saw 96% collection versus the 98.5% - 98.6% we've been doing regularly after that, probably is not as good as others. I wouldn't know, you would know others details as much. But I do see that the slippages will go lower certainly in second half.

In the secured, we have not seen any sudden rise, which causes a change in strategy. Between our businesses, a small change that we have seen about INR 5 - INR 10 crore is only in the Micro LAP piece, but nothing that is pointing out to the INR 1 to INR 5 lakh segment as the normal question is, if that is giving us any extra grief. In fact, we've looked at INR 1 lakh to INR 5 lakh segment in Micro LAP. It's performing extremely well, and we are growing. So beyond that, it's just 1 or 2 MSE tickets, which are slightly bigger in nature. But there is nothing on the secured side, which is causing us any challenge.

Manish Ostwal: Second question, sir, as you mentioned in one of the slides that our secured plus this unsecured guarantee portfolio put together will be having a 90% to 92% by the March 2026. So by reaching this thing, so in the next year, where do you see the credit cost trending for the business given the things we have achieved, one on the secured guarantee portfolio and unsecured book plus increasing share of the secured business?

Ajay Kanwal: So very quickly, I can add that I would see the credit cost come down at least by 40 to 50 bps. That is our estimate for next year from this year. But listen, I want to make sure that we put all the parts together. First is we don't expect flows like this year in next year. So that will improve the credit cost.

Second, we do expect recoveries, whether it is a guarantee book or the non-guarantee book. So that is the second part. And third is where we have guaranteed the book and we are unable to collect, we'll certainly receive moneys under the guarantee. So if you take all 3 parameters, we should be in a very healthy position in credit cost next year.

Manish Ostwal: Okay. And the last question, sir, on the OpEx growth side, you did talk about in terms of first half, there is additional cost in the unsecured business, but in the coming quarter, this will go down. But I mean, given the loan growth in the business and the OpEx growth is meaningfully higher. So I mean how do you control this cost to deliver the profitable growth for the bank?

Ajay Kanwal: So Manish, the challenge is for us on this cost income and the cost growth, largely, I

like I

mentioned, the number of employees in MFI in this first half is lower than what it was in March.

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Roughly about 8,000, 9,000 people we have. Normally, they would cause us to have a growth in our revenue and our asset book.

Now this entire cohort has seen a negative growth in the first half, roughly about 2%-odd. So our real challenge only on the cost side, actually less about the cost is more about how the MFI book starts growing and that cost base then converts into a better cost income for us. Beyond that, we are very focused on productivity and making sure that everybody is well trained out there selling multiple products. And if you look back in March '24, where our cost income was 57%, the only big change that we can see from then and now is not a huge increase or addition of people we don't need. It is when the book was close to INR 10,000 crore in MFI, it has now come down to INR 8,700 crore. If you take a INR 1,300 crore book, multiply that by 24%, you will see where the big challenge is. So we are very focused on cost. We are not seeing any reason why our cost should be not productive. Our only unproductive piece remains to be

MFI.

And like I said, this is the tough part. As we get into Q3, Q4, we should get it better. Will it reach the value that it was in till March 24? Probably not, but certainly cover a lot of it. If you see the quarter-on-quarter cost increase, it's from a INR 20 crore -odd increase between the 2 quarters. There is a slight addition also because we are paying the guarantee commission, which we were not doing as much. So every quarter, it only gets higher. But the gap is only about INR 20 crore. Some part is guarantee commission. So we are largely flattish on cost in our heads. We don't see a big cost increase coming.

Manish Ostwal: Okay. And small clarification from your commentary, you did talk about net interest margin for this quarter is 6.8%, whereas I was looking at the Slide number 21, it is 6.6%, which is down by 10 basis points from the previous quarter.

Abhilash Sandur: 6.6% only, that's the right number, and that's the margin compression, which has happened due to the unsecured book degrowth. 6.6% is the number.

Ajay Kanwal: Yes. Apologies, my reading was wrong at 6.8%. Abhilash confirmed it's 6.6%, my apologies.

Moderator: Our next question comes from the line of Farhaan Wadia with HDFC Securities.

Farhaan Wadia: I just wanted to know if you could provide me with some light or any ballpark figure of your ECL provision?

Abhilash Sandur: Sorry, we couldn't get that. Can you repeat it, please?

Moderator: Mr. Wadia, may we request that you use your handset, please? Your voice is slightly muffled, sir.

Farhaan Wadia: Yes, sorry. I'm saying if you could please provide me some light or ballpark figure of your ECL provision?

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Abhilash Sandur: ECL provision, I think.

Moderator: Sir, your audio is still not clear. In case you're using a Bluetooth headset, we would request you to use your handset, sir.

Ajay Kanwal: Did you say ECL, expected credit loss?

Farhaan Wadia: ECL provisions, yes.

Ajay Kanwal: Are you talking about the guidelines which are expected to be coming up in 2 years, the ECL guidelines?

Farhaan Wadia: Yes.

Ajay Kanwal: Okay. So I think from where we sit, if you take our book, in 2 years' time, we should be at least 80% secured and the balance 19% should be under guarantee program. Everything under guarantee program does not recover ECL because of sovereign guarantee. Our secured book, largely except I guess, Used Car, all of them would have completed 5 years, which will be a good enough time frame for us to then judge what the credit losses that we should provide for. We do not see any reason to have a large growth in our credit cost

when ECL comes into work

for 2 primary reasons: one, the unsecured book being under guarantee program; two, we have seen our credit cost of secured book in a very reasonable and manageable position. So that should not give us any extra stress. I must also add, as we speak, we're carrying about INR 222 crore of accelerated provision over and above the regulatory provision.

Moderator: Our next question comes from the line of Rahul Kumar from Vaikarya.

Rahul Kumar: Can you give us the split of your write-off and provision figure between secured and unsecured?

Abhilash Sandur: So tech write-off, that's what you're asking for. That's what you're referring. So total of around INR 67 crore of tech write-off for the Q2.

Rahul Kumar: Okay. And can you split it between the secured and unsecured?

Ajay Kanwal: Yes. So unsecured is INR 40 crore and the balance INR 20 odd crore is secured.

Moderator: The next question comes from the line of Rishab Bajaj from Anoman Capital.

Rishab Bajaj: Just wanted to know, is there any update on the RBI banking license, the universal banking license?

Ajay Kanwal: Yes. So the process is ongoing in terms of our submission is complete. We are answering the queries raised by the regulator, there is certainly an audit which happens for the Universal Bank, both on the banking side as well as on the technology side, both are complete. So, the process is running in full steam.

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Rishab Bajaj: Okay. And second question, is there any sort of guidance for the next financial year? Like this financial year is 0 to 2% profit growth. Anything that we are seeing for FY 27 or it's too early to

call it yet?

Ajay Kanwal: It is not too early. You can get a fair sense on credit costs from what we have said. What we would like to do, the one where we slipped this year was on the growth of unsecured. And our bias is we'll get a fair measure of that in Q3 of what to expect. I think once we get a handle on that because credit cost, we are fairly close to judging where it will land up because the growth in revenue largely coming on unsecured, which seems to be still not so clear to us and which is why we'll wait for Q3 and then give the guidance for next year for sure.

The secured book is pretty evident to us on our growth rates, what we're expecting as credit cost and is performing to plan. So we have no concerns there. In fact, as I mentioned, our disbursements are ahead of plan. So I think that is very clear to us. Our credit cost under guarantee program and given our flow rates now is very clear to us. Only unclear to us, which is when we exit Q3, we will have a fair idea of what unsecured will grow and then we'll give a good guidance for PAT for next year.

Moderator: Our next question comes from the line of Shazad Shroff with Demeter Advisors .

Shazad Shroff : My question is, what has been our collection efficiency in the second quarter month-on-month, like month-wise?

Ajay Kanwal: Yes. So other than April, every single month has between 98.5% to 98.9%, every single month. So the flow rates coming post April through B0 is very nominal. On an average between B1, B2 and B3, I'll tell you the resolution rates. On an average between 50% to 55% on B1, roughly about 25 %-odd in B2 and between 45% to 50% on B3. Those are typically the average resolution rates on the 3 buckets.

Shazad Shroff : Understood. Sir, I just wanted to understand then why the regulatory provision or slippages are higher in this quarter?

Ajay Kanwal: Yes. So like I mentioned, see, a big drop was in April, 96%. And then if you take 4% of roughly INR 9,000 crore, that was roughly about INR300-odd crore. So that flowed down. Thereafter, it is just the 1%, which flows every month from B0. And what we were carrying is inventory in B1, B2, B3. Nothing else is extra flow that we have seen. But it

pretty much looks like pretty flattish to Q1 and which is why we know that Q3 will be lower.

Moderator: Our next question comes from the line of Deep, who is an investor.

Deep: I had 3 queries. The one query related to banking license has been already addressed. The other query I had was regarding the secured assets higher upfront acquisition cost. Is this kind of like a one-off because this quarter, we had a higher disbursement than planned? Or does this generally happen every quarter? And how does this normally go? Some commentary on that?

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And the third one was on the general industry-wide, how is the situation now when it comes to the credit cost in general, when it comes to what kind of collection efficiencies we are seeing on the ground?

And how are you seeing the flow and kind of like the feeling on the ground that is business back to how we see eventually happening? Or do we see pain going forward in the near term? And if we do see pain going forward in the near term, how long do you think this is likely to continue?

Ajay Kanwal: The second one, I'll answer very quickly. See, let's say, certainly on the secured side, where we have grown 33% more than planned, there are upfront costs, whether it is valuation, there is legal, there is sourcing cost. That really causes us to pay an upfront cost. We don't amortize the acquisition costs.

So obviously, you've got an upfront cost, which is higher because the disbursement is higher.

And like I said, if you minus the 2, which is what you spend as money and what you make as fees, et cetera, it's a INR 15 crore carry, which is negative. But it's very healthy, right? I mean if you're growing secured faster than planned, it's certainly good for income, though it's a bit of a challenge on that quarter.

I didn't want to highlight that because that is an increase in our cost base. And if you refer to one of the questions asked earlier, why did the cost increase by INR 20 crore in the first half, that is one of the big reasons other than the guarantee cost. If it happens in the next 2 quarters that we are growing faster than we are planning, we'll be very happy.

Again, it will be a one-off cost. It won't carry. So what you source this quarter, you pay for this quarter, you don't carry it to the next quarter. But certainly, the returns will be much healthier because these are long-term assets. So that's the answer to the question on acquisition costs.

Now what do we see in the industry, tough one to say because there are many different models going on by the variety of people. But what I can tell you is that I'll tell you the ones which investors have a lot of questions on. And so one is on Micro LAP, is the INR1 lakh to 5 lakhs performing well? The answer is yes. Affordable is as per plan, so no issue there.

MSME loan, we are seeing very good performance. So we are not very anxious about MSME.

In fact, we are growing that very well. Two -Wheelers is the other question. Most people ask that how is your Two -Wheelers doing much better than what people hear in the industry. I don't have a good answer to that.

When I heard this question last quarter, I came back and double checked, but our performance in Two -Wheeler continues to be good. It's probably a function of our sourcing and possibly our strong scorecard or any grating criteria that multiple g rating criteria we use.

I'm not aware of other folks' credit criteria. But our Two -Wheeler is performing very well, and so we don't see any challenge there. Gold is typically a technical issue where it flows and you need to give time to sell. Other than that, in Gold, we are not seeing any reason for us not to

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continue to expand Gold the way we have been doing. As you can see between last year and this year, Gold h

as done 204%.

The one area we are very careful how to answer it is MFI piece. It has got multiple MFIs and multiple strategies who they follow. We have no better answer. It depends on whom you talk to, but something that we were very careful in terms of what to expect in the industry.

Our going in bias is just to be careful because if the leverage goes up, and we can see that amount that we lend to per customer has been going up even through this last 6 quarters, I would say. It does give a sense that maybe we are getting out of the problem, but I'm not sure we're not creating the next one.

So I would be very guarded on what I would say on MFI because it depends on every player on what their strategies are. And that has led us to saying that given the environment may not be so positive, you could get an ordinance from some state government could cause a problem in the future. It is better to then buy insurance and make sure that we grow carefully and also have insurance so that we don't have a credit cost increase like we have seen in the last 6 quarters.

Deep: Right. So the way we are seeing things -- by we, I don't mean the entire industry, I mean, specifically for us at Jana Bank. The way we are seeing things and the way we are seeing progress for ourselves and also as per the presentation, how we are seeing how much we are covering ourselves under the guarantee schemes ?

How do you foresee the accelerated provisions panning out once the need to keep accelerated provisions, which is to keep our gross NPA and net NPA under check because of the banking license requirements have been done through and let's say, we are done with our banking license , so then how do you foresee in the longer term ?

Let's say, 3 to 4 years' time period, these accelerated provisions panning out? Do we see these getting used up? Or do we see these eventually coming back because at least for us, things seem to be better than what we see on ground for the larger industry in general.

Ajay Kanwal: So Deep, let me try. So one is very important is Page number 5. The only change in Page number 5 is we always want to do 80 %-20% secured, unsecured. Now we will do 80% and with another 19% of unsecured with guarantee program. We think that is the right way for the bank to go forward.

As you can see from Page number 6, the real challenge here is this year where we pay money, but we receive nothing from the guarantee program literally. Only next year , it becomes normalized and the year after will be even better. But I would let that happen. So in a way, we are clear in our heads that our move to secured was correct.

Our secured businesses are performing well. We got challenged on unsecured. We are careful on how we grow, and we don't want to live without the guarantee program because that is what Jana Small Finance Bank Limited

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will cover any event risk that we can't foresee. So that's where we are in terms of credit cost and how we are thinking. Did I answer your question, Deep, or did I miss something?

Deep: Yes. I was specifically looking for your thoughts on the accelerated provisions that how do we see? Do they actually ever come back to us?

Ajay Kanwal: Deep I must answer that, I missed it, sorry, which is why I thought I was missing something. So accelerated provision, while we talk of, it's a good thing. I must say that even if there was no universal banking criteria of 3 % and 1 %, keeping net NPA at 0.93 -odd is a good thing to do. It is a timing issue, right, because we are providing in advance.

If we do manage to collect in the future, we will certainly release the provisions. So in a way, having 3 % and 1 % as a condition is not a bad condition to have in most times. It only got a bit challenged now because we had a 3 % and 1 % condition and we had stress in MFI.

So I think it's less of a 3 % and 1 % issue. In my head, it's more ab

out the microfinance stress,

which has caused us to do the accelerated provision. We'll certainly be using part of these provisions. So we are now INR 222 crore extra in the bag. But if you ask me where the main release will come from, then I think you should look at this page, which gives you the PCR by product, where you can clearly see that the provision that we've raised in secured assets, and I want to take you to that page, give me a second.

So Deep, you should look at Page 23. It shows you GNPA on total secured asset is INR 255 crore. The LTV is 38.4% for this gross NPA book, but the PCR is 43.2%. So the big release will really come from this piece because this, frankly, is not required, but we have to do this because we really would like to be under 3 % and 1 %.

And there will be a certain portion of unsecured also will come back. So what will happen for us is we will reduce our flows and also their recoveries literally in the same quarters only. So the next quarter will be a little bit more sweeter than the past few quarters because there will be lesser of flows, there'll be more recoveries.

And then it will add the third dimension to it, which is recovery from the guarantee from 1st April 2026 in a serious way. So that will be the third dimension fitting in. Actually, first 2 dimensions also will cause a big change. But when the third one kicks in, then I think we will be in a very good position.

Deep: That is extremely helpful. And I just wanted to add that being a very well -provisioned bank, I mean, despite being not so well on the radar of several analysts and investors, as you can see on the call itself that the operator has to keep on announcing if somebody wants to ask questions, please press star 1 and so on. But being a very well provisioned bank as an individual investor or as an investor in the bank, it just helps us sleep better.

Moderator: Our next question comes from Gautam Jain from GCJ Financial.

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Gautam Jain: First question is, what was the rationale behind raising the deposit and putting into the investments? Isn't that a negative carry for the bank?

Ajay Kanwal: Yes. So Gautam, if you see our CD ratio, it's about 93%. So really, there is no rationale beyond having raising deposits, except that we really would like a CD ratio around 90%, and that is very healthy for banks. Secondly, we did decide to accelerate the deposit because the cost of deposits are lower this year.

If you take last year, acceleration of deposit, trying to reach a CD ratio, which is lower than where we were, would have been a bit more expensive for us. So I don't think so having a CD ratio of 93% is odd. In fact, going a bit lower would be the right thing.

Gautam Jain: So what was the incremental cost of deposit in this quarter?

Ajay Kanwal: So what you could do really is you can say what is the cost of carry. It will roughly be 2% on the surplus because we can get a roughly 5.6% - 5.7% and our cost is around 7.9%, which is a total blended cost. But if you take this fresh money we're raising, it's around 7.3% - 7.4%. So I would say...

Abhilash Sandur: 1% actually. 6.3% is my investment yield. 7.3% is my cost of...

Ajay Kanwal: Abhilash is correcting me, 6.3% investment yield, 7.3% is cost. So 1% is the carry cost here.

Gautam Jain: Okay. We haven't seen that much impact on our cost of funds compared to the peers or other banks. They have seen some decline in the cost of funds, but we haven't seen that. So are we late in reducing the rates in some of the deposits slab or what is actually the reason behind this?

Ajay Kanwal: So at least in my head, we have not reduced our deposit rates late. It could happen that my deposits are longer tenured. So the maturities come much later in the year, which means that I should start seeing as the high -cost deposits come up for maturity and

get repriced or exited and

then we replace them with lower cost of funds, then they will have a role. I think it all depends on what your tenure of the book is, is my guess.

And our book, like I mentioned, is largely both retail and bulk is majority in 1 year plus. So for example, if I raise money in Feb or March '25, that deposit will get repriced only in February and March '26. So I'll continue to carry whatever I have paid last year. And because we always tend to have longer -term deposits, it's possible that my drop in cost of funds may be a bit slower than the people who have shorter tenure deposits.

Gautam Jain: Okay. And on gross slippage, I mean, our slippage continue to rise every quarter in the last 6 -7 quarters, I'm seeing the numbers. So I mean, again, if I compare with the peer bank, their slippage is going down, especially Q1 to Q2, where we have seen INR 80 crore rise in the slippage. So first, are we at the peak of the slippage and it will fall sharply from Q3 onwards? Can you validate that?

Ajay Kanwal: So it won't fall sharply. It will certainly fall. But I don't understand sharp, but let's say, there will be at least a 10% drop in slippage in Q3 is my estimate right now. It will get even better as we get into Q4, and those 2 will be real.

Gautam Jain: Okay. And some bookkeeping questions. Abhilash, can I have Stage 2 number and the average yield in secured, unsecured?

Ajay Kanwal: So I'll tell you a broad number rather than a precise number for competitive reasons. Unsecured is in the 22% to 24% range and the secured is in the 13% to 15% range.

Gautam Jain: Okay. And can I get the Stage 2 number?

Ajay Kanwal: Stage 2, Abhilash will pick it up. You have another question, Gautam, in the meantime?

Gautam Jain: And the slippage breakup into, again, secured and unsecured.

Ajay Kanwal: We mentioned that earlier, right? What's the slippage, secured, unsecured, Gautam. Do you have another question?

Moderator: Ladies and gentlemen, we take that as the last question for today. I now hand the conference over to the management for closing comments.

Ajay Kanwal: Thank you so much. Okay. A few quick ones, taking away from where we are. I think we're certainly at the point where certainly the slippages will get better. Our unsecured book will start to have small growth, though I would say that very guardedly because I really want to make sure that to get more revenue, we don't end up putting next year into trouble. I'm aware that we are putting everything under guarantee, but that doesn't give us comfort that, that is the reason why we should grow it more aggressively.

Our secured book performed extremely well, and it is growing very well, and that's where the primary focus is. We are continuing to see very good traction on CASA and deposits. I think this must be probably one of the best industry numbers. And given how I see our programs getting success from customers, I do see the deposit and the CASA book continuing the same trend in the next 2 quarters, too. Thank you for all your support, and look forward to talking to you again after the next quarterly numbers. Thank you.

Moderator: Thank you. On behalf of Nuvama Wealth & Investment Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

This is a transcript and may contain transcription errors. The Company or the sender takes no responsibility for such errors, although an effort has been made to ensure high level of accuracy

Call: Feb 2026

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11th February 2026

BSE Limited

Phiroze Jeejeebhoy Towers,

Dalal Street,

Mumbai 400001,

Maharashtra National Stock Exchange of India Ltd.

Exchange Plaza, C -1, Block G,

Bandra Kurla Complex,

Bandra (East), Mumbai 400051,

Maharashtra.

Dear Sir/ Madam,

Subject: Transcript of earnings conference call for the quarter ended 31st December 2025

Ref: Regulations 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

In continuation to our earlier intimation regarding the earnings conference call with the investors/ analysts meet for the quarter ended 31st December 2025.

Please find enclosed the transcript for the Q 3 FY26 earnings conference call conducted after the meeting of Board of Directors held on 06th February 2026.

Thanking you

Yours faithfully,

For Jana Small Finance Bank Limited

Lakshmi R. N

Company Secretary and Compliance Officer

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“Jana Small Finance Bank Limited

Q3 and 9M FY '26 Earnings Conference Call ”

February 06, 2026

MANAGEMENT : MR. AJAY KANWAL – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER

MR. KRISHNAN SUBRAMANIA RAMAN – EXECUTIVE
DIRECTOR AND HEAD, RETAIL FINANCIAL SERVICES

MR. ABHILASH SANDUR – CHIEF FINANCIAL OFFICER

MODERATOR : MR. CHINTAN SHAH -- ICICI SECURITIES LIMITED

Jana Small Finance Bank Limited
February 06, 2026

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Moderator : Ladies and gentlemen, good day, and welcome to Jana Small Finance Bank Limited Q3 FY '26 Earnings Conference Call hosted by ICICI Securities Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Chintan Shah from ICICI Securities. Thank you, and over to you, sir.

Chintan Shah: Yes. Thank you, B humi. Good evening, everyone, and welcome to the Q3 FY '26 Results Conference Call of Jana Small Finance Bank. We would like to thank Jana Small Finance Bank for giving us the opportunity to host their con call.

From the management, we have Mr. Ajay Kanwal, Managing Director and Chief Executive Officer; Mr. K.S. Raman, Executive Director; Mr. Abhilash Sandur, Chief Financial Officer; and other senior management team members.

Now without further ado, I would now like to hand over the floor to MD sir, who will give his opening remarks. And then post which we can open the floor for questions. Thank you, and over to you, sir.

Ajay Kanwal: Thank you very much, Chintan, and good evening to everyone. I would like to talk through Jana's quarter three and nine months performance through the presentation that we uploaded on the stock exchanges. I'll be referring to the specific pages. And I'll start with Page number 3. What we were hoping to see in quarter 2, we have finally seen in quarter 3. So, we are a quarter late in what we thought would be a bottoming out of all issues, specifically the slippages and SMA trend, but we have seen that decisively happen in quarter 3. I'm happy to report that we have seen not just slippage in SMA trend, which had peaked in the first quarter of this year, now has shown a sustainable and strong drop.

To make sure that we are very comfortable with the direction the bank is taking, I have also done March 2026 expected high -level guidances. And I must tell you that SMA and slippages from March '26 will be lower than March '24. And the significance of that is in March '24 is when the MFIs flow began. So, we will go back to where we were in terms of slippage in SMA as of March '26. Of course, when I show you the details, you will see that the trend has already begun in a serious way.

We've also had our highest disbursal, both in secured and unsecured since quarter 1 of FY '25. So this is the highest disbursal quarter in 18 months, including higher than quarter 4 of last year. And while secured has been a strong performance all through, what has made this specifically interesting is that the unsecured also, the disbursements have been our highest ever in the last 18 months.

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Our NIM, which has been on a decline, has first time shown a modest growth of 10 bps. We think this is a start because our unsecured business has started growing, and the cost of funds continue to decline. We will see further NIM improvement even in quarter 4.

After seeing the stress of last year and figuring out that it's very difficult for a single lender to assume that his lending criteria and policy will hold them in good stead, we started putting our unsecured book under the guarantee program. Our total outstanding under the guarantee program is now 62%, though the meaningful claims from this will only start from next year. I have a small slide to share with you later.

Our deposit book continues to show a robust growth of 30% year -on-year while our cost of fund comes down. In quarter 3, which is last quarter, the RBI returned our application for Universal Bank. We are u

pdating the Universal Bank application now on the shortages, and we will be resubmitting at an appropriate time.

I now move to Page 4. Now, what did we not do well, and I do think when we introspect, it does seem to us that we underjudge the velocity of the NPA flows in Q1. And we're overly bullish on the improvement that we thought will happen in Q2. The Q2 expectation actually came through

in Q3. So we were a quarter early in judging of how we would turn around the book. I've also explained in detail of where were the challenges, and the reason of showing that is when you look forward on what to expect from the bank, this will be a good thing to kind of focus on, on what to expect. First is our unsecured book had a slow growth. It costed us a NIM of compression of 20 bps. Now the growth is back, we should expect positive contribution on NIMs. Our secured book has grown faster than we anticipated. It gave us a positive of INR40 crores on income line. But because you book all the cost upfront, whether it is a valuation or a legal or a sourcing or an incentive, the impact on cost is INR54 crores. It is positive for the future, but certainly, for the first 9 months has dragged us by INR14 crores down. We had an increased collection and recovery costs, that costed us INR40 crores in the 9 months. Now that things have webbed out, this should also be lowering itself.

There has been a change in the labor code, which is not just for the bank, but for all companies. That impacted us by INR12 crores. And of course, the high Q1 slippages, which gave us INR110 crore s drop. And the reason for showing this is less to -- for everything else, but to give a good understanding of how things are now expected to change.

I move on to Slide 5. Here, the credit cost, as you can see, quarter 1 was INR 196 crore, quarter 2 was INR 204 crore, Quarter 3 was INR 277 crore. We are already in early Feb. We have seen the January numbers. It's fair to say that we should expect our lowest credit cost for the year coming up in quarter 4, which I have stated here as INR 170 crores to INR 190 crores as a range. Our closing gross NPA as of quarter 3 has also gone down to INR 829 crores. We expect that to remain flat. That is between INR 830 crores to INR 850 crores in the coming quarter. Now so it's pretty evident if you read the numbers that we have peaked out on our credit cost. You will see significant reduction next quarter itself and so also our GNPA balances.

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And I now take you to Page 6. This is a new slide we are giving, which basically shows SMA book, which is SMA -0.1 and 2 of the bank. Here, again, you can see that our peak in the overall SMA book was at 6.2% in June, which was the end of first quarter, it has come down to 4.6%, and we expect it to be at 4% when we finish the year.

Unsecured peaked at 7.3%, which is on the right-hand side, as of June, down to 4.2%, expected to be around 3.8% when we finish the year. Similarly, secured, which went up to 5.7% is down to 4.8%, expected to come down to 4% when we finish the year. The SMA trend is a clear indication of why the credit cost will now be ebbed.

I did speak of strategic move made by the bank, which is to ensure that event risk which is out of our control should not be a source of significant challenge for us in the future. We have started putting our MFI book under the guarantee program. I have shown here, which is on Slide 7, how the unsecured book will give us the return in terms of recoveries from the guarantee program in the future. So let me explain this.

This is only disbursement that we expect until March 2026. So I'm taking a point of time, P&L for how the guarantee program that we have spent money on will impact. So we expect to close the unsecured book around INR9,667 as of March '26. It will take up the coverage under guar-

anteed

to about INR 7,000 crores.

Currently, we are 62% of outstanding under the guarantee program. By March, it will become 72%. This has costed us this year roughly about INR51 crores with about INR12 crores of eligible claims, which we should receive money in quarter 4.

Next year, we expect for the same INR7,000 crores as the book starts paying down, another INR70 crores is premium to be paid, but we do expect based on the flows because the claims are given 18 months after the close of the financial year. That means we should expect INR120 crores, which is largely from the INR 2,535 crores under the guarantee program that you see under FY '25.

Similarly, in FY'28, we should expect around INR300 crores, which largely is from the INR7,014 crores of outstanding, which is under FY'26. So yes, we've had a year where we've had to pay out guarantee commission. But the next 2 years, it will benefit in terms of returns coming out from the NPA that we have seen.

I have not put FY '27 and FY'28 because it all depends on how much disbursements you do and what kind of flows you have. But I just kept it to a point of time of FY '26 and given you a clear indication of what you should expect in terms of reversals to our credit cost, both next year and the year after. This is purely based on outstanding and guarantee program of March 2026 and 2025.

I want to take you to the P&L summary. Quarter 3 PAT is at INR10 crores. It is the bottom quarter for us. We are giving an expectation of quarter 4 '26 PAT of between INR140 crores to INR160 crores. We are hoping to have the meeting and the results by the 30th of April.

I now move on to Slide 9, where you can see that we've had a very strong growth in CASA, year-to-date growth is 29%. Quarter-on-quarter is 13%. So it has been a very strong CASA. CASA has now moved to 20%. This year, we have grown our term deposit 13%. Our total deposits now stand at INR33,733 crores, with growth this year of 16%. For people who remember, our guidance was to be at 20%, and we should be meeting our guidance for the same. While we have grown our deposits in a very strong way, our cost of deposits have now fallen to 7.7%. Given that we already finished nearly 38 days of this quarter, we expect, based on what we see our cost to come down further to 7.5% on the cost of funds.

Our secured book continues to grow strongly, mainly led by affordable housing, gold loans and vehicle loans. On the unsecured side, we've had our best quarter for the last 18 months. We continue to see the same strong trend even in January. Our BC book, which has been a drag, has stabilized, and we will start seeing growth. We can also see that the BC book collections are now closer to 99%, which you have seen only after a very long time.

I now move on to Slide number 12 because I do know there will be a lot of questions so that we can all have a look at the bank's asset book in a fair amount of granularity. Our affordable housing, which is the largest secured asset book at INR7,500 crores year-on-year of 35.3%. Micro at INR6,201 crores at 14.5% year-on-year growth. MSME at INR4,830 crores, which is a 24% year-on-year growth. NBFCs at INR2,145 crores. Vehicle loans at INR1,554 crores, which is 83% growth.

Gold loan continues to grow very strongly, now it's at INR1,752 crores with 194% growth. And what has been a big drag on our P&L, which is unsecured advances, has actually seen a quarter-on-quarter growth of 4.1%, and has first time made the year-on-year growth positive to 2%, which has been a big change for our P&L.

I now move on to Slide number 15. While we did get distracted and jostled a lot with collections, we never changed our core strategy. Our core strategy of becoming 80% secured, 20% unsecured remains very much intact. We're at 73% secured. The only change to the

strategy, as we said,

will be 20% unsecured will also be put under Guarantee program.

Now out of that the 20% unsecured, roughly about 62% and by March, 72% will be under a guarantee program. So we are, in a way, much more secured as a bank than we originally began when we thought of it as we look back at April 2025, and this is the time where we decided that given the way the MFI business behaves, it's better to make sure that we start buying guarantee for any event risk.

Having said that, our idea of becoming an anchor bank for our customers, which we regularly show on this slide, you can see showing an all-round growth. Compared to last year, the average relationship is up to 4. Gold penetration up from 2% to 2.6%. CASA continues to be at the same levels. Our business loan program is up at 21%, two-wheeler has moved up to 1.2%, term deposit at 21%.

So the whole idea that we are creating operating leverage by doing multiple products with the same customer very much holds true for us and hasn't been an area that has got weakened in all the slowdown at MFI or the collection challenges.

I will now just do the last slide so that we have enough time for questions. And I will move to Slide 18. As you can see, CASA, first, now stands at INR6,742 crores, year-on-year growth rate of 41.4%. Our term deposit at INR 26,991 crores, year-on-year growth rate of 27.9%. Our CASA ratio moves up to 20%, while cost of funds dropped to 7.7%.

For folks who want to know more details about it, our LC R has normalized to 120%, and we continue to be a bank which focuses on long tenor deposits with 90.8% of our bulk deposit 1 year and above and 90.4% of our retail deposits with 1 year and above.

I think that should give you a good sense of what we missed as a management team. The higher slippages in Q1, less recovery than we anticipated in Q2. But happy to report that Q3 has kind of paid for all of that, and we are back to our growth path, both on profitability as well our unsecured business and secured business. And of course, deposits doing very strongly.

I'll stop here, and I will give it back to you, Chintan, and we can open up for questions.

Moderator: Our first question comes from the line of Aman Patle from Invest 4 Edu.

Aman Patle: Yes, sir. I have two questions. First one is, has the credit cost bottomed out? And what is the outlook on the credit cost ratio for the next year? Second one is -- yes, yes, sure.

Ajay Kanwal: Go ahead. Go ahead. Please go ahead.

Aman Patle: And second one is, did your universal bank application stop you from kitchen sinking earlier and you choose to take quarterly approach to provisioning. And the last one is with your signal of credit cost normalizing, increasing NIMs and healthy asset growth, what should we expect from ROA and ROE for the next year?

Ajay Kanwal: Yes. Okay. So let me first answer the credit cost question. So as you can see, so one is we've given a clear signal that our credit cost in quarter 4 will be down in a significant way from quarter 3. And since our SMA book, if you can see in Page 6, is also on a decline. So we do expect our cost to be a sustainable downtrend.

If you ask me, where is it rough and ready on credit cost anticipation, I think we're close to about 2.6 odd percent or maybe 2.7% for this financial year. That's how we see it. In the coming year, we expect the credit cost given where our SMA book is and given the amount of provisioning we have done to be in the 1.7% to 1.8% range. So that is on the credit cost, which will come down to 1.7% to 1.8%, which will probably be one of our best credit costs in the last few years. Now from there, I will then link it to the ROA, ROE question. You have to come to Universal Bank next. ROA, ROE, if you assume that our credit cost does come to 1.7% to 1.8% range, if you see our NI

Ms, which we anticipate will cross 7%, given our unsecured growth is now back, unsecured growth back, this has two possibilities there.

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One is, of course, the book is growing, so better income. Second, reduction in slippages, so lower interest in suspense. I've already spoken of reduction of provision costs when I spoke about reduction of credit costs. If I then add up, even if I assume the cost of funds should remain flat to Q4, which is about roughly 7.5 %, our secured is growing very well. So I don't see a challenge there.

I would expect next year, our ROE to be around 14% to 15%. Our NIM should be about 7% to 7.1%. And the ROA should be about 1.5% to 1.6%. So I think we will go back to a good performing year next year with ROAs of 1.5% to 1.6%, ROE of 14% to 15%, and the NIMs will be the 7% to 7.1% range. So that should give you a good sense of credit cost, ROAs and ROEs. On the universal bank application, did you stop us from kitchen sinking earlier? See, listen, there was always a possibility that you take a large amount of provision and then after that, you really have quarters which kind of take away the challenges of higher provisioning. But honestly, with us, it was slightly different.

Like I said, we were a bit more ambitious on what quarter 2 will do to quarter 1 slippages and hence, did not go in for a big provision in quarter 1. So we also didn't anticipate Q1 to be so not good for us. And if you remember, last year, we had a PAT of INR500 crores and exceed provision of INR300 crores.

You could have very well kept another INR100 crores for additional provisioning last year itself out of the PAT of INR500 crores. But I think we kind of misjudged the flows of Q1 and the expected recovery of Q2.

So really, our kitchen sinking was never a thought for us because we didn't expect us to be so challenged in Q1 and Q2. It has got nothing to do with our Universal Bank application. Having said that, I've already given a clear intent that we are going to resubmit. We continue to maintain the GNPA below 3 % and net NPAs below 1 %.

Moderator: Our next question comes from the line of Smit Shah from Nirmal Bang.

Smit Shah : First of all, congratulations to you and your team for a good set of numbers. So I have two questions. My first question is that on the guarantee program, we do understand that the cost is upfront and the claim is subsequent. But can you please explain if you have any indication from the corporation on the claims next year?

Ajay Kanwal: So listen, the way we work with them is the same corporation does work with us on ECLGS. And we have seen a very transparent, efficient and clear way of how they operate and what the conditions are. So our expectation is that they certainly will be giving us our necessary NPA values when they are due as per their process.

Unfortunately, the process is that you get paid 18 months after closure of the financial year, which means everything that I put under the program in March 2025, I will be able to raise the claim only after September 2026.

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And what I have guaranteed up between March '25 and March '26, I will be able to raise the

claim only after September 2027. So I think that time period is where we have to carry the provision, make sure we meet the 3 % and the 1 %. And when some money comes, then we will do reverse it.

I'm also aware from public disclosure that one of our SFB peers have received a significant amount from the same guarantee corporation. So I do expect that we will also be able to realize our NPA value in the same process. So we are confident that we'll get the money. It's just for us is a harder year because this year, we are spending the money, and our first sign of any recovery will come next year.

Smit Shah : Okay. Got it. And sh

ould we expect about the cost to income to normalize given your unsecured collections and is coming back strongly? And if so, then by when we should be able to expect this?

Abhilash Sandur: I'll take that, Ajay. So for the cost/income ratio to normalize, I think the unsecured book is growing now. So like we have indicated last quarter, there's a growth in unsecured book. And also slippages have reduced. So that will have a positive impact on the interest income. So having seen this for the previous quarter and the quarter which is coming up, I think cost -to-income ratio should normalize by Q2 or Q3 in next financial year.

So the cost income ratio estimate we are having around -- considering all the factors, which Ajay also mentioned earlier, cost income ratio should be around 60 % to 62% when it normalizes. So that's where it should stand.

Ajay Kanwal: So just to add to that, the single biggest factor in our cost income has been really a drop of our income, led by -- if you go back to March '24, we were at INR9,800 crores of unsecured. We're down to INR9,000 crores - odd now. That INR800 crores of AUM disappearing had a big impact. And second, of course, is slippages causing interest in suspense.

But the fact is that once this trajectory is back, we certainly will see the cost income around 60%.

And it should not be a surprise because March '24, we were at 57% cost income. So getting to 60% by quarter 2, I think should be a reasonable expectation from all.

Smit Shah : Understood, sir. I have one last question, please. So like your affordable housing loan book is growing at twice the pace of your Micro LAP books. So is this a design? Or do you see stress in the macro LAP books?

Ajay Kanwal: So first is, you're right, our affordable housing by design is moving faster than Micro LAP. And when we saw the challenges come through beginning April 2025, we decided that we will tighten up some of the Micro LAP conditions because there was a lot of noise in the market on small ticket LAP, how it was not looking as good as it should have. That's been our bias.

We also found that our ability to do anchor business, which is multi-product, tends to be much better when we do affordable housing. So consciously, we move the incentives and the focus towards affordable housing. And that will be our strategy going forward to where we will see affordable housing at a faster rate than Micro LAP.

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We do expect Micro LAP also to pick up because in -- if you go back to March '24, this would be around a 25% number. You're down to 14%, 15% number now. Given everything is becoming more clearer in terms of environment, I do see Micro LAP to reach the 20% growth rate in the following year.

Moderator: Our next question comes from the line of Chaitya from Incred Equities .

Chaitya : I had just a couple of questions. The first one is, so the slippages have declined by 25% from INR591 crores to INR440 crores. Can you elaborate on how this reduction is split between the secured and unsecured portfolios?

Ajay Kanwal: Sure. Why don't I let Raman, who's our ED, answer this question. Raman, over to you.

K. S. Raman: The slippages of -- I mean, we had INR438 crores as compared to INR590 crores. So if I look at the split between unsecured and secured, my secured slippage was about INR196 crores and the unsecured slippage was INR242 crores.

Chaitya: Okay, okay. The next question is...

Ajay Kanwal: Sorry, I just want to add. So previous quarter was INR360 crores. It fell down INR240 crores.

K. S. Raman: Yes. I should have said that.

Ajay Kanwal: No worries. No worries at all. Similarly, we have seen a drop in the secured one also.

Chaitya: Okay. The next question is like with respect to the submission of the Universal Bank application, do you expect any impact on the P&L in the coming financial year? If y

ou can just highlight some things on that?

Ajay Kanwal: Yes. So, listen, we never ever used Universal Bank approval in our projections for P&L. We always assume that if we get Universal Bank, then it will be positive on top of whatever we are

doing. So, in our P&L projection in the past and even currently, we are not assuming that Universal Bank coming at what time frame and at what speed do we get what advantage. I just want to state that, yes, Universal Bank will be a big advantage, especially on velocity of deposit collection, which is good today. But I guess that will continue with the same velocity with a lower cost of funds. So that was the primary reason we thought the Universal Bank will be an advantage.

It would also be an advantage for doing more supply chain and trade receivables, etcetera, because as you move up the MSME chain, not having a small finance stack does help you with a lot of large MSMEs. So that would be the second benefit that we would have got.

We have not put that in the numbers saying Universal Bank is coming to so much advantage. But yes, if it does come through, then we will certainly like to move very quickly and gain the two advantages that we expect to see.

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Chaitya: Okay. The last question, how is the collection efficiency trending as we see the shrinking SMA book projection? Have you seen any trends for collection efficiency improvement in Q4?

K. S. Raman: Yes, this is Raman here. Let me answer this question. Yes, indeed, collection efficiencies have been steadily improving in Q3. And we have the early reads for Q4 based on January. And what we are seeing is for bucket zero, for example, we are looking at well over 99%, and we've continued to achieve that for the last few months. And overall collection efficiencies has also been steadily going up for the unsecured book.

Moderator: Our next question comes from the line of Harshit Jhaveri from CBA Asset Managers LLP.

Harshit Jhaveri: So, my first question is that our cost of deposits, I assume that has been sliding down. So, do we know what is the incremental cost of deposits for the quarter given the tightness in liquidity and how do you intend to sustain the trend?

Ajay Kanwal: So, it's fair to say that quarter 4 looks tight on liquidity, though I must say that today, the liquidity in the system has really improved and costs have started coming down from today. And I think it is a lot of good work done by the regulator on managing liquidity in the system, but January was fairly tight.

See, our fresh money coming into the bank is at around 7%, which is why we know that when we reprice our existing deposits in the quarter 4, that our cost of funds will come down to 7.5% because incremental money we are getting is at 7%. We are just hoping that we continue the strong growth rate that we've seen up to quarter 3. But seeing today's experience, I think, looks more likely now, though January was very tight on liquidity and certainly on deposit growth.

Harshit Jhaveri: Okay. My second question was like, what is your view on the BC book? And what will be the strategy around it over the coming years?

Ajay Kanwal: So first is our BC book, we had 17 BCs, 14 did very well. The three large ones didn't do well. They, in fact, had significant amount of NPAs and it cause us a challenge. I must say that all three of them continue to be our BCs. They're working hard on the recoveries. All three continue to have stabilized their collections.

Two of them are back to growing. One is still focused on collection not growing. Also, we find a lot of gap in liquidity and capital in the MFI entities. We have seen a lot of MFIs come to us to become our BCs, except the three BCs we have had a good experience in the past. And so we don't distress the model. We think the model holds very well.

So, we continue

to grow our BC business. You will see the BC business in a positive growth first time in quarter 4. Also, I must add that our BC book has crossed a 99% collection mark first time in January. So we are very comfortable with what we see.

And finally, I must add that we continue to put even our BC book under the guarantee program. So, we are making sure that whatever we do within the bank, both in terms of what we apply as credit criteria, we apply the same to the BC book. Secondly, what we are doing in the bank of putting it under the guarantee program, we continue doing that for our BC book also.

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So, in substance, yes, our BC business will start showing positive growth. And we do expect that it will give us additional tailwinds as we go into next financial year because we do expect good recoveries to come from them.

Harshit Jhaveri: Got it. And sir, any reason for change in Board members? And are you planning to add more Board member?

Ajay Kanwal: So, I guess you're referring to our presentation deck, so let me go there, give me a second. It will

be valuable for everybody else listening. It's on Slide 27 is what I guess you're referring to. So, it's very simplistic, which is two of our Board members are finishing their 8-year term, which is the maximum allowed. And so, they have to step off the Board. One is our founder, Mr. Ramesh Ramanathan, who will have to step off purely because the 8-year term is over. And second is our current Chairman, Mr. Ramaseshan, who will also be stepping down. So that's the reason why two Board members, one is Independent, Mr. Ramaseshan. Mr. Ramesh Ramanathan is a Non-Executive, Non-Independent Director. They'll be stepping down the Board.

We've already inducted Mr. Ajay Rotti, who's Chartered Accountant and has that as his primary background on the Board. He joined us on 2nd of Feb. He was inducted. And Mr. Pankaj Razdan, who's had a very long and successful financial service stint, joining the Board. Our existing independent Board member, Ms. Chitra Talwar, she will take over the position as part-time Chairperson, which has already received the RBI approval for the same.

So really, the Board is seeing two veterans come off the board because they have been -- they completed the 8 years on the Board. And with God's grace, we've got very solid new Board members, both independent, Mr. Ajay Rotti and Mr. Pankaj Razdan to come and fill up the Board.

Moderator: Our next question comes from the line of Suraj Shinde from YES Securities.

Suraj Shinde : So, my first question is on the credit line on you, guys. So given your strategy on 80% secured and 20% unsecured, seems to be an odd product for your launch as it will be unsecured in nature.

So, can you explain the rationale behind it, sir?

Ajay Kanwal: That's a difficult question, Suraj. But yes, let me -- so one of our basic going-in position was that we will be an anchor bank for our customers, which means full suite of all asset and liability products, which will give us operating leverage, it will give us customer stickiness. And that was a going-in position as a strategy when we began the bank in 2018.

Now the one product we did not have really in our arsenal. So we did all the products, what I would classify as middle India wanted, which is we had unsecured in terms of MFI, we brought in affordable housing, brought Micro LAP, two-wheelers, new cars, gold loans. But it's never a -- we never had a solution if somebody wanted to buy a consumer durable or somebody wanted to do a small education loan, very difficult to administer that kind of a loan if you do it nonelectronically.

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We felt that the card business was too much of a P&L drag in the formative years for us to launch. Thankfully, RBI approved small fi

nance banks to do credit line UPI. We think it is a great solution for us to then bring this last mile, the durable finance, education loan, the last-minute money that you want, and it will be delivered digitally, which is why CREDLAM UPI was very important, is a very important launch for us.

Will it change our unsecured, secured mix? So I can say the way we are growing, and given that credit line on UPI will be a small ticket, short-term approach for customers where they'll borrow INR15,000, INR20,000, INR30,000, INR40,000. It will not change our 80:20 ratio in any significant way. We don't expect that to be a challenge.

And I guess the answer to the question really is, and you can see even in this year, our secured book is running much faster than what we anticipated. And with the launch of used car, with more products coming around on MSME, I still think we'll meet the 80:20 in spite of launching credit line on UPI. But we're very conscious that our commitment to the 80:20, that doesn't change.

Suraj Shinde : Okay. Got it. Got it. Sir, and the second question is on the gold line -- gold loan, sorry. So given that we have a very small book on the gold loan side, and we have a vast network of branch of network. So, do you sustained high growth rate in the next few years? And how do you plan to manage the volatility in the gold prices?

Ajay Kanwal: So, the first one is live branches for Jana Bank is about roughly 550 branches. I would expect, even if you assume a INR8 crore s or INR10 crore s average per branch, with this branch network, we should be able to deliver close to INR4,000-odd crores as an outstanding. I do know that large gold companies per branch, exposures are like INR15 crores.

But I'm assuming that since we are not a dedicated gold loan branch business, even if we reach half the number, which is about INR8 crores, we should be a INR4,000 crore s book. I think that should give you a comfort that, yes, we should see our gold loan book growing at a fast pace for the next 2, 3 years for sure.

Nothing stops us from increasing our gold loan branches because our total branch network is now 820. And even if you minus our unbanked rural branches where not many of them can do gold loans, we still have another 100-odd branches to grow. So, some in substances, yes, our

gold loans will continue growing faster.

Second on how do you manage the volatility. See, somehow, I must tell you that our LTV rates for gold loan is about 52.3%, that's average LTV rate. We are very clear in our heads that we are making sure, especially when it comes to large ticket gold loans, we are looking at who the customer is and not just making sure that the gold is equal to a loan, but we are making sure that he has the ability to repay or sustain any margin calls in case the gold prices do drop.

We don't see, unless there is something completely unexpected happens in terms of gold price halving or something like that. I can't see why we should have any challenge in the gold loan. It has been very well as a business, that I must tell you.

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Suraj Shinde : Okay. Okay. Great, sir. And sir, last question, if I may ask. So your CASA growth has been 40% year-on-year. So how sustainable is that growth?

Ajay Kanwal: So I guess 40% is a very, very strong number. I think, frankly, if we continue doing the 25% to 30% as we go ahead, I think it will keep us probably at 2.5x, 3x of the industry growth rate, that would be a fair estimation. It is not to say that we will not try to grow 40%. But I'm conscious that it's been a very strong growth, and committing to that kind of a number would be a very difficult one for us.

But fair to say that we'll be growing at multiple times the industry growth rate, function of our new segment launches, function of our branch launches, RMs coming in. And of course, our C

ASA ratio is just 20%. So I guess we still have enough and more room to grow for the next few years.

Moderator: Ladies and gentlemen, we take that as the last question for today. I would now like to hand the conference over to management for closing comments.

Ajay Kanwal: Thank you. So first, I must tell all our investors and analysts on the call that while we are conscious that we could have probably worked harder and better or at least seen the -- read the tea leaves better in the last 2 quarters. And I think we missed doing that. We were more bullish than what the numbers finally turned out to be.

But I'm glad that quarter 3 has kind of solved all of that. It's our job now to ensure that we get to the ROAs of 1.5%, ROEs of 15% and we are very committed to do so. Everything that looked as a challenge, I think, at least in our mind, is addressed, and we continue on the strategic path of 80:20. And I thank you all for your patience and support. Thank you very much.

Moderator: Thank you. On behalf of ICICI Securities Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2026

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